

Organizational Behavior (OB)

Prof. Dr. Mukhtar Ahmed



Organizational Behavior

(MGT-502)

Lecture-1

Organizational Behavior

**The study of individual
behavior and group
dynamics in
organizational
settings**

Organizational Behavior

. . . a field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness.

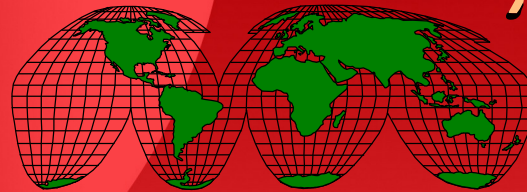


Forces reshaping
the process of
management

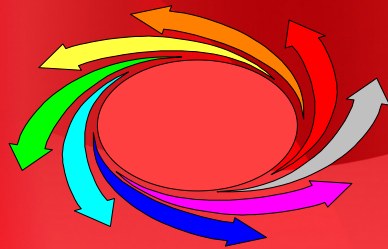
Power of Human Resources



Cultural Diversity



Globalization



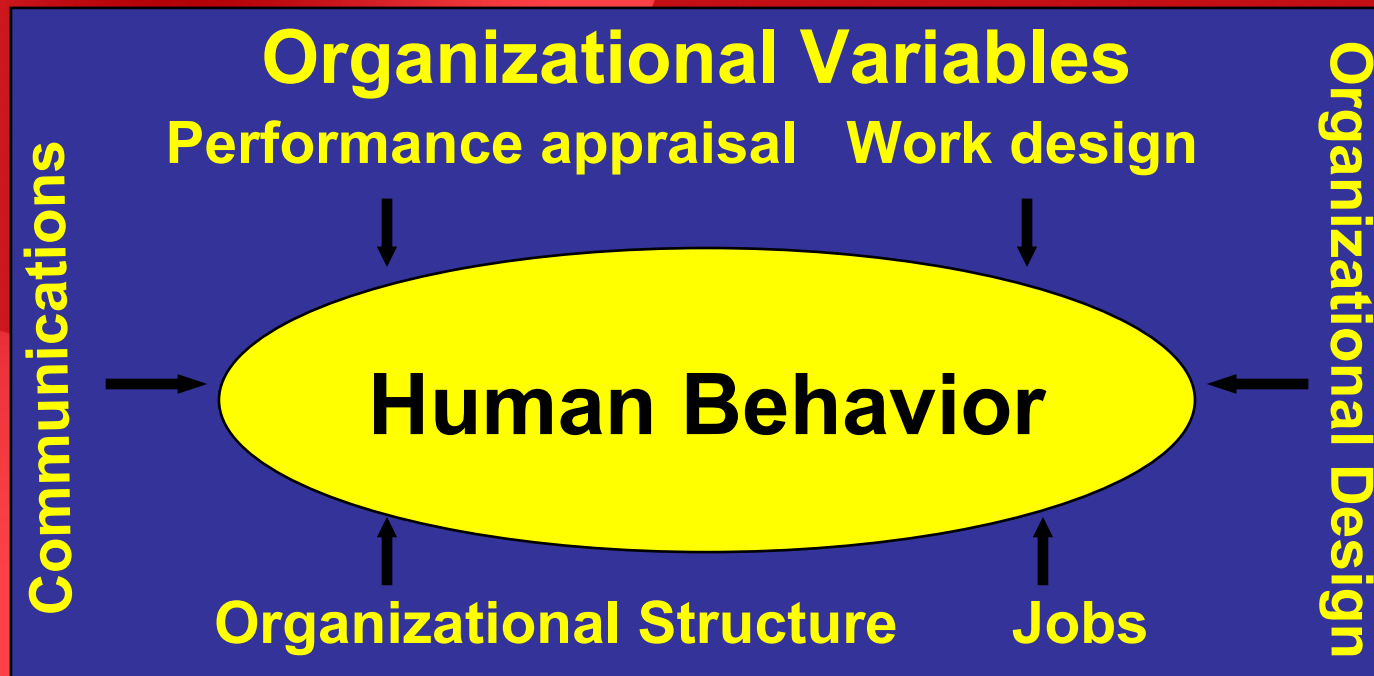
Rapid Change



New Psychological Contract

Organizational Behavior

The study of individual behavior and group dynamics in organizational settings

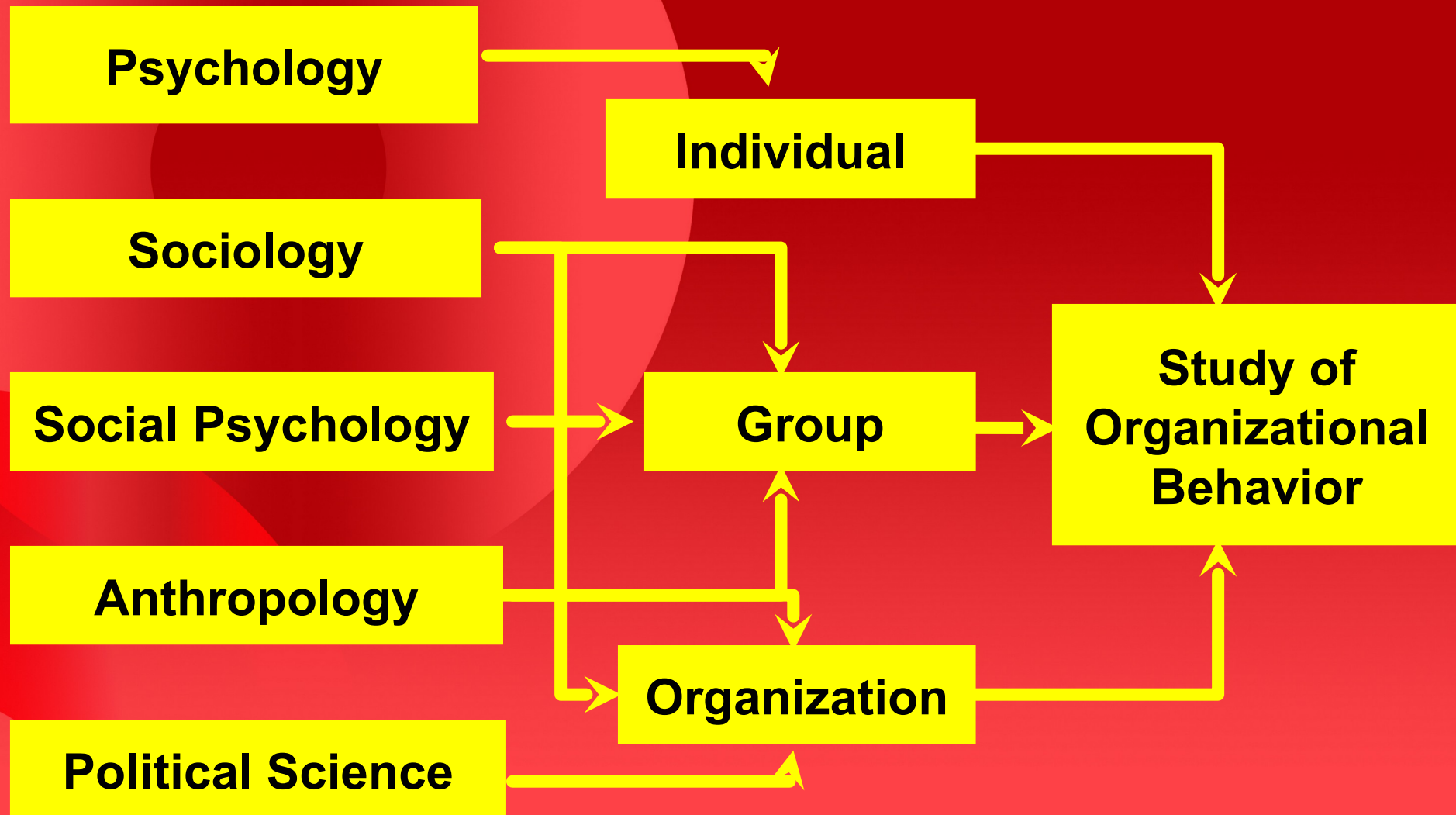




The Study of OB

Behavior is a function of
both the **Person** and the
Environment.

$$B = f(P/E)$$



Contributing Disciplines to the OB Field

Psychology

- The science that seeks to measure, explain, and sometime change the behavior of humans and other animals.

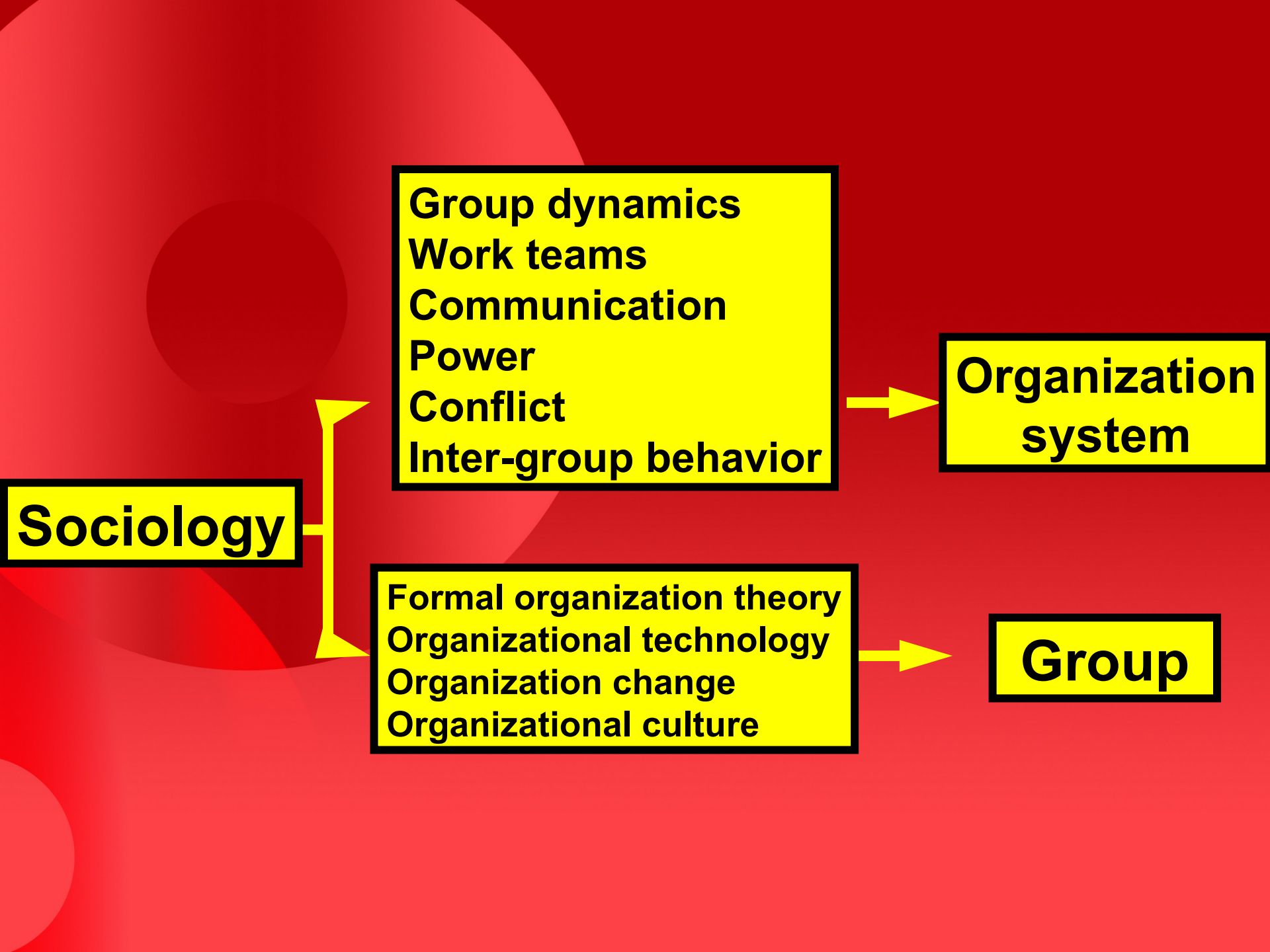
Psychology

**Learning
Motivation
Personality
Emotions
Perception
Training
Leadership effectiveness
Job satisfaction
Individual decision making
Performance appraisal
Attitude measurement
Employee selection
Work design
Work stress**

Individuals

Sociology

–The study of people in relation to their fellow human beings.



Sociology

Group dynamics
Work teams
Communication
Power
Conflict
Inter-group behavior

**Organization
system**

Formal organization theory
Organizational technology
Organization change
Organizational culture

Group

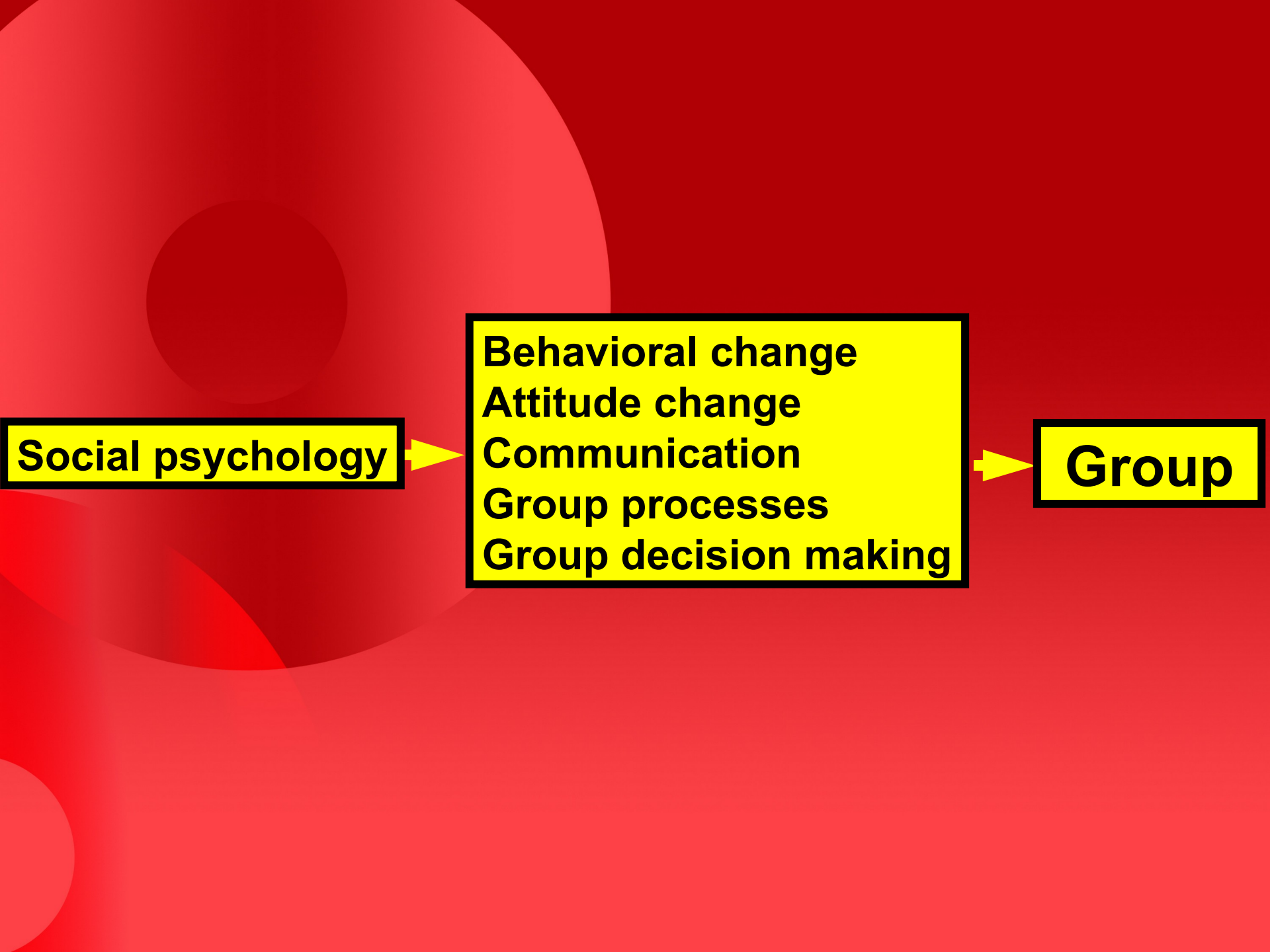
Social psychology

- An area within psychology that blends concepts from psychology and sociology and that focuses on the influence of people on one another.

Social psychology

**Behavioral change
Attitude change
Communication
Group processes
Group decision making**

Group



Anthropology

- The study of societies to learn about human beings and their activities.

Anthropology

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graph LR; Anthropology[Anthropology] --> Box1[Comparative values<br/>Comparative attitudes<br/>Cross-cultural analysis]; Anthropology --> Box2[Organizational culture<br/>Organizational environment]; Box1 --> Group[Group]; Box2 --> OrgSystem[Organization system];
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The diagram is a flowchart on a red background with large, faint, overlapping circles. It starts with a yellow box labeled 'Anthropology' on the left. A yellow bracket connects this box to two separate yellow boxes in the center. The top box contains the text 'Comparative values', 'Comparative attitudes', and 'Cross-cultural analysis'. The bottom box contains 'Organizational culture' and 'Organizational environment'. An arrow points from the top box to a yellow box on the right labeled 'Group'. Another arrow points from the bottom box to a yellow box on the right labeled 'Organization system'.

**Comparative values
Comparative attitudes
Cross-cultural analysis**

Group

**Organizational culture
Organizational environment**

**Organization
system**

Political science

- The study of the behavior of individuals and groups within a political environment.

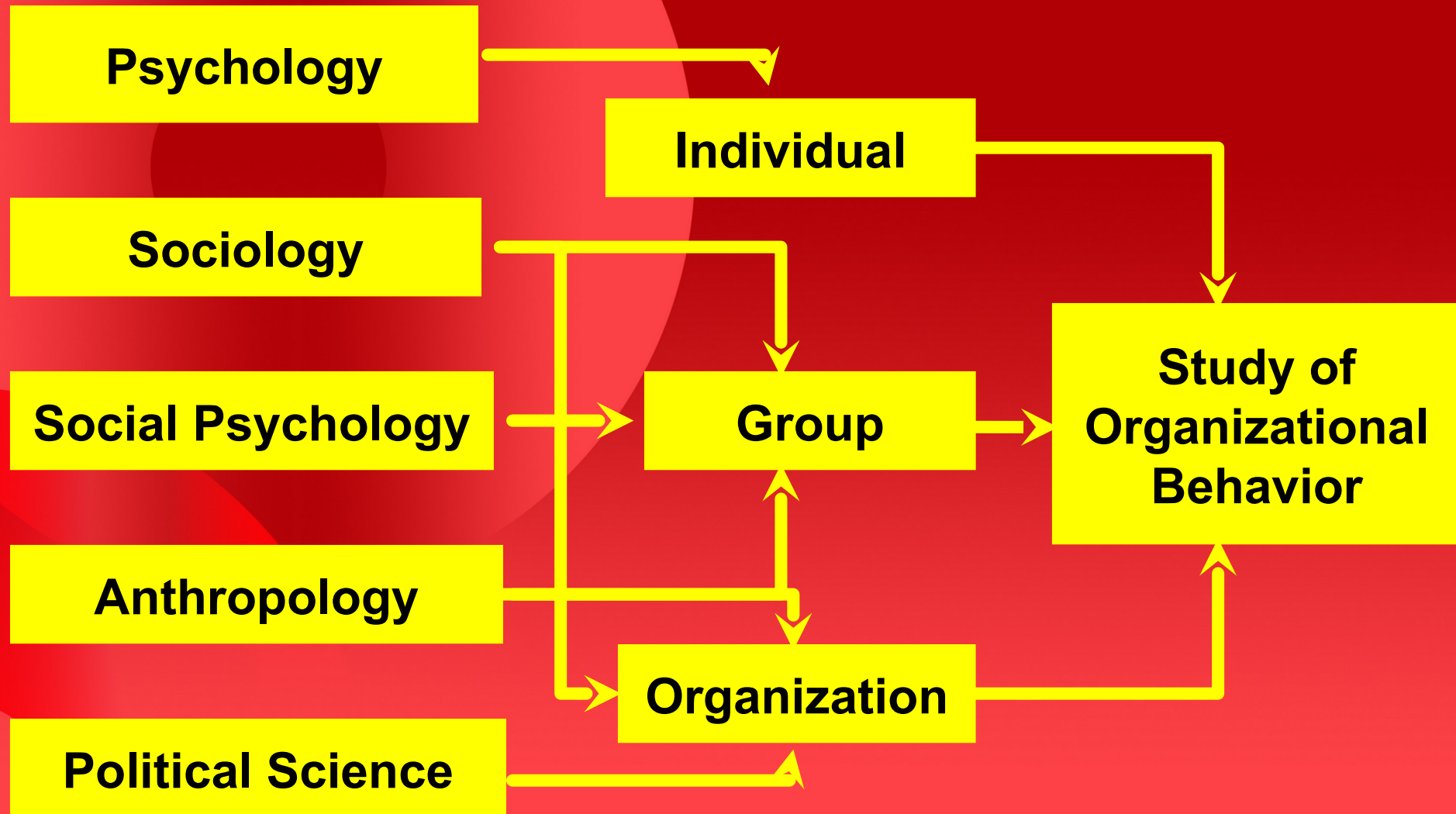
Political Science



Conflict
Intra-organizational politics
Power



**Organization
system**



Why Do We Study OB?

- To learn about yourself and how to deal with others
- You are part of an organization now, and will continue to be a part of various organizations
- Organizations are increasingly expecting individuals to be able to work in teams, at least some of the time
- Some of you may want to be managers or entrepreneurs

**Understand
organizational
events**

**Organizational
Behavior
Research**

**Influence
organizational
events**

**Predict
organizational
events**

The importance of studying organizational behavior (OB)

- OB is a way of thinking.
- OB is multidisciplinary.
- There is a distinctly humanistic orientation with OB.
- The field of OB is performance oriented.
- The external environment is seen as having significant impact on OB.

A Manager's Preview

Describe . . . Diagnose . . . Prescribe . . . Act

→HANDLE the challenges faced by today's organizations.

→DEAL with today's workforce.

→DEMONSTRATE the competencies needed by effective managers.

→UNDERSTAND the importance of effective organizational behavior.

→Systematically DESCRIBE and STUDY organizational behavior.

→APPLY the four-step diagnostic approach.



The Four-Step diagnostic approach

DESCRIPTION

Data Collection through Observation,
Questionnaires, Interviews

DIAGNOSIS

Identification of Key Factors;
Applications of Theories and Concepts

PRESCRIPTION

Identification of Solutions to Problems
or Ways of Changing Situations

ACTION

Implementation of Solutions;
Evaluation of Solutions



OB

Systematic study of how
people behave in
organizations





**Enough for
today...**

Summary

Organizational Behavior

. . . a field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness.

**Understand
organizational
events**

**Organizational
Behavior
Research**

**Influence
organizational
events**

**Predict
organizational
events**

Organizational Behavior

(MGT-502)

Lecture-1

Organizational Behavior

(MGT-502)

Lecture-2

Summary of Lecture-1

**The study of individual
behavior and group
dynamics in
organizational settings**

**Understand
organizational
events**

**Organizational
Behavior
Research**

**Influence
organizational
events**

**Predict
organizational
events**

Today's Topics

Course of OB

- The purpose of the course is to improve your ability to understand organizations and to act effectively in them.
- This course is a study of human and work behavior in the workplace and within society

The purpose of OB is to understand people in organizations, to provide managers and practitioners with effective management tools, and to help organizations achieve their goals.

Organizational Behavior

- How people behave in organizations
- How organizations use human resources to achieve goals

Part-I The Individual

- Ability & Learning
- Values, Attitudes and Job Satisfaction
- Personality & Emotions
- Perception & Individual Decision Making
- Basic Motivation Concepts
- Motivation and its Applications

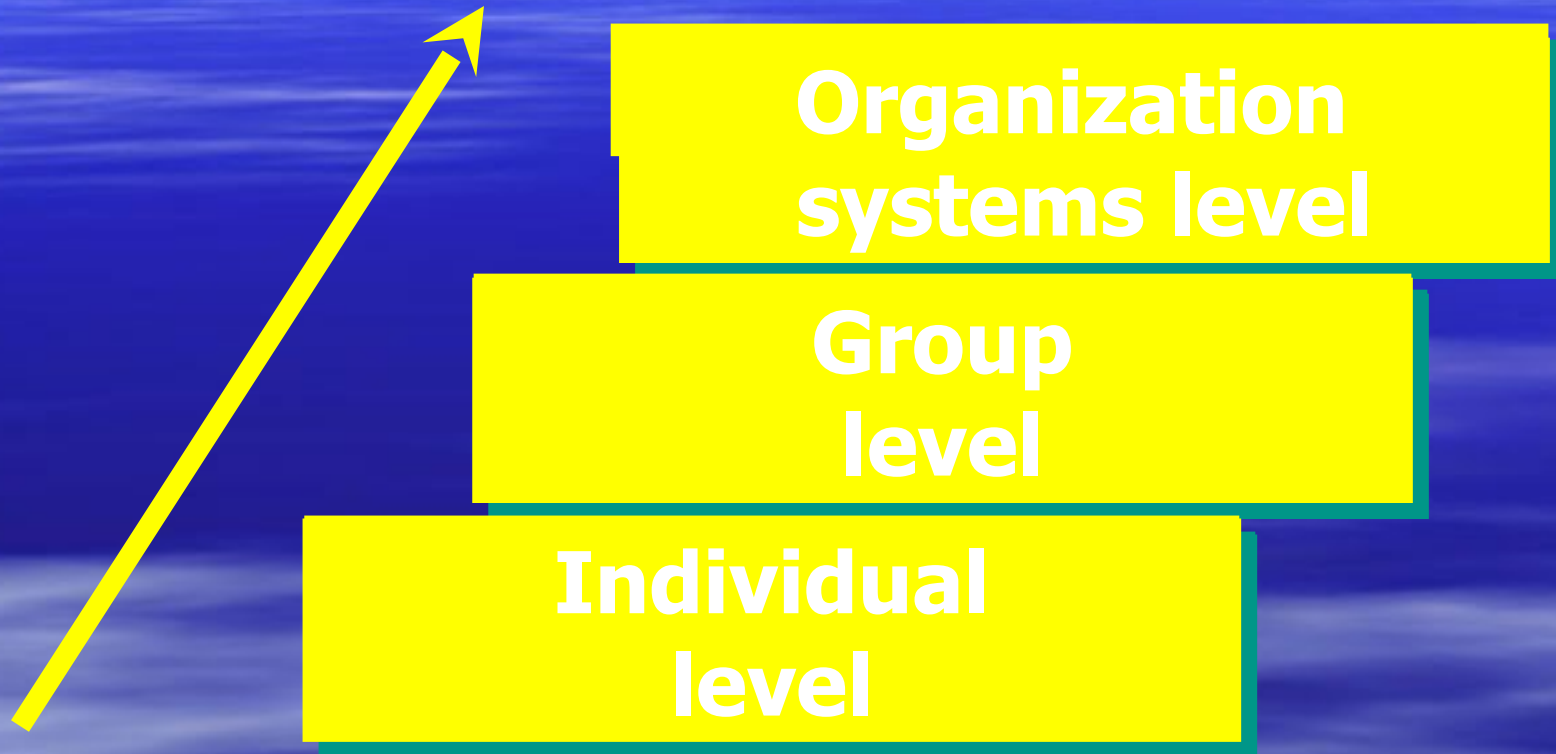
Part-II The Group

- Foundation of Group Behavior
- Group and Team Work
- Functions of Communication
- Basic Approaches to Leadership
- Contemporary Issues in Leadership
- Power and Politics
- Conflict and Negotiation

Part-III The Organization System

- Organizational Structure
- Work design and Technology
- HR Policies and Practices
- Organizational Culture
- Organizational Change
- Stress Management

Basic OB Model



Performance Management

Organizational Performance

- ***Efficiency:*** A measure of how well resources are used to achieve a goal.

“Doing Things Right”

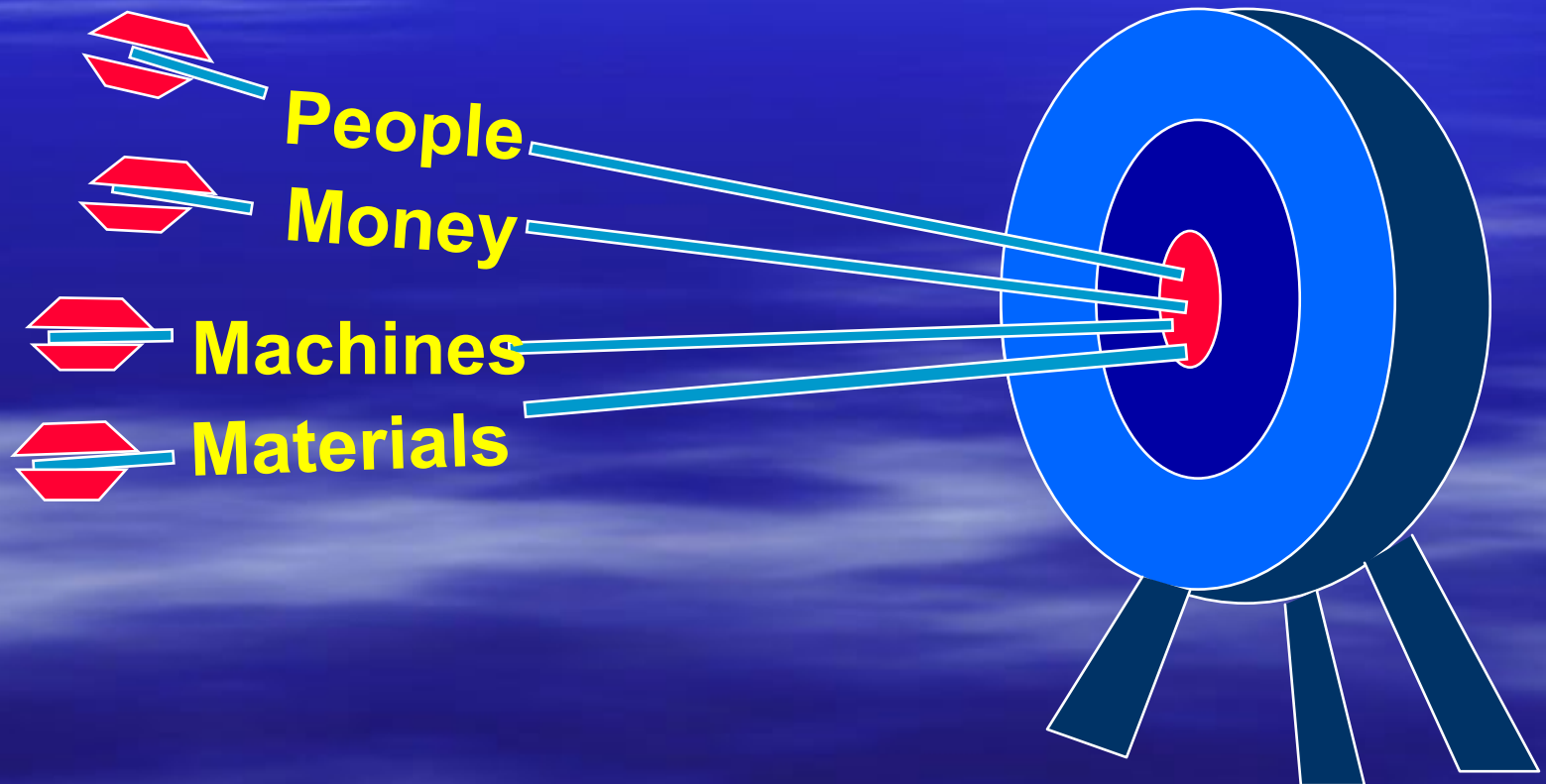
- ***Effectiveness:*** A measure of the appropriateness of the goals chosen (are these the right goals?), and the degree to which they are achieved.

“Doing the Right Things Right”

TWO PERFORMANCE DIMENSIONS

Efficiency=
making best use of
resources in achieving
goals

Effectiveness=
choosing effective
goals and achieving
them



Doing things right

Doing the right things

Course Structure

- Readings
- Lectures
- Assignments
- Exam

Recommended Books

- Organizational Behavior by Stephen P. Robbins
- Behavior in Organizations by J. Greenberg and R. A. Baron or
- Organizational Behavior by Fred Luthans or
- Understanding Organizational Behavior, by Debra L. Nelson and James Campbell Quick. Or
- Any other on this subject available in the market.

Coming back to
the subject.....
the OB

**What
Managers do?**

**Managers....Individuals
who achieves goals
through other people.**

What Managers Do

- Gets things done through other people
- Make decisions, allocate resources, and direct the activities of others to attain goals
- Do their work in an organization

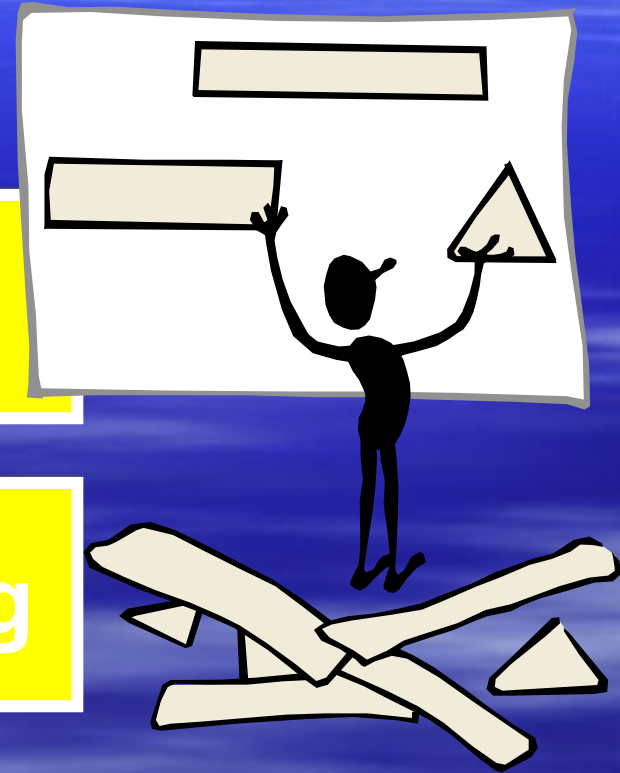
Four Management Functions

Planning

Leading

Organizing

Controlling



New Managerial Functions

To provide leadership and direction

**Total Quality
Management**

**Continuous
Improvement**

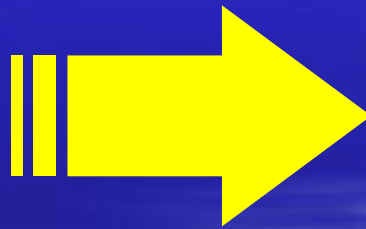
- **Total Quality Management**--a concept popularized by W. Edwards Deming to promote customer satisfaction through continuous improvement of business processes.
- **Continuous improvement** requires all employees to improve the quality of products or services on an on-going basis. Managing quality becomes everyone's job.

The 4-P Cycle of Continuous Improvement



Management Roles

- Set of expected behaviors associated with a manager
- Learned and developed
- Vary by level in the organization



Interpersonal Roles

- Figurehead
- Leader
- Liaison

Informational Roles

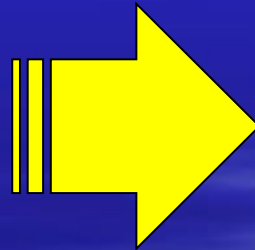
- Monitor
- Disseminator
- Spokesperson

Decisional Roles

- Entrepreneur
- Disturbance Handler
- Resource Allocator
- Negotiator

Managerial Skills

- **Ability or proficiency in performing particular tasks**
- **Learned and developed**
- **Vary by level in the organization**



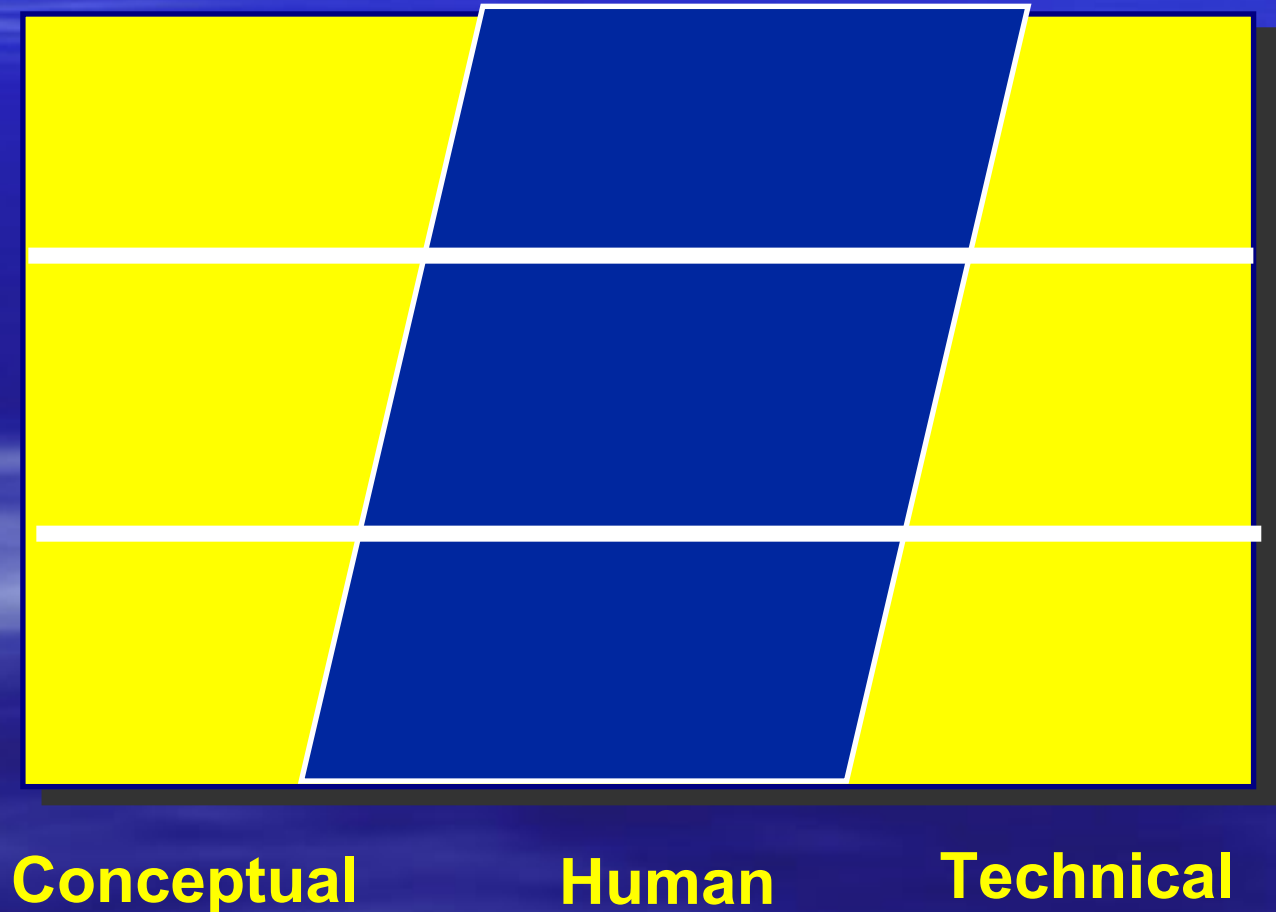
Technical Skills
Analytical Skills
Decision-making Skills
Computer Skills
Human Relations Skills
Communication Skills
Conceptual Skills

Skill Type Needed by Manager Level

**Top
Managers**

**Middle
Managers**

**Line
Managers**



Skills Exhibited by an Effective Manager

1. Clarifies goals and objectives for everyone involved
2. Encourages participation, upward communication, and suggestions
3. Plans and organizes for an orderly work flow
4. Has technical and administrative expertise to answer organization-related questions
5. Facilitates work through team building, training, coaching and support
6. Provides feedback honestly and constructively

7. Keeps things moving by relying on schedules, deadlines, and helpful reminders
8. Controls details without being over-bearing
9. Applies reasonable pressure for goal accomplishment
10. Empowers and delegates key duties to others while maintaining goal clarity and commitment
11. Recognizes good performance with rewards and positive reinforcement

Evolution of the 21st- Century Manager

Past Managers

- **Primary Role**

Today's Managers

Order giver, privileged elite, manipulator, controller

Facilitator, team member, teacher, advocate, sponsor

- **Learning & Knowledge**

Periodic learning, narrow specialist with multiple specialties

Continuous life-long learning, generalist

- **Compensation Criteria**

Time, effort, rank

Skills, results

- **Cultural Orientation**

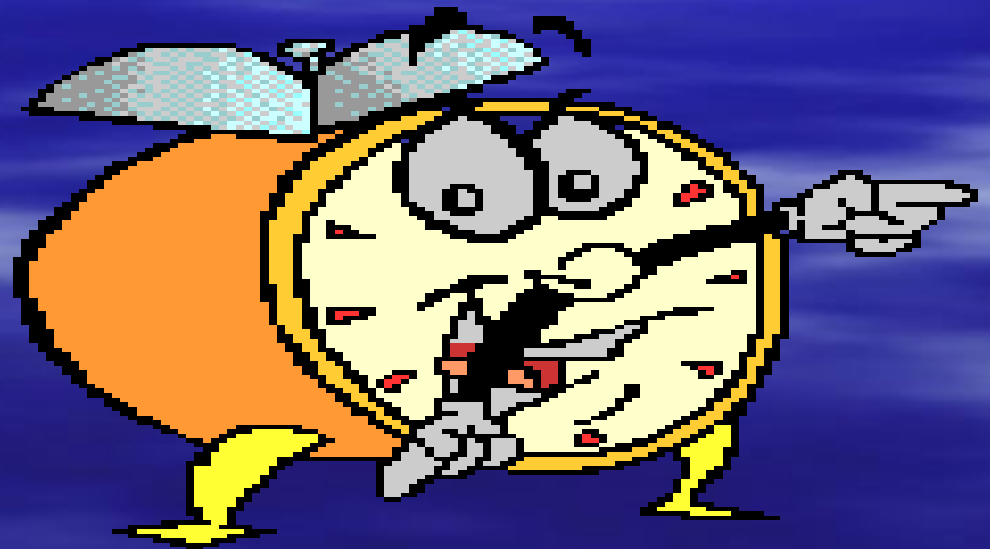
Monocultural, monolingual

Multicultural, multilingual

Where do managers work?

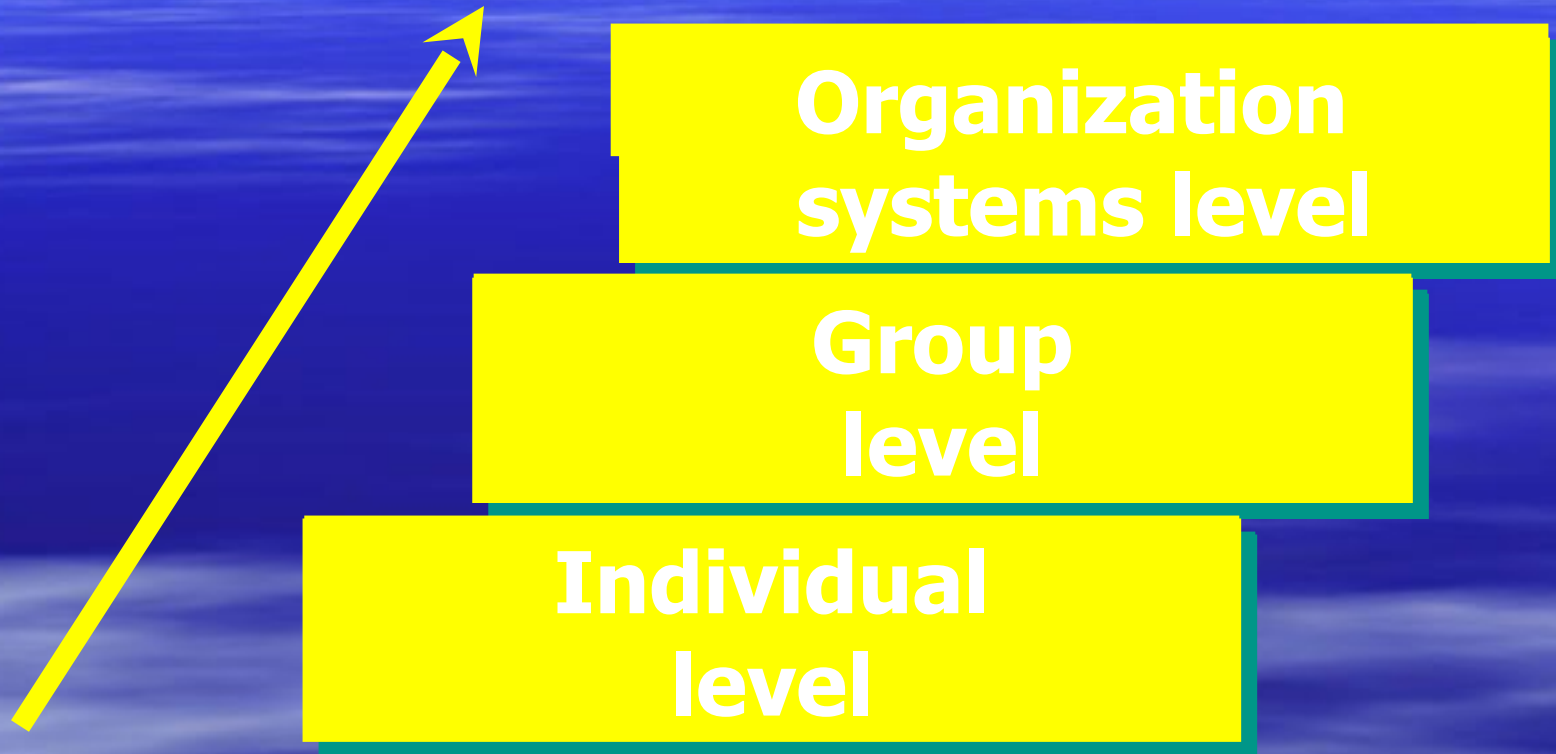
in organizations!

Let's stop
it here



Summary

Basic OB Model



What Managers Do?

- Gets things done through other people
- Make decisions, allocate resources, and direct the activities of others to attain goals
- Do their work in an organization

New Managerial Functions

To provide leadership and direction

**Total Quality
Management**

**Continuous
Improvement**

Evolution of the 21st- Century Manager

Next.....

Organizations: The Important Component

Organizational Behavior

(MGT-502)

Lecture-2

Past Managers

Today's Managers

Formal authority

Knowledge (technical interpersonal)

Potential problem

Primary resource

Vertical

Multidirectional

Limited input for individual decisions

Broad-based input for joint decisions

- Primary Source of Influence

- View of People

- Primary Communications Pattern

- Decision-Making Style

Past Managers

Today's Managers

- | | | |
|--|------------------------|-----------------------|
| ■ Nature of Inter-personal Relationships | Competitive (win-lose) | Cooperative (win-win) |
| ■ Handling of Power and Key Information | Hoard | Share |
| ■ Approach to Change | Resist | Facilitate |

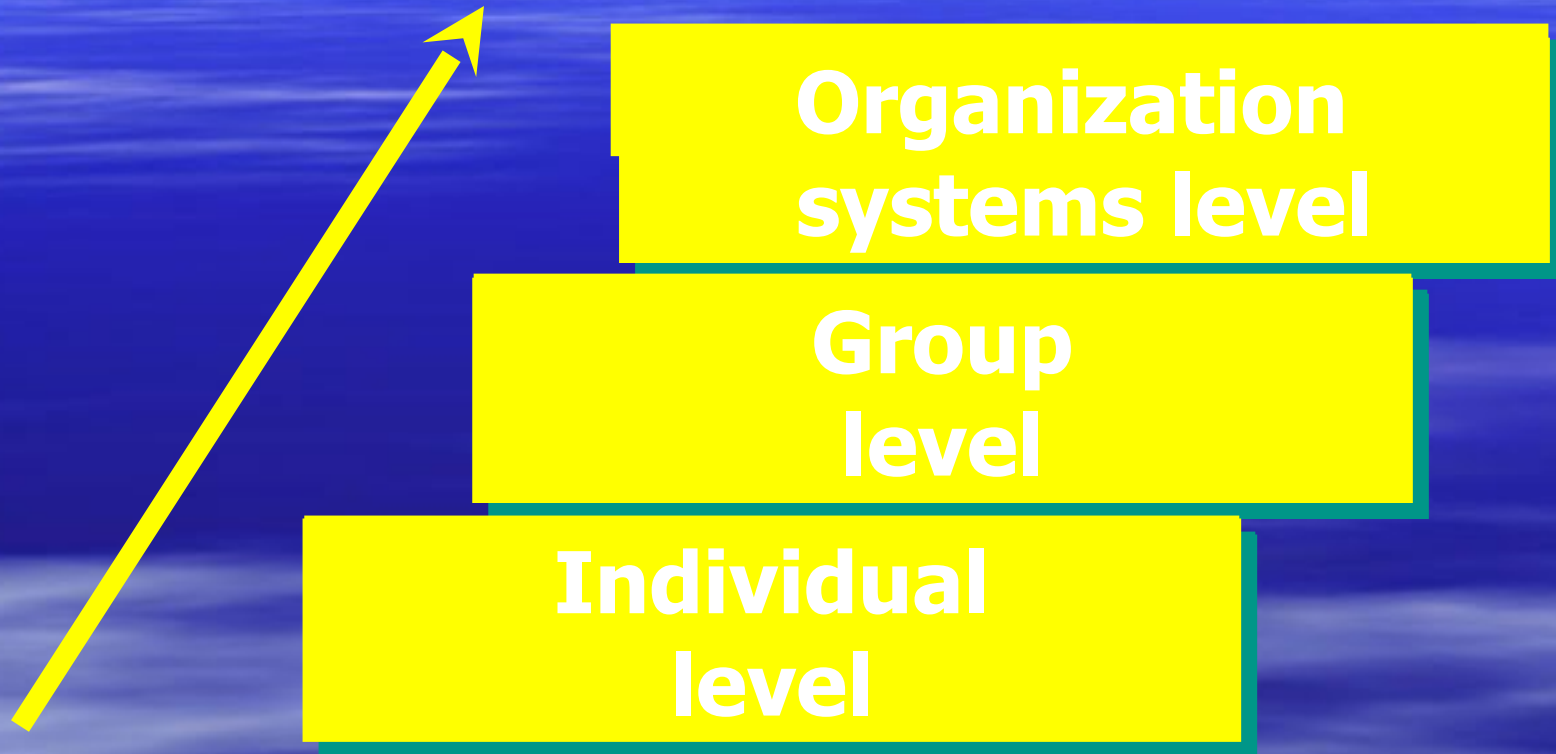
Organizational Behavior

(MGT-502)

Lecture-3

Summary of Lecture-2

Basic OB Model



What Managers Do?

- Gets things done through other people
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New Managerial Functions

To provide leadership and direction

**Total Quality
Management**

**Continuous
Improvement**

Today's Topics

Organizations: The Important Component

Where do managers work?

in organizations!

**What is an
Organization?**

A consciously coordinated social unit, composed of two or more people, that functions on a relatively continuous basis to achieve a common goal or set of goals.

What are organizations?

- Social entities
- Goal oriented
- Deliberately structured
- Linked to the external environment

Organization

A systematic arrangement of people to accomplish some specific purpose.

VU

Govt. Agencies

Glossary Store

Steel Mills

Hospitals

United Nations

Components of an Organization

Task - an organization's mission, purpose, or goal for existing

People - the human resources of the organization

Structure - the manner in which an organization's work is designed at the micro level; how departments, divisions, & the overall organization are designed at the macro level

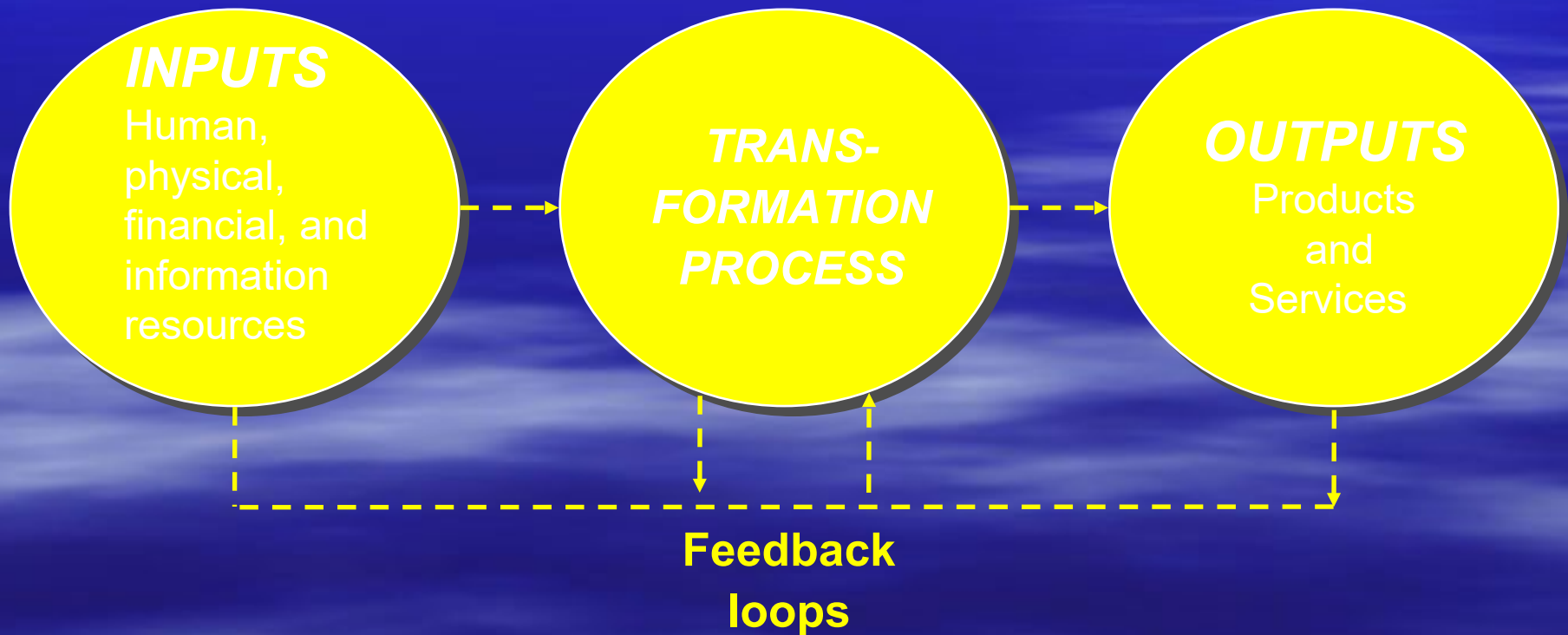
Technology - the intellectual and mechanical processes used by an organization to transform inputs into products or services that meet organizational goals

Formal vs Informal Organization

- **Formal Organization** - the part of the organization that has legitimacy and official recognition
- **Informal Organization** - the unofficial part of the organization

Basic Systems View of Organization

Environment



Organizations as Systems

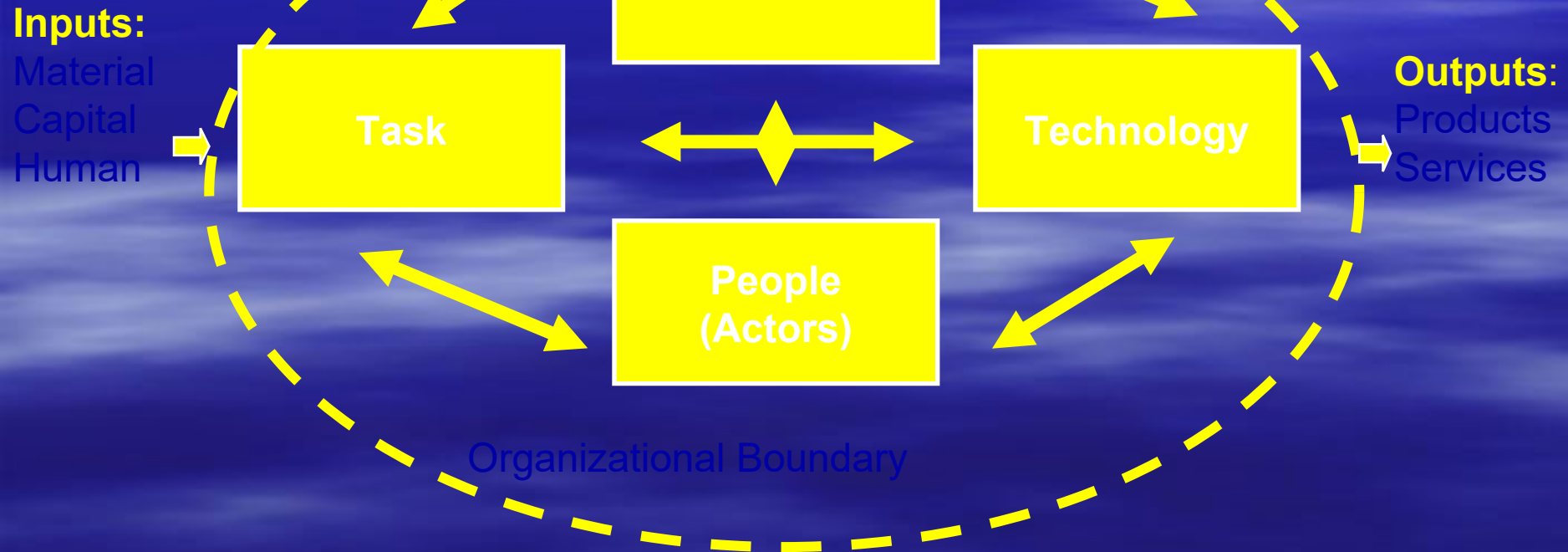
Task environment:

Competitors

Unions

Regulatory agencies

Clients



Why do we have Organizations?

They are more efficient
than individuals acting
independently

**How does an
Organization Create
Value?**

■ Organization's Inputs

- Raw material
- Capital
- HR
- Information & Knowledge



■ Organization's Conversion Process

- Machinery
- Computers
- Human Skills & Abilities



■ Organization's Environment

- Customers
- Shareholders
- Suppliers
- Distributors
- Competitors
- Government



■ Organization's Outputs

- Finished Goods
- Services
- Dividends
- Values for Stakeholders

Why do Organizations Exist?

- To increase specialization and division of labor
- Use large-scale technology
- Manage the external environment
- Economize on transaction costs
- Exert power and control

Organizational Stakeholders

■ Inside

- Shareholders
- Workforce

■ Outside

- Customers
- Suppliers
- Government
- General Public

Organizational Effectiveness

**Satisfying
Stakeholders Goals
and Interests**

How do Managers Measure Organizational Effectiveness?

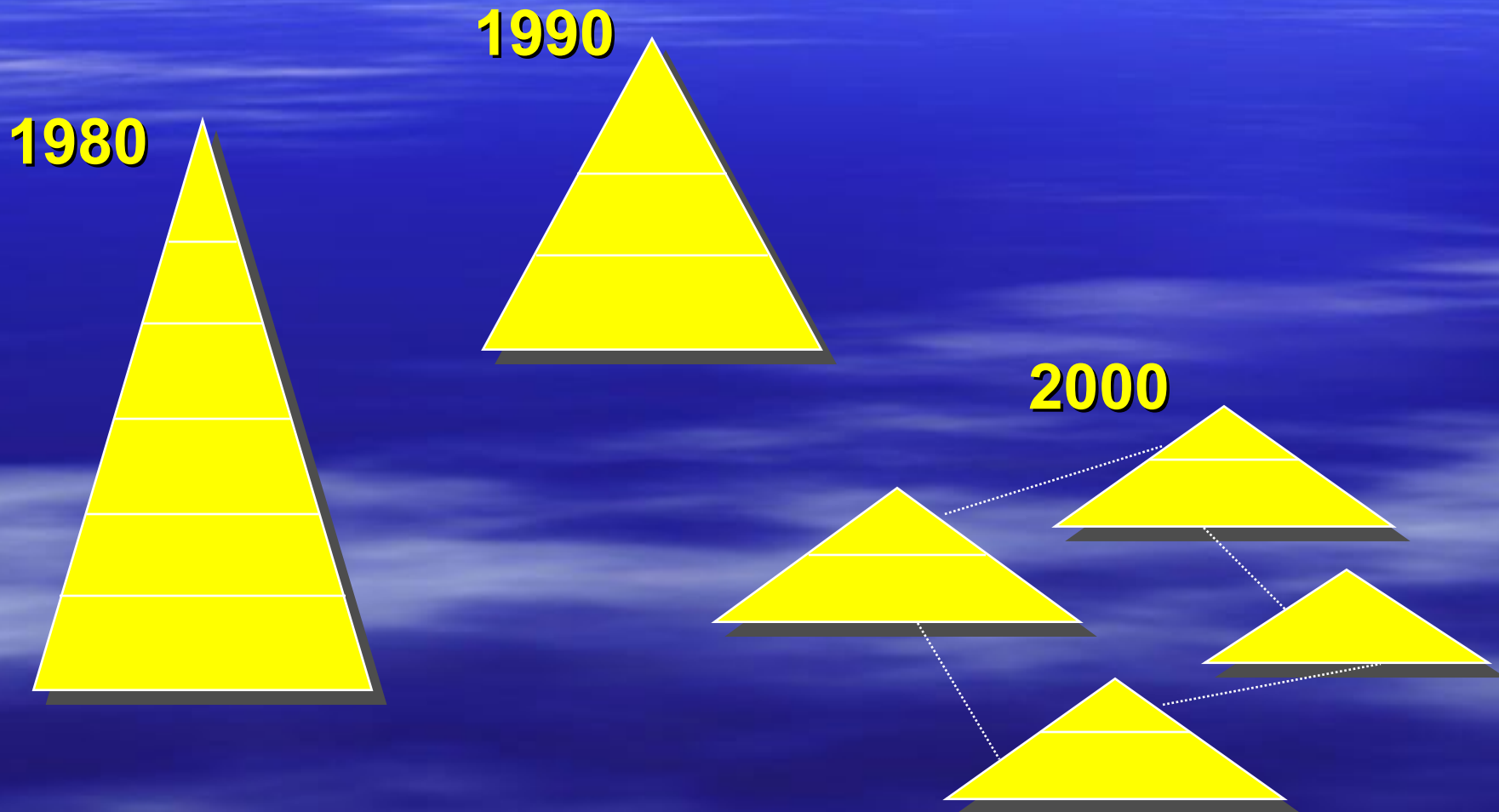
- The external resource approach----Control
 - Evaluates the ability to secure, manage, and control scarce and valued skills and resources
 - Low costs of inputs
 - Obtain high-quality inputs of raw material and employees
 - Increase market share
- The internal system approach----Innovation
 - Evaluates the organization's ability to innovate and function quickly and responsively
 - Cut decision making time
 - Increase rate of product innovation
 - Increase coordination and motivation of employees
 - Reduce conflict
 - Reduce time to market

- Technical approach----Efficiency
 - Evaluates the organization's ability to convert skills and resources into goods and services efficiency
 - Increase product quality
 - Reduce number of defects
 - Reduce production costs
 - Improve customer service
 - Reduce delivery time to customers

Factors Affecting Organizations

- Organizational Environment
- Technological Environment
- Organizational Process

The Evolving Structure of Organizations



Watchwords for Organizations in These Changing Times

Change

Challenge

Change

- Too much change = chaos
- Too little change = stagnation

How do you view change?



Threat



Opportunity

Challenges for Today's Organizations

**Globalization
and Culture**

**High Quality
and Low Cost**

**Multiple
Stakeholders**

**Rapid Pace
of Change**

The Response of Organizations

Globalization and
Cultural Issues

Going Global and
Promoting Diversity

Rapid Pace
of Change

Restructuring

Demand for Quality
and Low Cost

Entrepreneurship and
Intrapreneurship

Multiple
Stakeholders

High-Technology

The Response of Managers

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graph TD; Title[The Response of Managers] --- C1[Globalization and Cultural Issues]; Title --- C2[Work With Others and Manage Diversity]; C1 --- C3[Rapid Pace of Change]; C1 --- C4[Demand for Quality and Low Cost]; C1 --- C5[Multiple Stakeholders]; C2 --- C6[Identify and Harness Opportunities]; C2 --- C7[Be Flexible, Learn Fast, and Think Creatively]; C2 --- C8[Adopt a Broad, Big-Picture View];
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**Globalization and
Cultural Issues**

**Work With Others
and Manage Diversity**

**Rapid Pace
of Change**

**Identify and Harness
Opportunities**

**Demand for Quality
and Low Cost**

**Be Flexible, Learn Fast,
and Think Creatively**

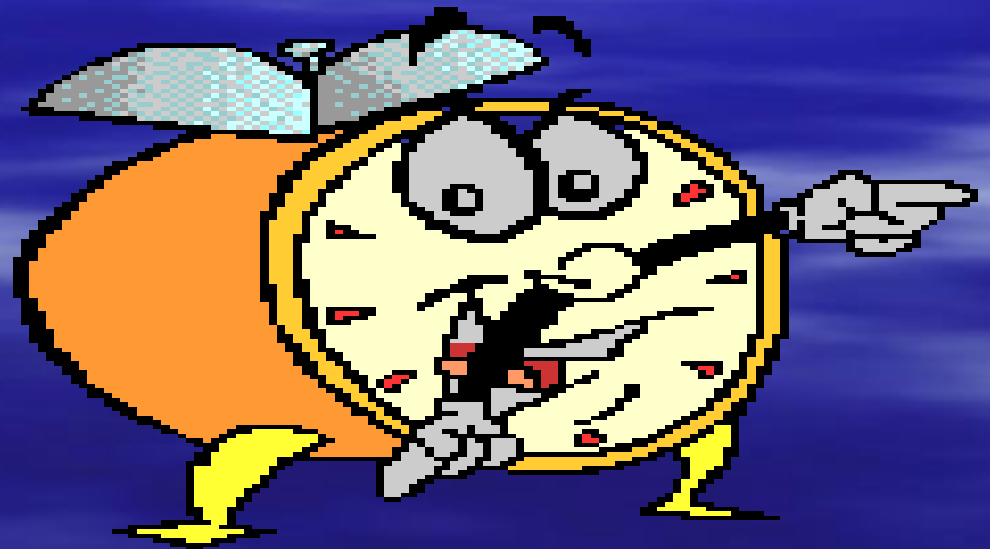
**Multiple
Stakeholders**

**Adopt a Broad,
Big-Picture View**

Management and Myths

What Managers *can* do and
what Managers *can't* do
when managing people,
organizations and society.

Let's stop
it here



Summary

Organization

A systematic arrangement of people to accomplish some specific purpose.

VU

Govt. Agencies

Glossary Store

Steel Mills

Hospitals

United Nations

Organizations as Systems

Task environment:

Competitors

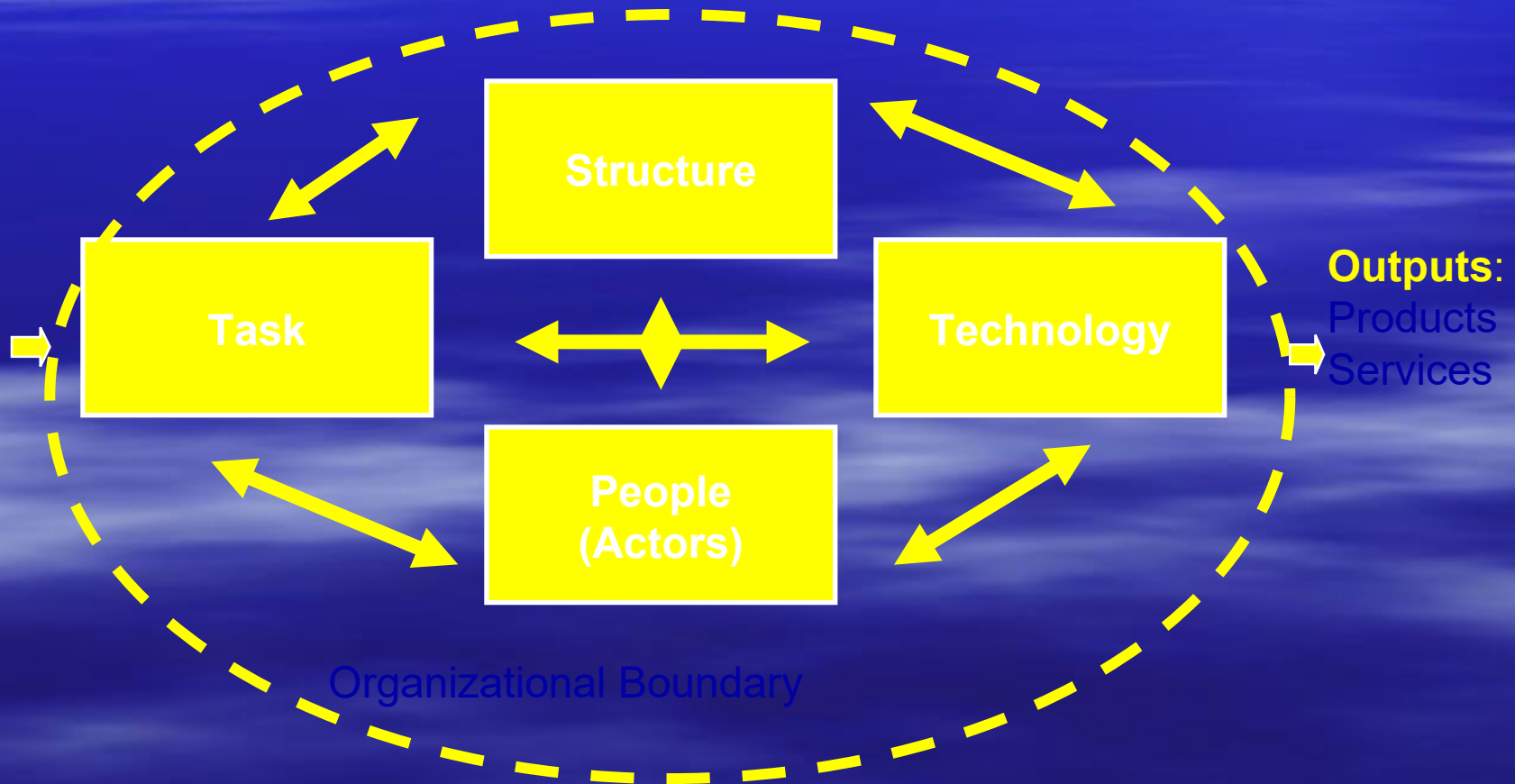
Unions

Regulatory agencies

Clients

Inputs:

Material
Capital
Human



**How does an
Organization Create
Value?**

Management and Myths

What Managers *can* do and
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when managing people,
organizations and society.

Next.....

Understanding the Basics of Human Behavior

Organizational Behavior

(MGT-502)

Lecture-3

Organizational Behavior

(MGT-502)

Lecture-4



Summary of Lecture-3

Organization

A systematic arrangement of people to accomplish some specific purpose.

VU

Govt. Agencies

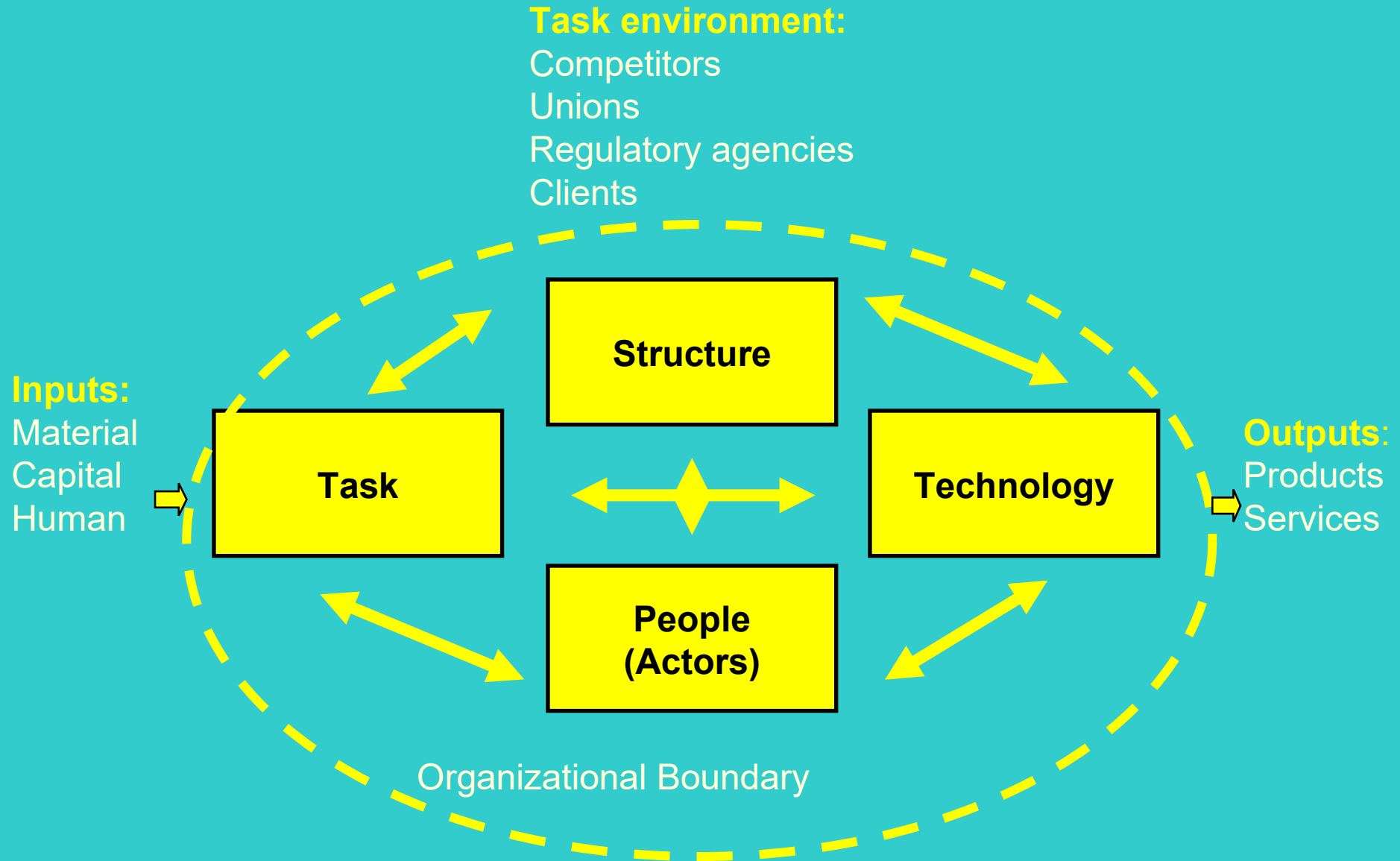
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Organizations as Systems



**How does an
Organization Create
Value?**

Management and Myths

What Managers *can* do and
what Managers *can't* do
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organizations and society.

Today's Topics

Managerial Perspectives on Organizational Behavior

Organizational behavior is not a designated function or area. Rather, it is a perspective or set of tools that all managers can use to carry out their jobs more effectively.



A Knowledge of Organizational Behavior Helps Managers:

Better Understand
the Behavior of
Those Around Them



Better Interact with
Colleagues, Peers,
and Co-Workers

Better Understand
the Basic Issues of
Leadership

Better Interact with
Suppliers,
Customers, and
Competitors

Understanding Work Behavior



Manager's Role Includes:

- ① Observing and recognizing the differences
- ② Studying relationships between variables that influence individual behavior
- ③ Discovering and predicting relationships

Part-I The Individual

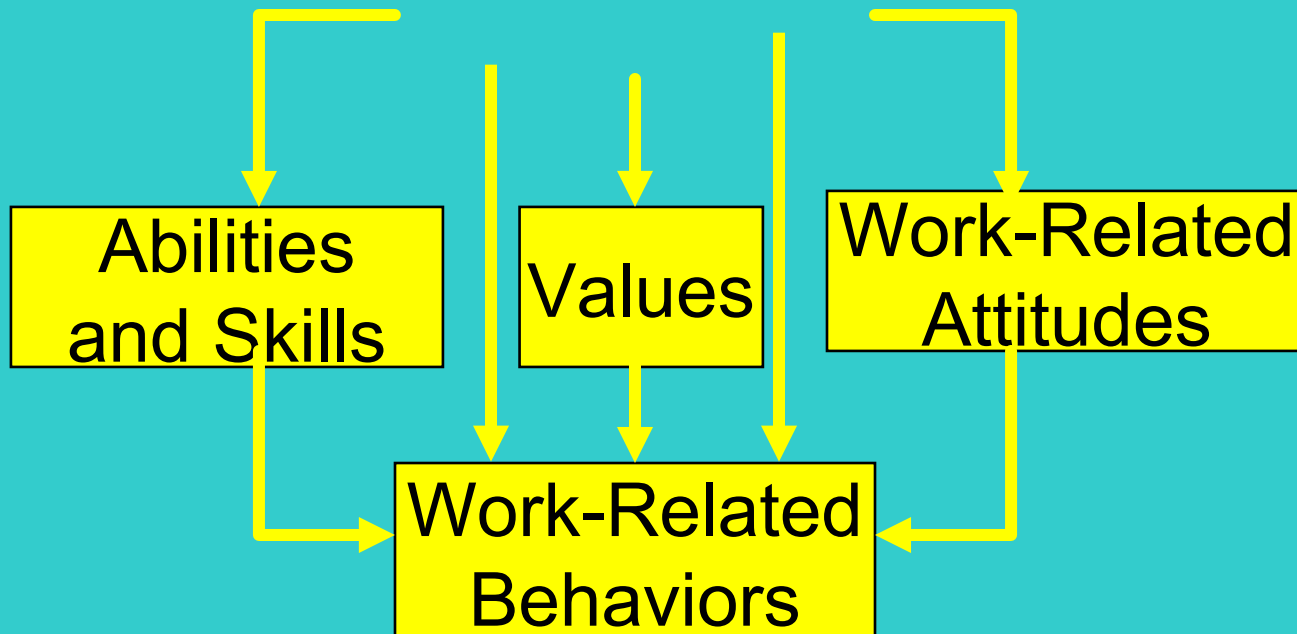
- Ability & Learning
- Values, Attitudes and Job Satisfaction
- Personality & Emotions
- Perception & Individual Decision Making
- Basic Motivation Concepts
- Motivation and its Applications

Understanding the Basics of Human Behavior

Heredity

Individual
Differences
Framework

Environment



Demographic Factors

Demographic factors include a number of individual differences that influence behavioral choices

Nationality

Race

Age



Socioeconomic
Background

Gender

Educational
Attainment

Biographical Characteristics

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graph TD; A[Biographical Characteristics] --> B[Age]; A --> C[Gender]; B --> D[Tenure]; C --> E[Marital Status]
```

Age

Gender

Tenure

**Marital
Status**

Variables Influencing Individual Behavior

The Person

- Skills & abilities
 - Personality
- Perceptions
 - Attitudes
 - Values
 - Ethics

The Environment

- Organization
 - Work group
 - Job
- Personal life

Behavior
 $B = f(P, E)$

Individual Differences

To Understand Individual
Differences a Manager Must

**Observe and
recognize the
differences**

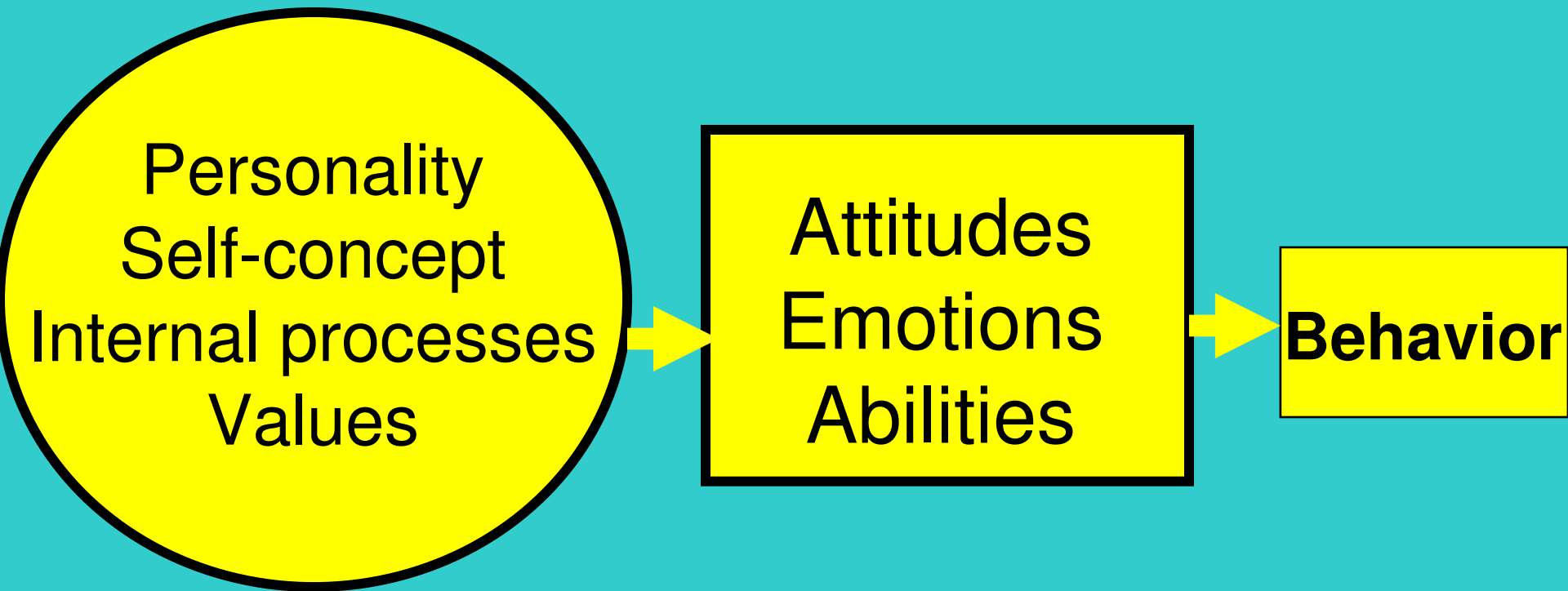
**Study relationships
between variables
that influence
individual
behavior**

**Discover
relationships**

**Why focus on
individuals?**

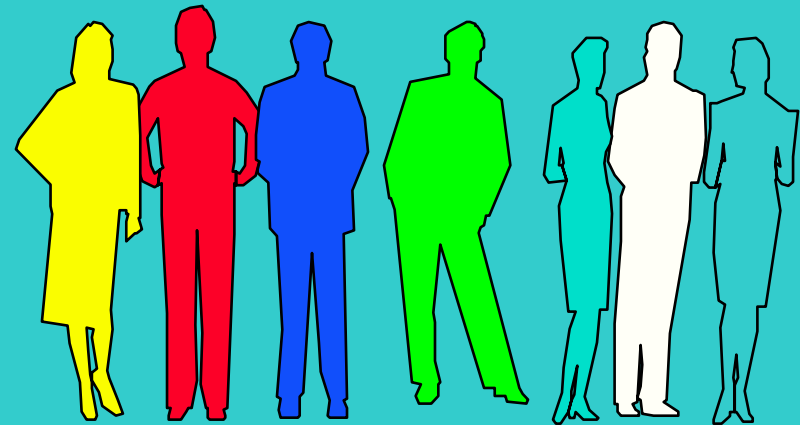
A lot of athletes say they want to be part of a cohesive team—but they also want their name printed on the back of their jerseys in 6-inch-high block letters.

-S.P.Robbins



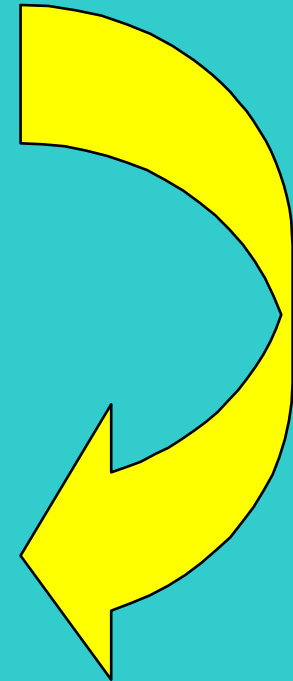
Individual Differences

- **Individual Differences**
 - Personal attributes that vary from one person to another.
 - Individual differences include personality, attitudes, perception, and creativity.



Model of Organizational Behavior

- Independent variables
 - Individual
 - Group
 - Organizational
- Dependent variables
 - Attitudinal
 - Performance-related



Productivity

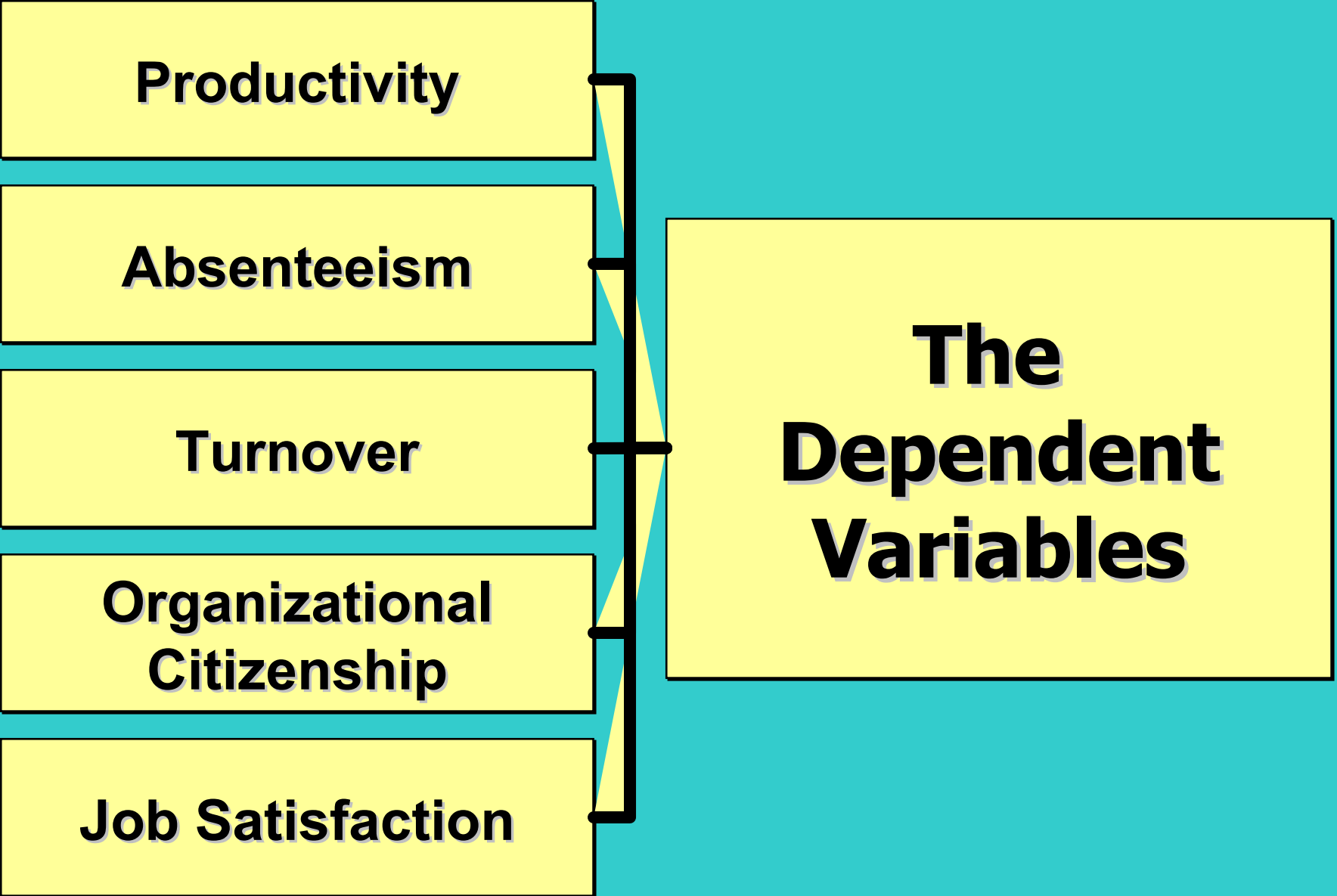
Absenteeism

Turnover

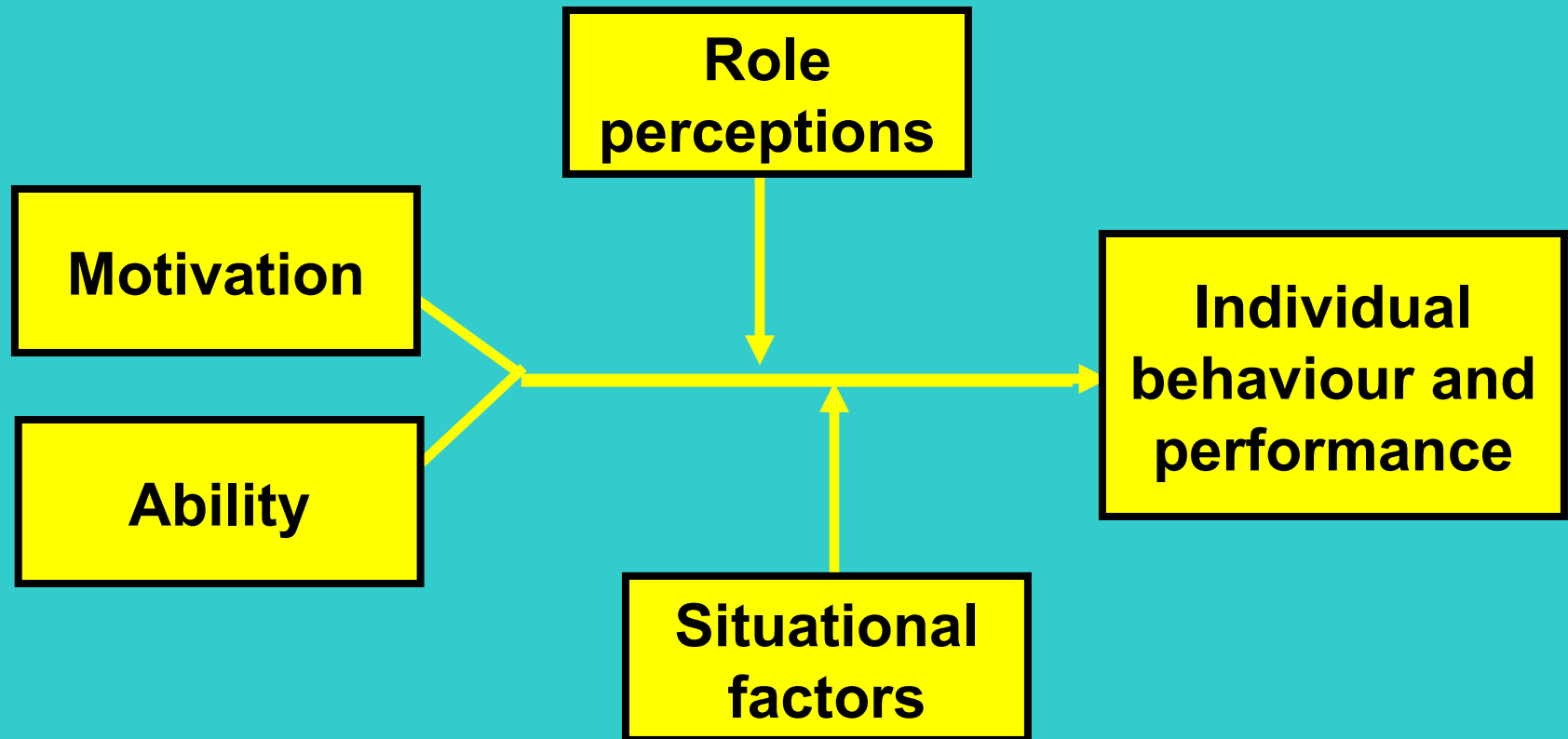
**Organizational
Citizenship**

Job Satisfaction

The Dependent Variables



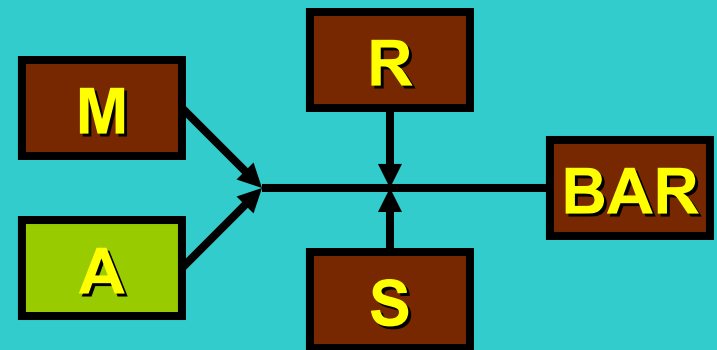
MARS model of behaviour and performance



Employee ability

Natural aptitudes and learned capabilities required to successfully complete a task

- competencies – personal characteristics that lead to superior performance
- person – job matching
 - select qualified people
 - develop employee abilities through training
 - redesign job to fit person's existing abilities



Employee role perceptions

Beliefs about what behaviour is required to achieve the desired results:

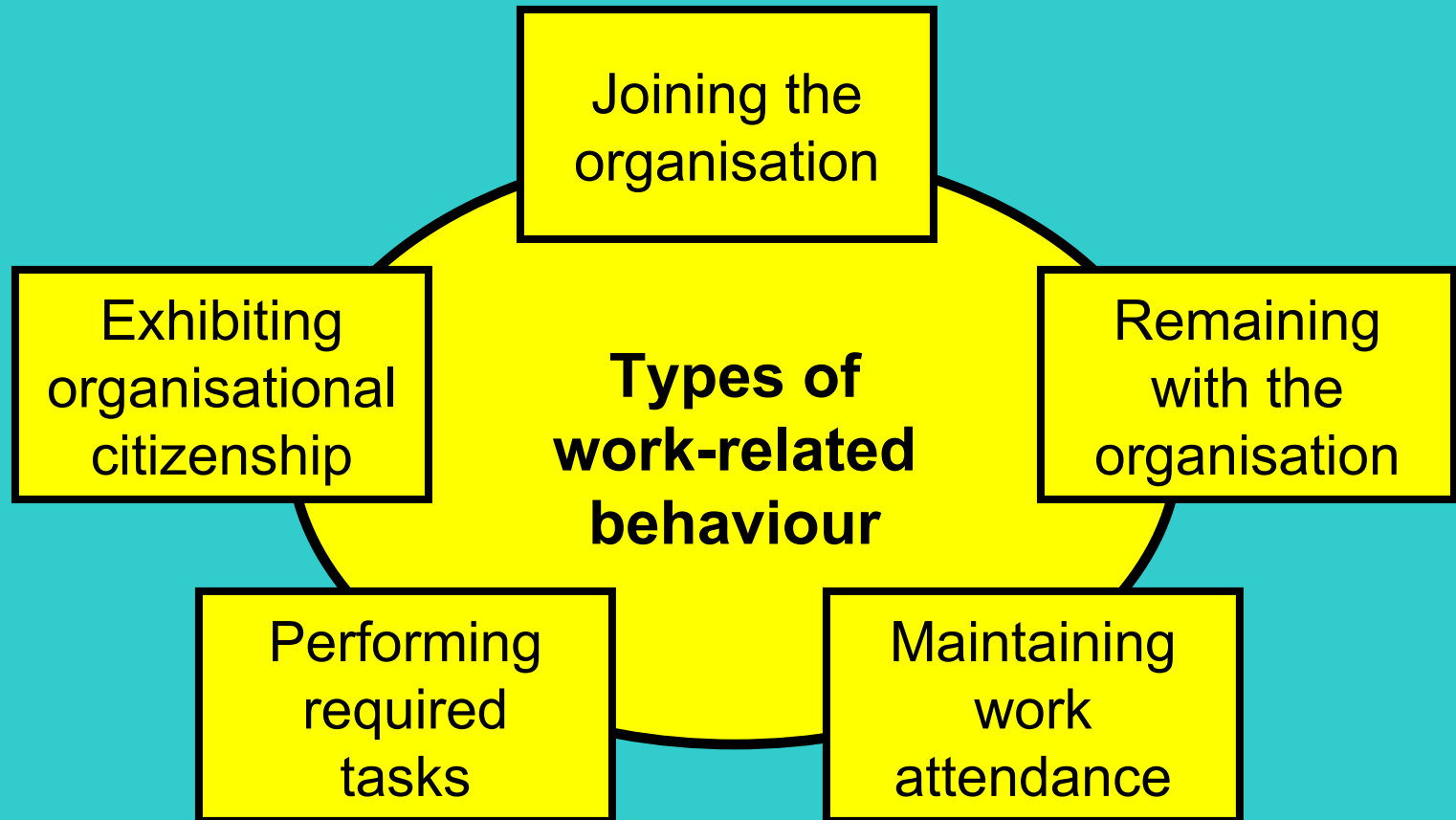
- understanding what tasks to perform
- understanding relative importance of tasks
- understanding preferred behaviours to accomplish tasks

Situational factors

Environmental conditions beyond the individual's short-term control that constrain or facilitate behaviour

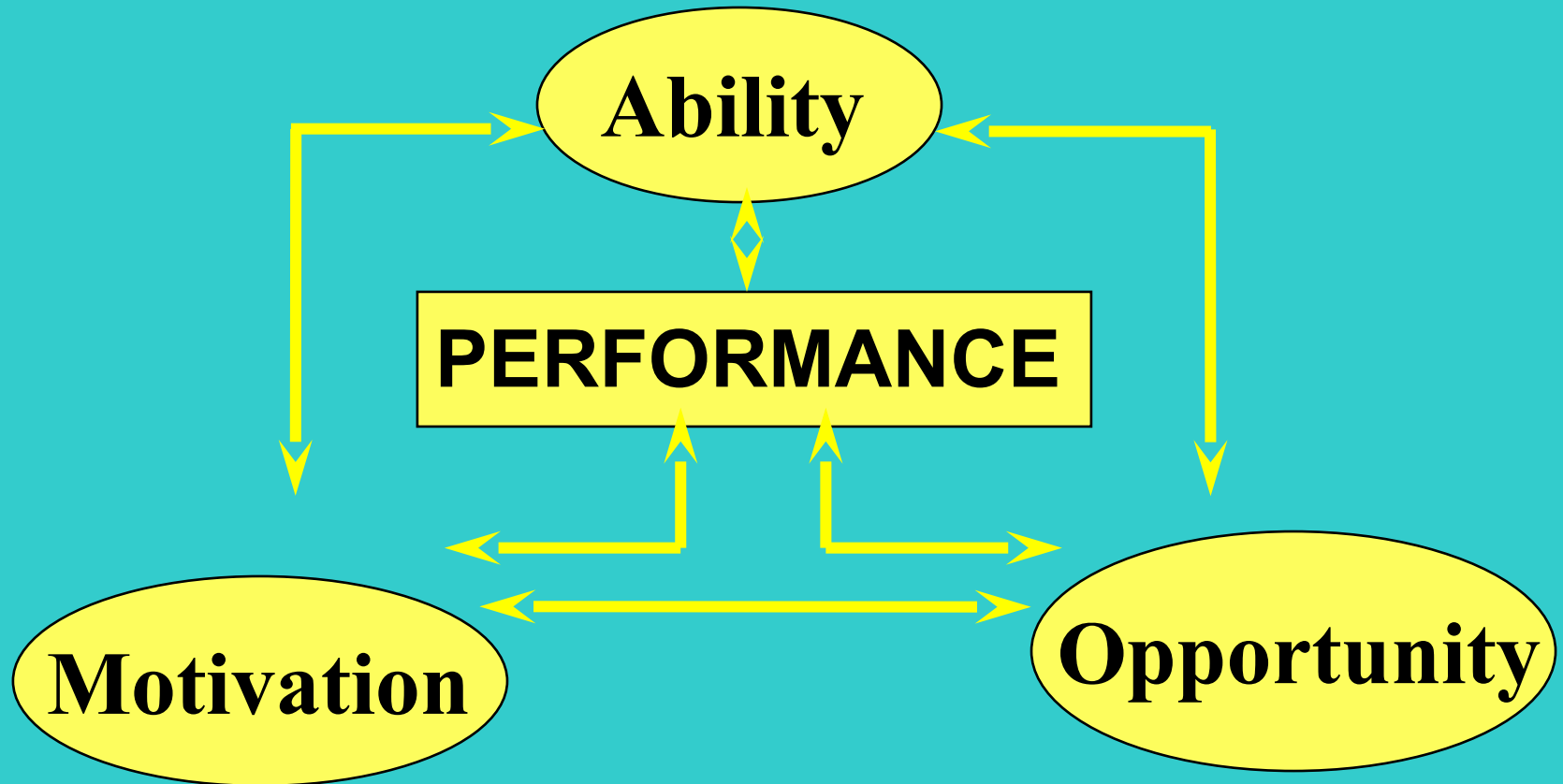
- time
- people
- budget
- work facilities

Types of work-related behaviour



Performance

Why Do We Care?



Performance =
 $f(\text{Ability}, \text{Motivation}, \text{Opportunity})$

The Psychological Contract

Contributions from the Individual

- Effort
- Ability
- Loyalty
- Skills
- Time
- Competencies



Inducements from the Organization

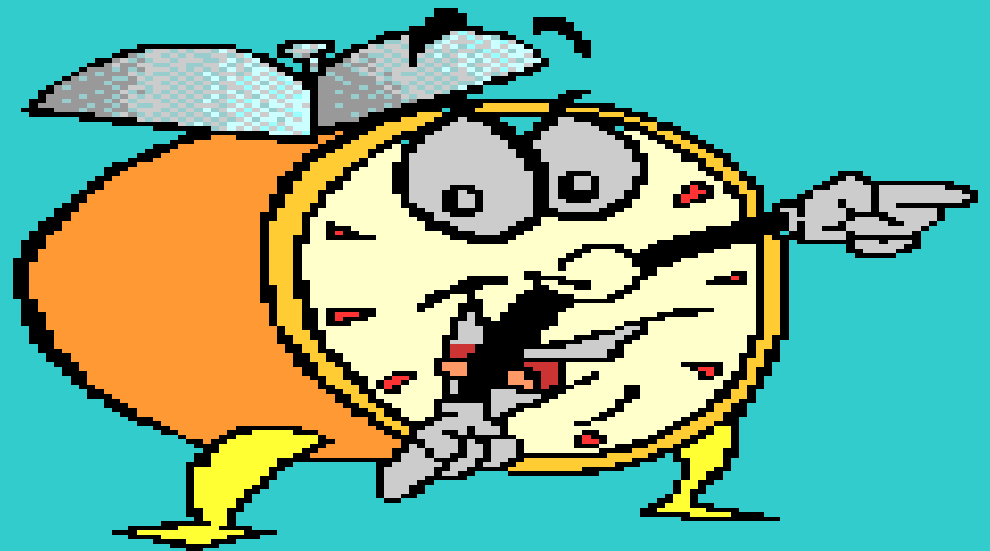
- Pay
- Job Security
- Benefits
- Career Opportunities
- Status
- Promotion Opportunities

The Person-Job Fit

- Person-Job Fit
 - The extent to which the contributions made by the individual match the inducements offered by the organization.



Let's stop
it here



Summary

Understanding the Basics of Human Behavior

Variables Influencing Individual Behavior

The Person

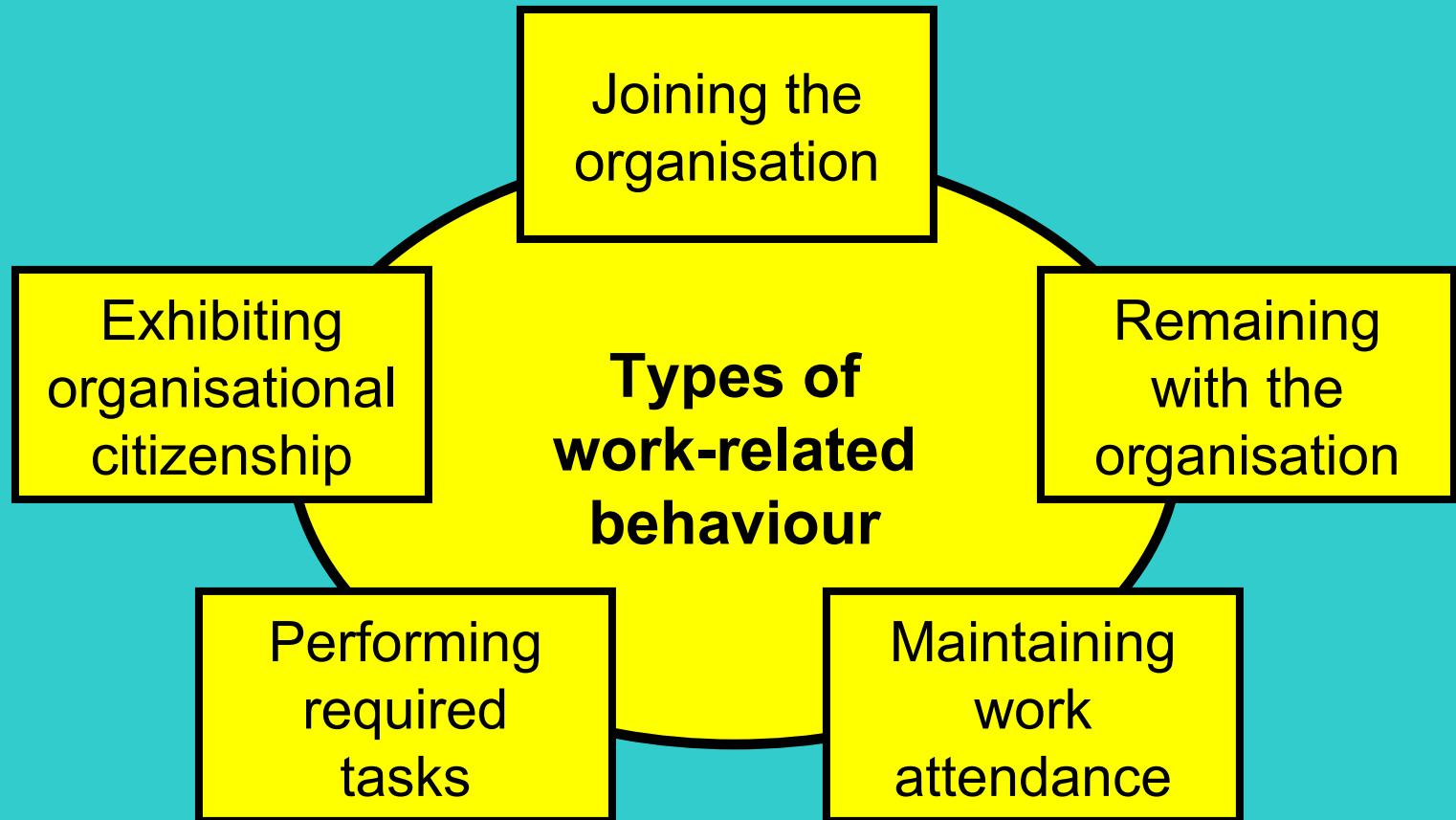
- Skills & abilities
 - Personality
- Perceptions
 - Attitudes
 - Values
 - Ethics

The Environment

- Organization
 - Work group
 - Job
- Personal life

Behavior
 $B = f(P, E)$

Types of work-related behaviour



Next....

Challenges to Organizations

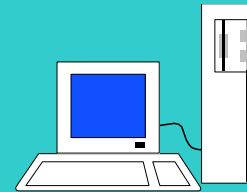
Globalization



Diversity



Technology



Ethics



Organizational Behavior

(MGT-502)

Lecture-4

Organizational Behavior

(MGT-502)

Lecture-5



Summary of Lecture-4

Understanding the Basics of Human Behavior

Variables Influencing Individual Behavior

The Person

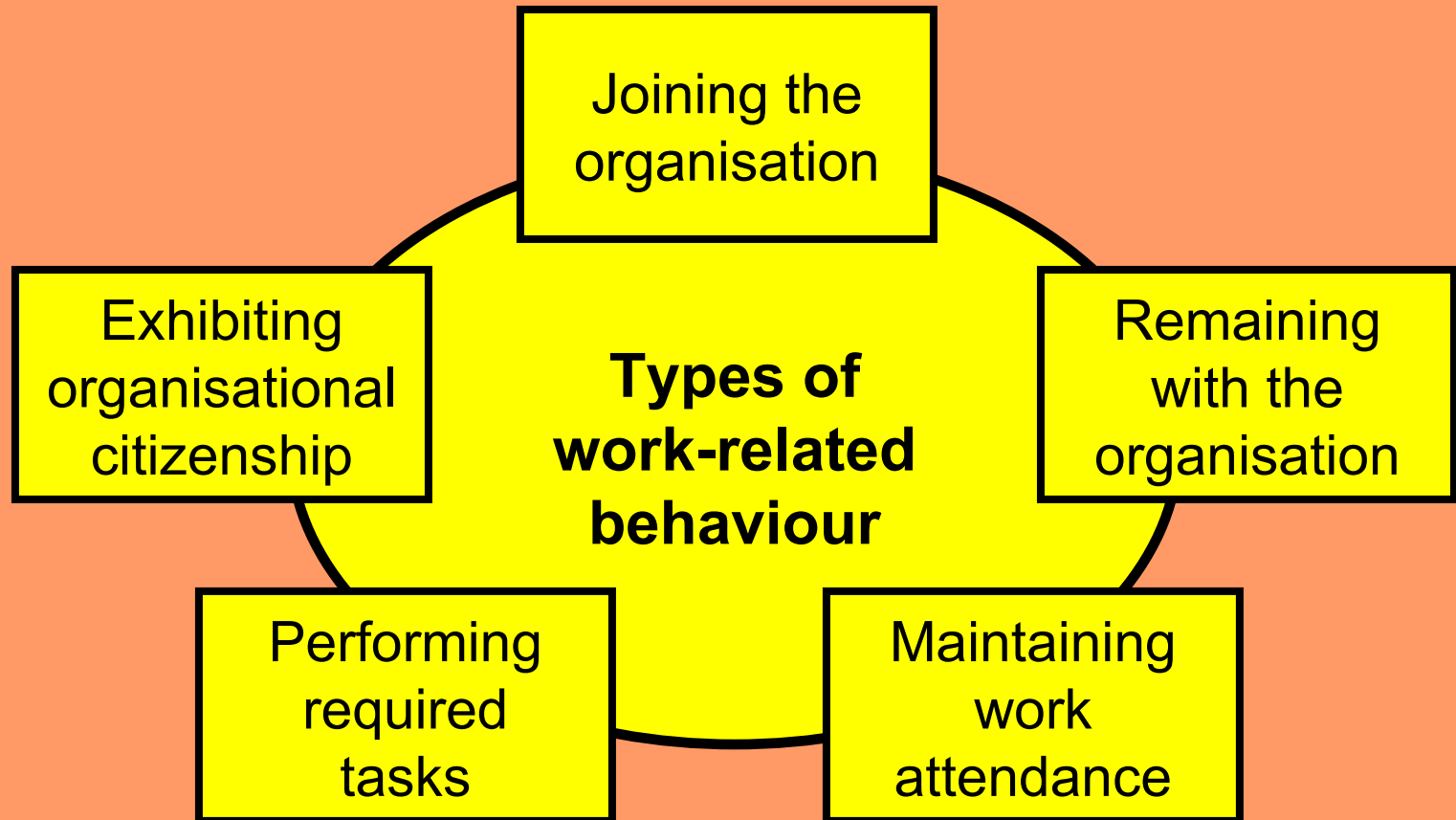
- Skills & abilities
 - Personality
 - Perceptions
 - Attitudes
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 - Ethics

The Environment

- Organization
 - Work group
 - Job
- Personal life

Behavior
 $B = f(P, E)$

Types of work-related behaviour



Today's Topics

Challenges to Organizations

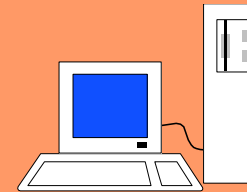
Globalization



Diversity



Technology



Ethics



Globalization



Implications of globalization



- New organizational structures
- Different forms of communication
- More competition, change, mergers, downsizing, stress
- Need more sensitivity to cultural differences

Diversity

- Increasing Diversity in today's organizations
 - Changing workforce demographics
 - Competitive pressures
 - Rapid growth in International business

Diversity

- More women in workforce and professions
- Diversity has advantages, but firms need to adjust through:
 - cultural awareness
 - family-friendly
 - empowerment

Technology

- The impact on work and jobs
- Flattening and downsizing of organizations
- Paperless organizations

Trends: Information Technology

- Affects how employees interact
 - Virtual teams
 - Telecommuting
- Affects how organizations are configured
 - Network structures -- alliance of several organizations

Ethics

- Moral principles/values --
determines whether actions are
right/wrong and outcomes are
good/bad

Ethical behavior.

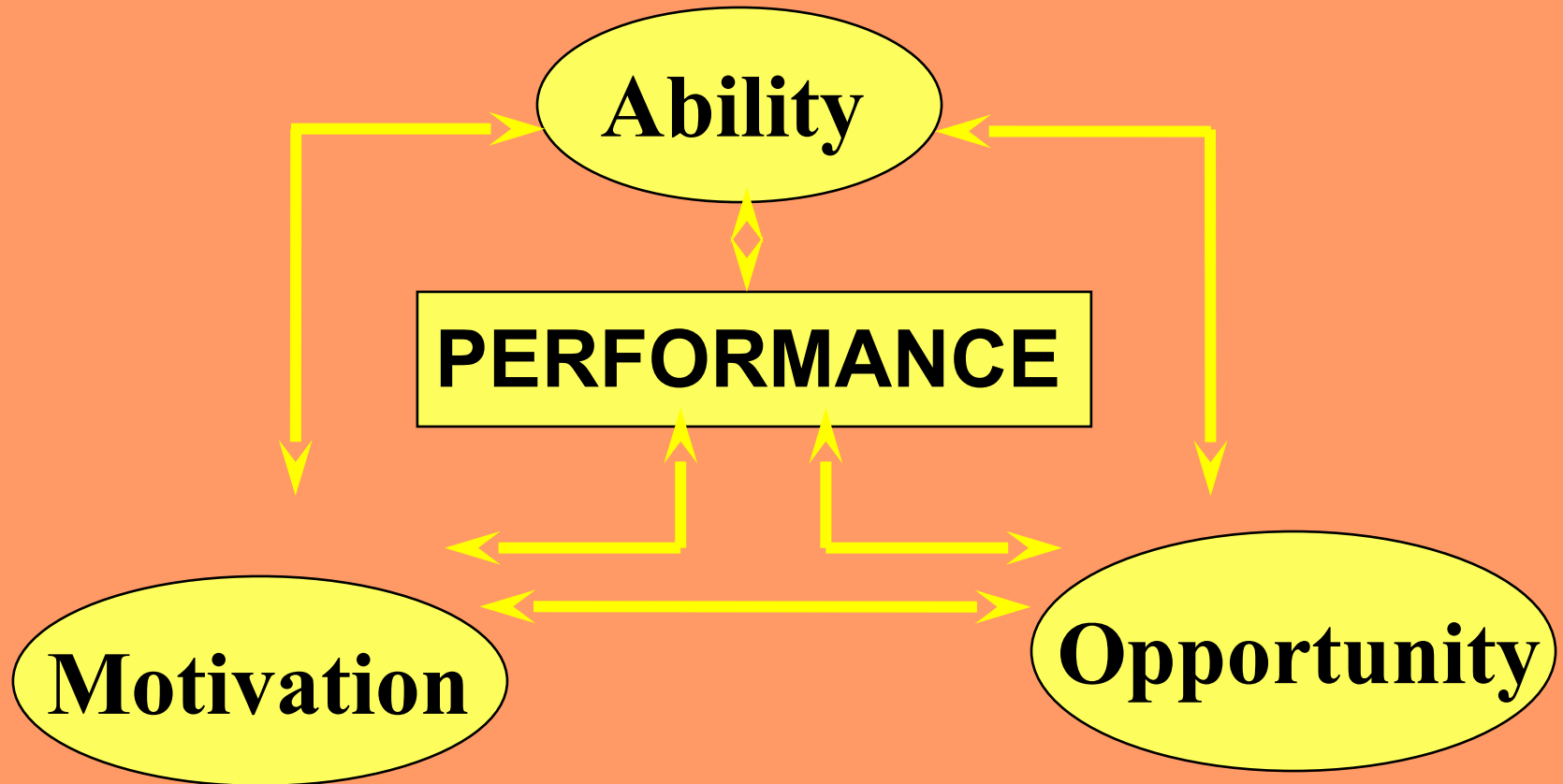
- “Good” and “right” as opposed to
“bad” or “wrong” in a particular setting.

- Ethical dilemmas occur in relationships with:
 - Superiors.
 - Subordinates.
 - Customers.
 - Competitors.
 - Suppliers.
 - Regulators.

- Organizational social responsibility.
 - The obligation of organizations to behave in ethical and moral ways as institutions of the broader society.
 - Managers should commit organizations to:
 - Pursuit of high productivity.
 - Corporate social responsibility.

Performance

Why Do We Care?



Performance =
f (Ability, Motivation, Opportunity)

Ability

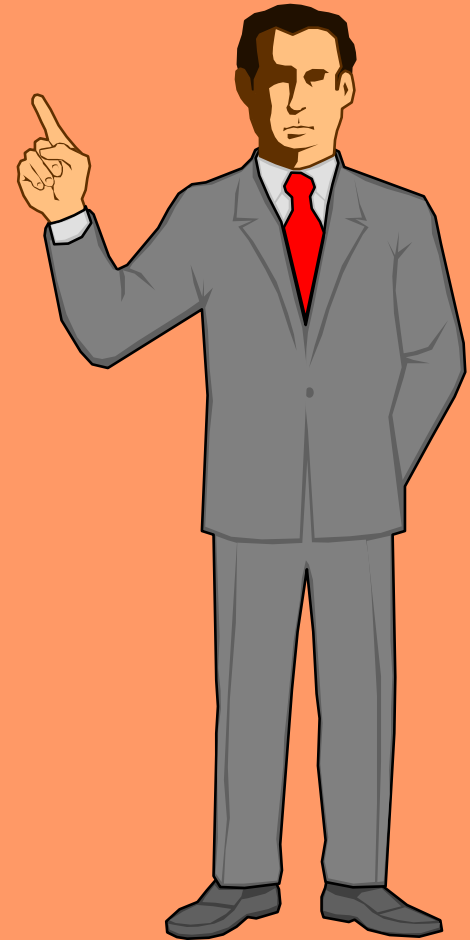
- Mental and physical capabilities to perform various tasks.

Intellectual Abilities

- The capacity to do mental activities

Intellectual Abilities

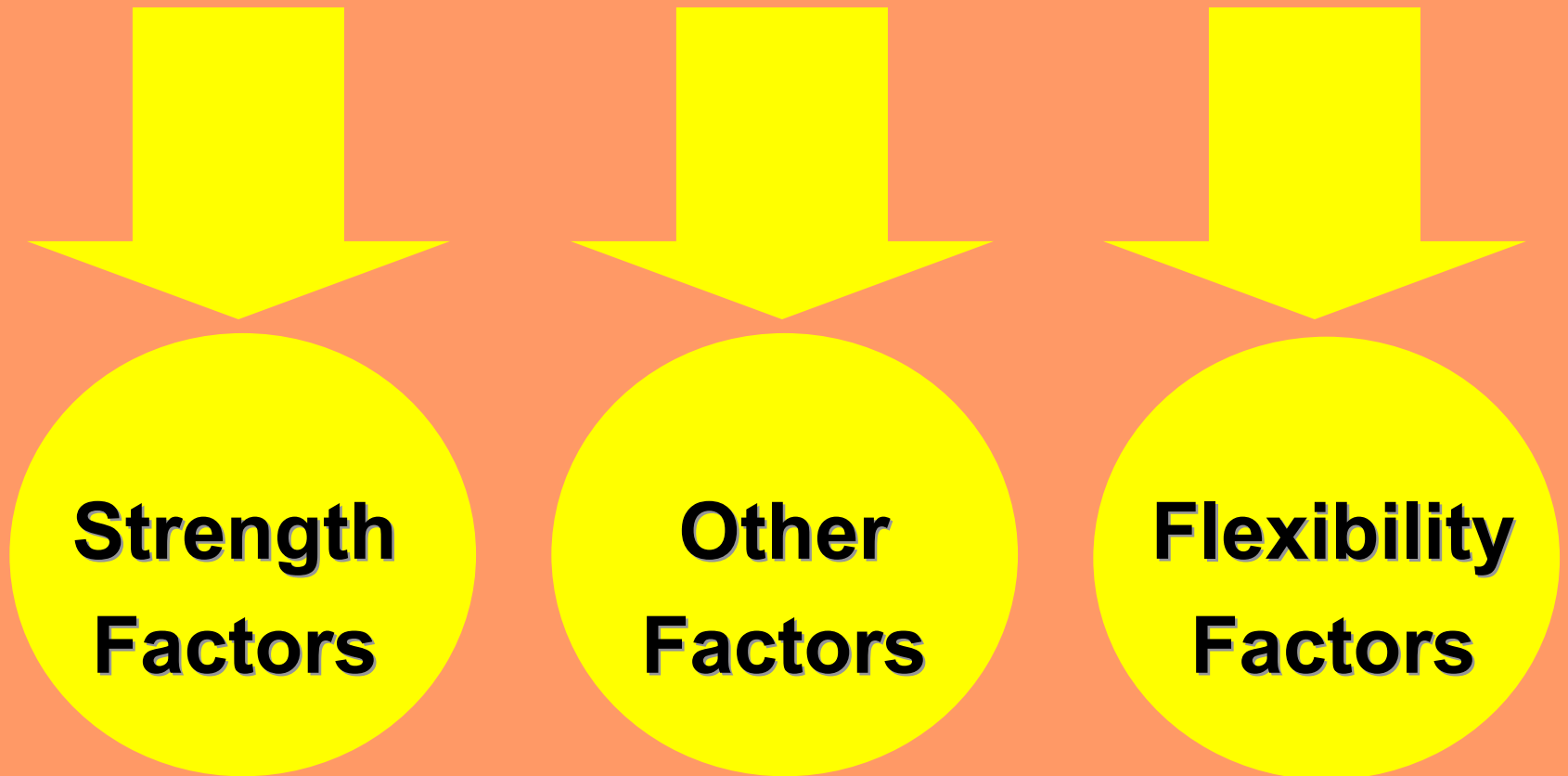
- Number aptitude
- Verbal comprehension
- Perceptual speed
- Inductive reasoning
- Deductive reasoning
- Spatial visualization
- Memory ability



Physical Ability

- The capacity to do tasks demanding stamina, strength and similar characteristics.

Basic Physical Abilities



Emotional Intelligence

Emotional Intelligence Involves:

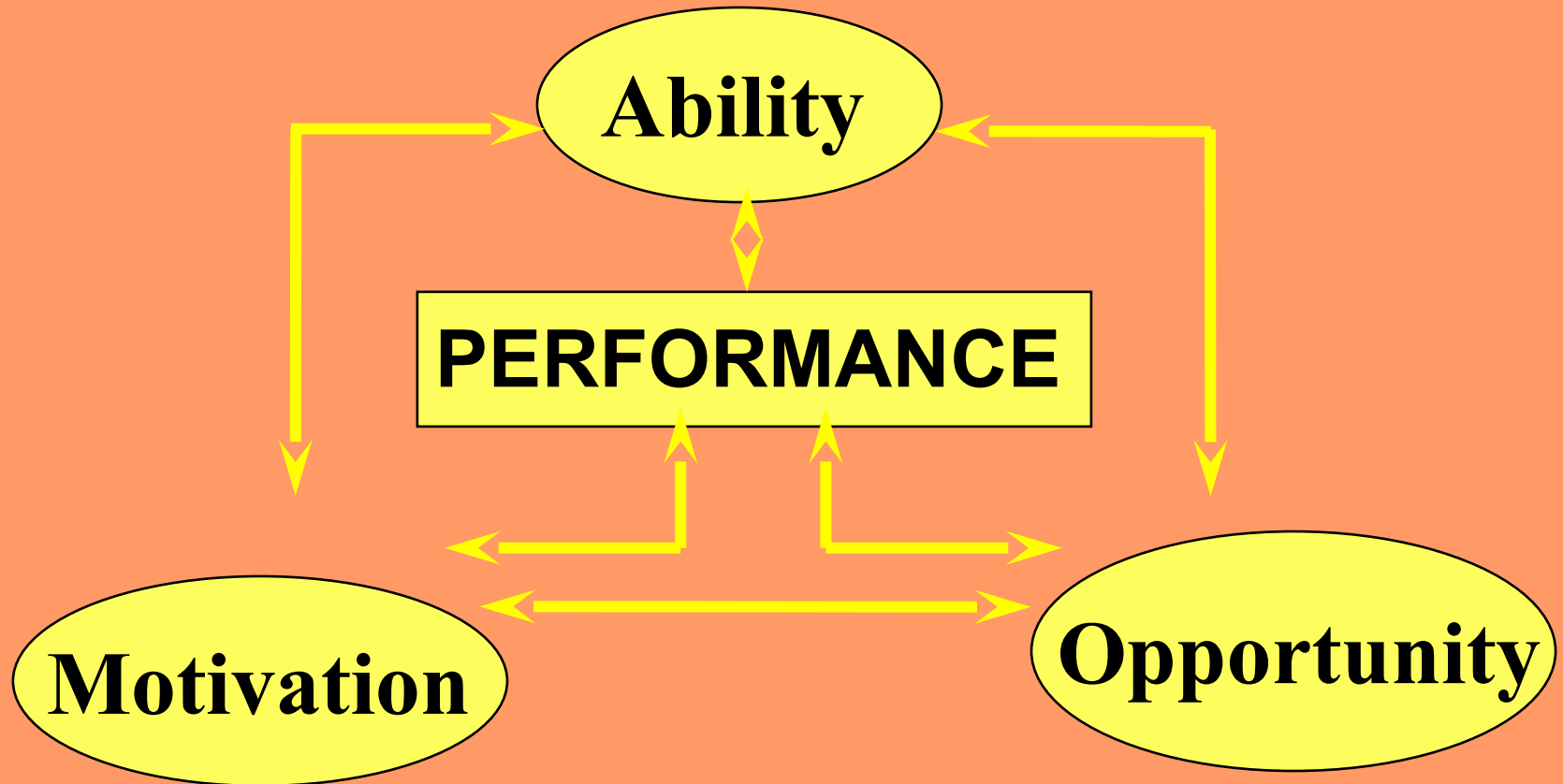
- The ability to understand individuals to act wisely in human relations
- EI abilities in five areas:
 - **Self-awareness**
 - **Managing emotions**
 - **Motivating oneself**
 - **Empathy**
 - **Handling relationships**

The Ability-Job Fit

- Abilities of the employee
- Requirements of the job



Why Do We Care?

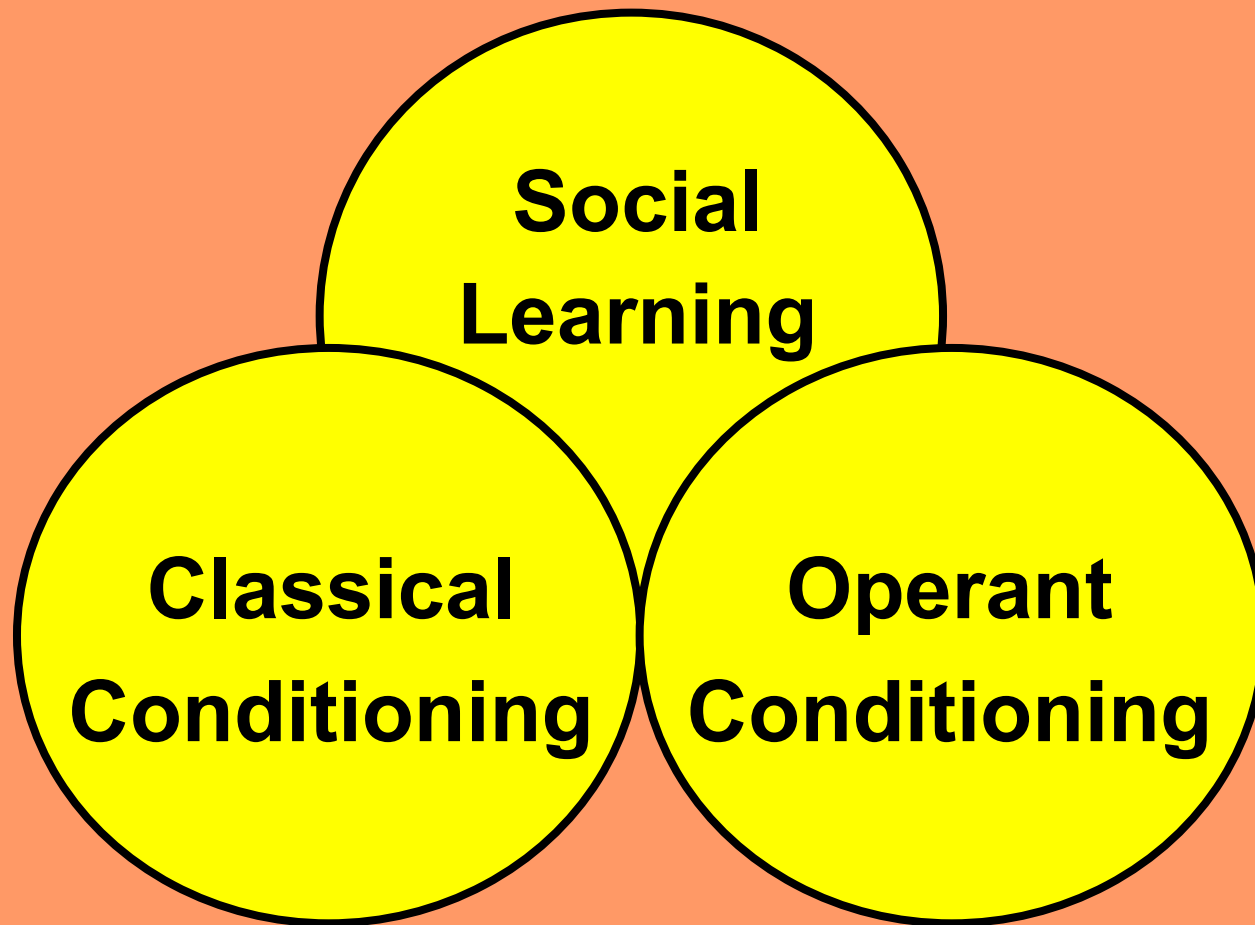


Performance =
 $f(\text{Ability}, \text{Motivation}, \text{Opportunity})$

Learning

- A relatively permanent change in the behavior occurring as a result of experience.

Learning Theories



Classical Conditioning

- In classical conditioning, an individual responds to some stimulus that would not ordinarily produce such a response.
- This theory grew out of Pavlov's experiments
- Classical conditioning is passive. Something happens, and we react in a specific way. As such, it can explain simple, reflexive behaviors.

Operant Conditioning

- In operant conditioning, desired voluntary behavior leads to a reward or stops a punishment. This theory argues that behavior is a function of consequences. Operant behavior is learned or voluntary, not reflexive or unlearned.
- Law of Effect, Reinforcement

**Positive
Reinforcement**

**Negative
Reinforcement**

**Methods of
Shaping Behavior**

Punishment

Extinction

Social Learning

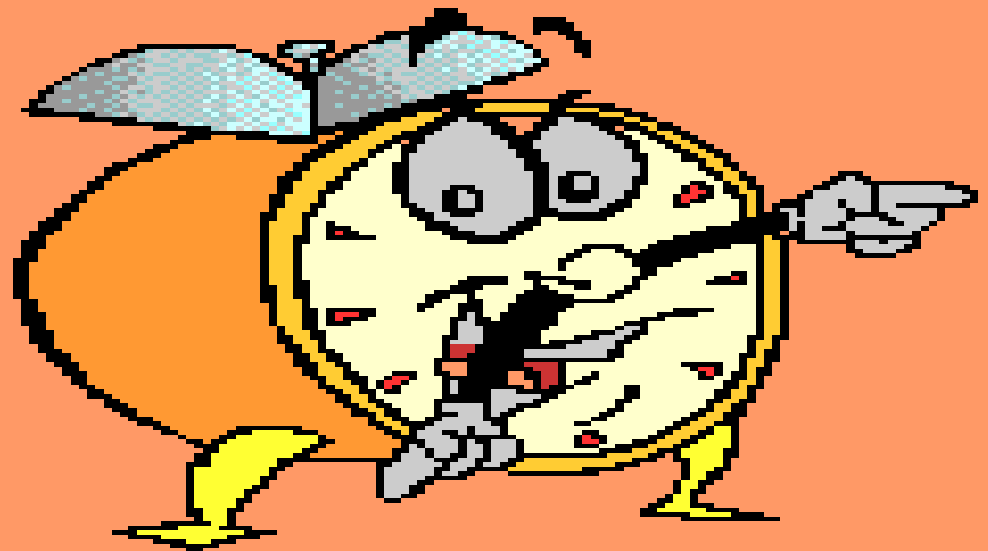
- People can learn through observation and direct experience.

Shaping Behavior: A Managerial Tool

Organizational Applications

- Well Pay versus Sick Pay
- Employee Discipline
- Developing Training Programs
- Mentoring Programs
- Self Management

Let's stop
it here



Summary

Challenges to Organizations

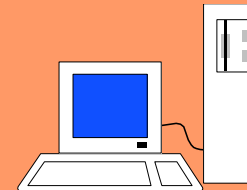
Globalization



Diversity



Technology



Ethics



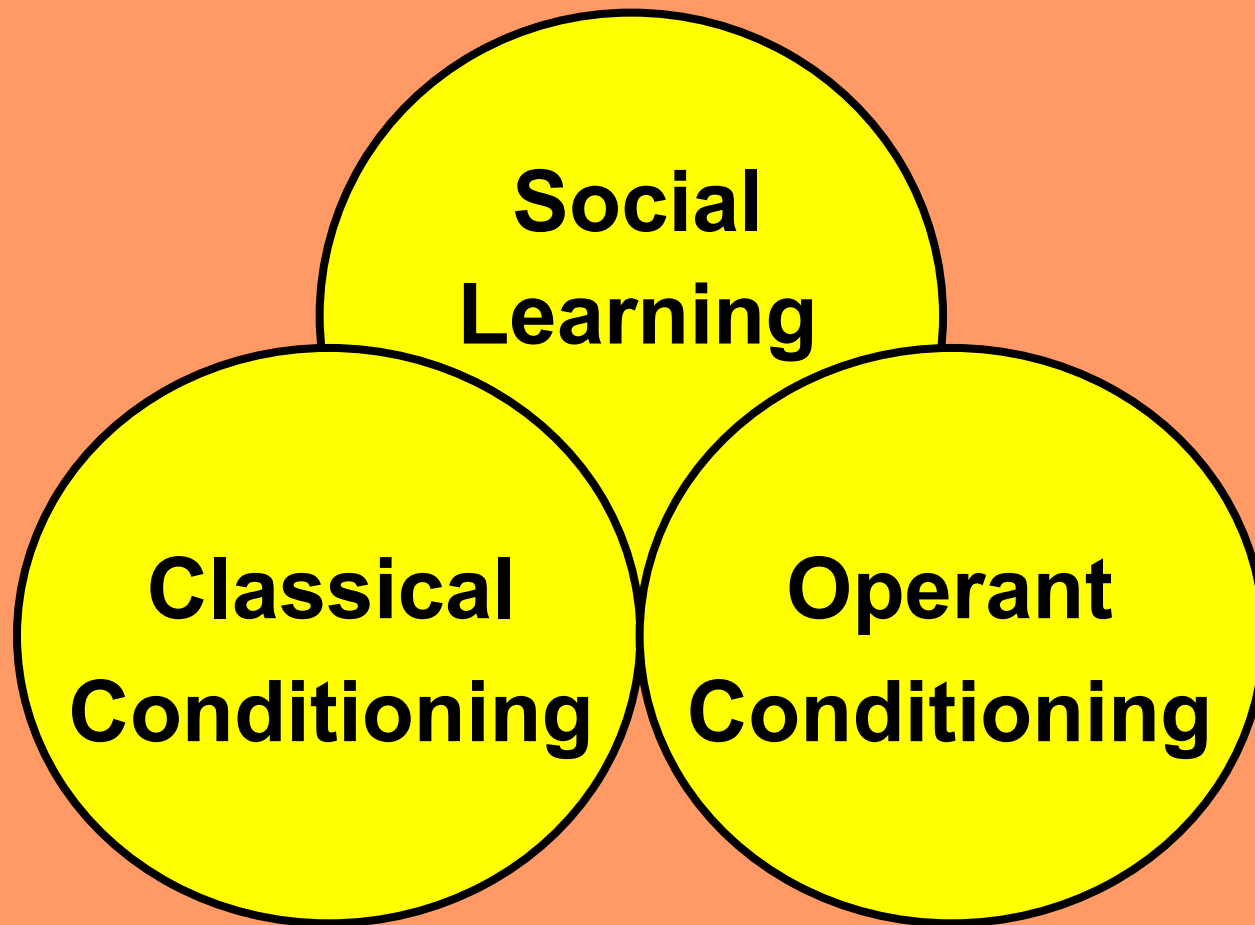
Ability

- Mental and physical capabilities to perform various tasks.

Learning

- A relatively permanent change in the behavior occurring as a result of experience.

Learning Theories



Next....

- **Values**

- **Attitudes**

Organizational Behavior

(MGT-502)

Lecture-5

Organizational Behavior

(MGT-502)

Lecture-6

Summary of Lecture-5

Challenges to Organizations

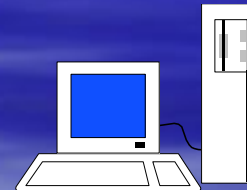
Globalization



Diversity



Technology



Ethics



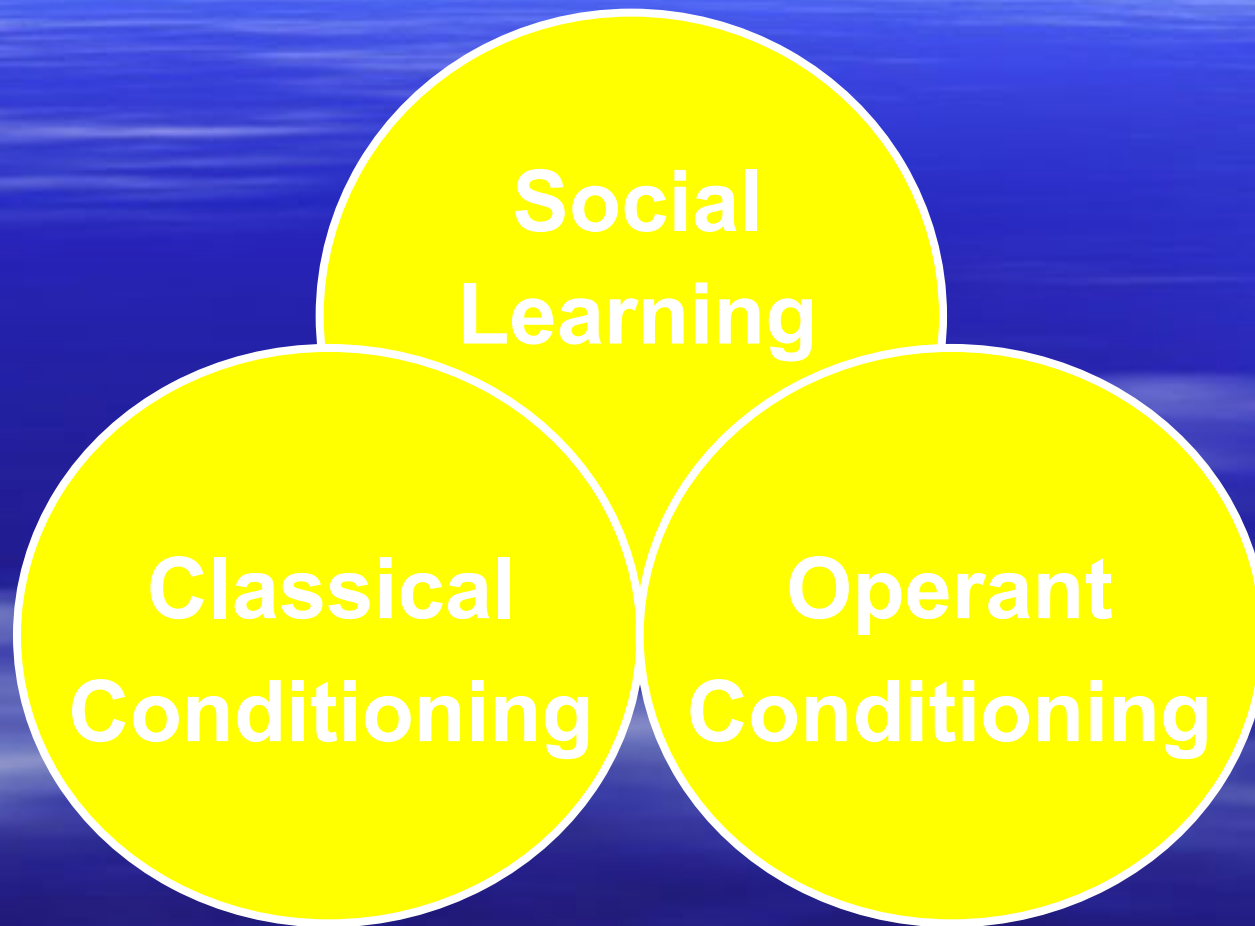
Ability

- Mental and physical capabilities to perform various tasks.

Learning

- A relatively permanent change in the behavior occurring as a result of experience.

Learning Theories



Today's Topics



Values

The Person

- Skills & abilities
 - Personality
 - Perceptions
 - Attitudes
 - Values
 - Ethics

The Environment

- Organization
 - Work group
 - Job
- Personal life

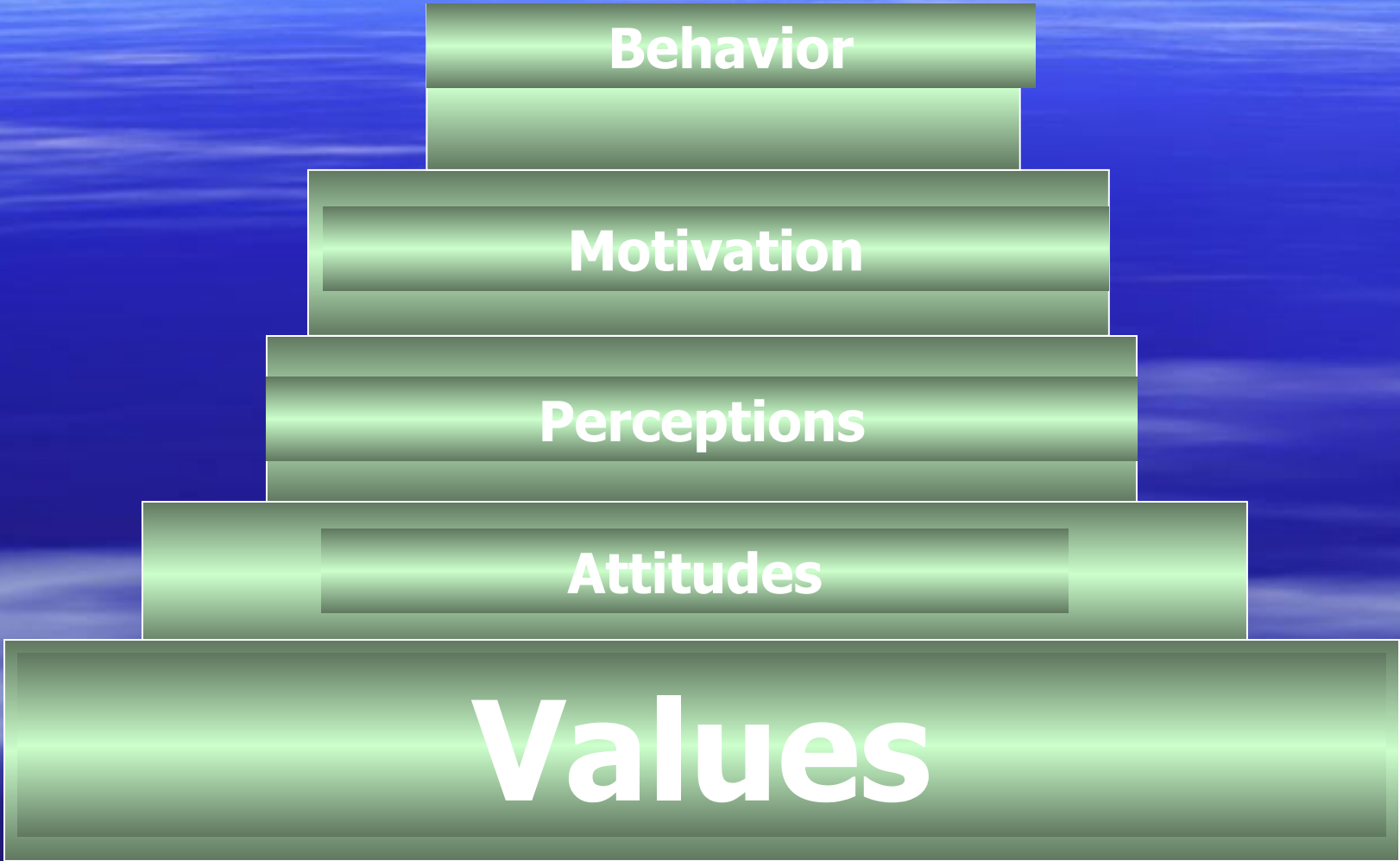
Behavior

$$B = f(P, E)$$

➤ **Values.**

- Values are broad preferences concerning appropriate courses of action or outcomes.
- Values influence behavior and attitudes.

The Importance of Values



Behavior

Motivation

Perceptions

Attitudes

Values

Values

- **basic convictions** that “a specific mode of conduct or end-state of existence is personally or socially preferable to an opposite or converse mode of conduct or end-state of existence.”
 - They contain a judgmental element in that they carry the individual’s idea of what is right, good, or desirable.
 - **Value System** -- a hierarchy based on a ranking of an individual’s values in terms of their intensity.

■ **Importance of Values**

- Values generally influence attitudes and behavior.

■ **Sources of our Value Systems**

- A significant portion is genetically determined.
- Other factors include national culture, parental dictates, teachers, friends, and similar environmental influences.
- Values are relatively stable and enduring.

The Importance of Values

Judgment

Content

Stability

Intensity

Ethical Behavior

Ethical Behavior - acting in ways consistent with one's personal values and the commonly held values of the organization and society.



Values, Ethics & Ethical Behavior

Value Systems - systems of beliefs that affect what the individual defines as right, good, and fair

Ethics - reflects the way values are acted out

Ethical behavior - actions consistent with one's values

Cognitive Moral Development

Cognitive Moral Development - The process of moving through stages of maturity in terms of making ethical decisions



Values, Loyalty, and Ethical Behavior



➤ Sources of values.

- Parents.
- Friends.
- Teachers.
- Role models.
- External reference groups.

➤ Types of values.

– Terminal values.

- Preferences concerning the ends to be achieved.

– Instrumental values.

- Preferences for the means to be used in achieving desired ends.

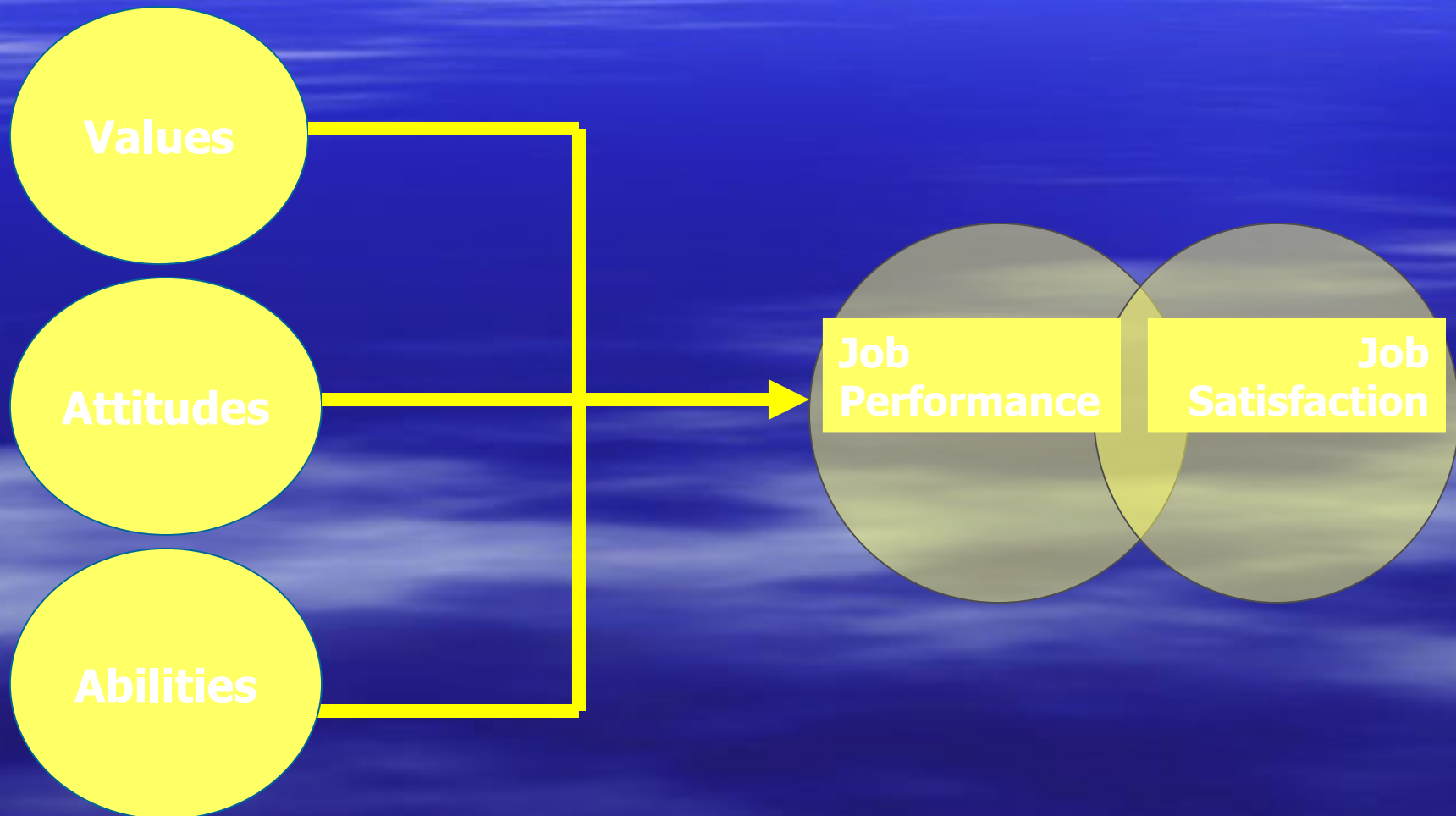
➤ Types of values — *cont.*

- Theoretical values.
- Economic values.
- Aesthetic values.
- Social values.
- Political values.
- Religious values.

➤ Patterns and trends in values.

- Duty.
- Honesty.
- Responsibility.
- Economic incentives.
- Organizational loyalty.
- Work-related identity.

Individual Differences Impact Job Performance & Job Satisfaction



Work Values

- Achievement (career advancement)
- Concern for others (compassionate behavior)
- Honesty (provision of accurate information)
- Fairness (impartiality)

Individual/Organizational Model of Ethical Behavior

Individual Influences

Value systems

Locus of control

Cognitive moral development

Organizational Influences

Codes of conduct

Norms

Rewards and punishments



**Ethical
Behavior**

Locus of Control

Locus of Control - personality variable that affects individual behavior

Internal - belief in personal control and personal responsibility

External - belief in control by outside forces (fate, chance, other people)

Qualities Required for Ethical Decision-making

The competence to identify ethical issues and evaluate the consequences of alternative courses of action

The self-confidence to seek out different opinions about the issue and decide what is right in terms of a situation

The willingness to make decisions when all that needs to be known cannot be known and when the ethical issue has no established, unambiguous solution

Values Across Cultures

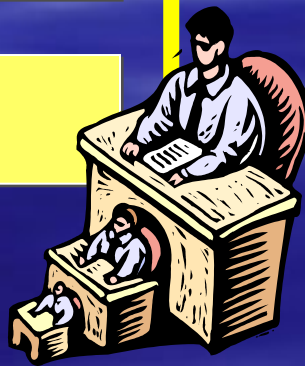
Power Distance

Individualism or Collectivism

Quantity or Quality of Life

Uncertainty Avoidance

Long-Term or Short-Term



Cultural Differences in Values



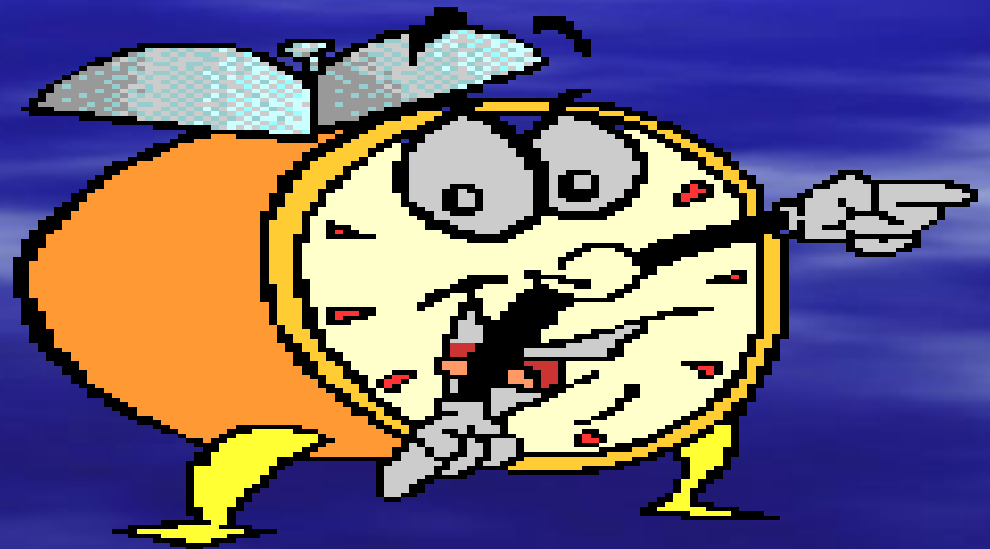
Handling Cultural Differences

- Learn about others' values
- Avoid prejudging
- Operate legitimately within others' ethical points of view
- Avoid rationalizing
- Refuse to violate fundamental values
- Be open

The GLOBE Framework for Assessing Cultures

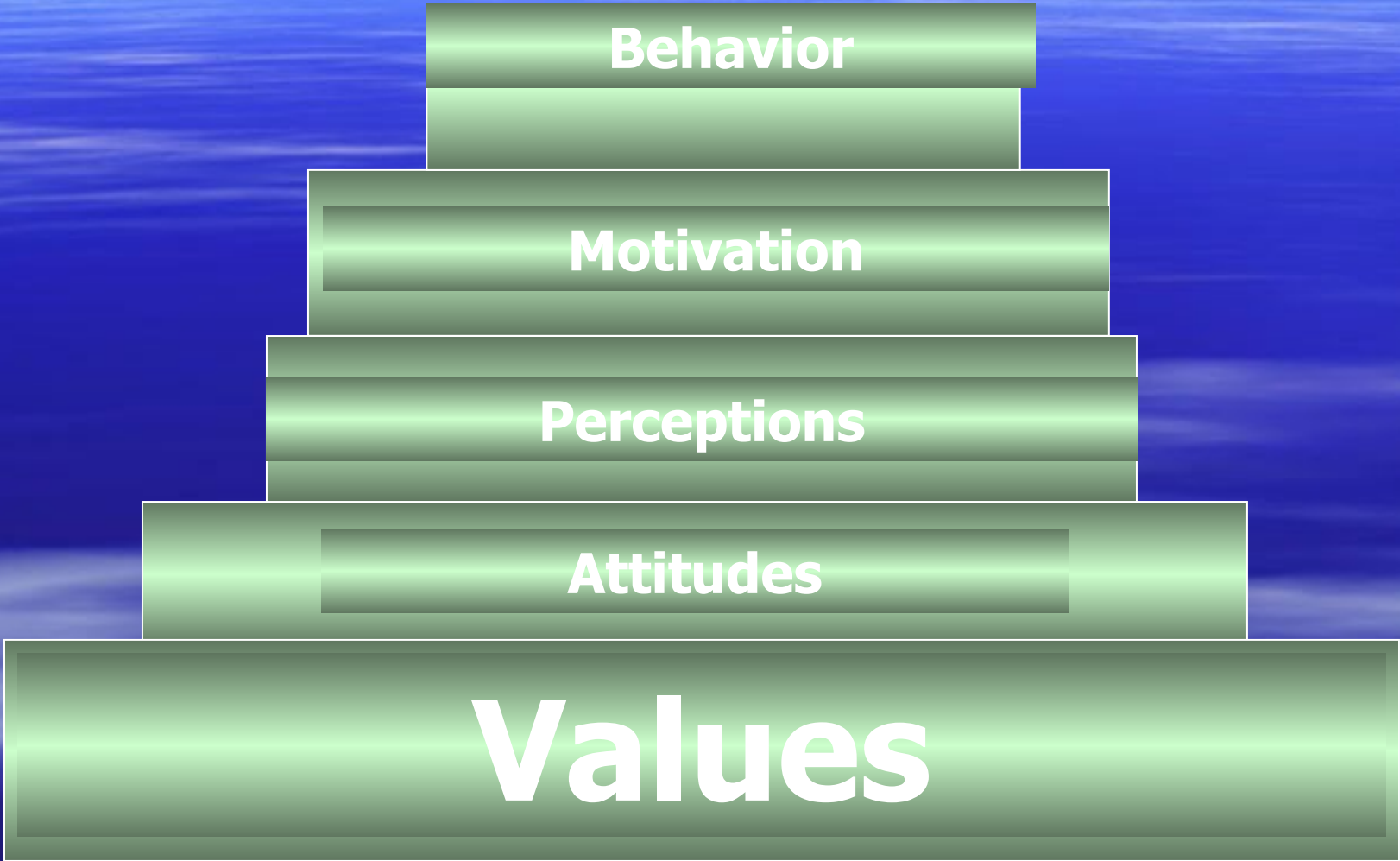
- Assertiveness
- Future Orientation
- Gender differentiation
- Uncertainty avoidance
- Power distance
- Individual/collectivism
- In-group collectivism
- Power orientation
- Humane orientation

Let's stop
it here



Summary

The Importance of Values



Behavior

Motivation

Perceptions

Attitudes

Values

➤ Sources of values.

- Parents.
- Friends.
- Teachers.
- Role models.
- External reference groups.

Values Across Cultures

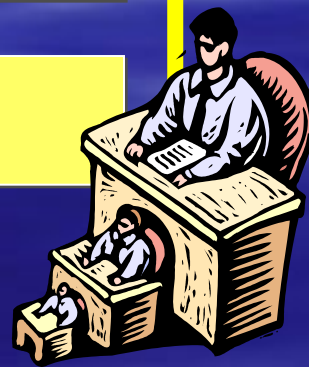
Power Distance

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Handling Cultural Differences

- Learn about others' values
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- Avoid rationalizing
- Refuse to violate fundamental values
- Be open and above board

Next.....

Attitudes

Values

Organizational Behavior

(MGT-502)

Lecture-6

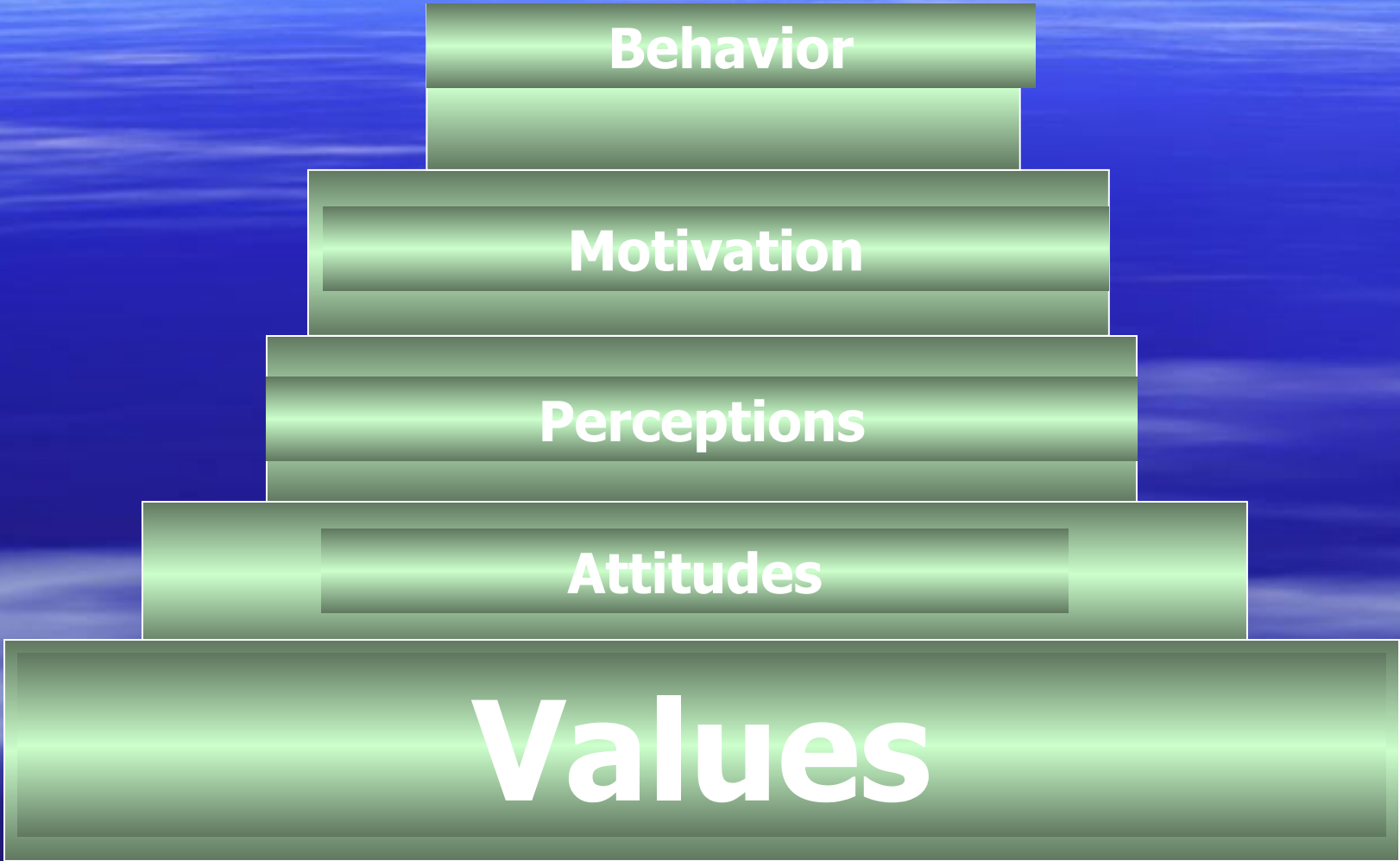
Organizational Behavior

(MGT-502)

Lecture-7

Summary of Lecture-6

The Importance of Values



Behavior

Motivation

Perceptions

Attitudes

Values

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- Parents.
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Values Across Cultures

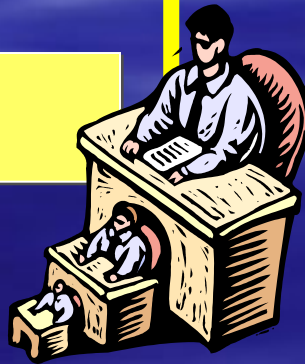
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Long-Term or Short-Term

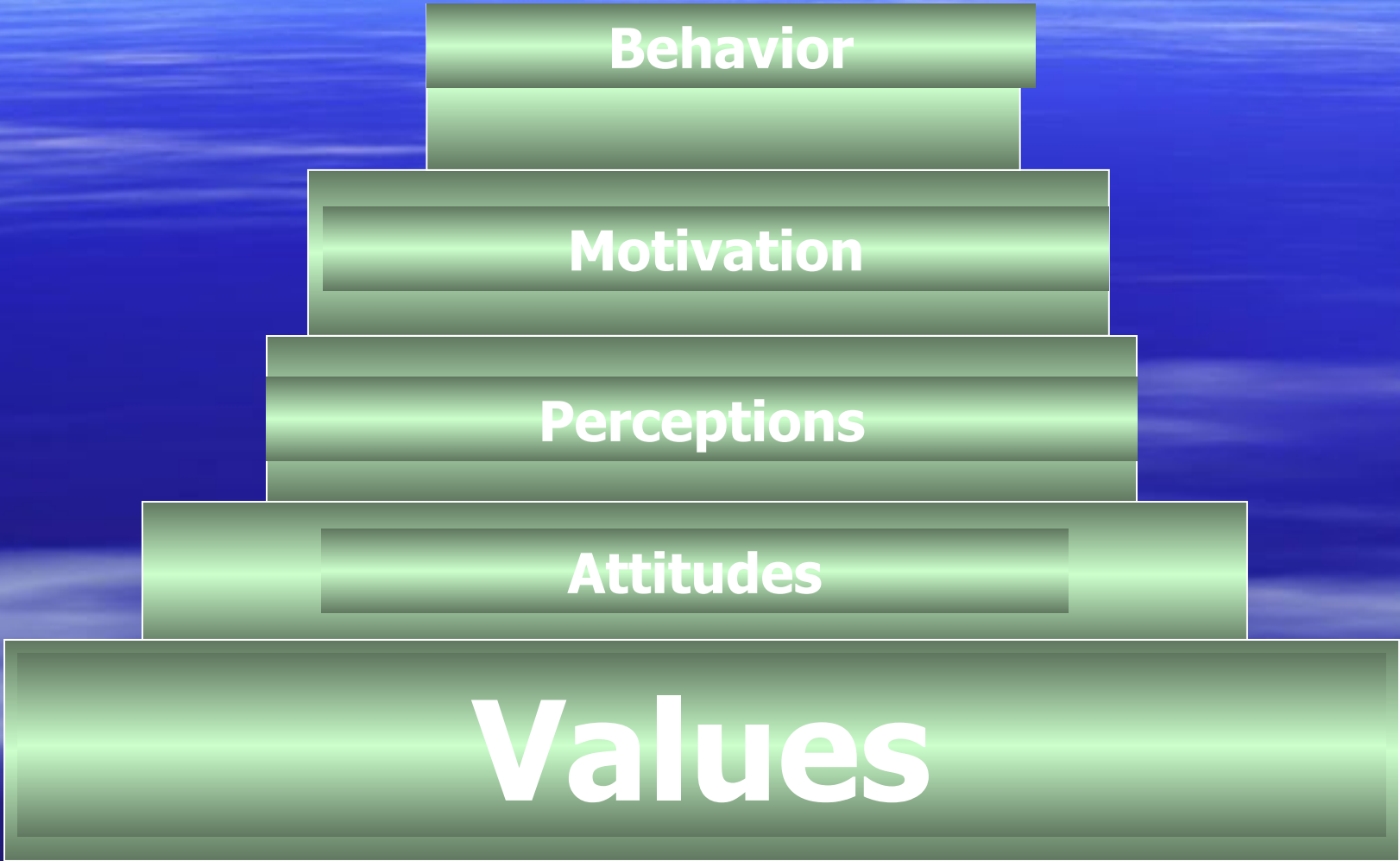


Handling Cultural Differences

- Learn about others' values
- Avoid prejudging
- Operate legitimately within others' ethical points of view
- Avoid rationalizing
- Refuse to violate fundamental values
- Be open

Today's Topics

The Importance of Values



Behavior

Motivation

Perceptions

Attitudes

Values

Rights

- **Right:** a person's just claim or entitlement
- Focuses on the person's actions or the actions of others toward the person
 - **Legal rights:** defined by a system of laws
 - **Moral rights:** based on ethical standards
- Purpose: let a person freely pursue certain actions without interference from others

Attitudes

Values

Attitudes Define

An attitude is a mental stage of readiness, learned and organized through experience, exerting a specific influence on a person's response to people, objects, and situations with which it is related.

A persistent tendency to feel and behave in a particular way toward some object.

Components of Attitudes

- Cognitive -- thinking
- Affective -- feeling
- Behavioral -- doing

Attitudes

- Evaluative statements or judgments concerning objects, people, or events.
 - Cognitive component of an attitude is the opinion or belief segment of an attitude.
 - Affective component is the emotion or feeling segment of an attitude.
 - Behavioral component of an attitude is an intention to behave in a certain way toward someone or something.
- Sources of Attitudes
 - Acquired from parents, teachers, and peer group members.
 - “Genetic” predispositions.
 - Observations, attitudes that we imitate.
- Attitudes less stable than Values

- **Evaluative statements or judgments concerning objects, people, or events.**
- **Sources of Attitudes**
 - Acquired from parents, teachers, and peer group members.
 - Genetic? predispositions.
 - Observations, attitudes that we imitate.
- **Attitudes less stable than Values**

Types of Attitudes



- Job satisfaction
- Job involvement
- Organizational
commitment

Types of Attitudes

- **Job Satisfaction**

- . . . refers to an individual's general attitude toward his or her job.

- **Job Involvement**

- . . . measures the degree to which a person identifies psychologically with his or her job and considers his or her perceived performance level important to self-worth.

- **Organizational Commitment**

- . . . a state in which an employee identifies with a particular organization and its goals, and wishes to maintain membership in the organization.

The Three Components of Attitudes

Stimuli

**Work
environment
factors**

Job Design
Managerial style
Company
policies
Technology

Cognition

Beliefs and
values



Affect

Feelings and
emotions



Behavior

Intended
behavior

“My supervisor is unfair.”

“Having a fair supervisor is
important to me.”

“I don’t like my
supervisor.”

“I’m going to request a
transfer.”

Job Satisfaction

■ What Determines Job Satisfaction?

- Mentally Challenging Work
- Equitable Rewards
- Supportive Working Conditions
- Supportive Colleagues
- Personality - Job Fit
- Heredity/Genes

■ Job Satisfaction and Employee Performance

- Satisfaction and Productivity
- Satisfaction and Absenteeism
- Satisfaction and Turnover

Implications for Managers

- Values strongly influence a person's attitudes.
- An employee's performance and satisfaction are likely to be higher if his or her values fit well with the organization.
- Managers should be interested in their employees' attitudes because attitudes give warning signs of potential problems and because they influence behavior.

What is Meant by Job Satisfaction?

- Job Satisfaction is an emotional response to a job situation
- Job Satisfaction determined by how well outcomes meet or exceed expectations
- Job Satisfaction represents several related attitudes
 - The work itself
 - Pay
 - Promotion opportunities
 - Supervision
 - Coworkers

Attitudes Associated with Job Satisfaction

Work
Itself

Job
Security

Co-
workers

Supervision



Promotion
Opportunities

Pay

Working
Conditions

Outcomes of Job Satisfaction

- Satisfaction and Productivity
- Satisfaction and Turnover
- Satisfaction and Absenteeism
- Satisfaction and Citizenship Behavior

The Effect of Job Satisfaction on Employee Performance

■ Satisfaction and Productivity

- Satisfied workers aren't necessarily more productive.
- Worker productivity is higher in organizations with more satisfied workers.

■ Satisfaction and Absenteeism

- Satisfied employees have fewer avoidable absences.

■ Satisfaction and Turnover

- Satisfied employees are less likely to quit.
- Organizations take actions to cultivate high performers and to weed out lower performers.

Job Satisfaction and OCB

- Satisfaction and Organizational Citizenship Behavior (OCB)
 - Satisfied employees who feel fairly treated by and are trusting of the organization are more willing to engage in behaviors that go beyond the normal expectations of their job.



Are happy workers better workers?

- Satisfaction causes performance
- Performance causes satisfaction
- rewards causes both performance and satisfaction

Satisfaction-Performance Relationship: Three Views

1. Job satisfaction

→
“The satisfied worker is more productive.”

Job Performance

2. Job satisfaction

→
“The more productive worker is satisfied.”

Job Performance

3. Job performance

→ Rewards

Perceived equity

→ Job satisfaction



Responses to Job Dissatisfaction

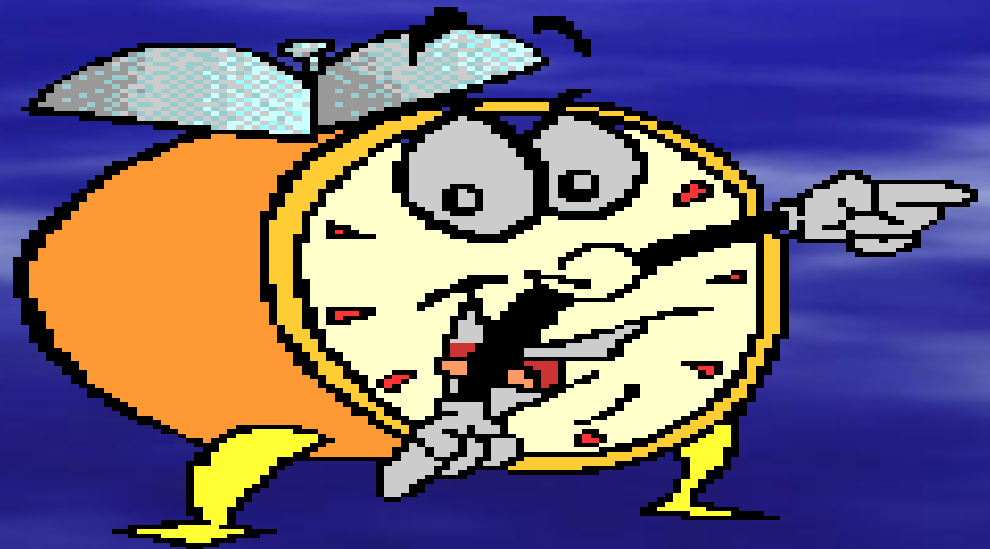


Barriers to Change Attitudes

- **Prior Commitments**
- **Insufficient Information**

Both personality and attitudes are complex cognitive processes. The difference is that personality usually is thought of as the whole person, while attitudes may make up the personality.

Let's stop
it here



Summary

Attitudes

Values

Components of Attitudes

- Cognitive -- thinking
- Affective -- feeling
- Behavioral -- doing

Types of Attitudes



- Job satisfaction
- Job involvement
- Organizational
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Outcomes of Job Satisfaction

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Barriers to Change Attitudes

- Prior Commitments
- Insufficient Information

Next.....

Personality

Personality refers to a relatively stable set of feelings and behaviors that have been significantly formed by genetic and environmental factors.



Organizational Behavior

(MGT-502)

Lecture-7

Organizational Behavior

(MGT-502)

Lecture-8

Summary of Lecture-7

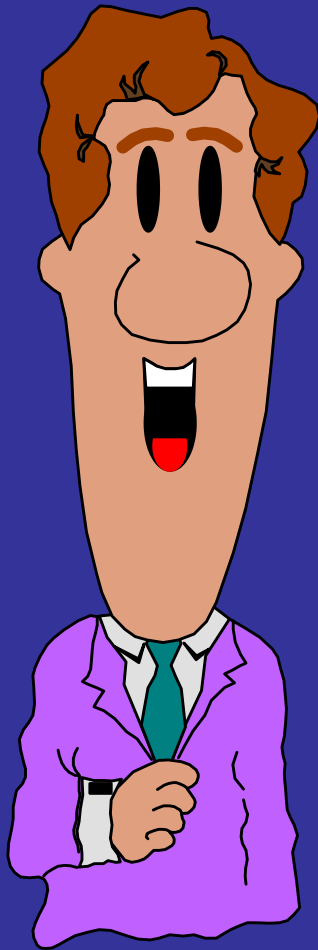
Attitudes

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- Job satisfaction
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Outcomes of Job Satisfaction

- Satisfaction and Productivity
- Satisfaction and Turnover
- Satisfaction and Absenteeism
- Satisfaction and Citizenship Behavior

Barriers to Change Attitudes

- Prior Commitments
- Insufficient Information

Today's Topics

Personality defined

Relatively stable pattern of behaviours and consistent internal states that explain a person's behavioural tendencies.

Personality

The sum total of ways in which an individual reacts and interacts with others.

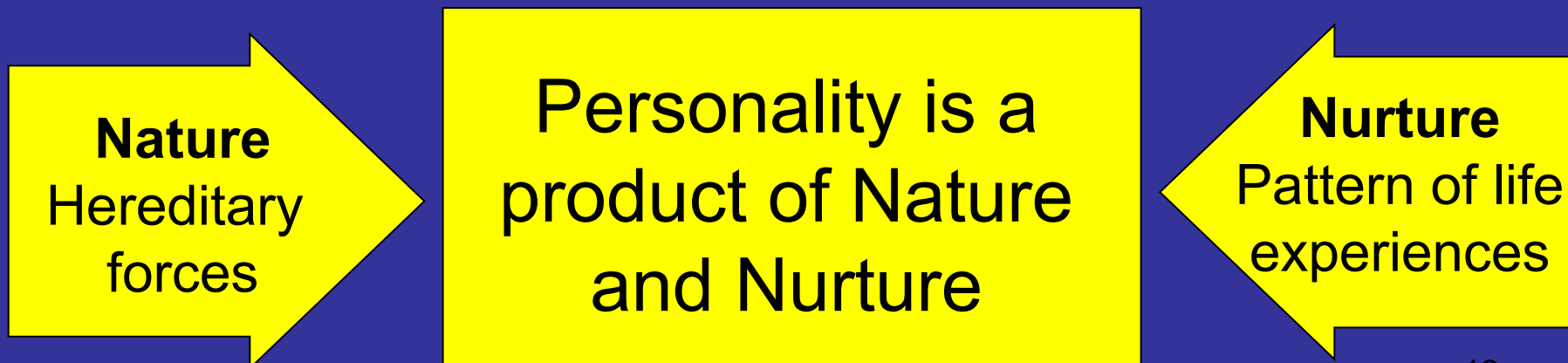
Personality

Mean how people affect others and how they understand and view themselves, as well as their pattern of inner and outer measurable traits and

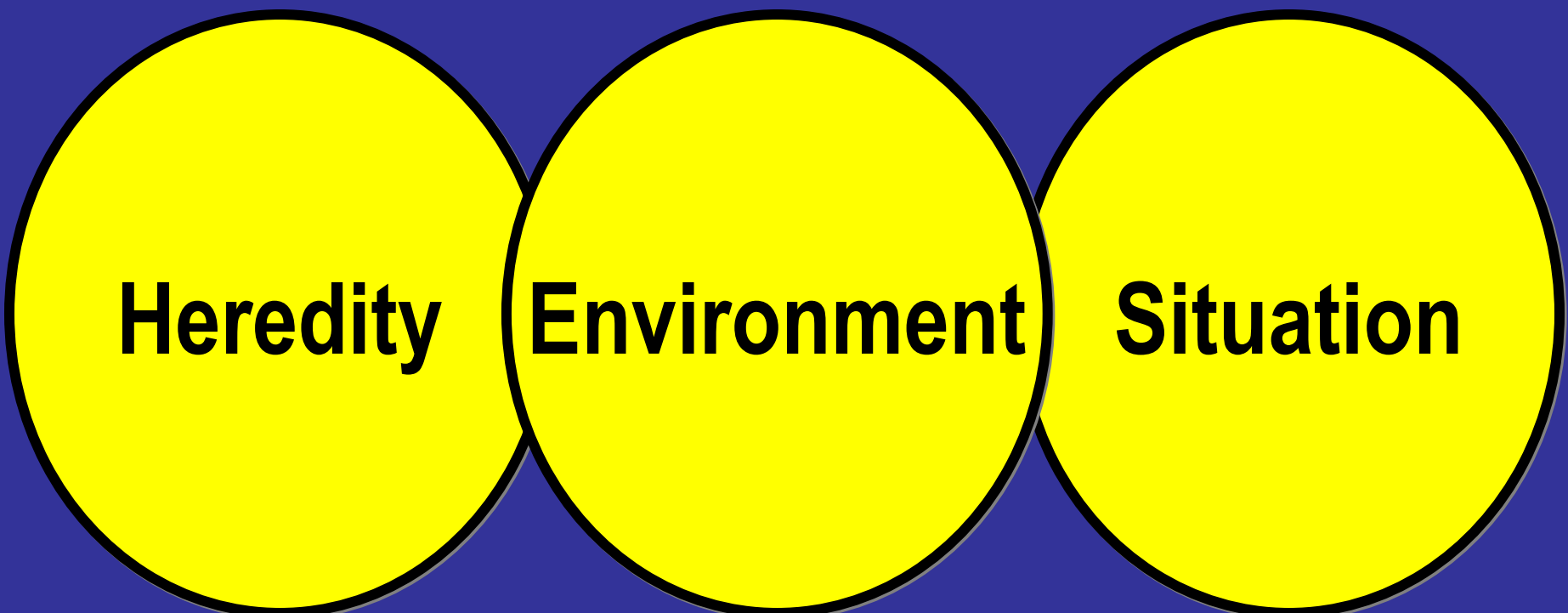
Person-situation interaction

Personality

Personality refers to a relatively stable set of feelings and behaviors that have been significantly formed by genetic and environmental factors.



What Is Personality?



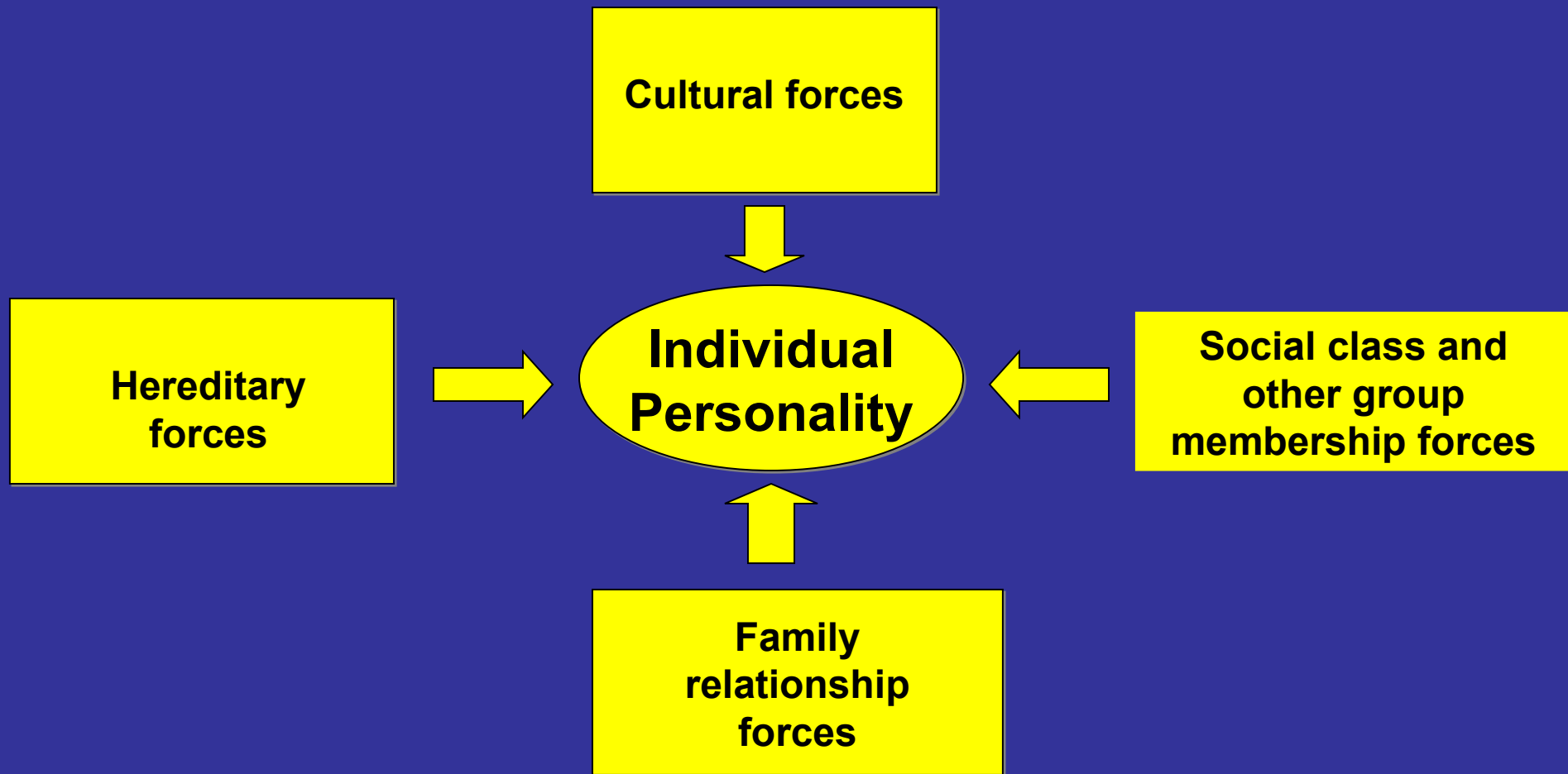
The diagram consists of three large, yellow circles arranged horizontally, each with a thick black outline. The circles overlap slightly. The first circle on the left contains the word 'Heredity', the middle circle contains 'Environment', and the right circle contains 'Situation'. All text is in a bold, black, sans-serif font.

Heredity

Environment

Situation

Some Major Forces Influencing Personality



Personality

- **Personality**

- The relatively stable set of psychological attributes that distinguish one person from another.

- **The “Big Five” Personality Traits**

- A set of fundamental traits that are especially relevant to organizations.
 - The traits include agreeableness, conscientiousness, negative emotionality, extraversion, and openness.

The Big Five Personality Model

- **Extroversion**

- Refers to the tendency to be sociable, friendly, and expressive.

- **Emotional Stability**

- Refers to the tendency to experience positive emotional states.

- **Agreeableness**

- Being courteous, forgiving, tolerant, trusting, and self-hearted.

- **Conscientiousness**

- Is exhibited by those who are described as dependable, organized, and responsible.

- **Openness to Experience**

- Reflects the extent to which an individual has broad interests and is willing to be a risk-taker.

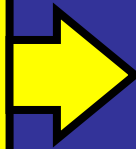


Relationship Between The “Big Five” Personality Dimensions And Career

- The “Big Five” traits are significantly related to both **intrinsic** (job satisfaction) and **extrinsic** (income and occupational status) career success.

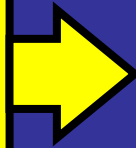
Big five personality dimensions

Conscientiousness



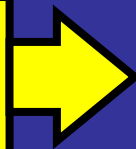
Caring, dependable

Emotional stability



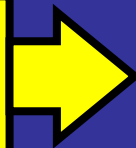
Poised, secure

Openness to experience



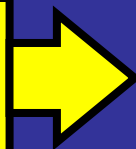
Sensitive, flexible

Agreeableness



Courteous, empathic

Extroversion

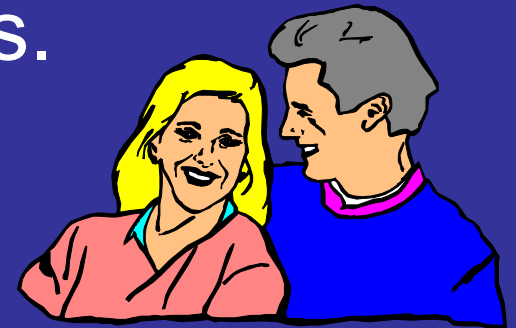


Outgoing, talkative

The Myers-Briggs Framework

This framework differentiates people in terms of four general dimensions:

sensing, intuiting, judging, and perceiving. Higher and lower positions in each of the dimensions are used to classify people into one of sixteen different personality categories.



1. Reserved	vs.	Outgoing
2. Less intelligent	vs.	More intelligent
3. Affected by feelings	vs.	Emotionally stable
4. Submissive	vs.	Dominant
5. Serious	vs.	Happy-go-lucky
6. Expedient	vs.	Conscientious
7. Timid	vs.	Venturesome
8. Tough-minded	vs.	Sensitive
9. Trusting	vs.	Suspicious
10. Practical	vs.	Imaginative
11. Forthright	vs.	Shrewd
12. Self-assured	vs.	Apprehensive
13. Conservative	vs.	Experimenting
14. Group dependent	vs.	Self-sufficient
15. Uncontrolled	vs.	Controlled
16. Relaxed	vs.	Tense

Sixteen Primary Traits

Personality Traits



Other Personality Traits at Work

- **Self-Efficacy**

- A person's beliefs about his or her capabilities to perform a task.

- **Authoritarianism**

- The extent to which a person believes that power and status differences are appropriate within hierarchical social systems such as organizations.



- **Risk Propensity**

- The degree to which a person is willing to take chances and make risky decisions.



Because personality characteristics create the parameters for people's behavior, they give us a framework for predicting behavior.

Major Personality Attributes Influencing OB

- Locus of control
- Self-esteem
- Self-monitoring
- Propensity for risk taking
- Type A personality



Personality Characteristics in Organizations

Locus of Control

Internal

I control what happens to me!



External

People and circumstances control my fate!



Personality Characteristics in Organizations

Self-Efficacy - beliefs and expectations about one's ability to accomplish a specific task effectively

Sources of self-efficacy

- Prior experiences and prior success
- Behavior models (observing success)
- Persuasion
- Assessment of current physical & emotional capabilities

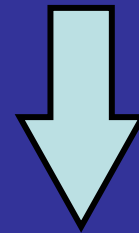
Personality Characteristics in Organizations

Self-Esteem

Feelings of Self Worth



Success tends
to increase
self-esteem



Failure tends
to decrease
self-esteem

Personality Characteristics in Organizations

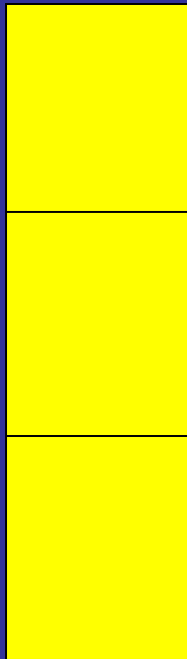
Self-Monitoring

Behavior based on cues from people & situations

- High self monitors
 - flexible: adjust behavior according to the situation and the behavior of others
 - can appear unpredictable & inconsistent
- Low self monitors
 - act from internal states rather than from situational cues
 - show consistency
 - less likely to respond to work group norms or supervisory feedback

Who Is Most Likely to . . .

Low-self
monitors



Get promoted

Accomplish tasks, meet other's expectations, seek out central positions in social networks

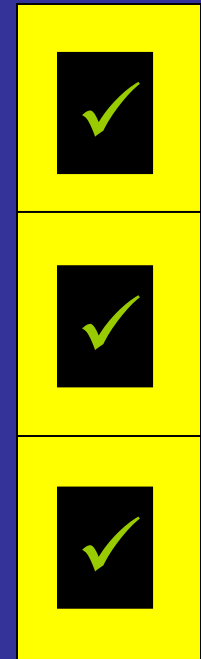
Change employers

Self-promote

Make a job-related
geographic move

Demonstrate higher levels of managerial self-awareness; base behavior on other's cues and the situation

High-self
monitors



Personality Characteristics in Organizations

**A strong
situation can
overwhelm the effects
of individual personalities
by providing strong cues
for appropriate
behavior**



Personality Characteristics in Organizations



Personality Types

Type A personality

Aggressive involvement in a chronic, incessant struggle to achieve more and more in less and less time and, if necessary, against the opposing efforts of other things or other people.



Personality Types

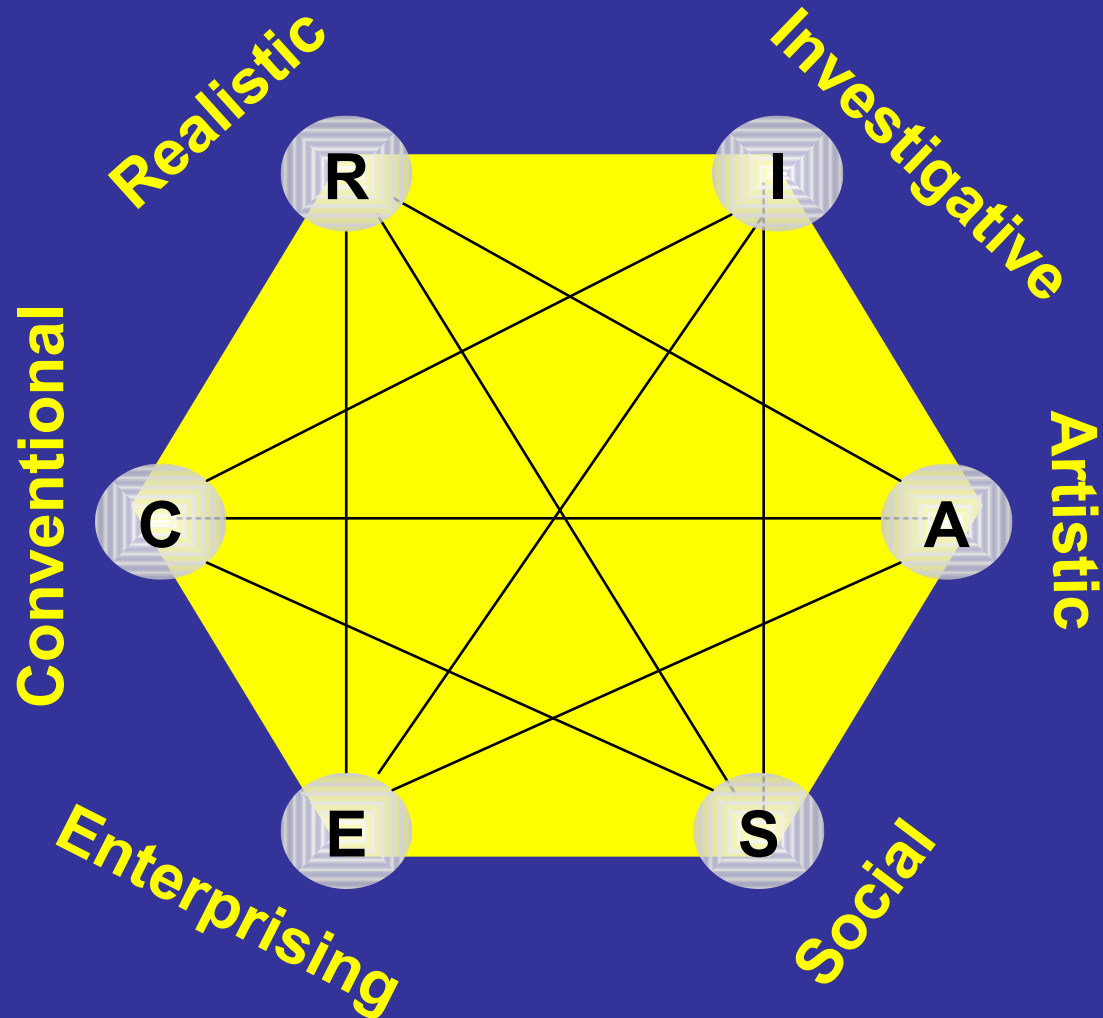
Type A's

1. are always moving, walking, and eating rapidly;
 2. feel impatient with the rate at which most events take place;
 3. strive to think or do two or more things at once;
 4. cannot cope with leisure time;
 5. are obsessed with numbers, measuring their success in terms of how many or how much of everything they acquire.
-

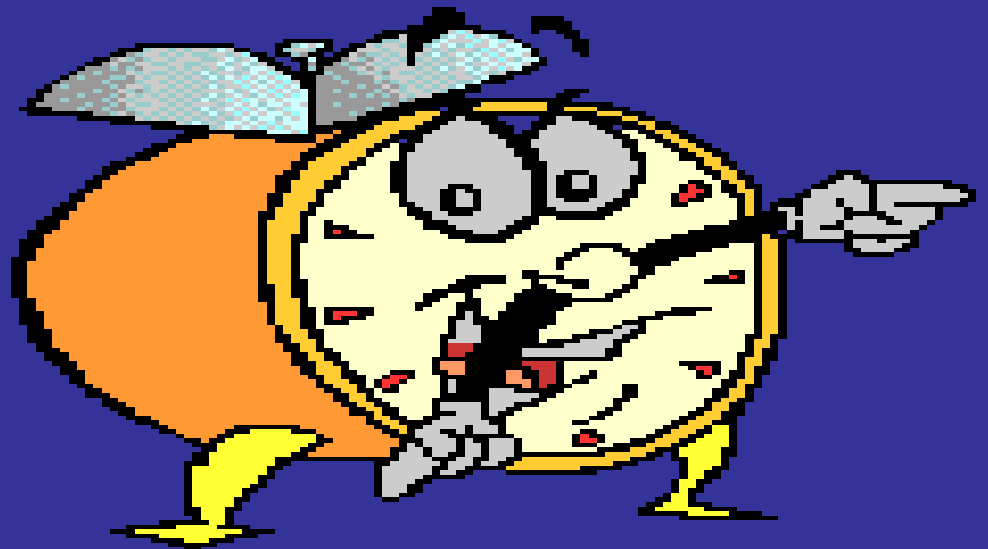
Type B's

1. never suffer from a sense of time urgency with its accompanying impatience;
2. feel no need to display or discuss either their achievements or accomplishments unless such exposure is demanded by the situation;
3. play for fun and relaxation, rather than to exhibit their superiority at any cost;
4. can relax without guilt.

Occupational Personality Types



Let's stop
it here



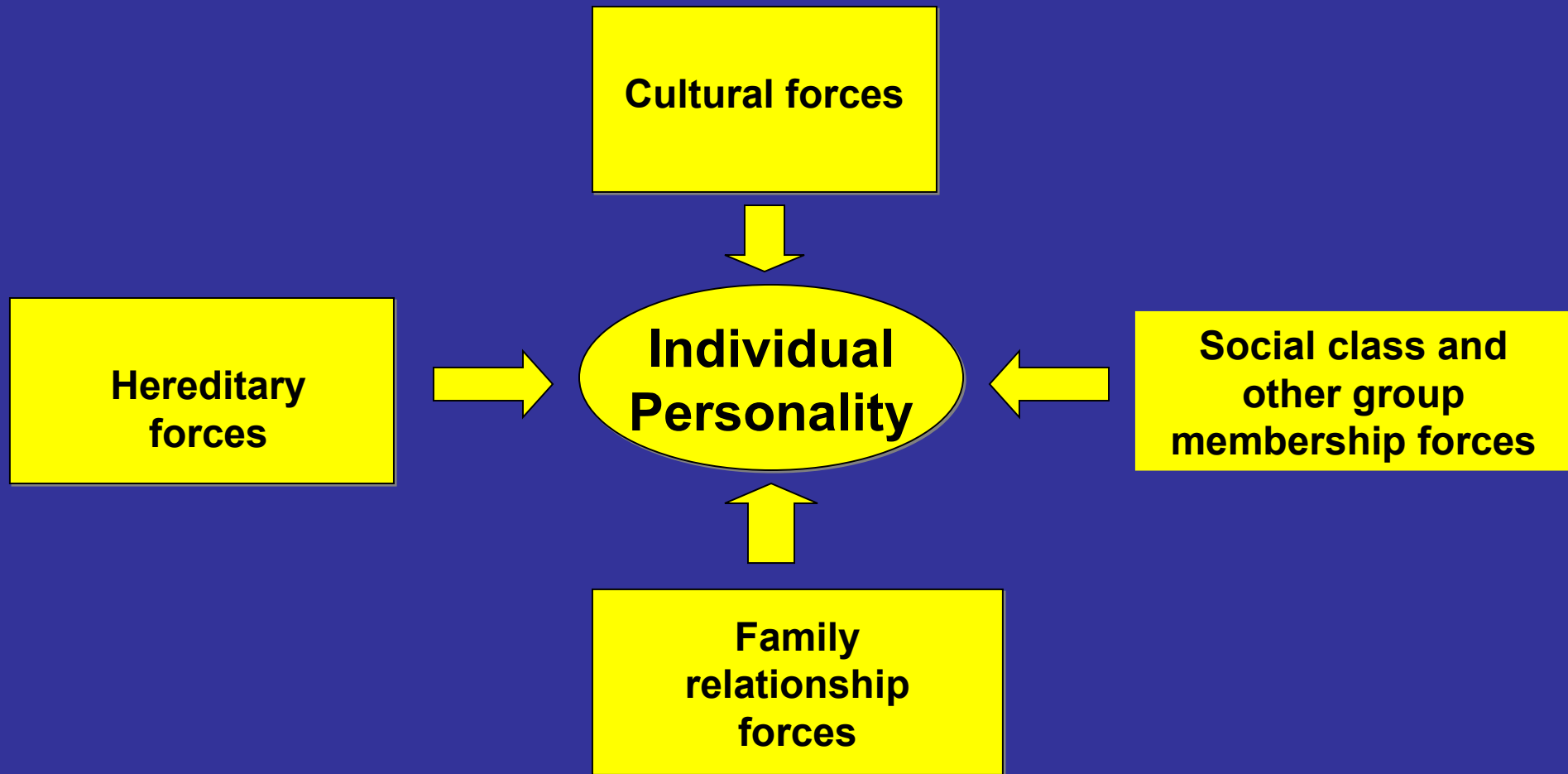
Summary

Personality

Mean how people affect others and how they understand and view themselves, as well as their pattern of inner and outer measurable traits and

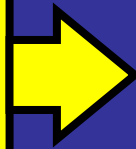
Person-situation interaction

Some Major Forces Influencing Personality



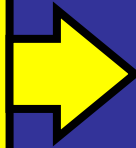
Big five personality dimensions

Conscientiousness



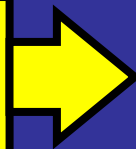
Caring, dependable

Emotional stability



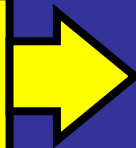
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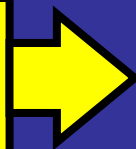
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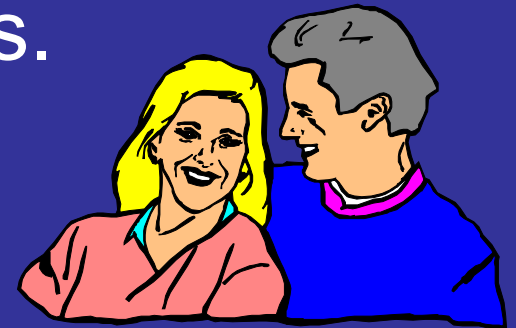


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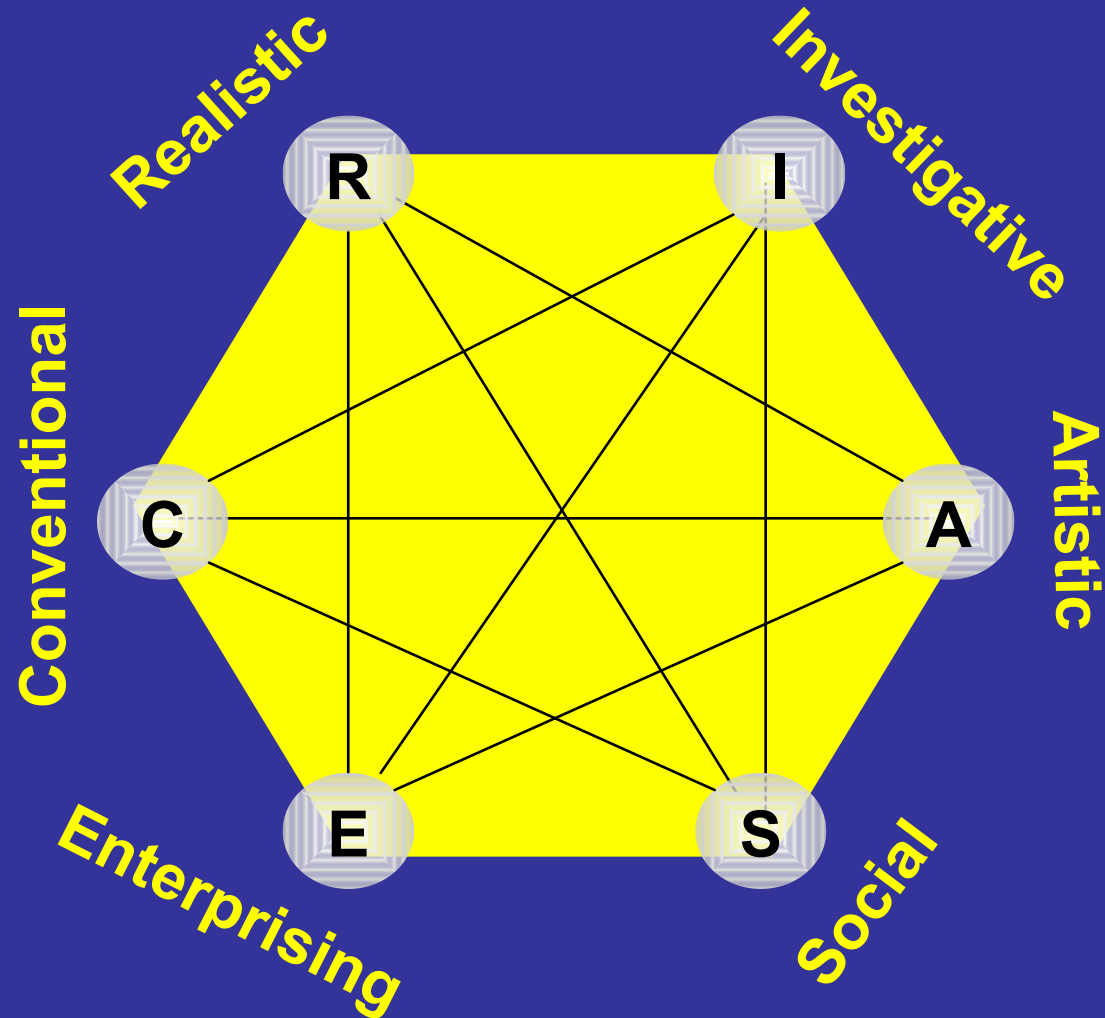
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Occupational Personality Types



Next....

Emotions and Mood

Organizational Behavior

(MGT-502)

Lecture-8

Organizational Behavior

(MGT-502)

Lecture-9

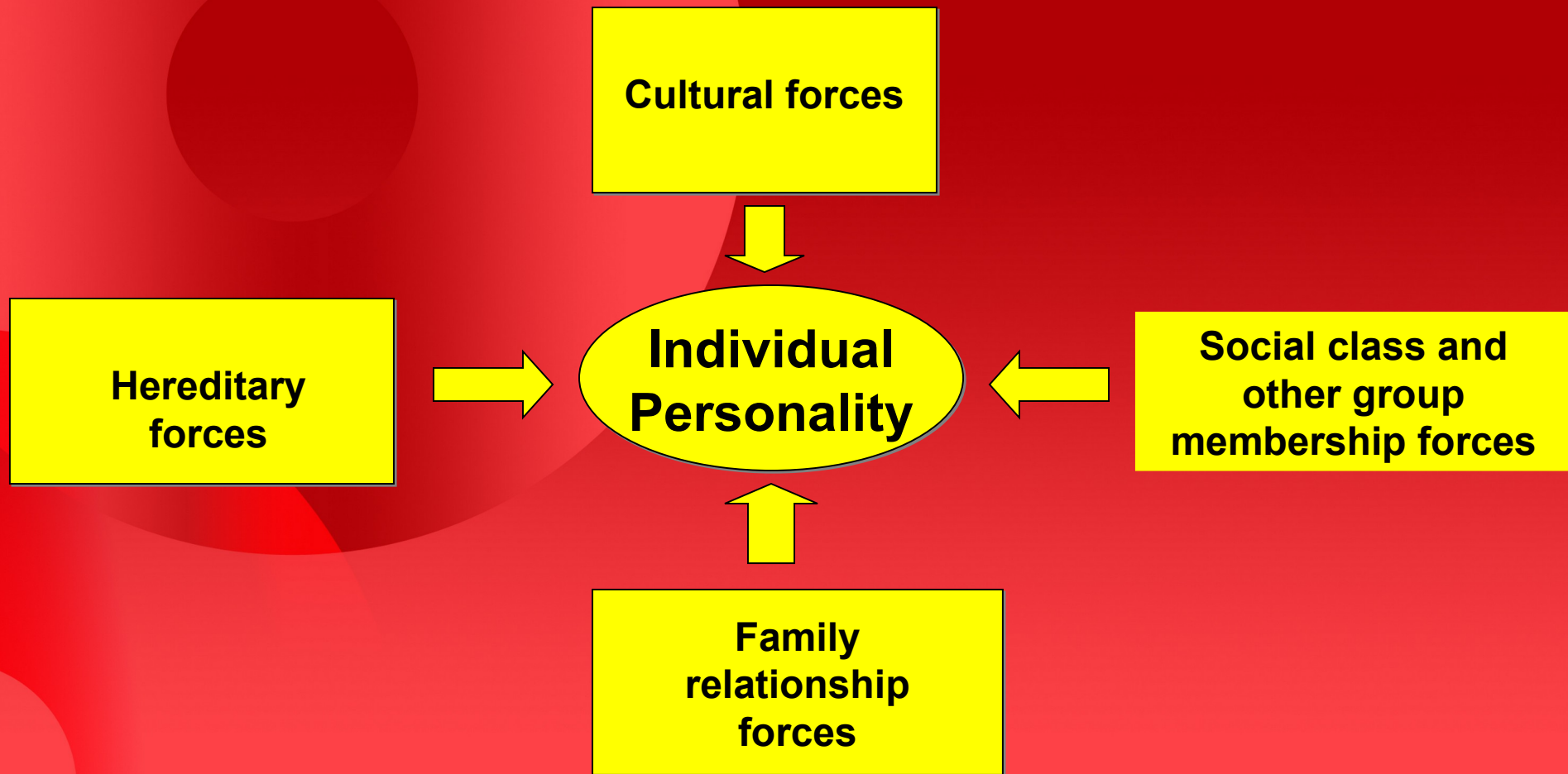
Summary of Lecture-8

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Some Major Forces Influencing Personality



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Today's Topics

Emotions and Mood

Emotions defined

Feelings experienced towards an object, person or event that create a state of readiness

- emotions demand attention and interrupt our train of thought
- emotions are directed toward something

Emotions- Why Emotions Were Ignored in OB

- The “myth of rationality”
 - Organizations are not emotion-free.
- Emotions of any kind are disruptive to organizations.
 - Original OB focus was solely on the effects of strong negative emotions that interfered with individual and organizational efficiency.

Components of Attitudes

- Cognitive -- thinking
- Affective -- feeling
- Behavioral -- doing

What Are Emotions?

Affect

A broad range of emotions that people experience.

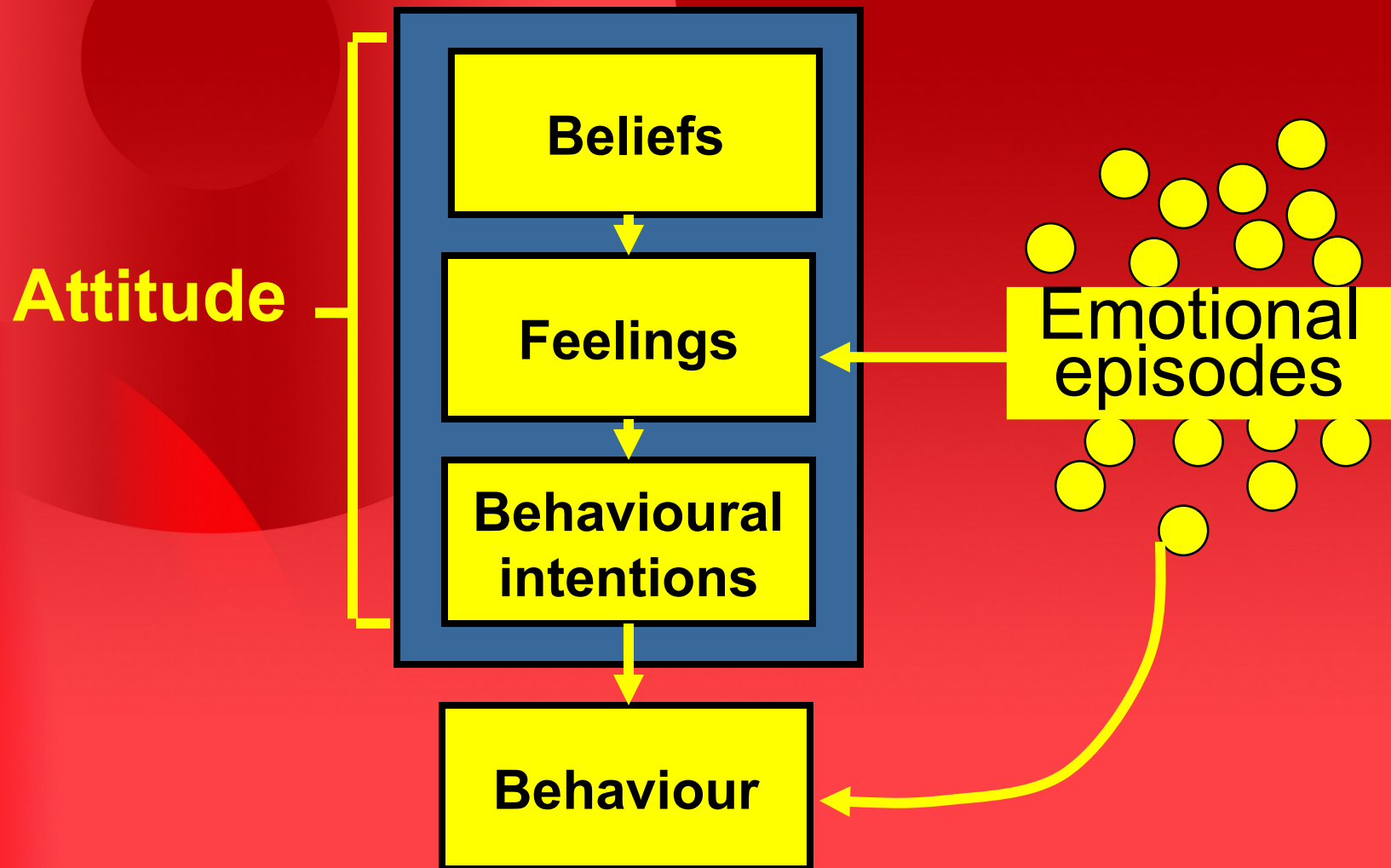
Emotions

Intense feelings that are directed at someone or something.

Moods

Feelings that tend to be less intense than emotions and that lack a contextual stimulus.

Model of attitudes and behaviour



What Are Emotions?

Emotional labor

A situation in which an employee expresses organizationally desired emotions during interpersonal transactions.



Emotional labour defined

The effort, planning and control
needed to express
organisationally desired
emotions during interpersonal
transactions

Emotional labour issues

- True emotions leak out – especially with low emotional adaptability
- Emotional dissonance causes stress
- Display norms vary across cultures

Felt versus Displayed Emotions

Felt emotions

An individual's actual emotions.

Displayed emotions

Emotions that are organizationally required and considered appropriate in a given job.



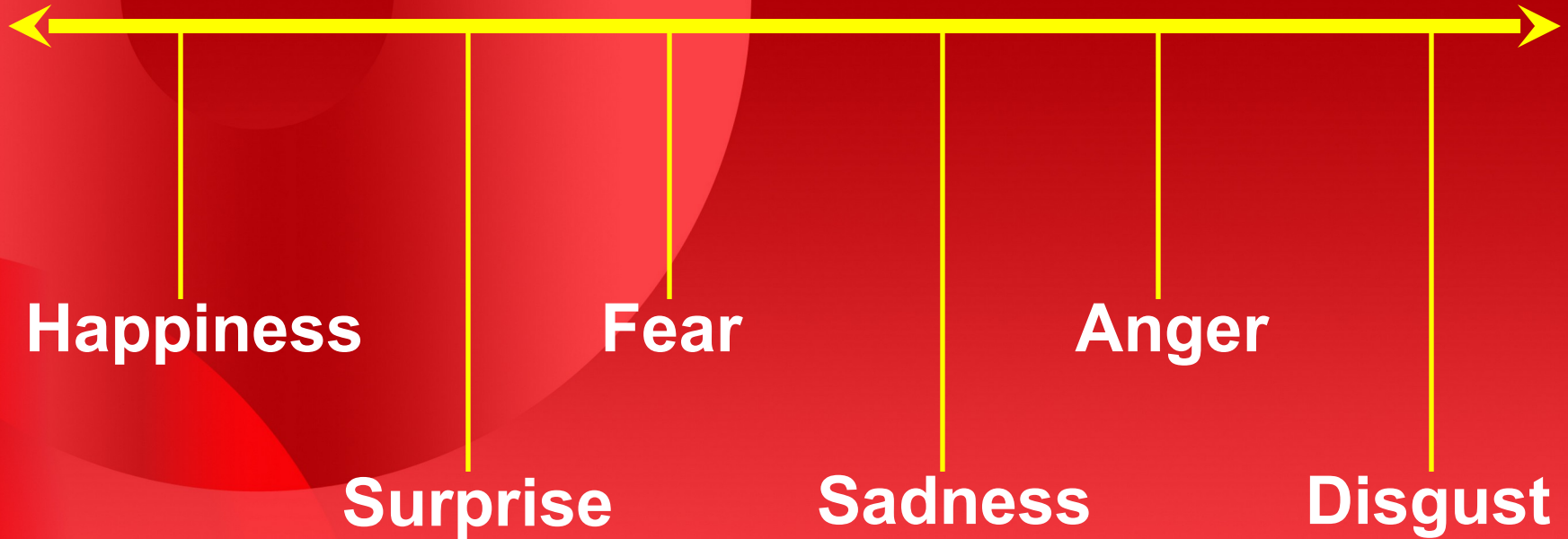
Emotion Dimensions

- **Variety of emotions**
 - Positive
 - Negative
- **Intensity of emotions**
 - Personality
 - Job Requirements
- **Frequency and duration of emotions**
 - How often emotions are exhibited.
 - How long emotions are displayed.

Emotions

- Anger
- Contempt
- Fear
- Frustration
- Happiness
- Hate
- Hope
- Jealousy
- Joy
- Love
- Pride
- Surprise
- Sadness
- Enthusiasm

Six Universal Emotions



Emotion Continuum

- The closer any two emotions are to each other on the continuum, the more likely people are to confuse them.

Happiness ► Surprise ► Fear ► Sadness ► Anger ► Disgust

Facial Expressions Convey Emotions

Each picture portrays a different emotion. Try to identify them before looking at the answers. (Top, left to right: neutral, surprise, happiness. Bottom: fear, sadness, anger.)



Emotions and Organizational Behavior

```
graph TD; A([Emotions and Organizational Behavior]) --- B([Felt Emotions]); A --- C([Emotional Labor]); A --- D([Displayed Emotions]); B --- C; C --- D; B --- D;
```

The diagram consists of four yellow shapes on a red background. At the top is a large yellow oval containing the text 'Emotions and Organizational Behavior'. Below it are three yellow circles: 'Felt Emotions' on the left, 'Emotional Labor' in the center, and 'Displayed Emotions' on the right. Lines connect the top oval to each of the three circles, and lines also connect each of the three circles to the other two, forming a triangular network.

**Felt
Emotions**

**Emotional
Labor**

**Displayed
Emotions**

Can People Be Emotionless?

Alexithymia (Greek... “lack of emotion”)

Gender and Emotions

- **Women**

- Can show greater emotional expression.
- Experience emotions more intensely.
- Display emotions more frequently.
- Are more comfortable in expressing emotions.
- Are better at reading others' emotions.

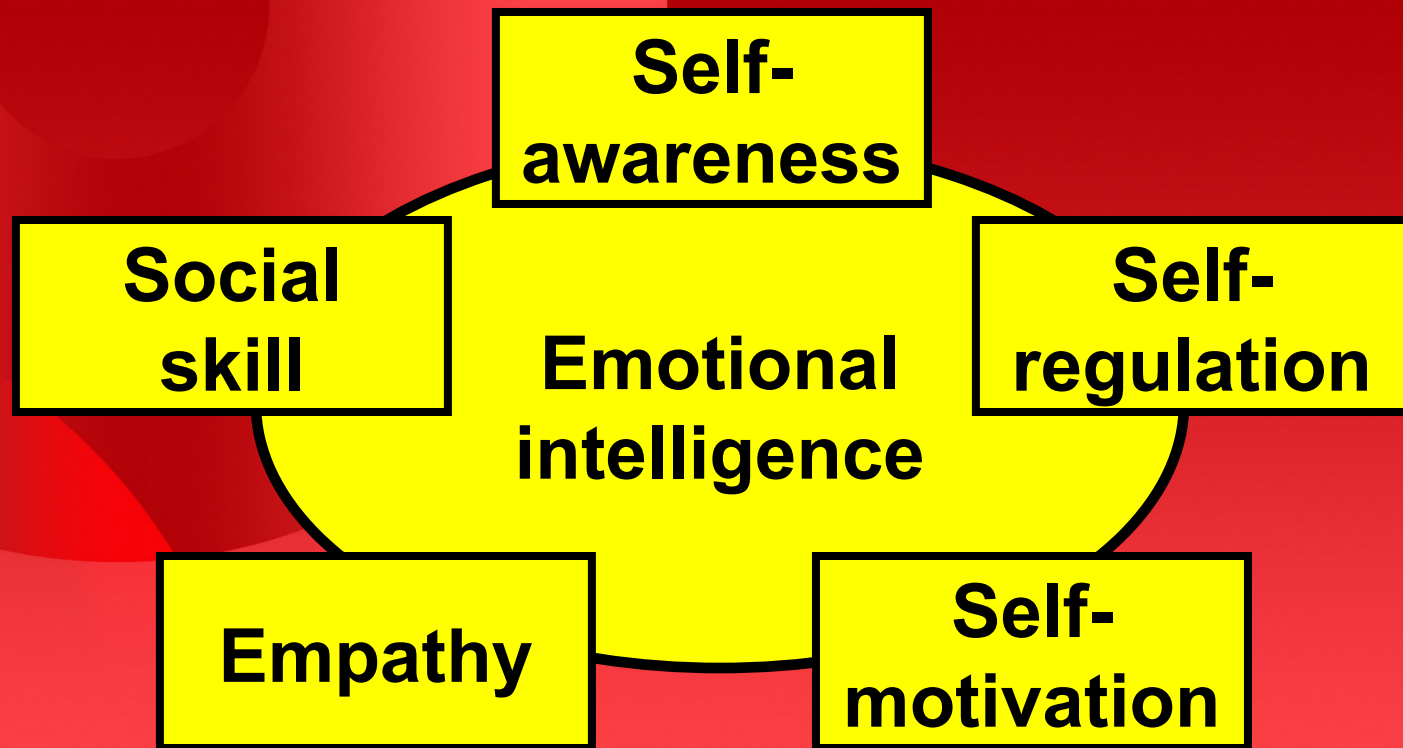
- **Men**

- Believe that displaying emotions is inconsistent with the male image.
- Are innately less able to read and to identify with others' emotions.
- Have less need to seek social approval by showing positive emotions.

Emotional Intelligence

El refers to an assortment of non-cognitive skills, capabilities, and competencies that influence a person's ability to succeed in coping with environmental demands and pressures.

Emotional intelligence dimensions



External Constraints on Emotions

```
graph TD; A[External Constraints on Emotions] --> B[Organizational Influences]; A --> C[Cultural Influences];
```

**Organizational
Influences**

**Cultural
Influences**

OB Applications of Understanding Emotions

- **Ability and Selection**
 - Emotions affect employee effectiveness.
- **Decision Making**
 - Emotions are an important part of the decision-making process in organizations.
- **Motivation**
 - Emotional commitment to work and high motivation are strongly linked.
- **Leadership**
 - Emotions are important to acceptance of messages from organizational leaders.

- **Interpersonal Conflict**

- Conflict in the workplace and individual emotions are strongly intertwined.

- **Deviant Workplace Behaviors**

- Negative emotions can lead to employee deviance in the form of actions that violate established norms and threaten the organization and its members.
 - Productivity failures
 - Property theft and destruction
 - Political actions
 - Personal aggression

Emotions In The Workplace

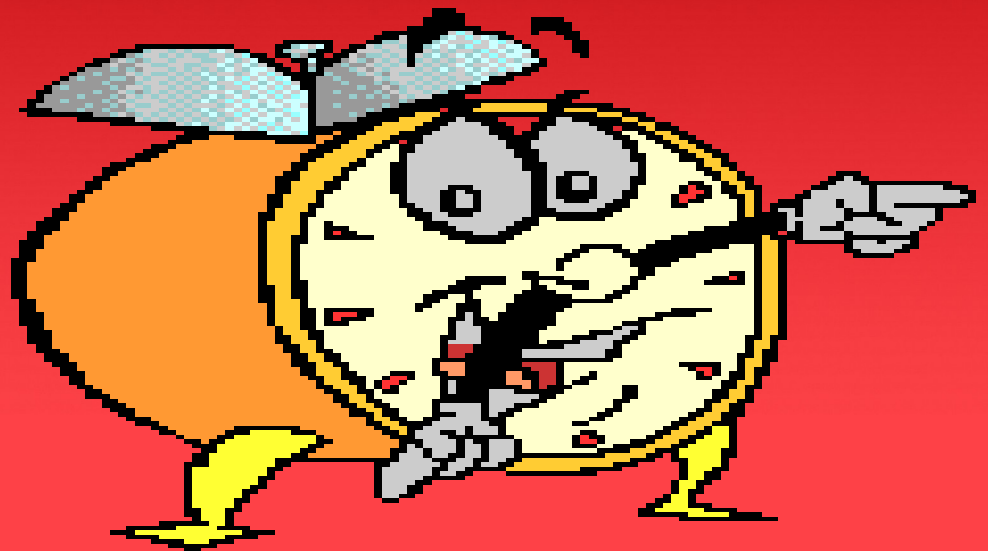
**Intensity
of Emotions**

**Frequency
and Duration**

**Gender
and Emotions**

**Emotionless
People**

Let's stop
it here



Summary

What Are Emotions?

Affect

A broad range of emotions that people experience.

Emotions

Intense feelings that are directed at someone or something.

Moods

Feelings that tend to be less intense than emotions and that lack a contextual stimulus.

Felt versus Displayed Emotions

Felt emotions

An individual's actual emotions.

Displayed emotions

Emotions that are organizationally required and considered appropriate in a given job.



Facial Expressions Convey Emotions

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Emotions In The Workplace

**Intensity
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Next....

Perception

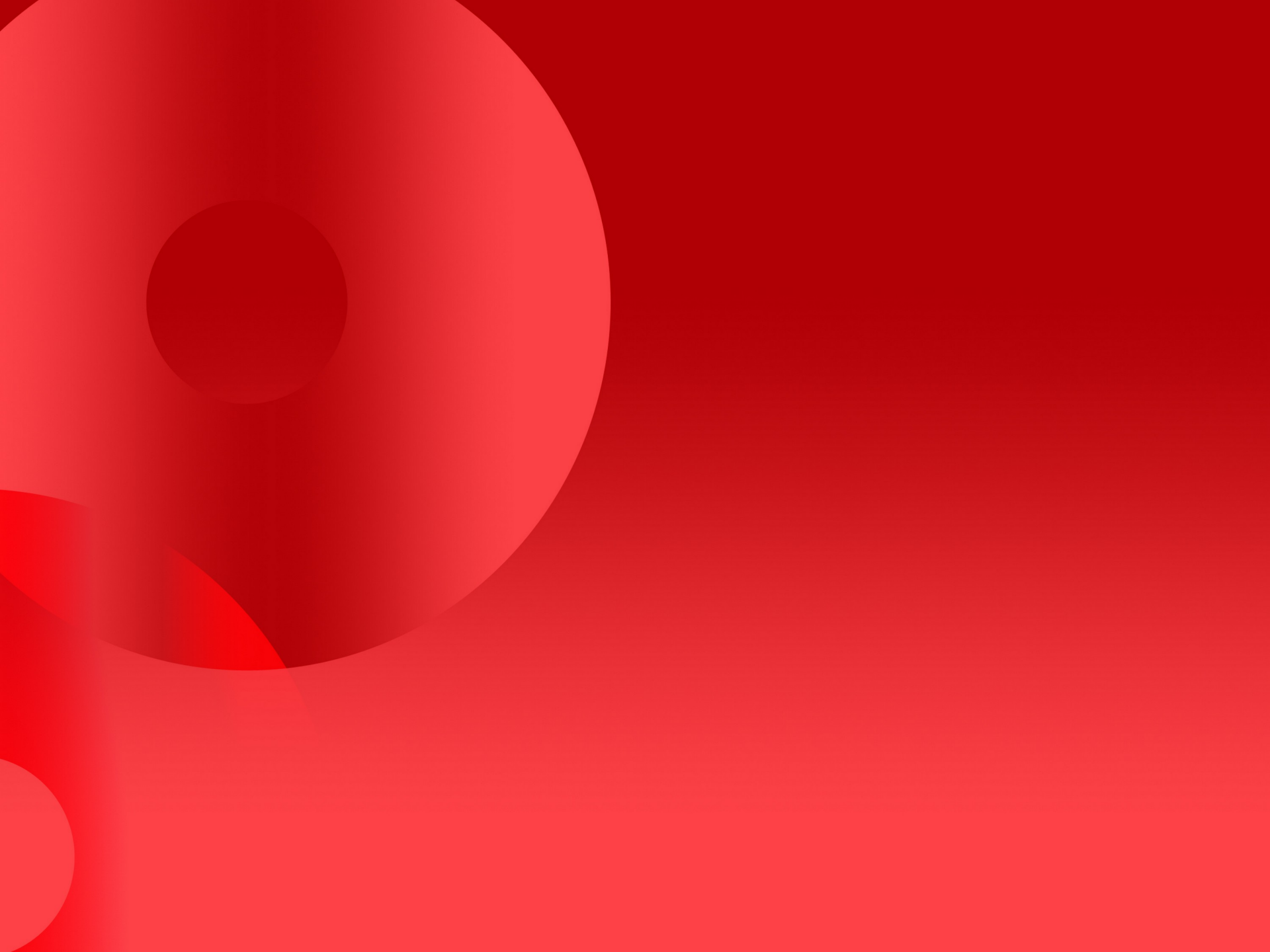


Which do you see first, a vase or two faces?

Organizational Behavior

(MGT-502)

Lecture-9



Emotions and OB Applications



Organizational Behavior

(MGT-502)

Lecture-10

Summary of Lecture-9

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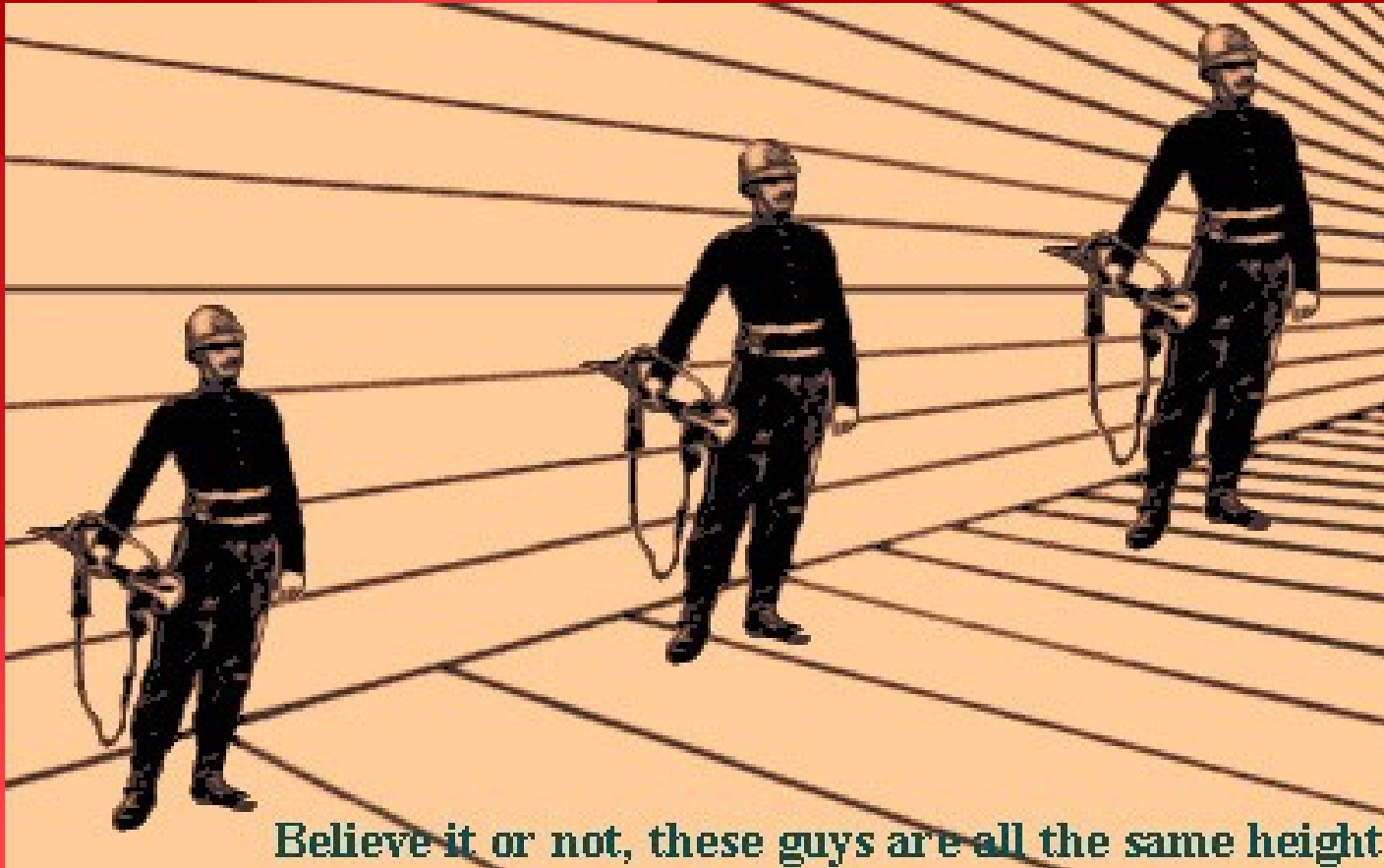
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Today's Topics

Individual Behavior- Perception



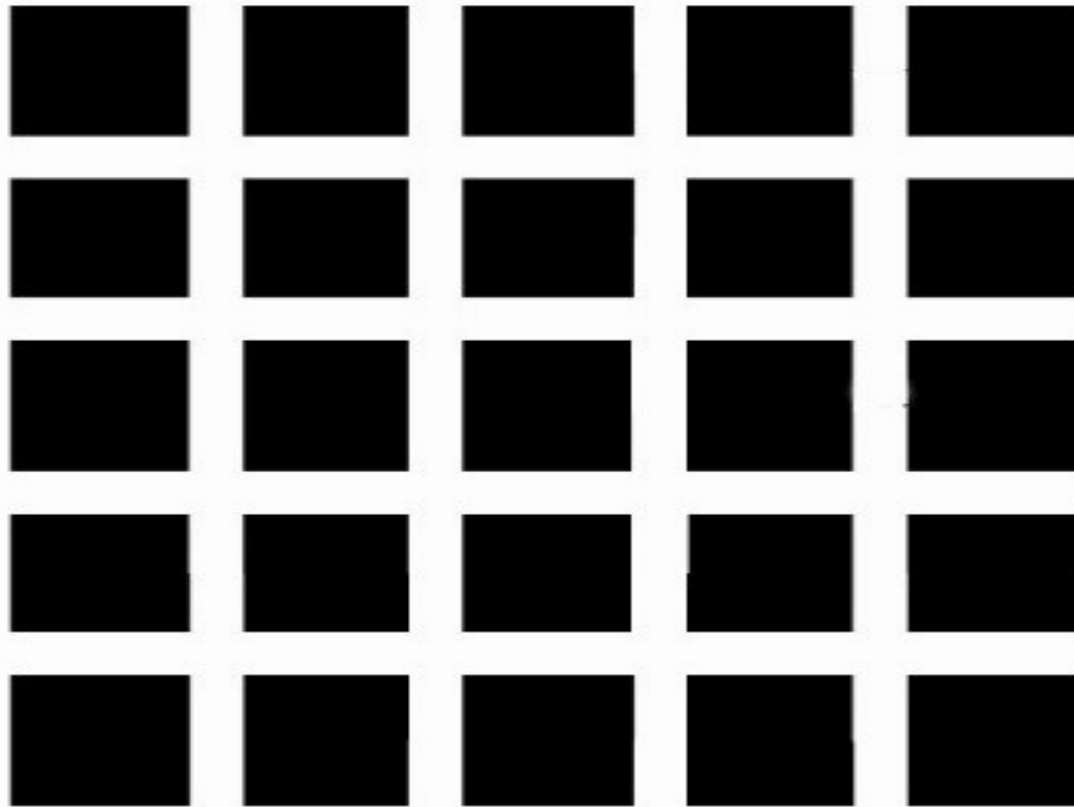
Believe it or not, these guys are all the same height

Perception



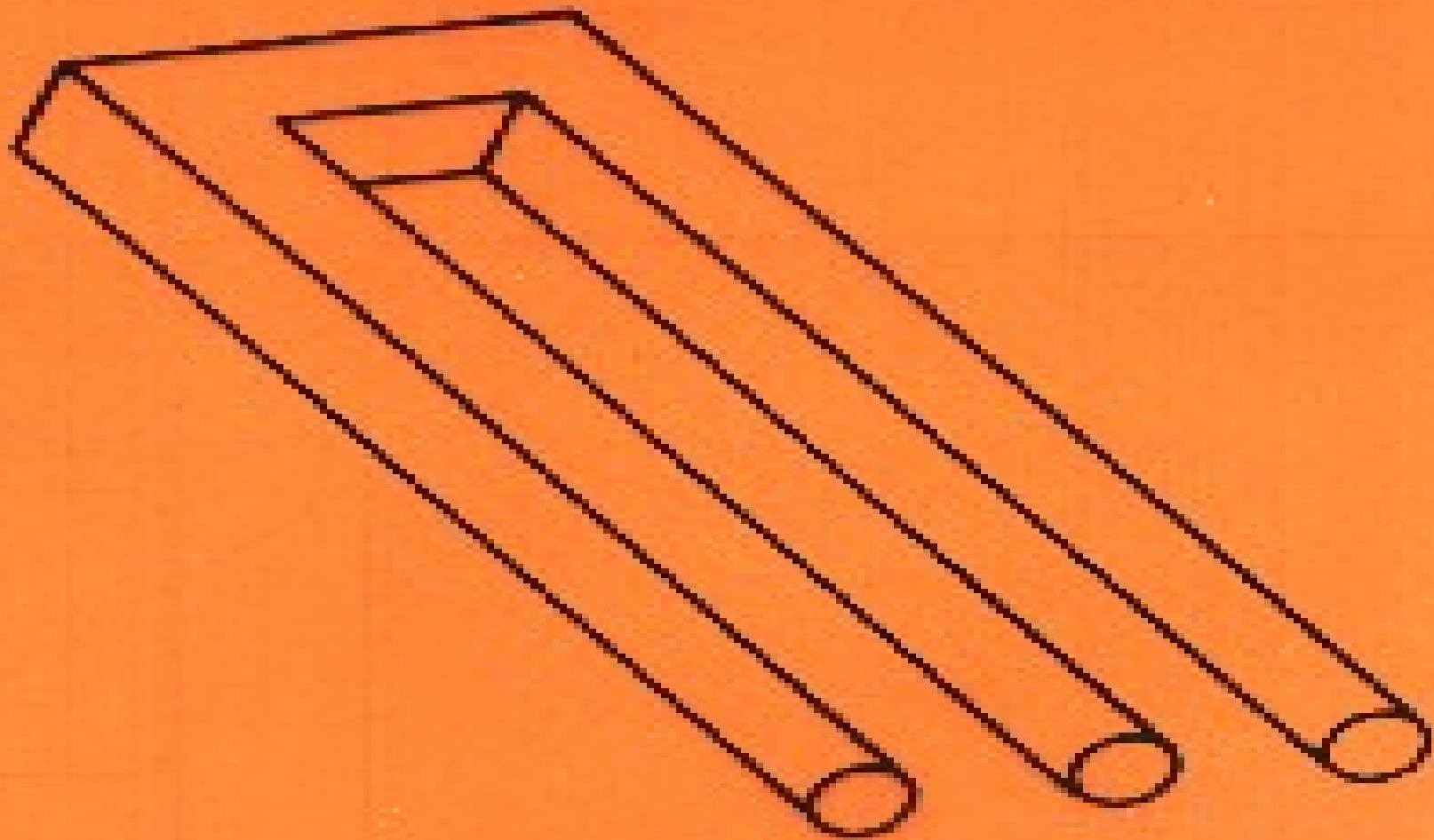
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Perception

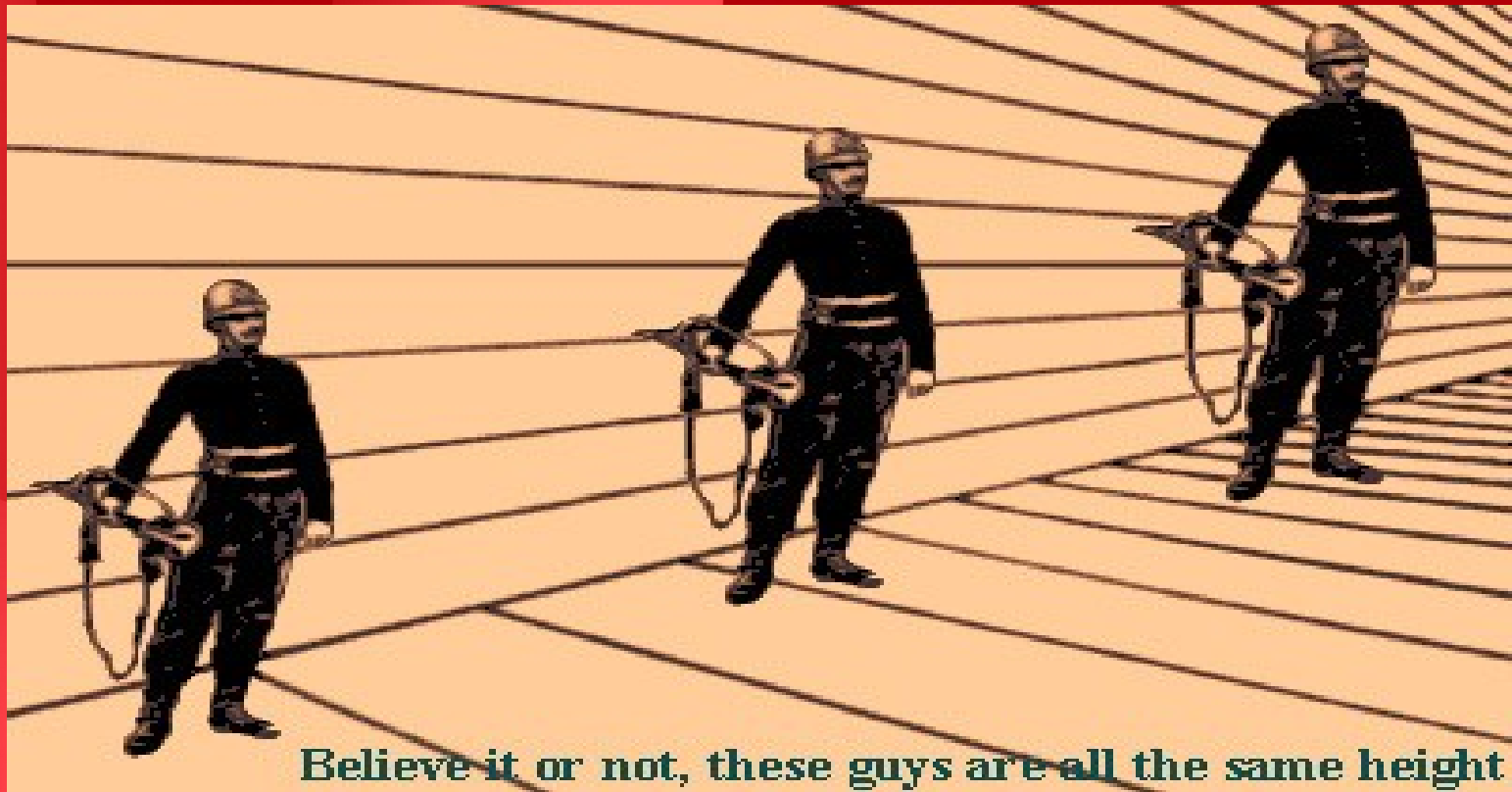


Do you see grey spots in between the corners of the boxes?

B



Perception



Believe it or not, these guys are all the same height

Perception



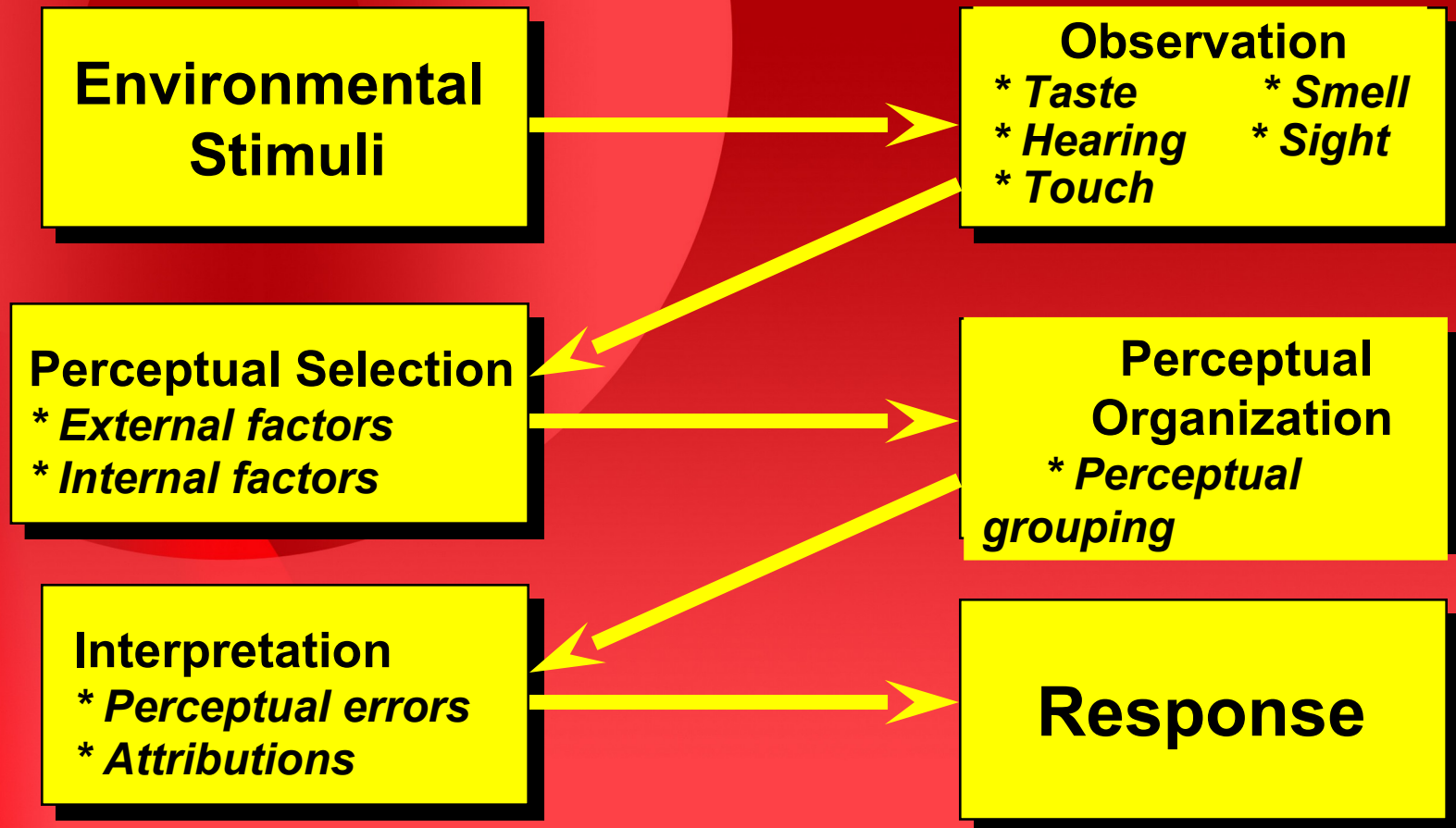
- **What is Perception?**

- A process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.

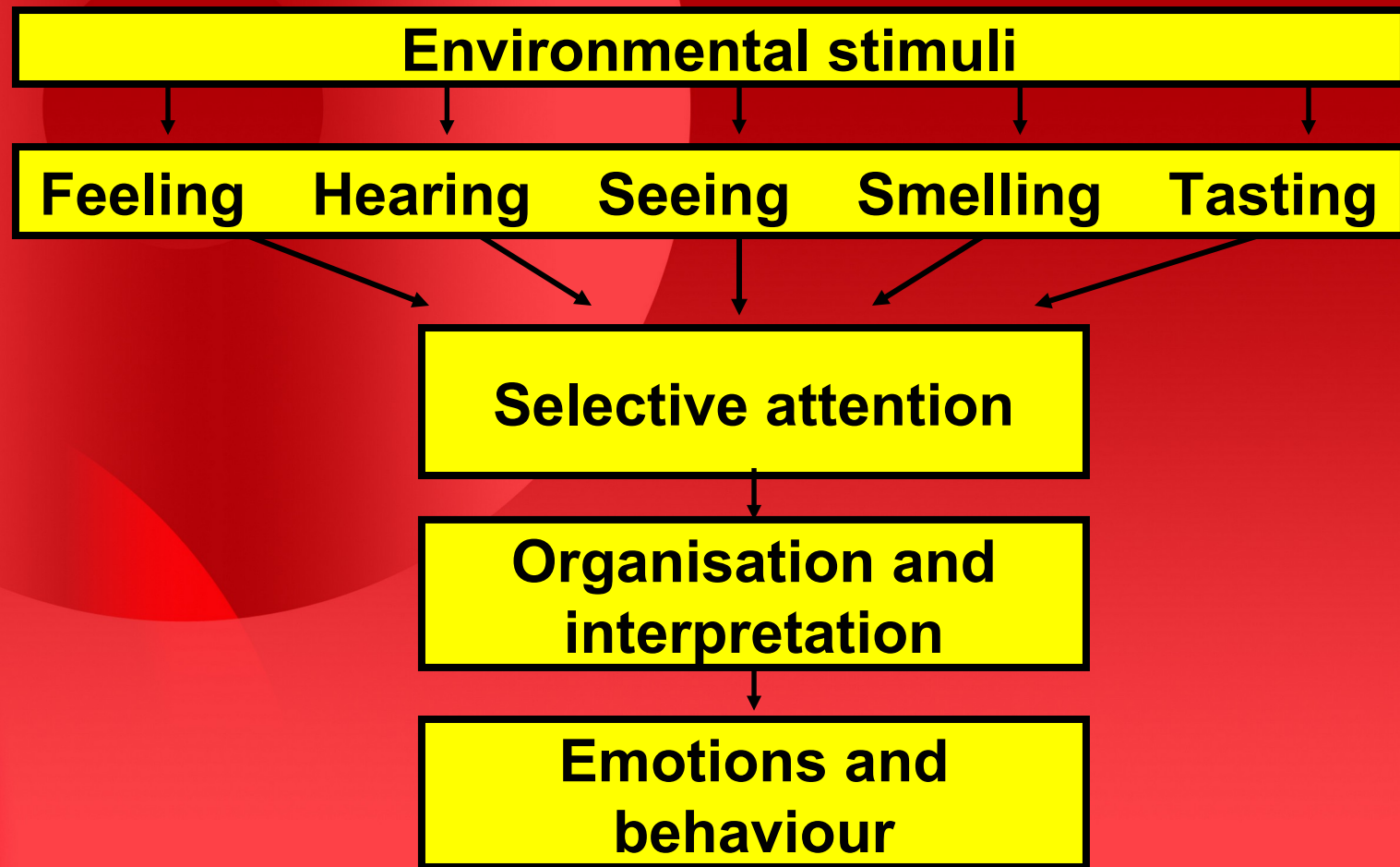
- **Why Is it Important?**

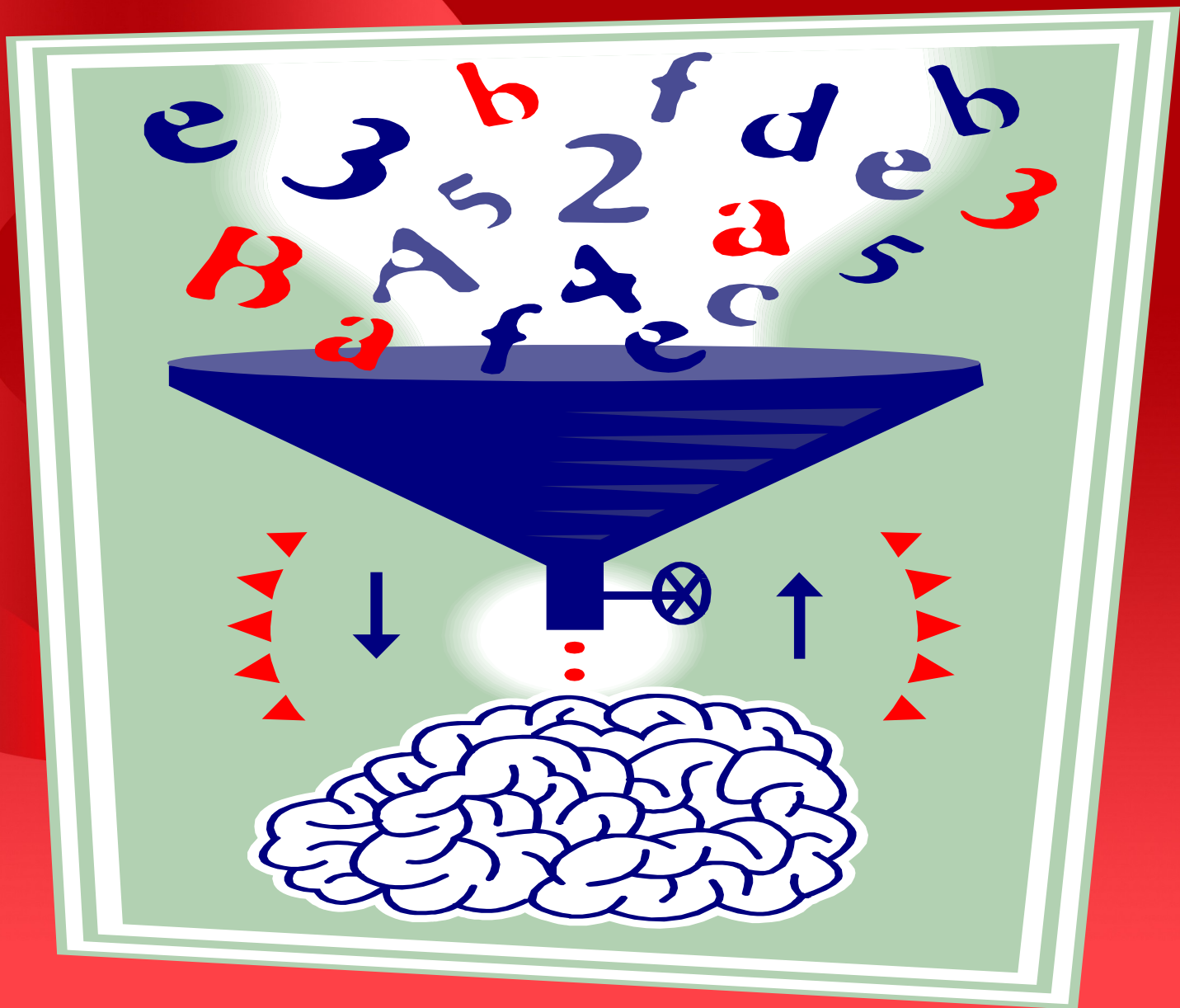
- Because people's behavior is based on their perception of what reality is, not on reality itself.
- *The world that is perceived is the world that is behaviorally important.*

Basic Elements in the Perceptual Process



Perceptual process model





Points about Perception

Perception is the process by which you give meaning to your environment by organizing & interpreting stimuli into a psychological experience.

Because perception varies across individuals, people see the same thing in different ways.

In the eye of the beholder

- Process of response to environmental stimuli
 - Selection
 - Organization
- No two people will necessarily perceive situation the same
- Individuals base behavior on perceived reality



Perception

- A cognitive process: lets a person make sense of stimuli from the environment
- Affects all senses: sight, touch, taste, smell, hearing
- Includes inputs to person and choice of inputs to which the person attends
- Stimulus sources: people, events, physical objects, ideas
- Helps adaptation to a changing environment

Factors Influencing Perception

- The Perceiver
- The Target
- The Situation

Factors that Influence Perception

Factors in the situation

- Time
- Work setting
- Social setting

Factors in the Perceiver

- Attitudes
- Motives
- Interests
- Experience
- Expectations

Perception

Factors in the target

- Novelty
- Motion
- Sounds
- Size
- Background
- Proximity

Perceptual Selection

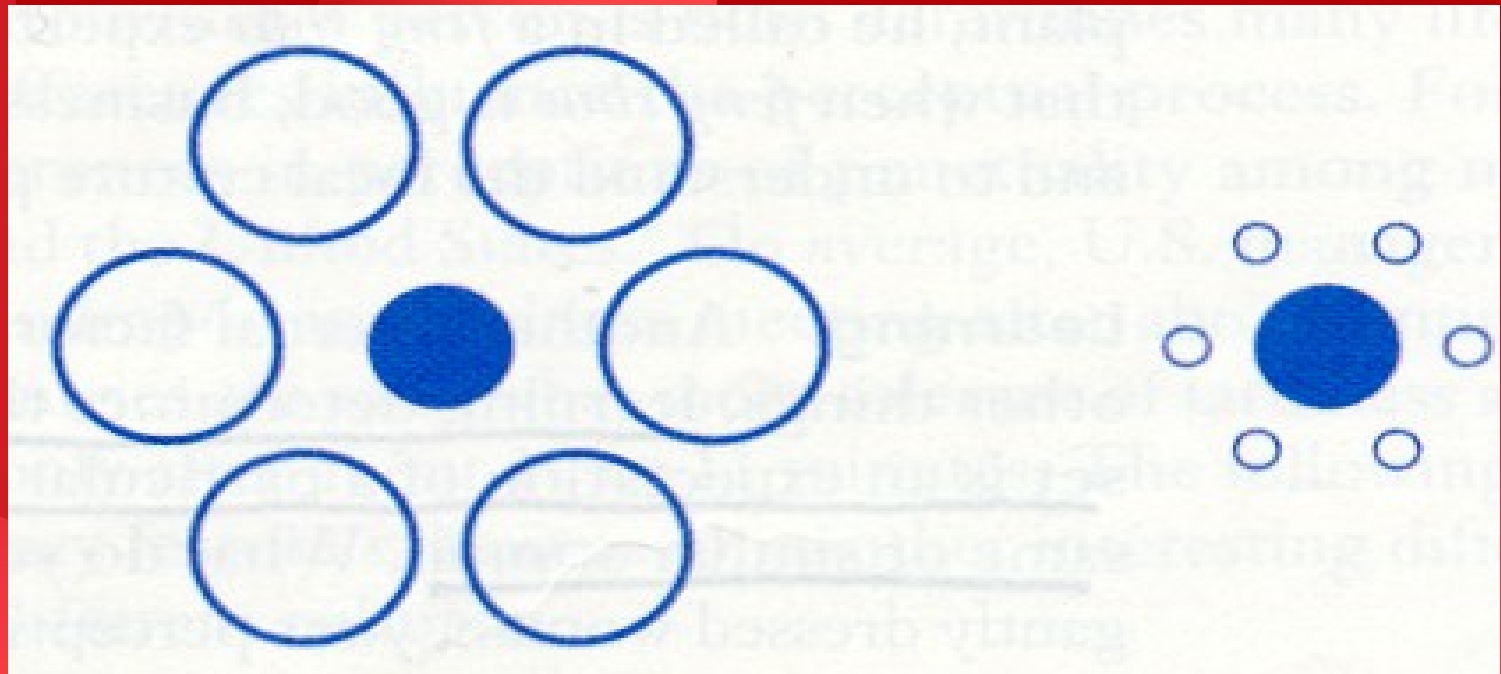
- Filtering process so we can focus only on important stimuli
- Depends on 2 major factors
 - External environment
 - Internal to the one perceiving

External Factors

- **size**

- Intensity (brightness, loudness, etc)
- Contrast
- *Motion*
- Repetition- Repetition- Repetition-
- Novelty/Familiarity

Contrast Effect



Internal Factors

- Personality –
Person Perception
- Learning
 - Perceptual Set
- Motivation
 - Inner needs



Social Perception

The process through which individuals attempt to combine, integrate, and interpret information about others.

Social Perception

Social Perception -
interpreting information
about another person

Social Perception

Social Perception -
interpreting information
about another person

Perceiver Characteristics

- Familiarity with target
- Attitudes/Mood
- Self-Concept
- Cognitive structure

Social Perception

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interpreting information
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- Physical appearance
- Verbal communication
- Nonverbal cues
- Intentions

Social Perception

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Situational Characteristics

- Interaction context
- Strength of situational cues

Barriers to Social Perception

- Selective perception
- Stereotyping
- First-impression error
- The halo effect

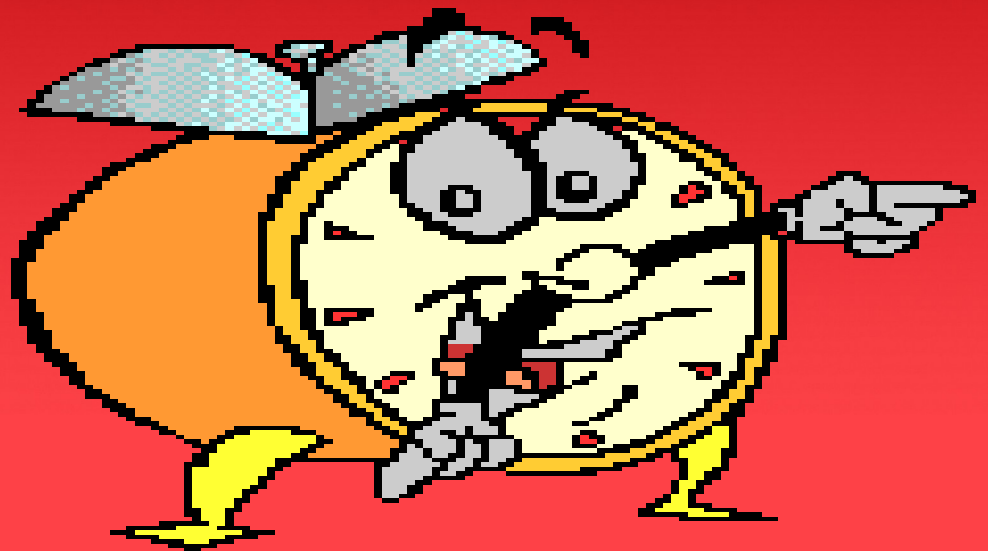


Social Perception -
interpreting information
about another person

Overcoming Bias in Social Perception

- Do not overlook the external causes of others behavior
- Identify and confront your stereotypes
- Evaluate people based on objective factors
- Avoid making rash judgment

Let's stop
it here



Summary

- **What is Perception?**

- A process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.

- **Why Is it Important?**

- Because people's behavior is based on their perception of what reality is, not on reality itself.
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Next....

Organizational Behavior

(MGT-502)

Lecture-10

Organizational Behavior

(MGT-502)

Lecture-11

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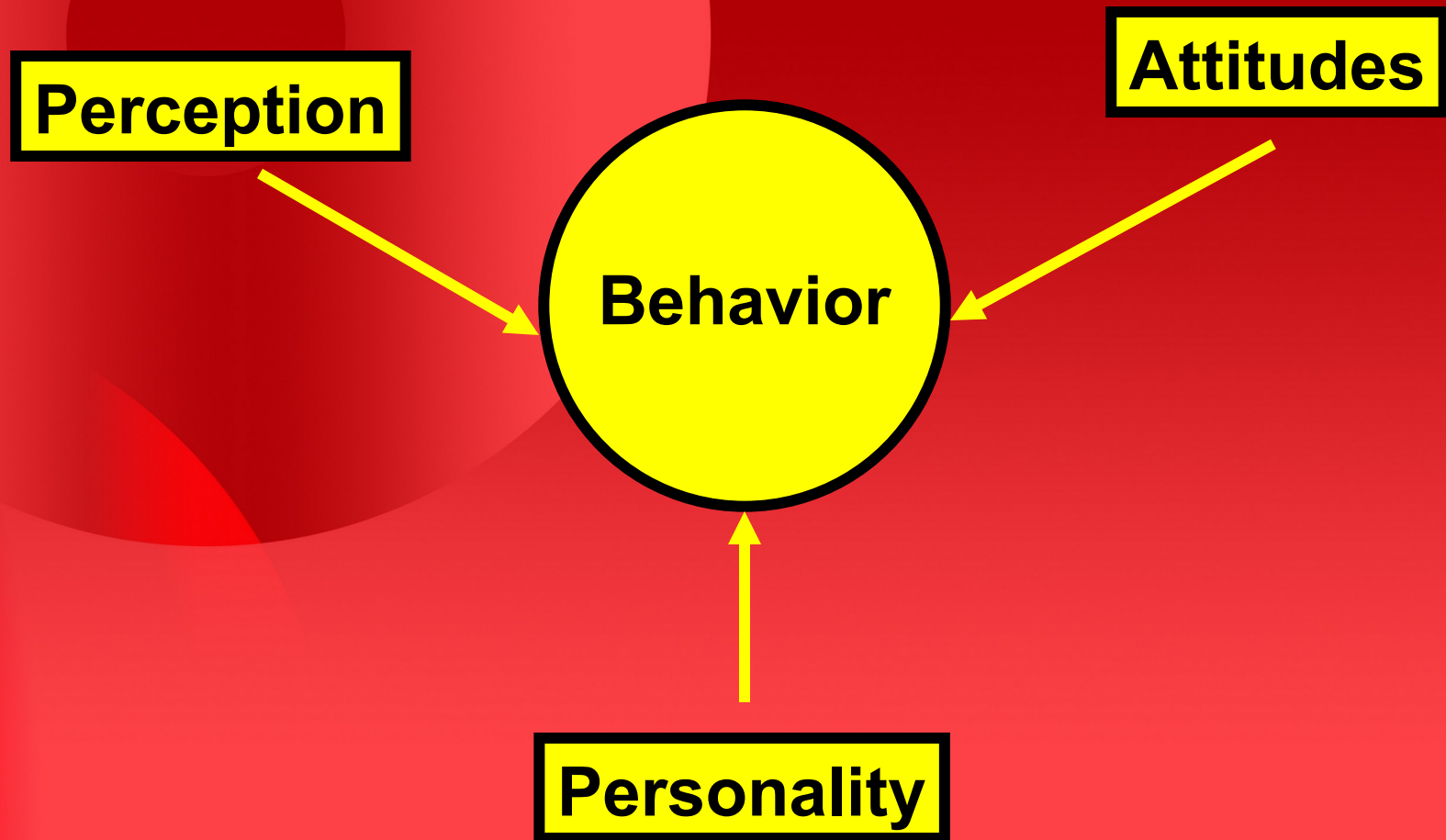
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Today's Topics

Perception, Attitudes, and Personality



Person Perception: Making Judgments about others



Attribution

The Process through which
individuals attempt to
determine the causes of others
behavior

The “Causes”

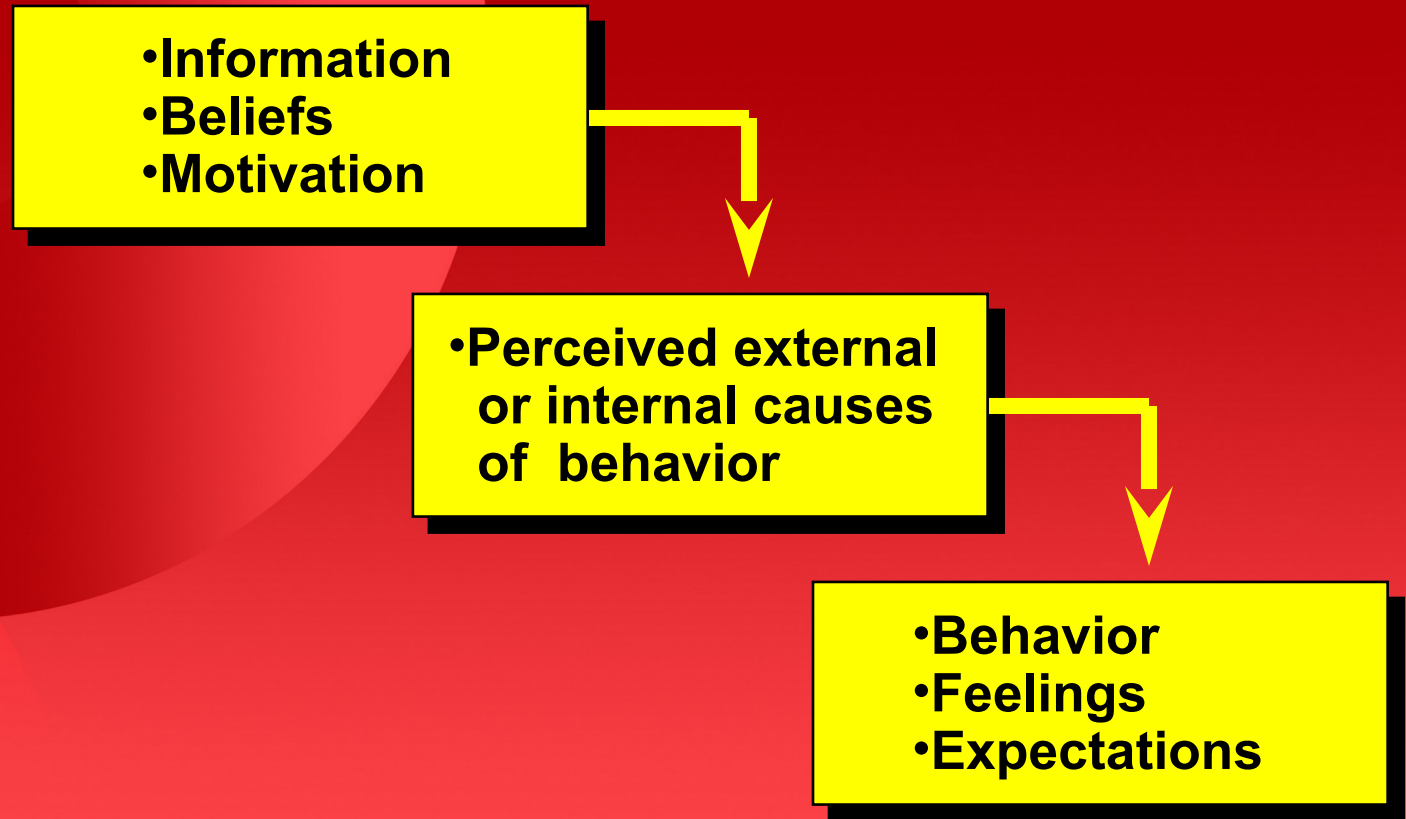
- Assigning a cause helps to make sense of initial behavior
- Was the behavior a real desire or was it from outside pressure??
- **Internal** (personality, motives) causes
- **External** (other people, situation) causes

Attributions - Consequences



- Subsequent behaviors
- Emotions
- Feelings
- Attitudes

The Attribution Process



Attribution Theory

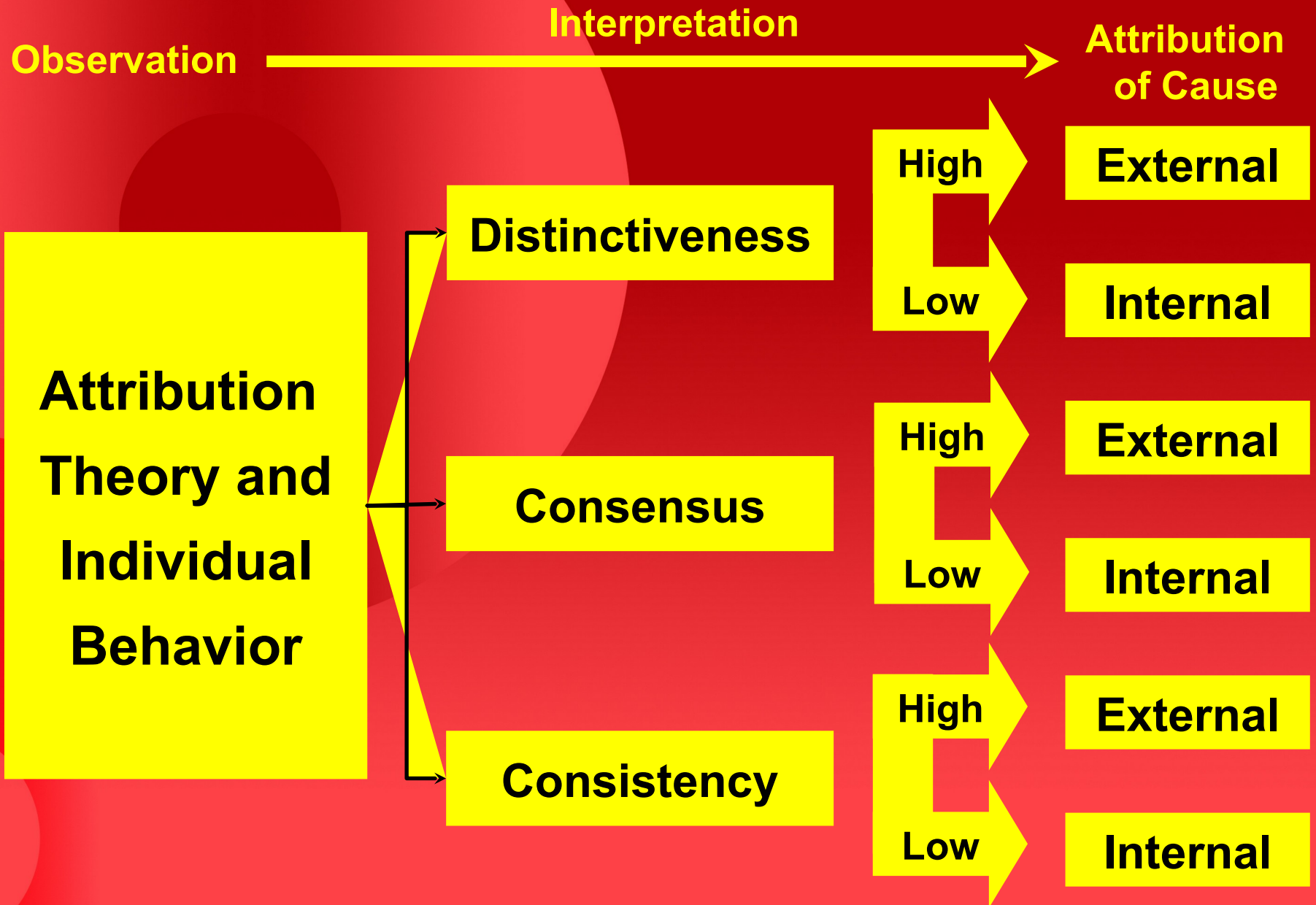
Attribution theory - explains how individuals pinpoint the causes of their own behavior or that of others

Information cues for attribution information gathering

- consensus
- distinctiveness
- consistency

Person Perception: Making Judgments About Others

- **Distinctiveness:** Shows different behaviors in different situations.
- **Consensus:** Response is the same as others to same situation.
- **Consistency:** Responds in the same way over time.



Kelley's Theory of Causal Attribution

The approach suggesting that people will believe others actions to be caused by internal or external factors.

Fundamental Attribution Error

The tendency to attribute others' actions to internal causes (e.g. their traits) while largely ignoring external factors that also may have influenced their behavior.

Self-Serving Bias

- The tendency for individuals to attribute their own successes to internal factors while putting the blame for failures on external factors.

Frequently Used Shortcuts in Judging Others

- **Selective Perception**

- People selectively interpret what they see on the basis of their interest, background, experience, and attitudes.

- **Halo Effect**

- A general impression about an individual is based on a single positive characteristic.

- **Contrast Effects**

- Evaluations of a person's characteristics that are affected by comparisons with other people recently encountered who rank higher or lower on the same characteristics.

- **Projection**

- Attributing one's own characteristics to other people

- **Stereotyping**

- Judging someone on the basis of the group to which he/she belongs.

Specific Applications in Organizations

- **Employment Interview**

- Perceptual biases affect the accuracy of interviewers' judgments of applicants.

- **Performance Expectations**

- Self-fulfilling prophecy: A situation in which one person inaccurately perceives a second person and the resulting expectations cause the second person to behave in ways consistent with the original perception.

- **Performance Evaluations**

- Appraisals are subjective perceptions of performance.

- **Employee Effort**

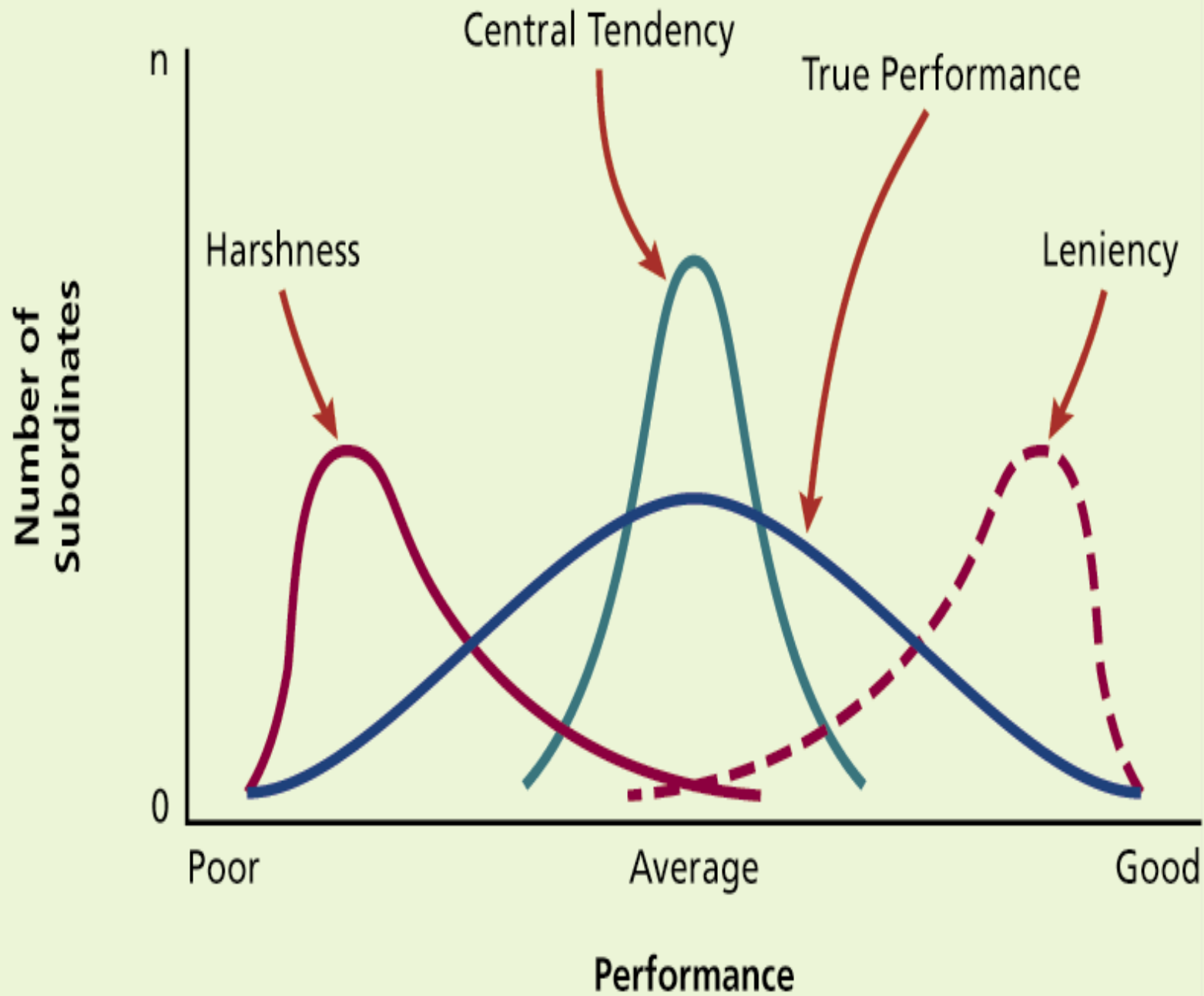
- Assessment of individual effort is a subjective judgment subject to perceptual distortion and bias.

Perception and Performance Appraisal

- **Objective and Subjective Measures**
 - Higher in the organizational hierarchy, it becomes more difficult to find objective measures or quantifiable evidence to use to measure performance.
 - Therefore, organizations rely on subjective measures of effectiveness provided by managers.

Rater Errors

- **Leniency** – The tendency to perceive the job performance of ratees as especially good.
- **Harshness** – The tendency to perceive the job performance of ratees as especially ineffective.
- **Central tendency** – The tendency to assign most ratees to middle-range job performance categories.



- **Halo effect** – The rating of an individual on one trait or characteristic tends to colour ratings on other traits or characteristics.
- **Similar-to-me effect** – A rater gives more favourable evaluations to people who are similar to the rater in terms of background or attitudes.

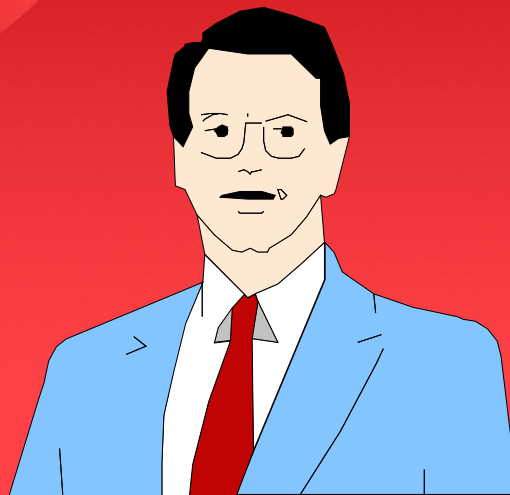
Misperception

Misperception is the cognitive process by which an individual selects and organizes, but misinterprets, environmental stimuli.

Impression Management

Self-presentation

Is the process by which people attempt to manage or control the perceptions other form of them.



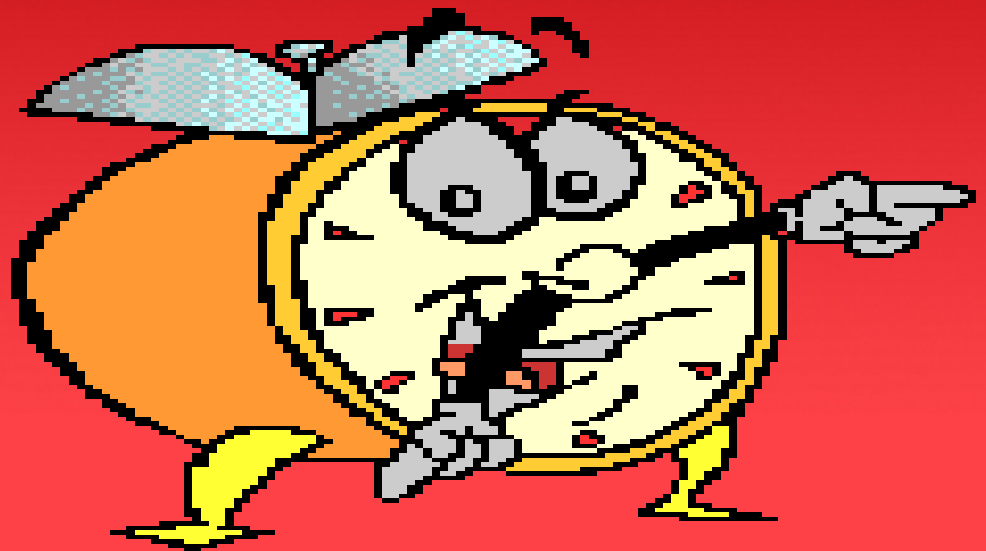
WHAT MATTERS MOST
IS HOW YOU SEE YOURSELF.



Employee Impression Management Strategies

- Demotion-preventative strategies
 - Accounts
 - Apologies
 - Disassociation
- Promotion-enhancing strategies
 - Entitlement
 - Enhancement
 - Obstacles disclosures
 - Association

Let's stop
it here



Summary

Attribution

The Process through which
individuals attempt to
determine the causes of others
behavior

Fundamental Attribution Error

The tendency to attribute others' actions to internal causes (e.g. their traits) while largely ignoring external factors that also may have influenced their behavior.

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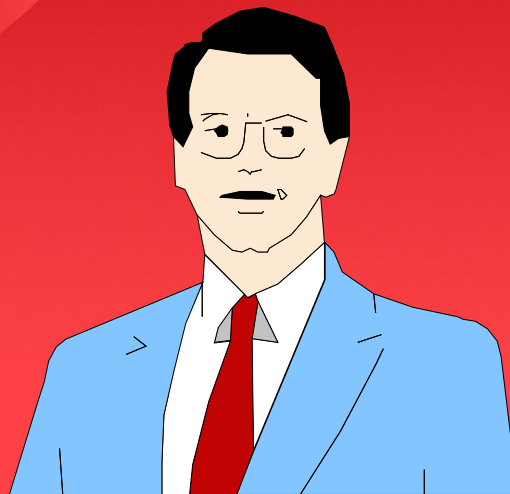
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Next....

Perception & Decision Making

Organizational Behavior

(MGT-502)

Lecture-11

Organizational Behavior

(MGT-502)

Lecture-12

Summary of Lecture-11

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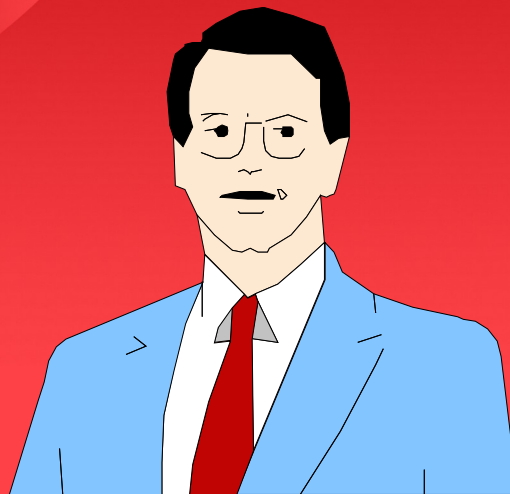
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Today's Topics

Perception & Decision Making

The Link Between Perceptions and Individual Decision Making

Problem: A discrepancy between some current state of affairs and some desired state.



Decisions: The choices made from among two or more alternatives.

**Perceptions
of the
decision
maker**

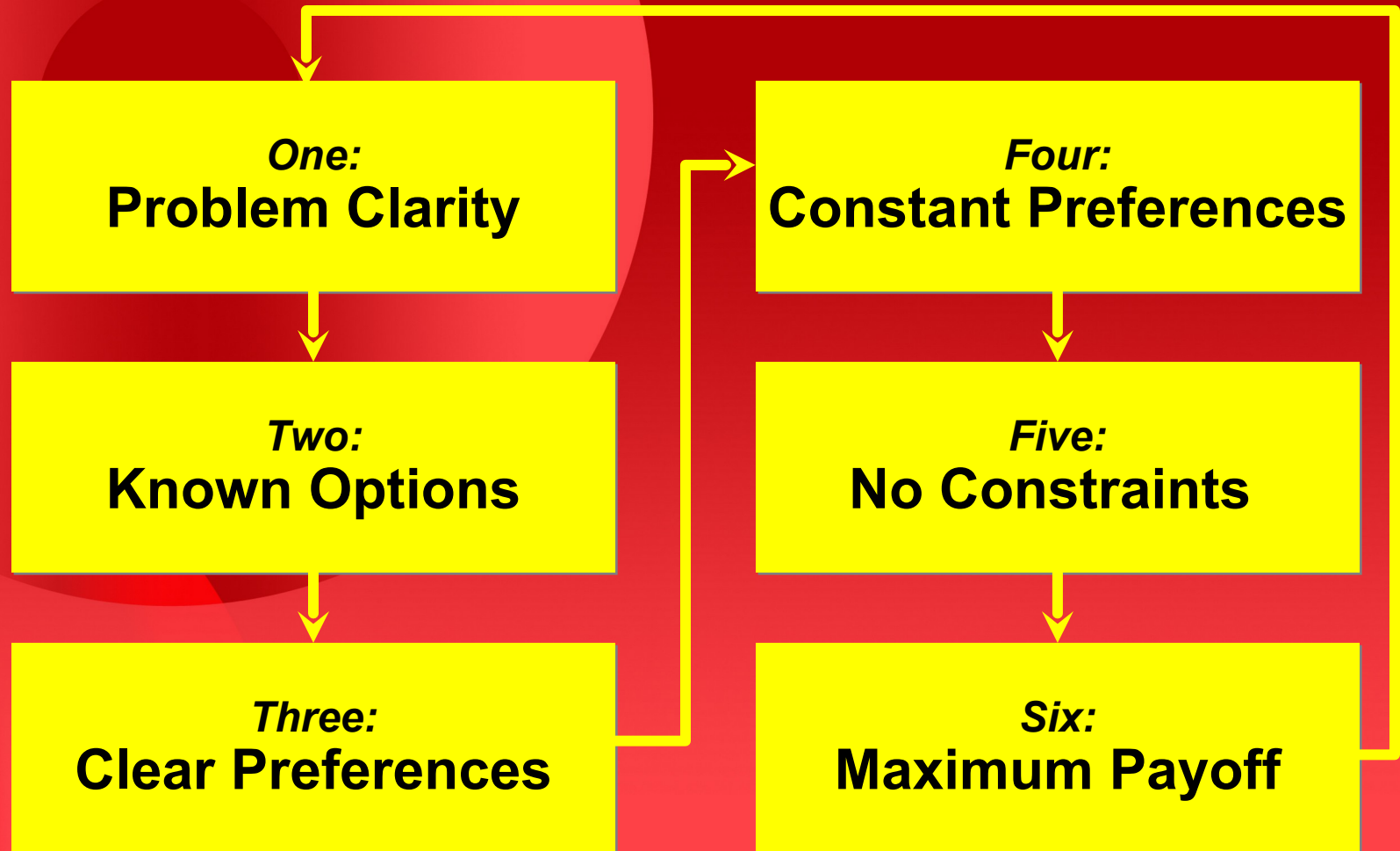


Outcomes

Rational Decision-Making Model

A decision-making model that describes how individuals should behave in order to maximize some outcomes.

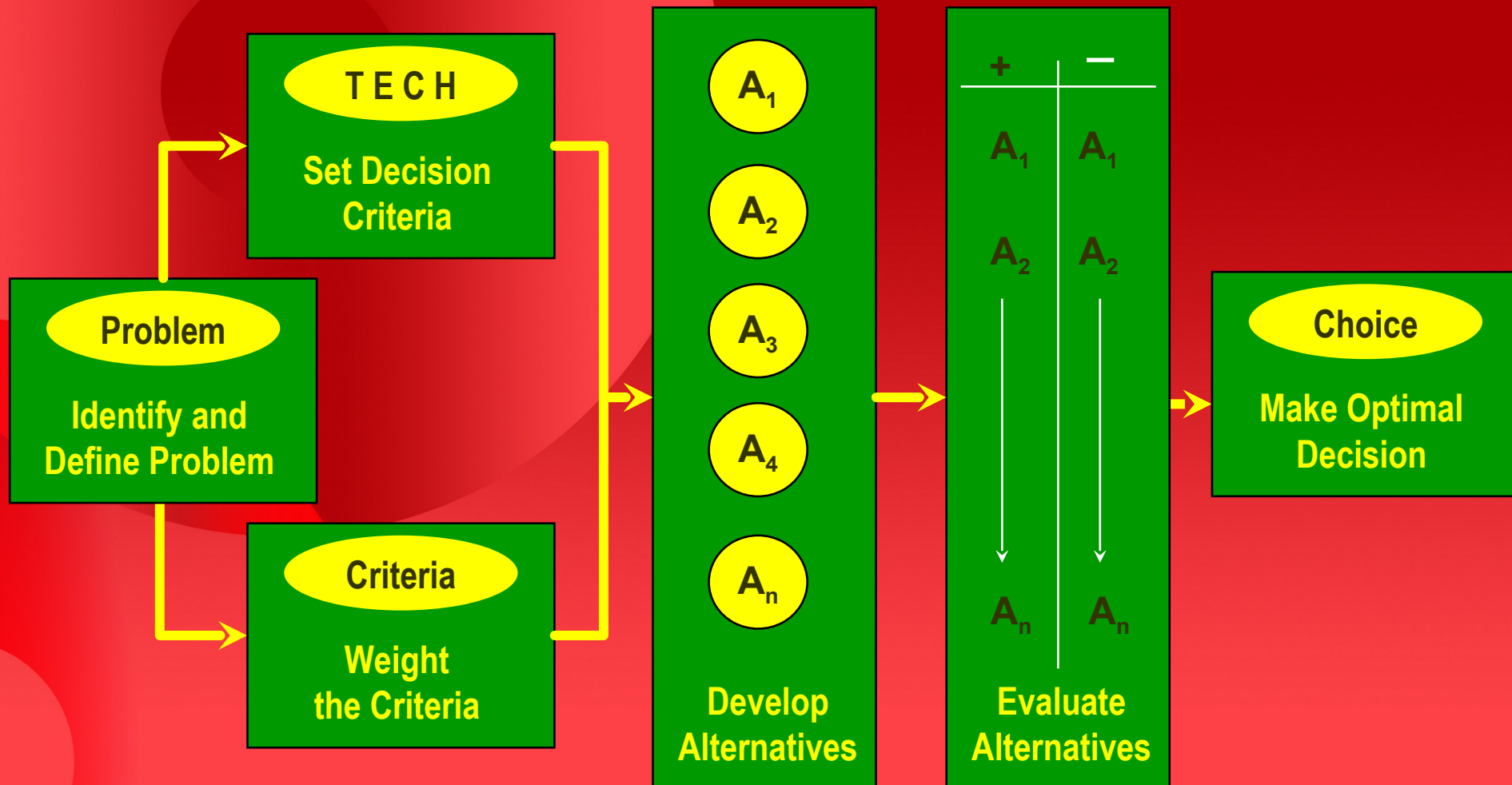
Assumptions of the Rational Decision-Making Model



Steps in the Rational Decision-Making Model

1. Define the problem.
2. Identify the decision criteria.
3. Allocate weights to the criteria.
4. Develop the alternatives.
5. Evaluate the alternatives.
6. Select the best alternative.

Rational Model of Decision Making



Problem Solving Vs Decision Making

- **Problem solving:** finding the root cause of a deviation (cause analysis)
- **Decision making:** choosing from alternative courses of action (choice analysis)

Problem solving

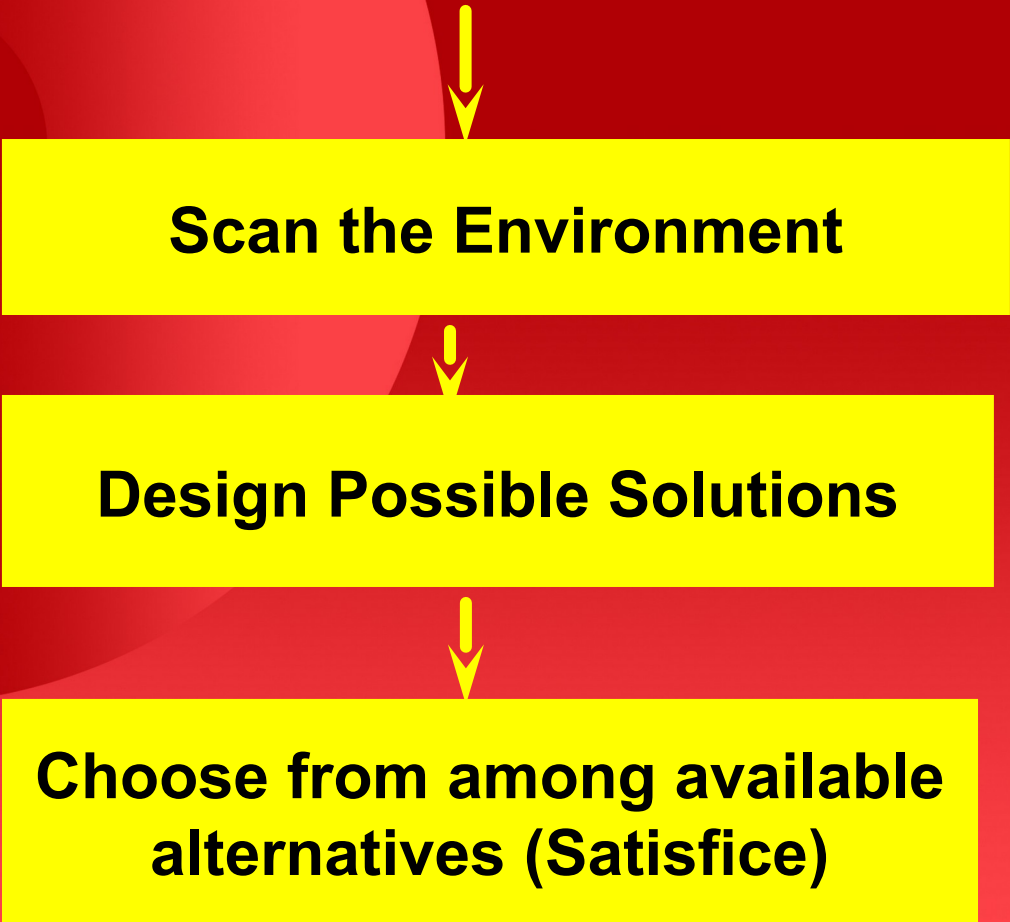


Decision making

Alternatives to Rational Decision- Making

- Bounded Rationality
- Intuitive Decision-making
- Decision-Making by Objection
- The Garbage Can Model

Bounded Rationality



```
graph TD; A[Bounded Rationality] --> B[Scan the Environment]; B --> C[Design Possible Solutions]; C --> D[Choose from among available alternatives (Satisfice)]
```

Scan the Environment

Design Possible Solutions

**Choose from among available
alternatives (Satisfice)**

Intuitive Decision-Making

Intuitive Model

```
graph LR; A[Intuitive Model] --- B[Rely on Experience ("Gut Feeling")]; A --- C[Use Personal Assessment (Compatibility Test)];
```

The diagram illustrates the components of the Intuitive Model. A central box labeled 'Intuitive Model' is connected by a yellow line to two other boxes. The top box is labeled 'Rely on Experience ("Gut Feeling")' and the bottom box is labeled 'Use Personal Assessment (Compatibility Test)'.

**Rely on Experience
("Gut Feeling")**

**Use Personal Assessment
(Compatibility Test)**

Decision-Making by Objection

- Don't make matters worse.
- Form rough description of acceptable resolution.
- Propose a course of action.
- Secure objections - they set the boundaries.
- Repeat process, creating several courses of action.

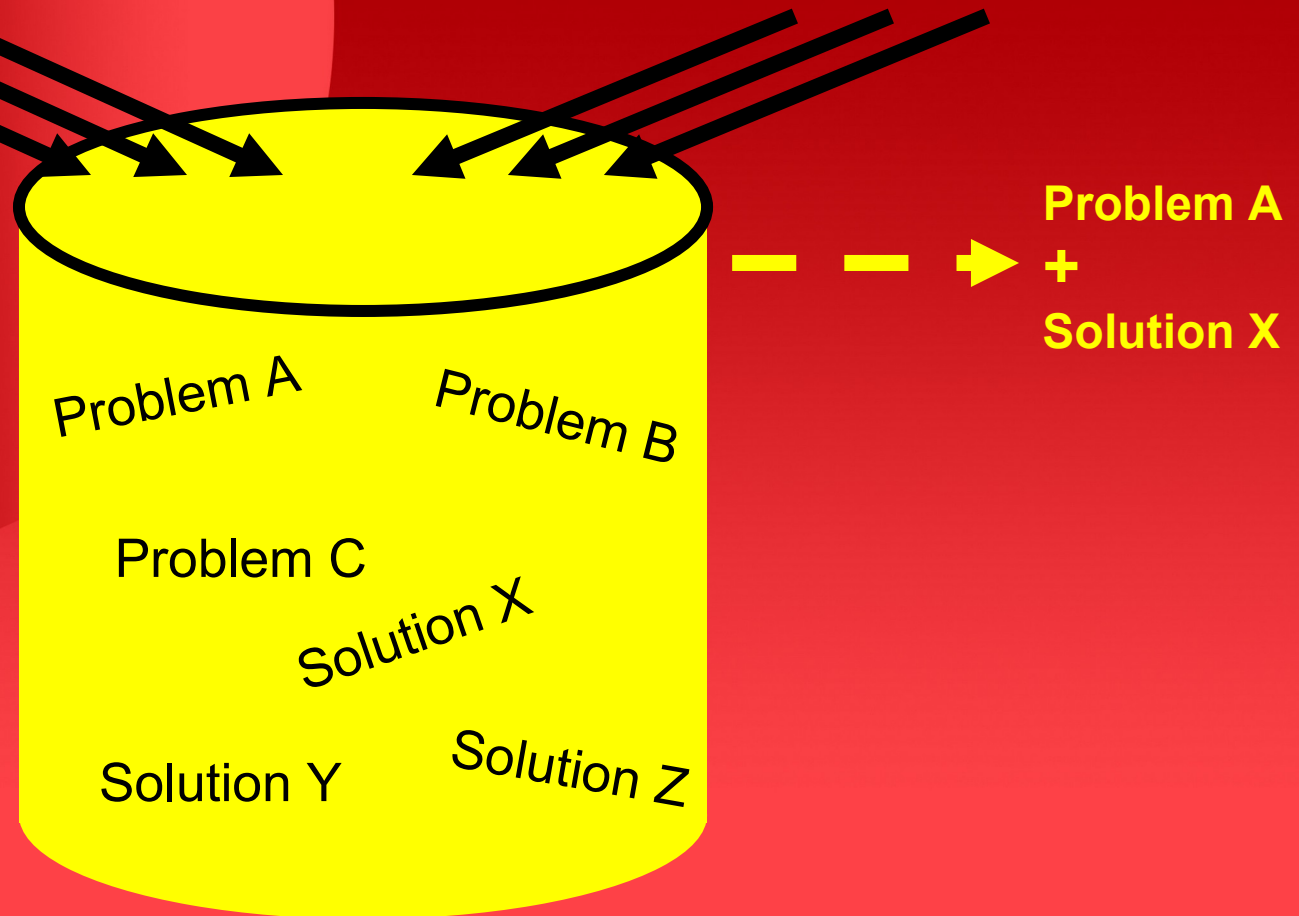
The Garbage Can Model

- Problems and solutions change.
- Problems and solutions often present themselves simultaneously.
- Pair problems and solutions.

The Garbage Can Model

Solutions

Problems



How are Decisions Actually Made in Organizations

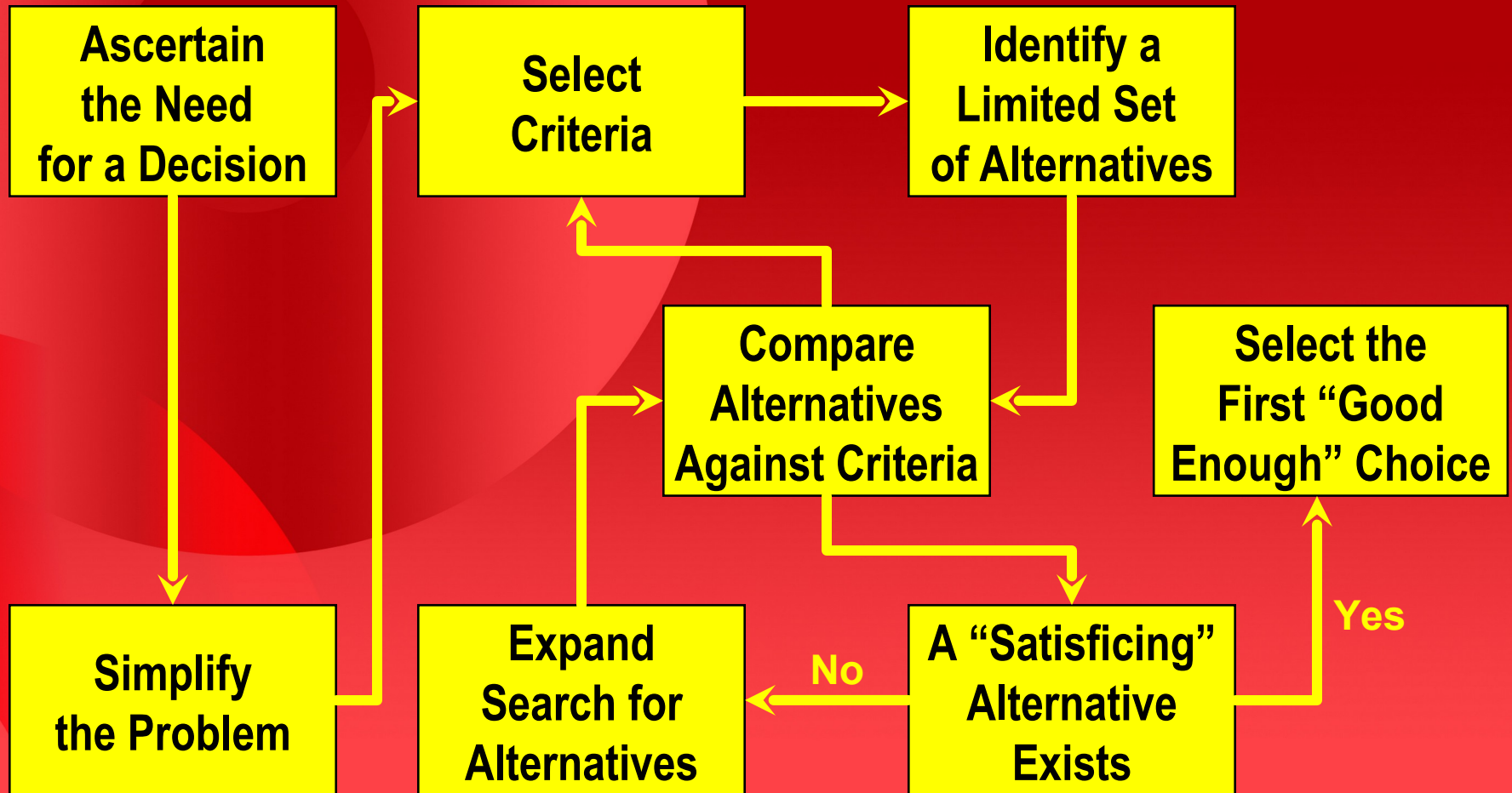
- **Bounded Rationality**

- individuals make decisions by constructing simplified models that extract the essential features from problems without capturing all their complexity.

- **Intuitive Decision Making**

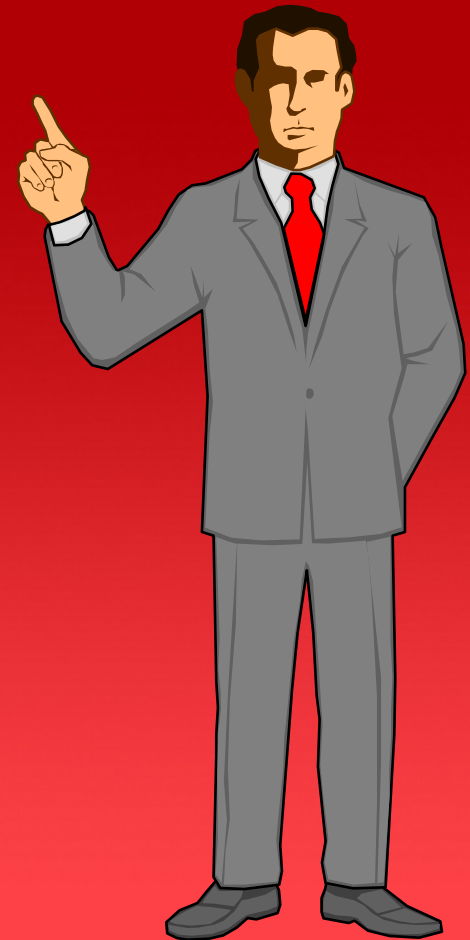
- An unconscious process created out of distilled experience.

A Model of Bounded Rationality



Intuitive Decision Making

- ♦ High uncertainty levels
- ♦ Little precedent
- ♦ Hard to predictable variables
- ♦ Limited facts
- ♦ Unclear sense of direction
- ♦ Analytical data is of little use
- ♦ Several plausible alternatives
- ♦ Time constraints

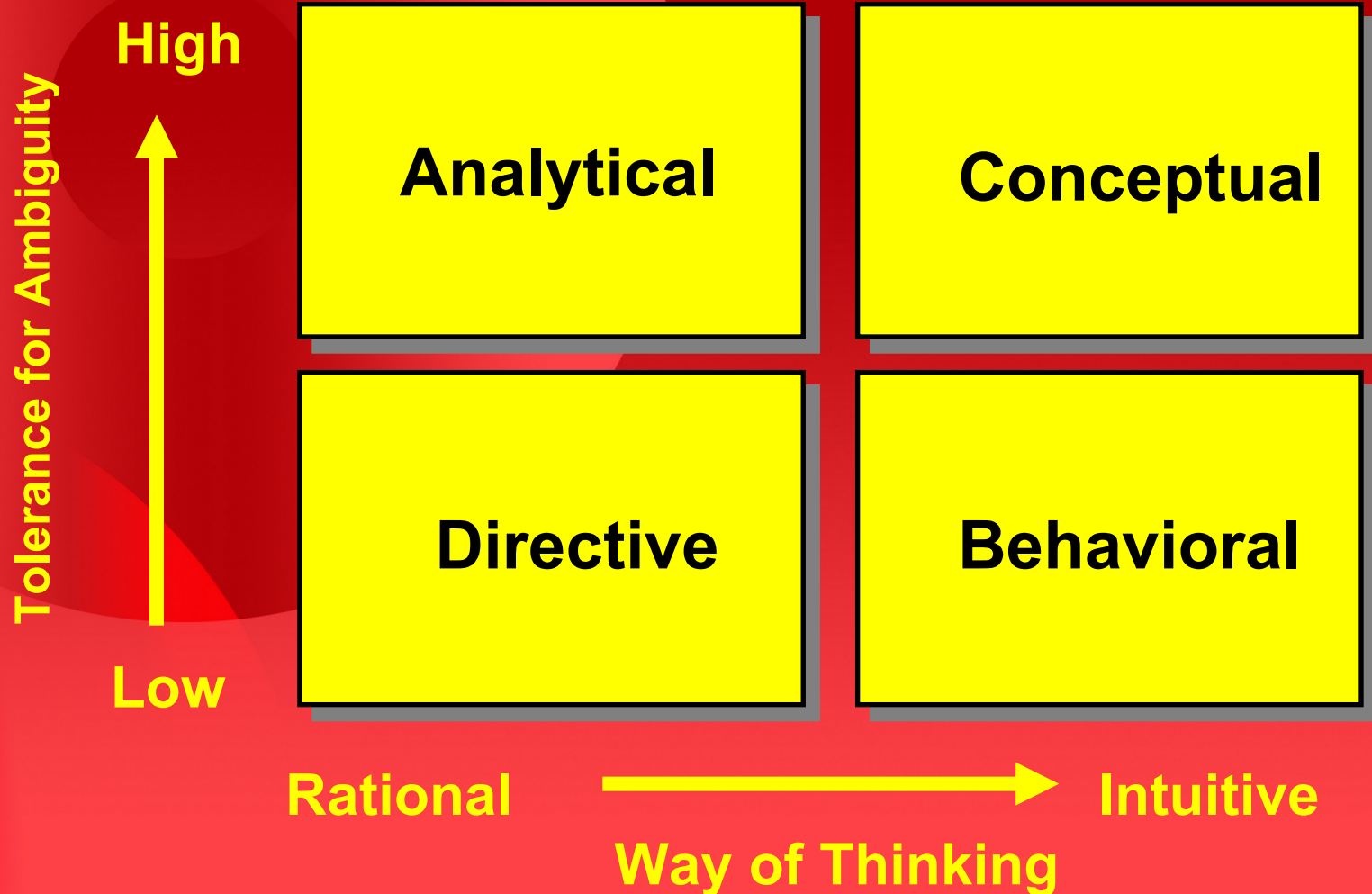


Decision-Making Styles

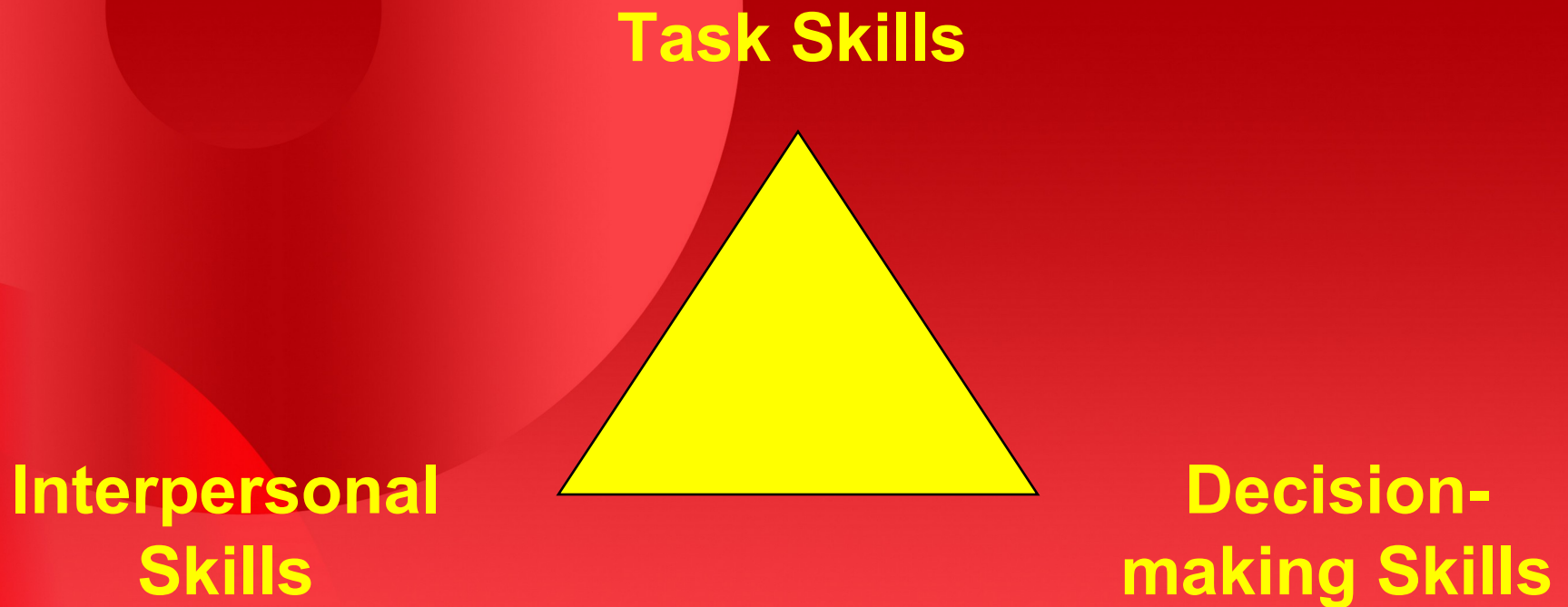
Research on decision styles has identified four different individual approaches to making decisions.

- **Directive Style** -- people using this style have a low tolerance for ambiguity and seek rationality.
- **Analytic Style** -- people using this style have a much greater tolerance for ambiguity than do directive decision makers.
- **Conceptual Style** -- people tend to be very broad in their outlook and consider many alternatives
- **Behavioral Style** -- people who tend to work well with others.

Decision-Style Model



The Skill Triangle



Organizational Constraints on Decision Makers

- **Performance Evaluation**
 - Evaluation criteria influence the choice of actions.
- **Reward Systems**
 - Decision makers make action choices that are favored by the organization.
- **Formal Regulations**
 - Organizational rules and policies limit the alternative choices of decision makers.
- **System-imposed Time Constraints**
 - Organizations require decisions by specific deadlines.
- **Historical Precedents**
 - Past decisions influence current decisions.

Cultural Differences in Decision Making



- Problems selected
- Time orientation
- Importance of logic and rationality
- Belief in the ability of people to solve problems
- Preference for collect decision making

Ethics in Decision Making

- **Utilitarianism**

- Seeking the greatest good for the greatest number.

- **Rights**

- Respecting and protecting basic rights of individuals.

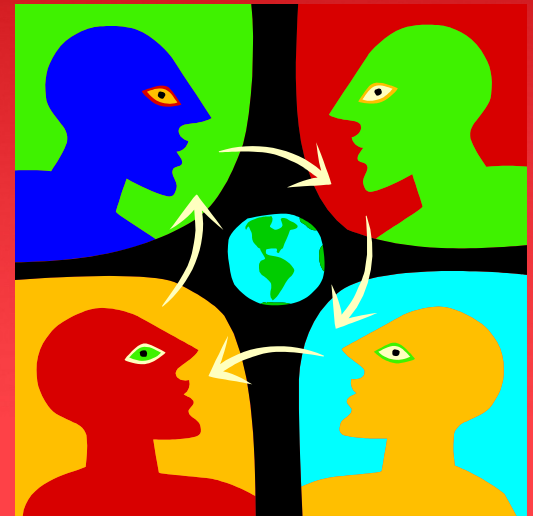
- **Justice**

- Imposing and enforcing rules fairly and impartially.

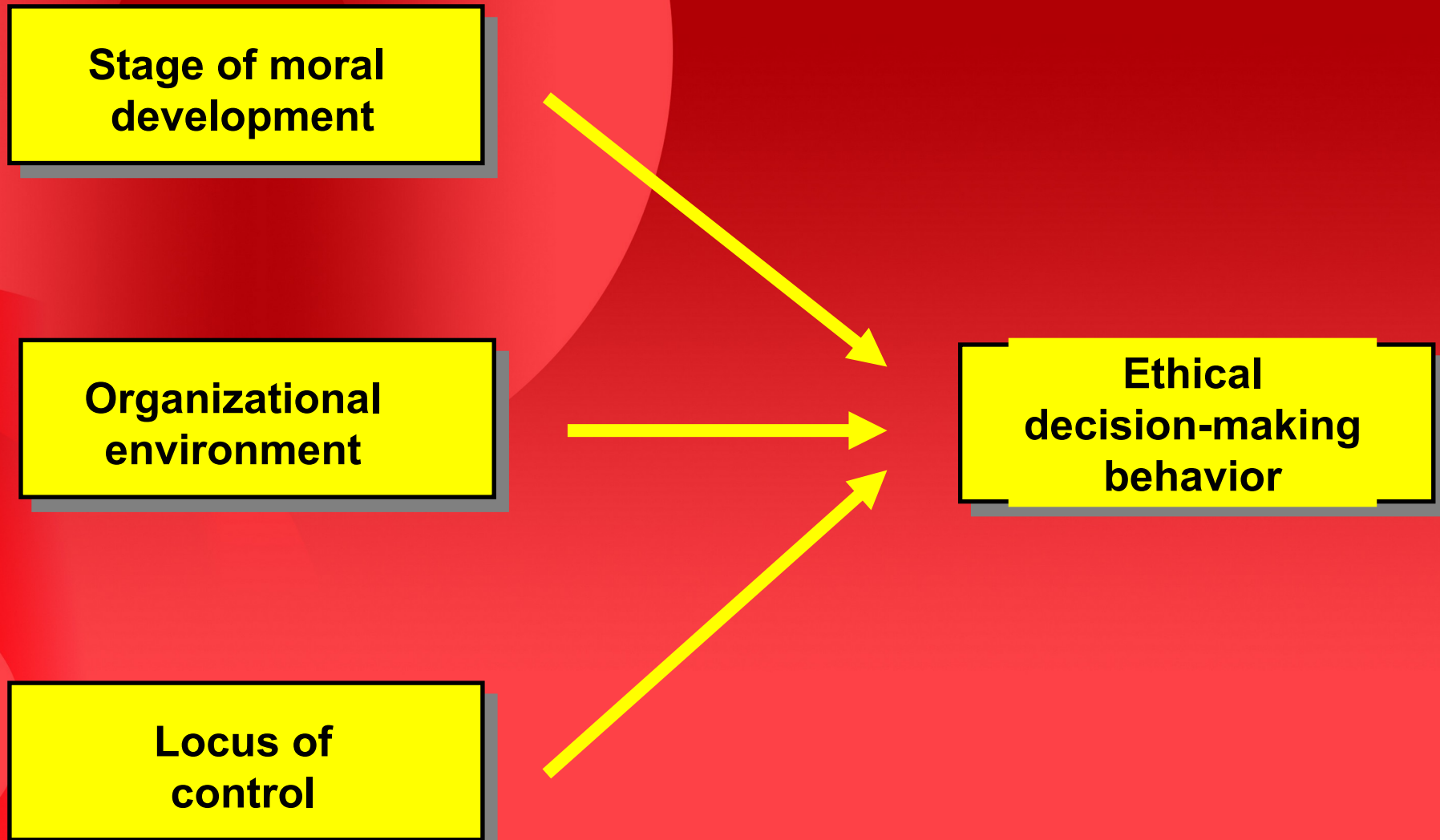


Ethics in Decision Making

- Ethics and National Culture
 - There are no global ethical standards.



Factors Affecting Ethical Decision-Making Behavior



Criteria of Decision Effectiveness

- Quality
- Timeliness
- Acceptance
- Ethical Appropriateness

Two Important Decision-Making Phases



```
graph TD; A[Two Important Decision-Making Phases] --> B[Problem Identification]; A --> C[Alternative Development]
```

**Problem
Identification**

**Alternative
Development**

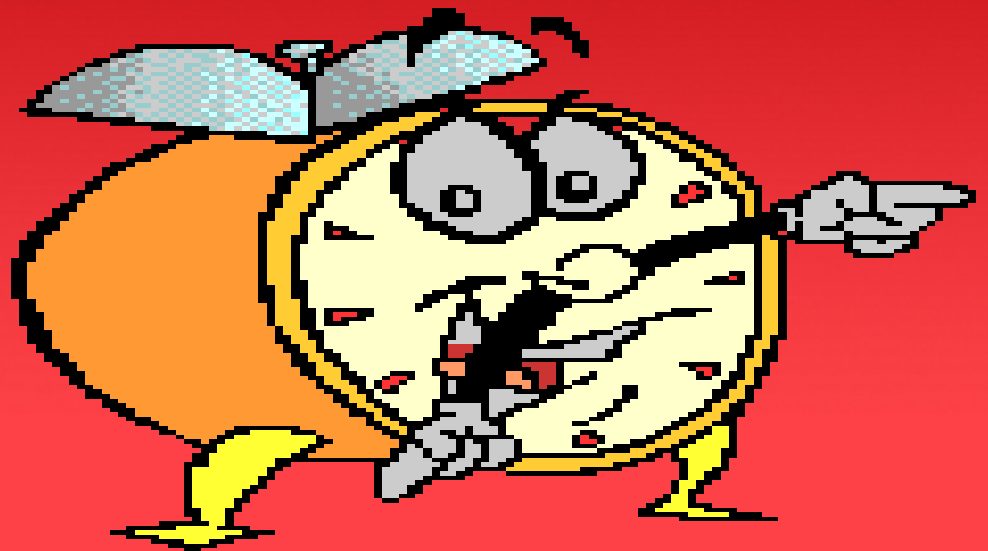
Types of Managerial Decisions

- Programmed vs. Nonprogrammed
- Strategic vs. Operational
- Top-Down vs. Worker-Empowered

Methods of Improving Decision Making in Organizations

- Human-based Methods
- Computer-based Methods
- Brainstorming
- Nominal Group Technique
- Delphi Method

Let's stop
it here



Summary

Perception & Decision Making

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Next....

Motivation

A state of mind, desire, energy
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Organizational Behavior

(MGT-502)

Lecture-12

Organizational Behavior

(MGT-502)

Lecture-13



Summary of Lecture-12

Perception



Factors Influencing Perception

- The Perceiver
- The Target
- The Situation

Attribution

The Process through which
individuals attempt to
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behavior

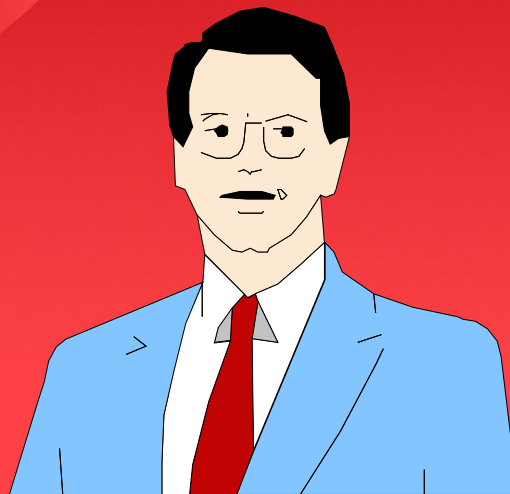
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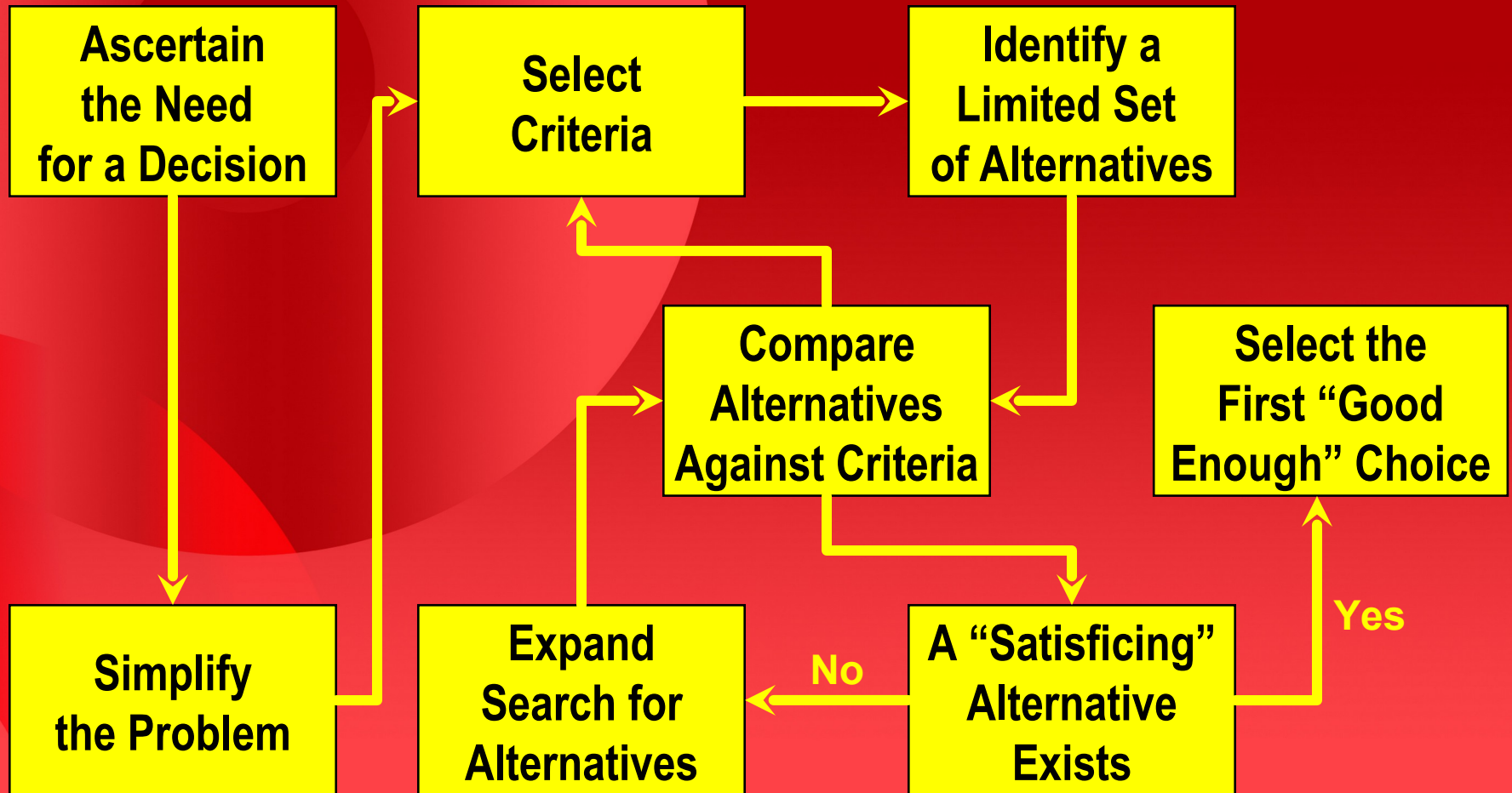
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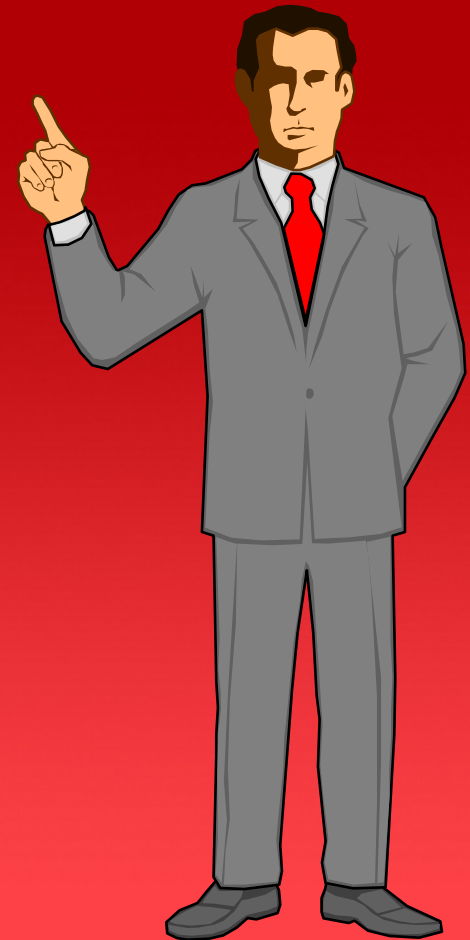
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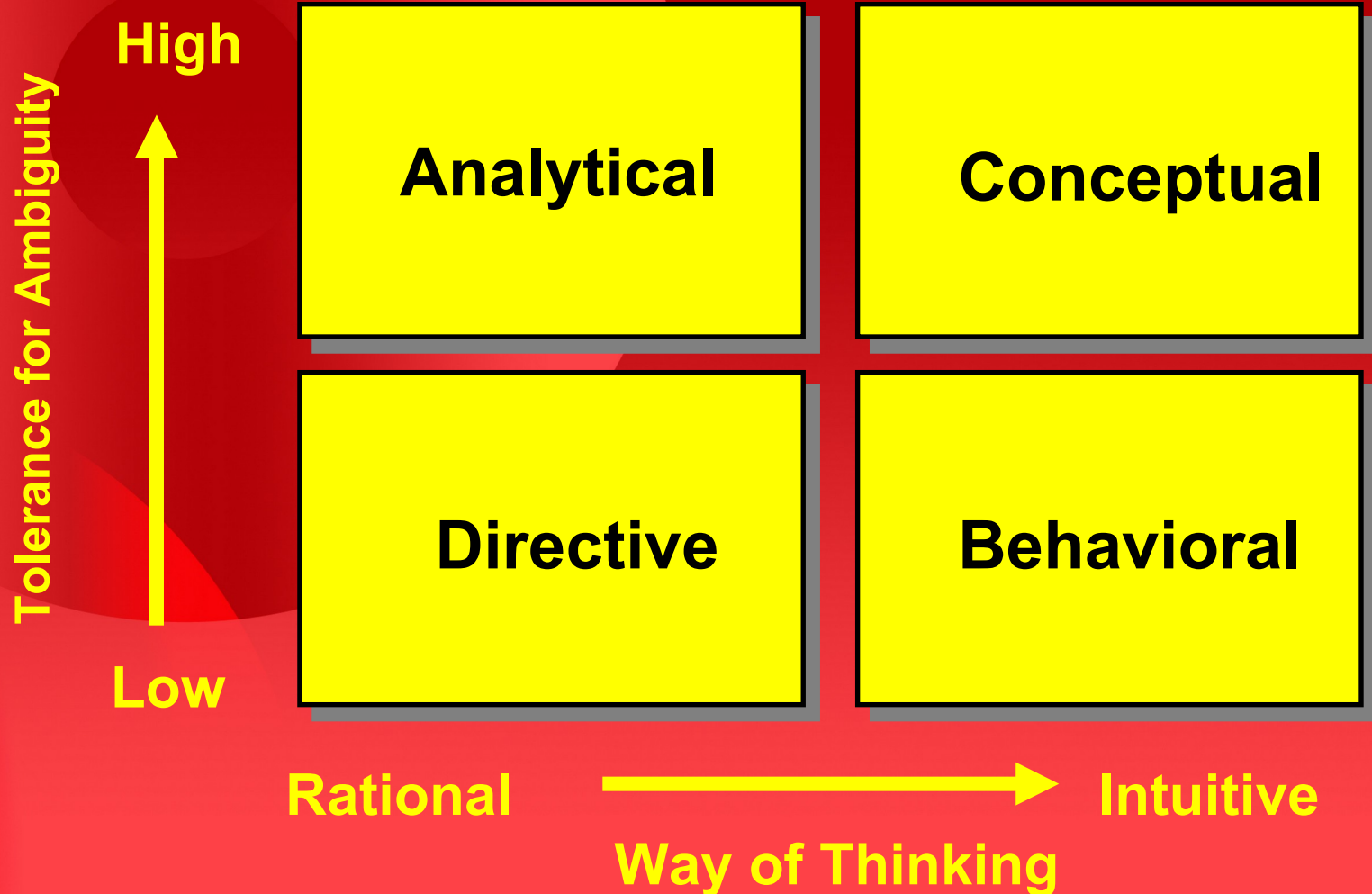


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Today's Topics

Motivation

A state of mind, desire, energy or interest that translates into action.

• **Motivation**

– *The inner drive that directs a person's behavior toward goals.*

Defining Motivation

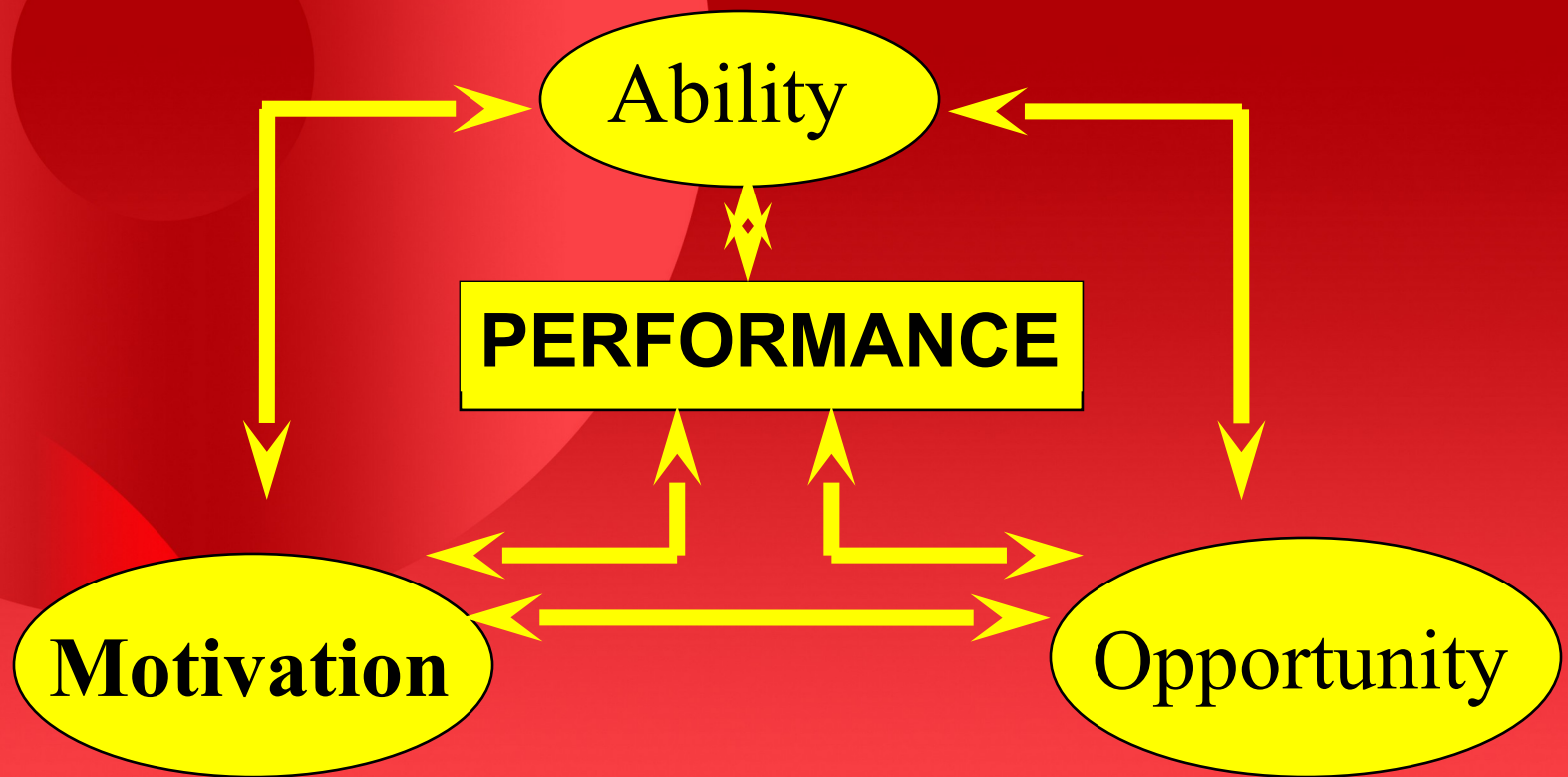
The processes that account for an individual's intensity, direction and persistence of effort toward attaining a goal.

Key Elements

1. **Intensity:** how hard a person tries
2. **Direction:** toward beneficial goal
3. **Persistence:** how long a person tries

- **Intensity** is concerned with how hard a person tries. This is the element most of us focus on when we talk about motivation.
- **Direction** is the orientation that benefits the organization.
- **Persistence** is a measure of how long a person can maintain his/her effort. Motivated individuals stay with a task long enough to achieve their goal.

Why Do We Care?



Performance =
 $f(\text{Ability}, \text{Motivation}, \text{Opportunity})$

The Motivation Process

Need

**More money for
unexpected medical expenses**

Goal-directed behavior

**Ask for a raise
Work harder to gain a promotion
Look for a higher-paying job
Steal**

Need Satisfaction

More money

Core Phases of the Motivational Process

**1. Employee
Identifies
Needs**

**2. Employee
Searches for
Ways to Satisfy
These Needs**

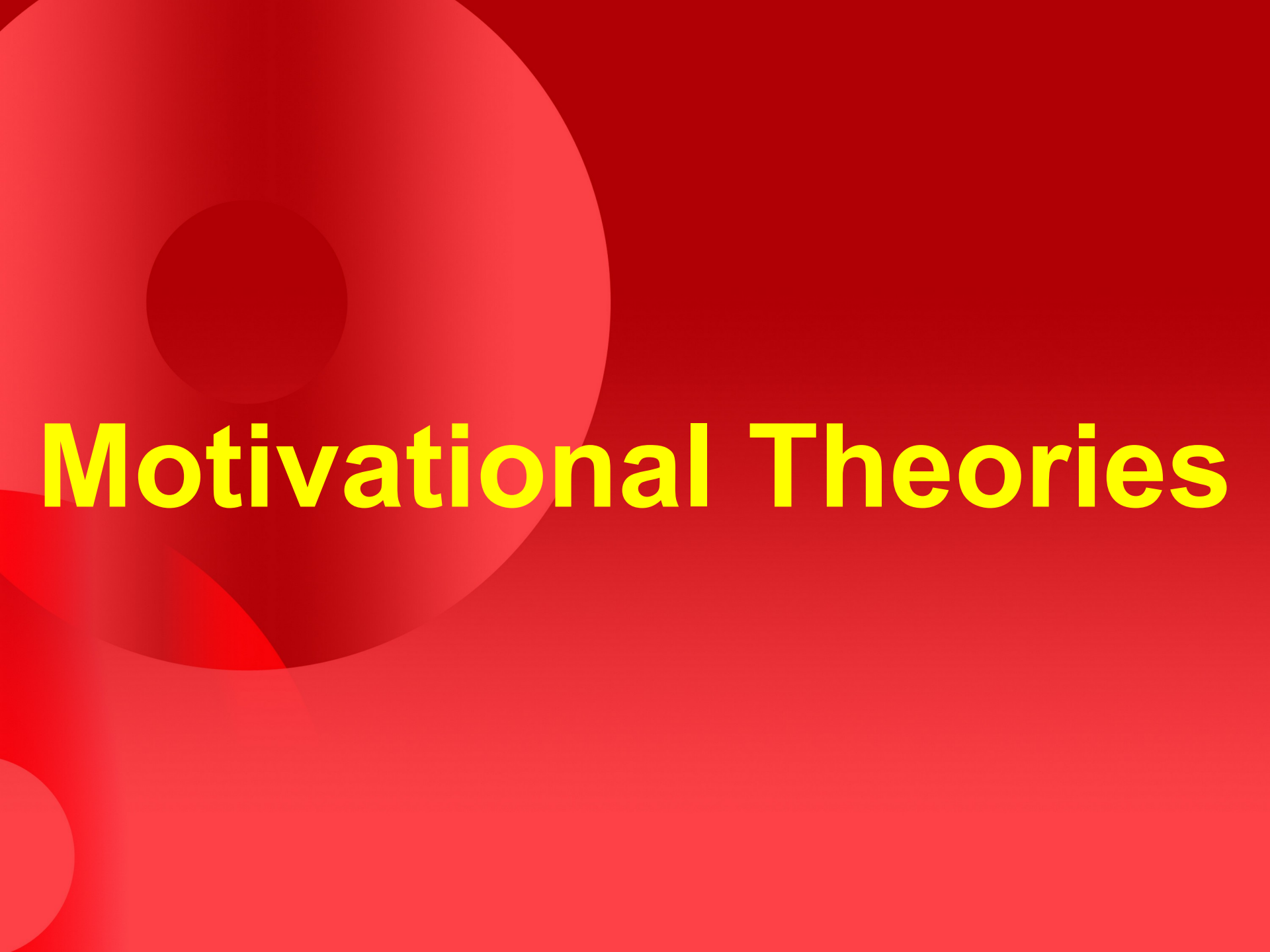
**3. Employee
Selects Goal-
Directed
Behavior**

**4. Employee
Performs**

**5. Employee
Receives Either
Rewards or
Punishments**

**6. Employee
Reassesses Need
Deficiencies**

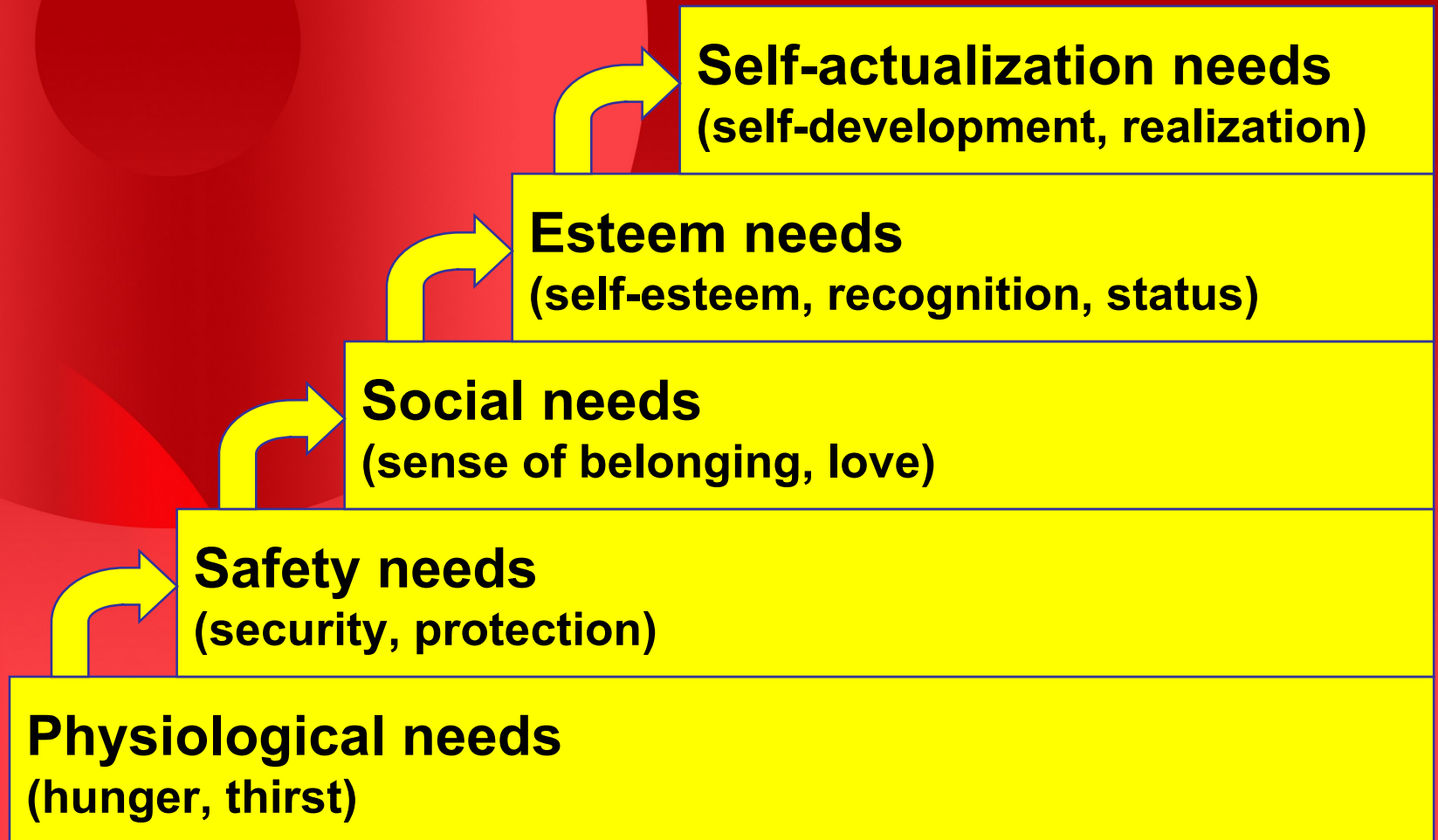


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Motivational Theories

Maslow's Hierarchy of Needs

Maslow's Hierarchy of Needs



Basic assumptions

- Once a need is satisfied, its role declines
- Needs are complex, with multiple needs acting simultaneously
- Lower level needs must be satiated before higher level needs are activated
- More ways exist to satisfy higher level needs

- Individual and environment influence employee behavior
- Individuals decide behavior, although environment can place constraints
- Individuals have different needs/goals
- Decide among alternatives based on perception of behavior leading to desired outcome

Modified Maslow Model

**Higher
Level**

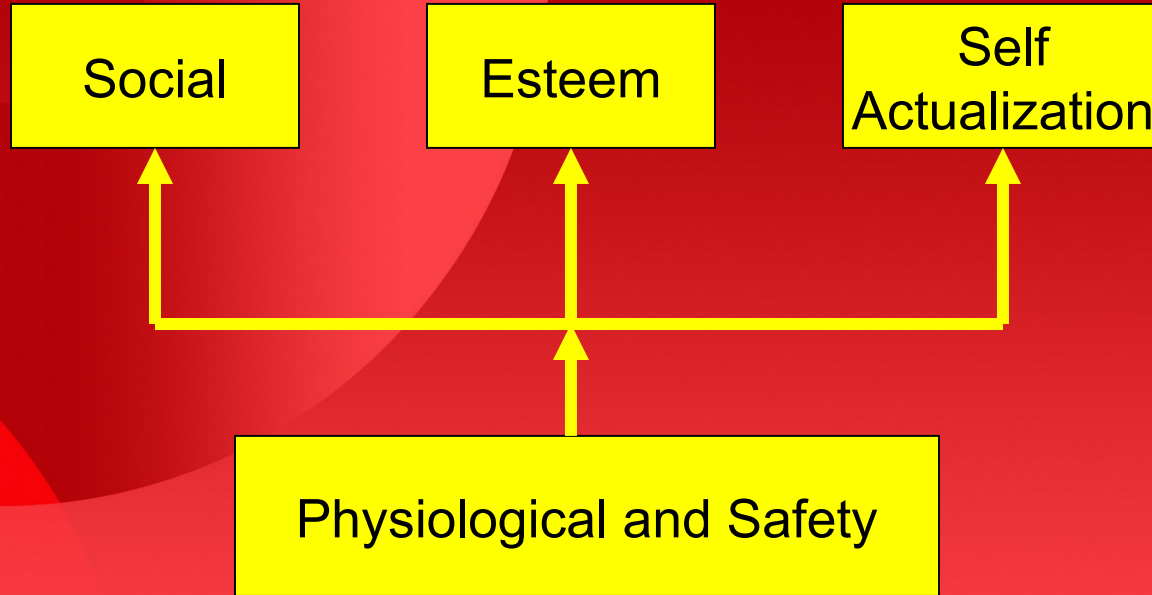
Social

Esteem

Self
Actualization

**Lower
Level**

Physiological and Safety



Alderfer's ERG Theory

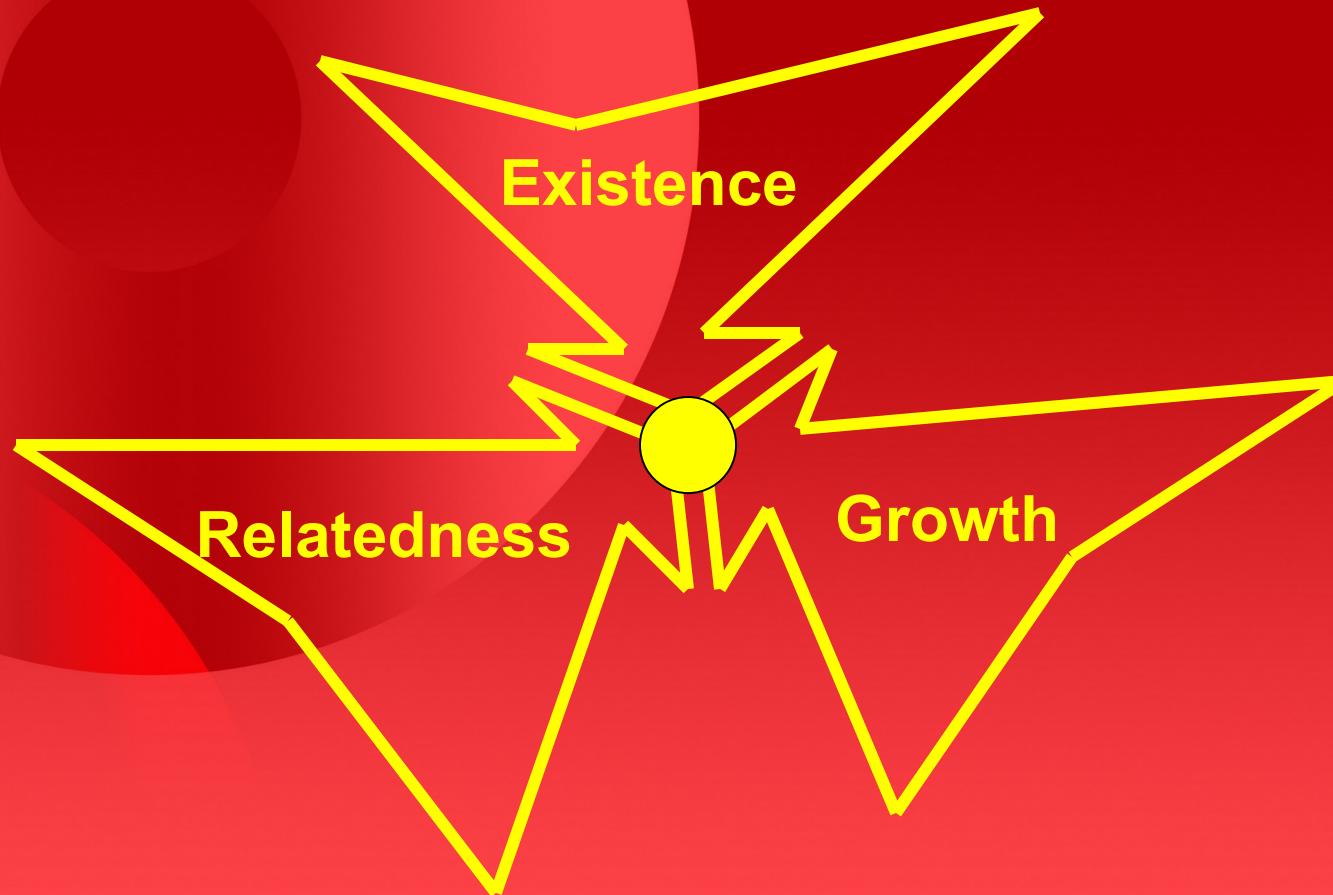
A three-level hierarchical need theory of motivation that allows for movement up and down the hierarchy.

- **E**xistence Needs
- **R**elatedness Needs
- **G**rowth Needs

Alderfer's ERG Model

- Individuals have 3 basic needs
 - Existence
 - Relatedness
 - Growth
- Needs correspond to Maslow's Hierarchy
- Models differ in how needs are satisfied

ERG Theory



All needs are operative at one time

Theory X

Management view that assumes workers generally dislike work and must be forced to do their jobs.



Under Theory X, the four assumptions held by managers are:

- Employees inherently dislike work and, whenever possible, will attempt to avoid it.
- Since employees dislike work, they must be coerced, controlled, or threatened with punishment to achieve goals.
- Employee will avoid responsibilities and seek formal direction whenever possible.

Theory Y

Management view that assumes workers like to work and under proper conditions, employees will seek responsibility to satisfy social, esteem, and self-actualization needs.



Under Theory Y, the assumptions:

- Employees can view work as being as natural as rest or play.
- People will exercise self-direction and self-control if they are committed to the objectives.
- The average person can learn to accept, even seek, responsibility.
- The ability to make innovative decisions is widely spread throughout the population and is not necessarily the sole responsibility of those in management positions.

Theory Z

- A management philosophy that stresses employee participation in all aspects of company decision making.



Motivational Process

- Forces acting on/within person that cause specific, goal-directed behavior
- Work motivation $\Rightarrow$ productivity
- Management's job is to channel employee energy to achieve organizational goals

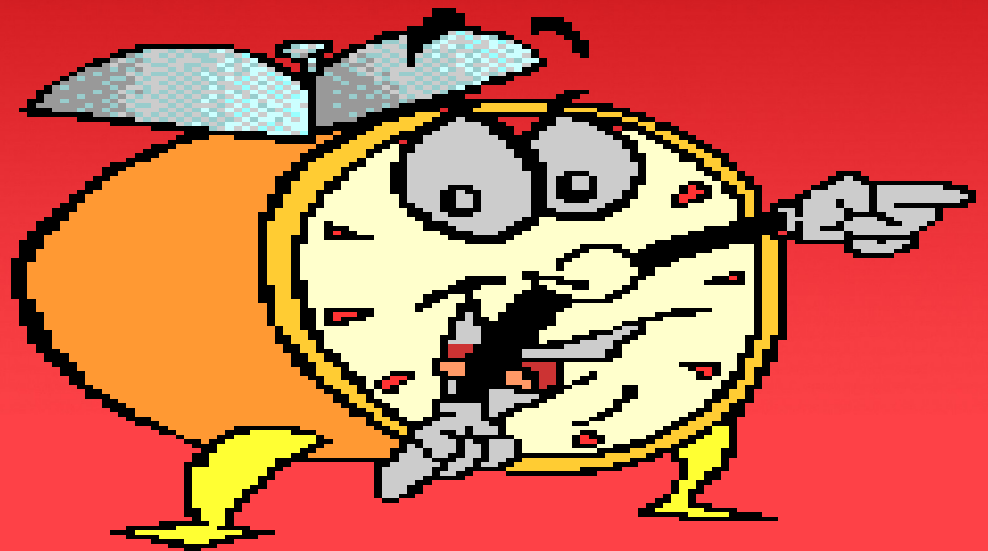
Motivation

- What is so difficult?
- Motivation is the set of forces that causes people to engage in one behavior rather than some alternative behavior.

What “energizes” us?

- Unsatisfied needs = deficiencies that a person experiences at any given time
- “Energizers” – create tensions $\Rightarrow$ feelings of unrest $\Rightarrow$ make effort to reduce tensions
- Goal – directed efforts – provide focus for energy release

Let's stop
it here

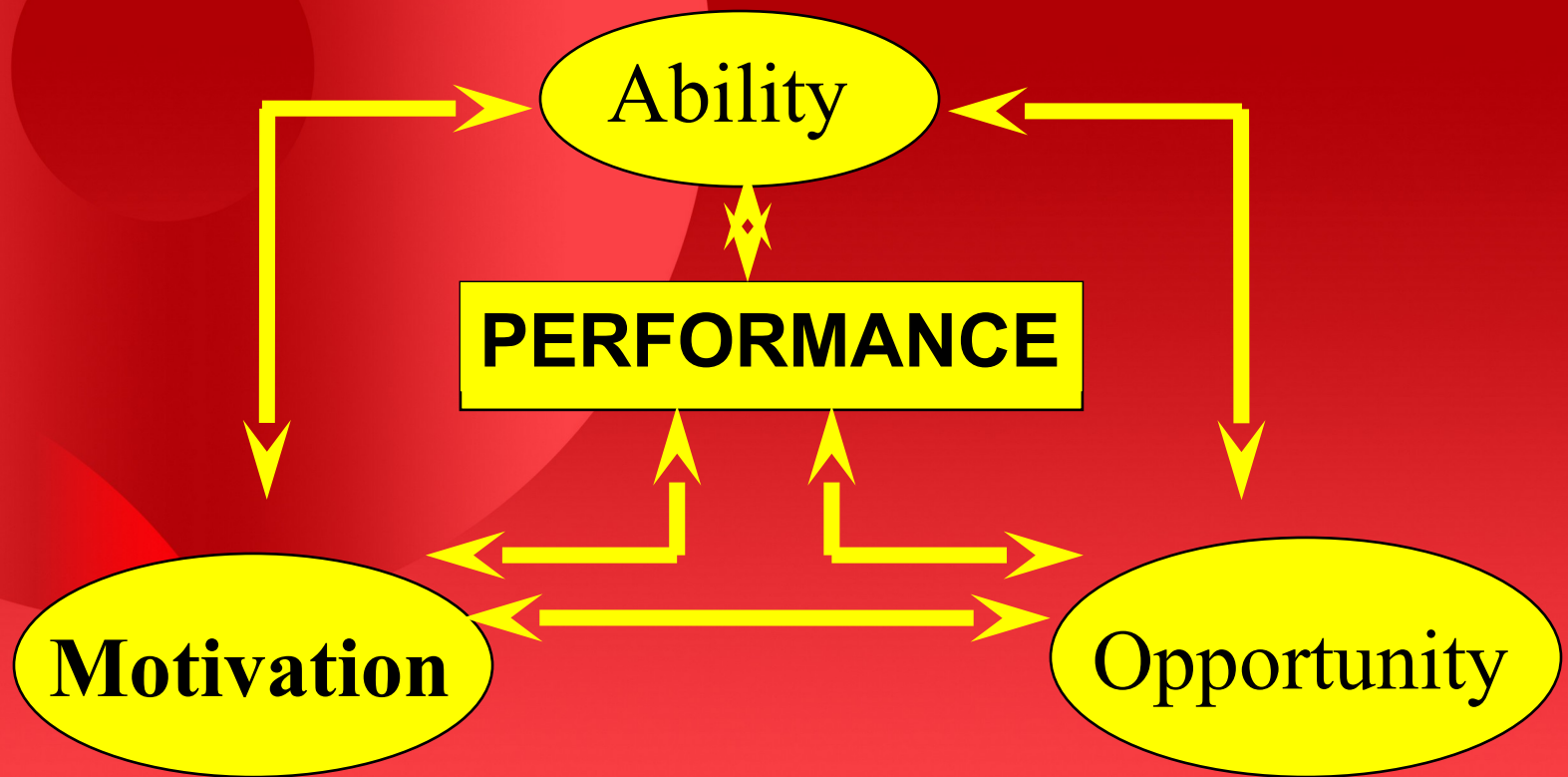


Summary

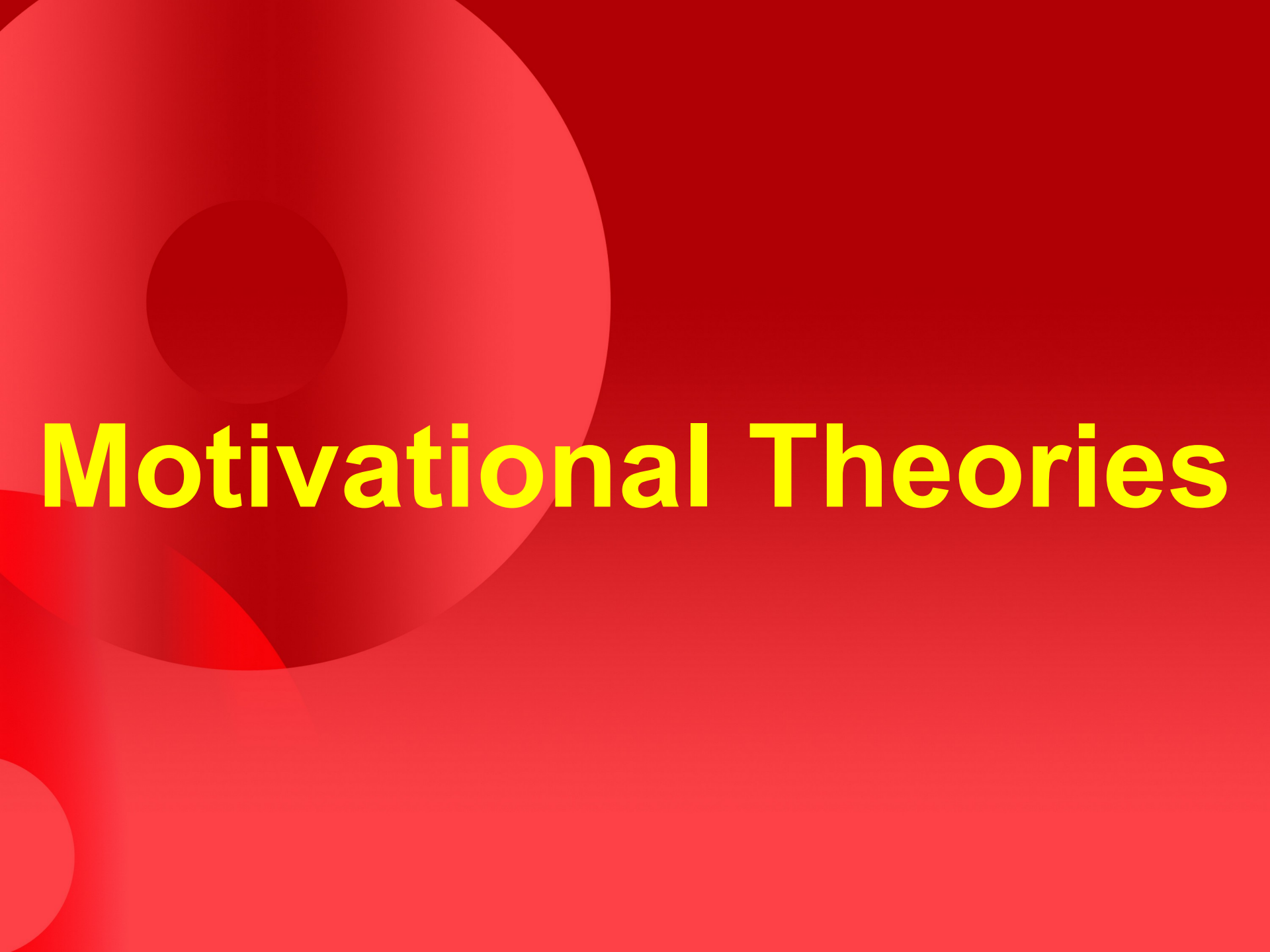
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Next....

Organizational Behavior

(MGT-502)

Lecture-13

Organizational Behavior

(MGT-502)

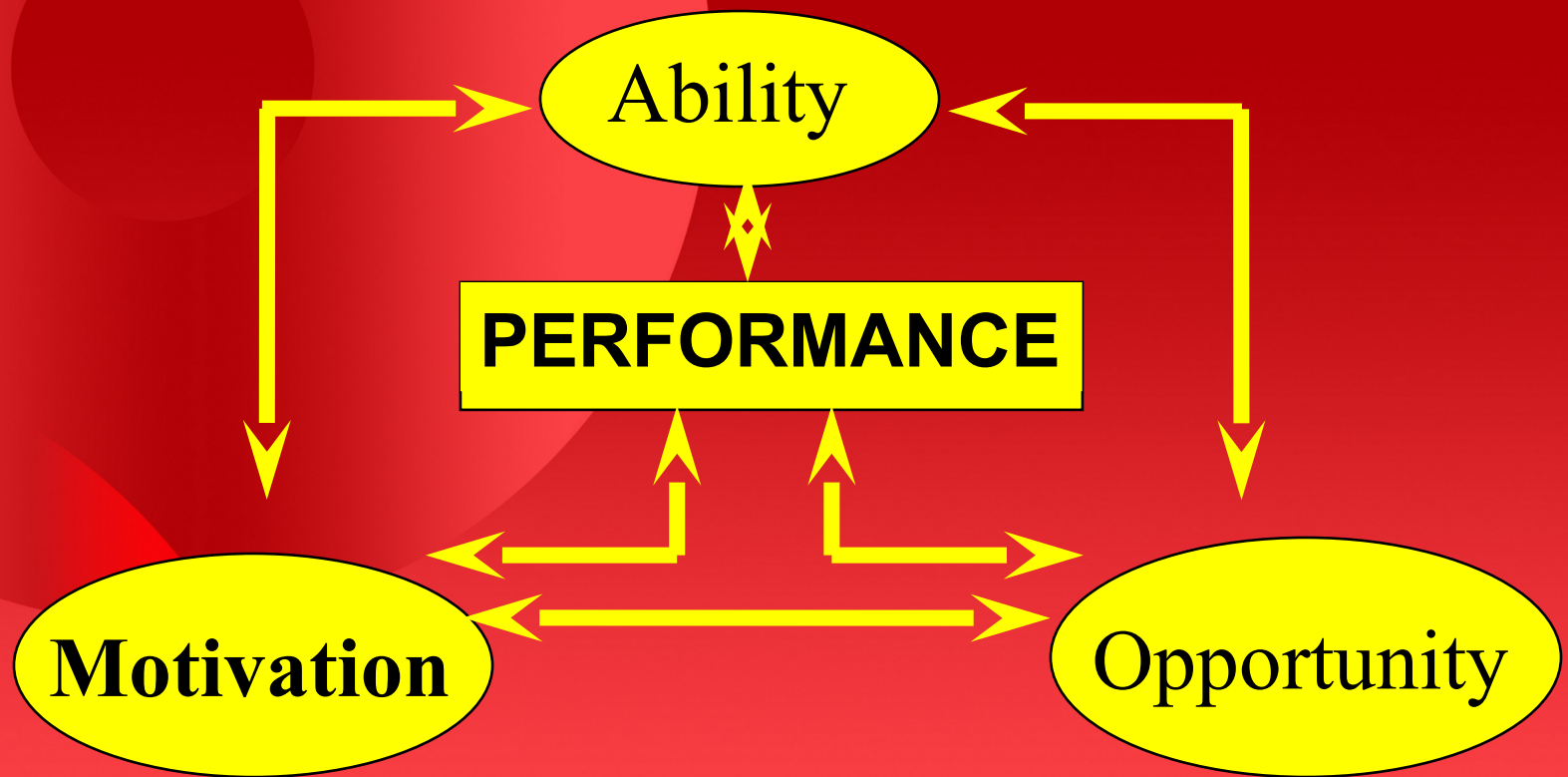
Lecture-14

Summary of Lecture-13

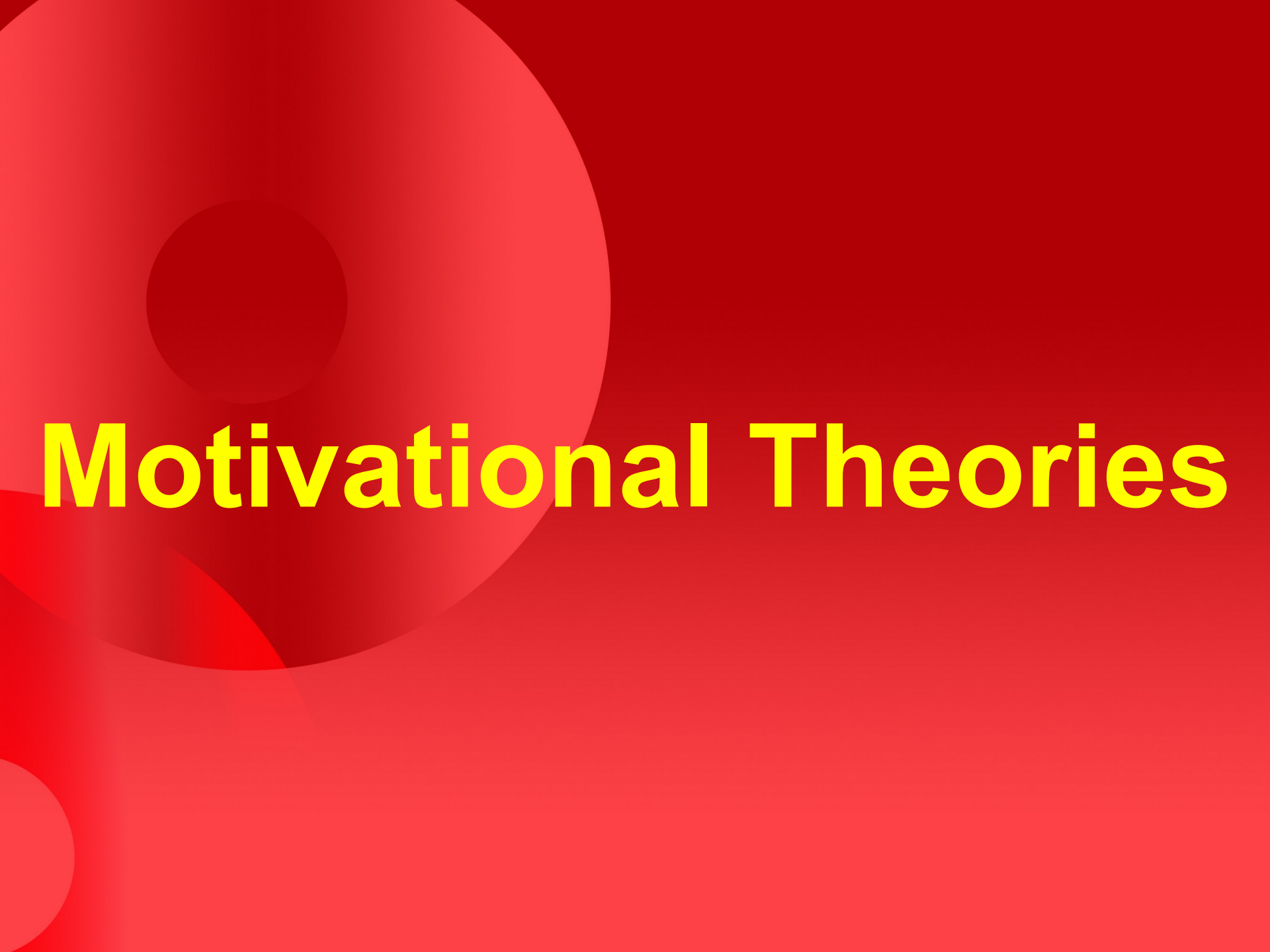
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Today's Topics

Need Theories of Motivation

- Maslow's hierarchy of need theory
- ERG theory by Alderfer

David McClelland's Theory of Needs

need for achievement

The drive to excel, to achieve in relation to a set of standards, to strive to succeed.

need for affiliation

The desire for friendly and interpersonal relationships..

need for power

The need to make others behave in a way that they would not have behaved otherwise.



➤ **Need for achievement.**

- The desire to do something better or more efficiently, to solve problems, or to master complex tasks.
- High need for achievement people:
 - Prefer individual responsibilities.
 - Prefer challenging goals.
 - Prefer performance feedback.

➤ **Need for affiliation.**

- The desire to establish and maintain friendly and warm relations with others.
- High need for affiliation people:
 - Are drawn to interpersonal relationships.
 - Seek opportunities for communication.

➤ **Need for power.**

- The desire to control others, to influence their behavior, or to be responsible for others.
- High need for power people:
 - Seek influence over others.
 - Like attention.
 - Like recognition.

Need Theories of Work Motivation



Equity Theory

**Individuals compare their
job inputs and outcomes
with those of others and
then respond to eliminate
any inequities**

Equity Theory

- Are your outcomes (eg., rewards or pay) fair when compared to others' outcomes?
 - Peers
 - Yourself in other situations

$$\frac{\text{Self Input}}{\text{Self Outcome}} \stackrel{?}{=} \frac{\text{Other Input}}{\text{Other Outcome}}$$

➤ Equity theory.

- People gauge the fairness of their work outcomes in relation to others.
- Perceived inequity occurs when there is an unfavorable social comparison of work outcomes.
- When perceived inequity occurs, people will be motivated to remove the discomfort.

➤ **Equity restoration behaviors.**

- Change work inputs.
- Change the outcomes received.
- Leave the situation.
- Change the comparison points.
- Take actions to change the inputs or outputs of the comparison person.

Expectancy Theory

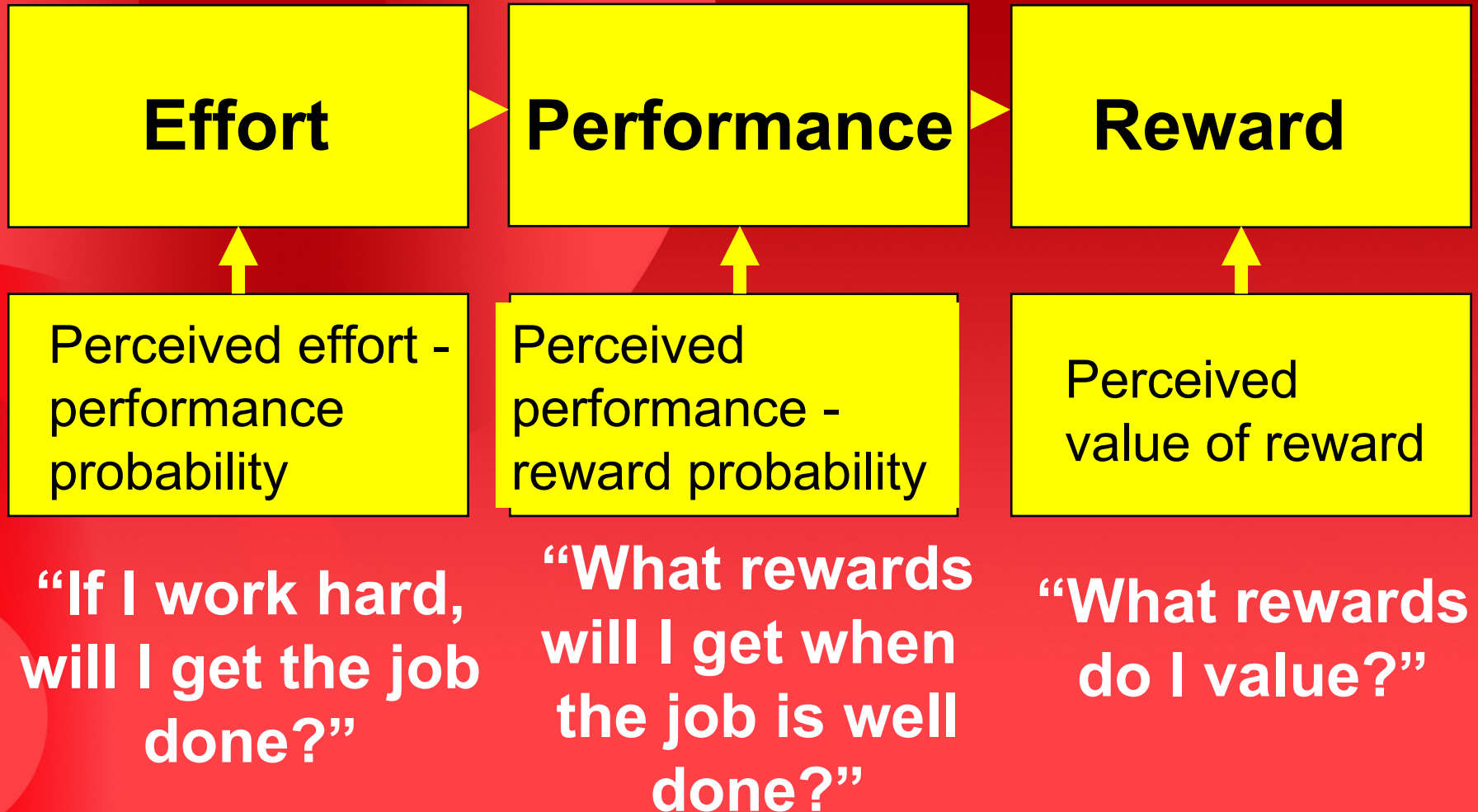
A process theory that states that motivation is determined by the outcomes that people expect to occur as a result of their actions on the job.

Expectancy Theory

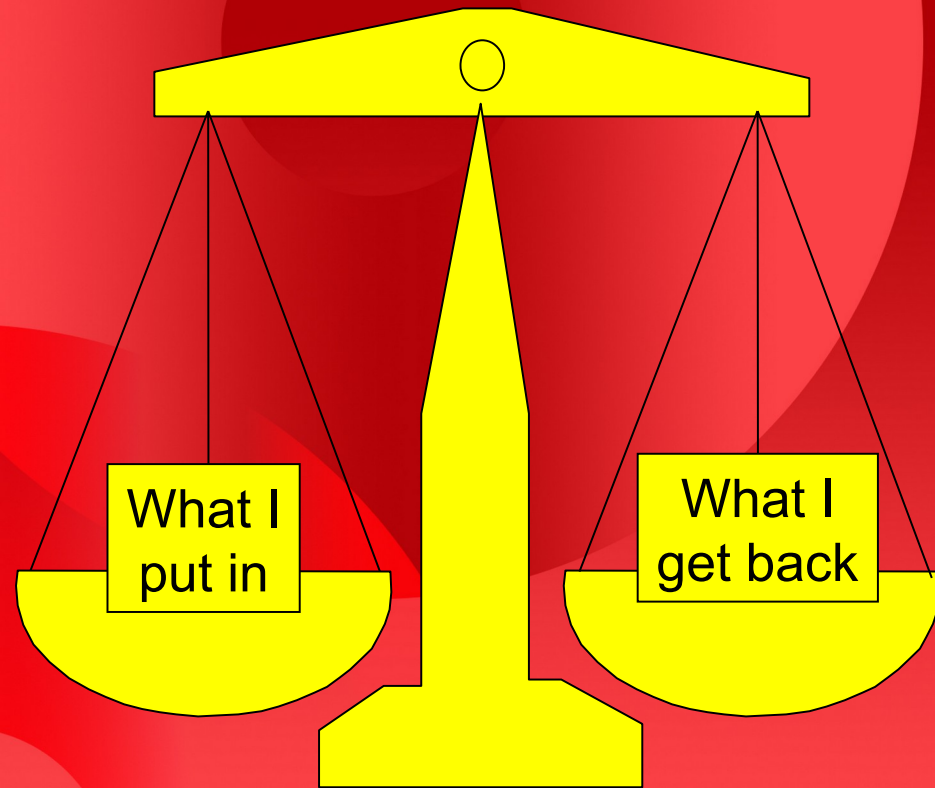


People will be motivated to perform in those work activities that they find attractive and that they feel they can accomplish.

Expectancy Model of Motivation



Motivational Theories



Equity Theory



Expectancy Theory

Goal-Setting Theory (Edwin Locke)



A motivational technique that uses specific, challenging and acceptable goals and provides feedback to enhance performance.

What Kinds of Goals are Motivational?

- **Goal Specificity**
- **Goal Challenge**
- **Goal Acceptance**
- **Goal Feedback**



Enhancing Goal Acceptance



- Participation
- Rewards
- Supportiveness

Managerial Implications of Goal Setting Theory

- **Set specific and challenging goals.**
- **Provide ongoing feedback so that individuals can compare their performance with the goal.**

Two-Factor Theory (Frederick Herzberg)

Motivation-Hygiene Theory of Motivation

- Company policy & administration
- Supervision
- Interpersonal relations
- Working conditions
- Salary
- Status
- Security

**Hygiene factors avoid
job dissatisfaction**

**Motivation factors increase
job satisfaction**

- Achievement
- Achievement recognition
- Work itself
- Responsibility
- Advancement
- Growth
- Salary?

➤ **Two-factor theory.**

- Developed by Frederick Herzberg.
- Also known as motivation-hygiene theory.
- Portrays two different factors — hygiene factors and motivator factors — as the primary causes of job dissatisfaction and job satisfaction.

➤ **Hygiene factors.**

- Sources of job dissatisfaction.
- Associated with the job context or work setting.
- Improving hygiene factors prevent people from being dissatisfied but do not contribute to satisfaction.

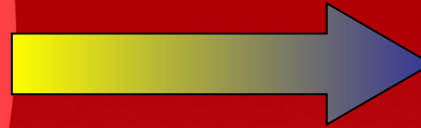
➤ **Motivator factors.**

- Sources of job satisfaction.
- Associated with the job content.
- Building motivator factors into the job enables people to be satisfied.
- Absence of motivator factors in the job results in low satisfaction, low motivation, and low performance.

Two-Factor Theory of Job Satisfaction

Hygiene factors

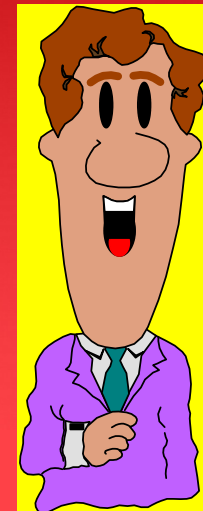
- Quality of supervision
- Pay
- Company policies
- Physical working conditions
- Relations with others
- Job security



Job Dissatisfaction

Motivators

- Promotion opportunities
- Opportunities for personal growth
- Recognition
- Responsibility
- Achievement



Job Satisfaction

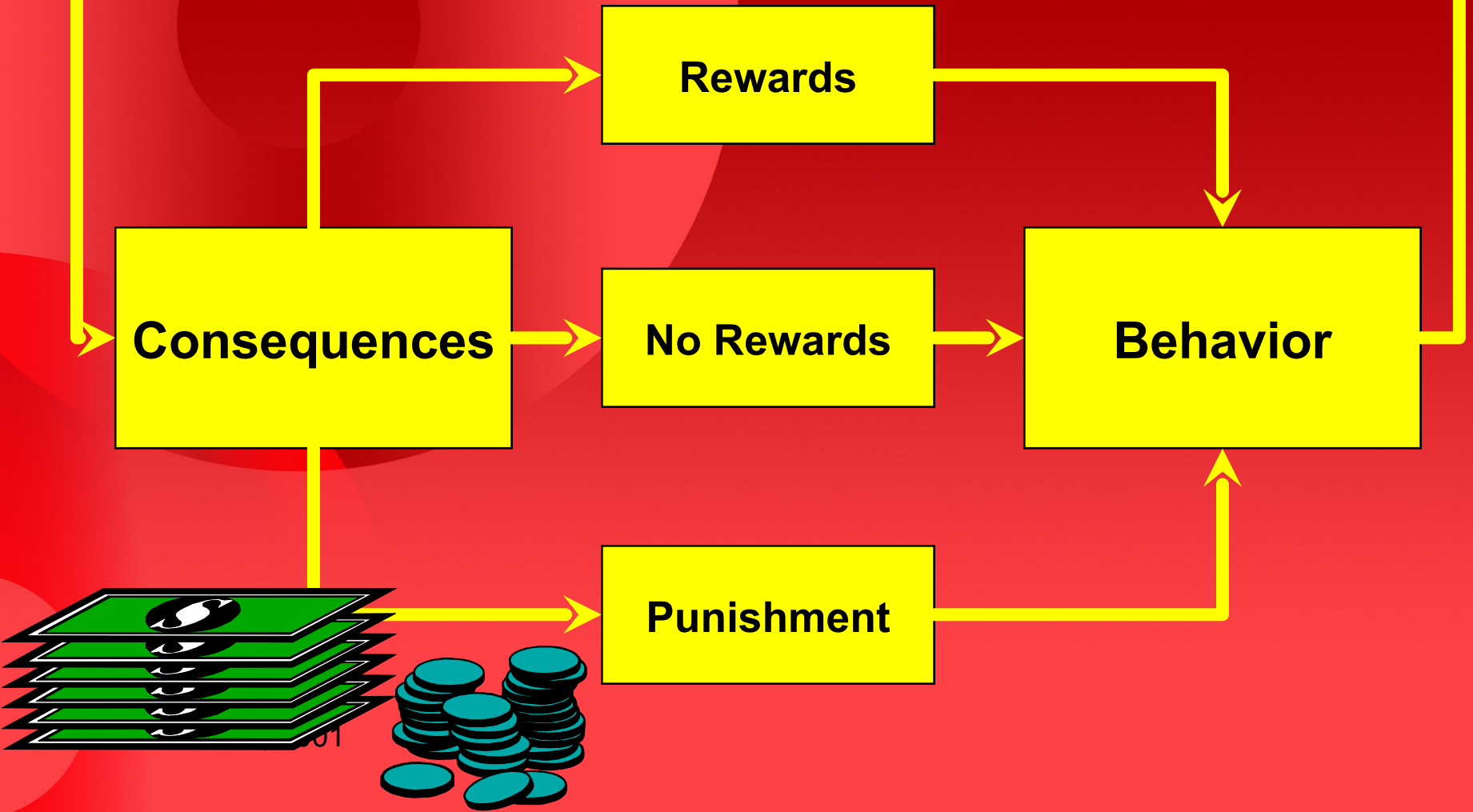
Reinforcement Theory

**Behavior is a function of
its consequences**

Concepts:

- **Behavior is environmentally caused.**
- **Behavior can be modified (reinforced) by providing (controlling) consequences.**
- **Reinforced behavior tends to be repeated.**

Reinforcement Theory



Reinforcement theories, and how are they linked to motivation?

➤ Law of effect.

- Theoretical basis for manipulating consequences.
- Behavior that results in a pleasant outcome is likely to be repeated while behavior that results in an unpleasant outcome is not likely to be repeated.

➤ **Negative reinforcement.**

- Also known as avoidance.
- The withdrawal of negative consequences to increase the likelihood of repeating the desired behavior in similar settings.

➤Punishment.

- The administration of negative consequences or the withdrawal of positive consequences to reduce the likelihood of repeating the behavior in similar settings.

➤ **Summary of OB Mod strategies.**

– **Positive and negative reinforcement.**

- Used for strengthening desirable behavior.

– **Punishment**

- Used to weaken undesirable behavior.

➤ Principles governing reinforcement.

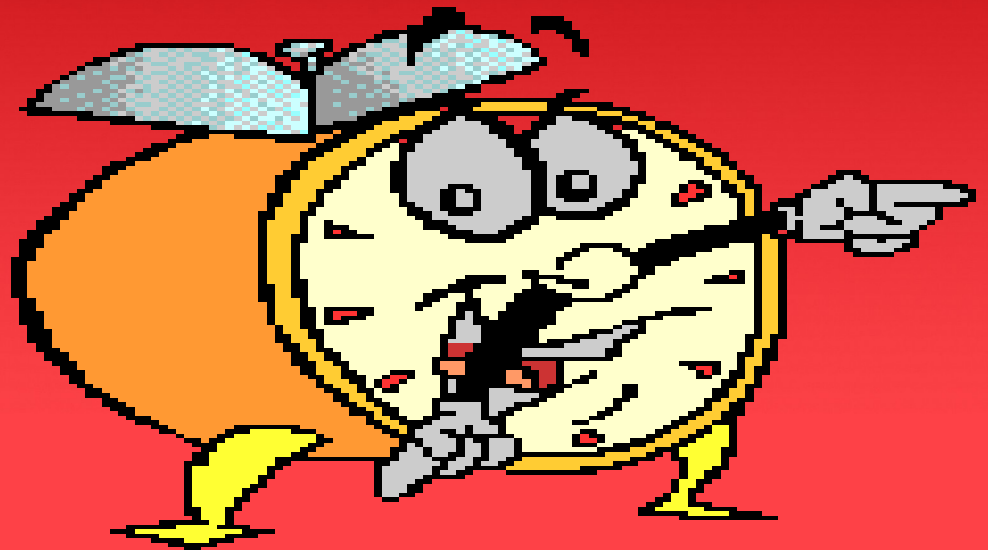
– Law of contingent reinforcement.

- The reward must be delivered only if the desired behavior is exhibited.

– Law of immediate reinforcement.

- The reward must be given as soon as possible after the desired behavior is exhibited.

Let's stop
it here



Summary

David McClelland's Theory of Needs

need for achievement

The drive to excel, to achieve in relation to a set of standards, to strive to succeed.

need for affiliation

The desire for friendly and interpersonal relationships..

need for power

The need to make others behave in a way that they would not have behaved otherwise.



Equity Theory

**Individuals compare their
job inputs and outcomes
with those of others and
then respond to eliminate
any inequities**

Expectancy Theory

A process theory that states that motivation is determined by the outcomes that people expect to occur as a result of their actions on the job.

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Next....

Motivation: From Concepts to Applications

Organizational Behavior

(MGT-502)

Lecture-14

Intrinsic Motivation

- Motivation that stems from the direct relationship between the worker and the task; it is usually self-applied.

Extrinsic Motivation

- Motivation that stems from the work environment external to the task; it is usually applied by others.

Intrinsic Rewards

- These arise within individual
 - feelings of companionship,
 - comfort,
 - sense of achievement,
 - enjoyment of status and recognition,
 - interest in the job,
 - responsibility, pride in the organization's success and
 - so on.

Extrinsic Rewards

- These are external to the individual, and given by others, such as
 - wage or salary,
 - bonuses and prizes,
 - working conditions,
 - a car,
 - training opportunities.

Do Motivation Theories Translate Across Cultures?

- **Most theories revolve around human needs and therefore will encounter cultural limitations.**
- **There might be no superiority to self-actualization as a motive in more collective cultures.**

- **Cultures differ in the extent to which they value achievement.**
- **The conceptions of achievement might be more group oriented in collective cultures than in individualistic North America.**

Goal-Setting Theory

- Specific and difficult goals lead to higher performance than “do your best” goals.
 - *Direct* behavior, increase *effort* and *persistence*.
- Moderating factors: Feedback, goal commitment (rather than participation per se), self-efficacy, and *task difficulty*.

Organizational Behavior

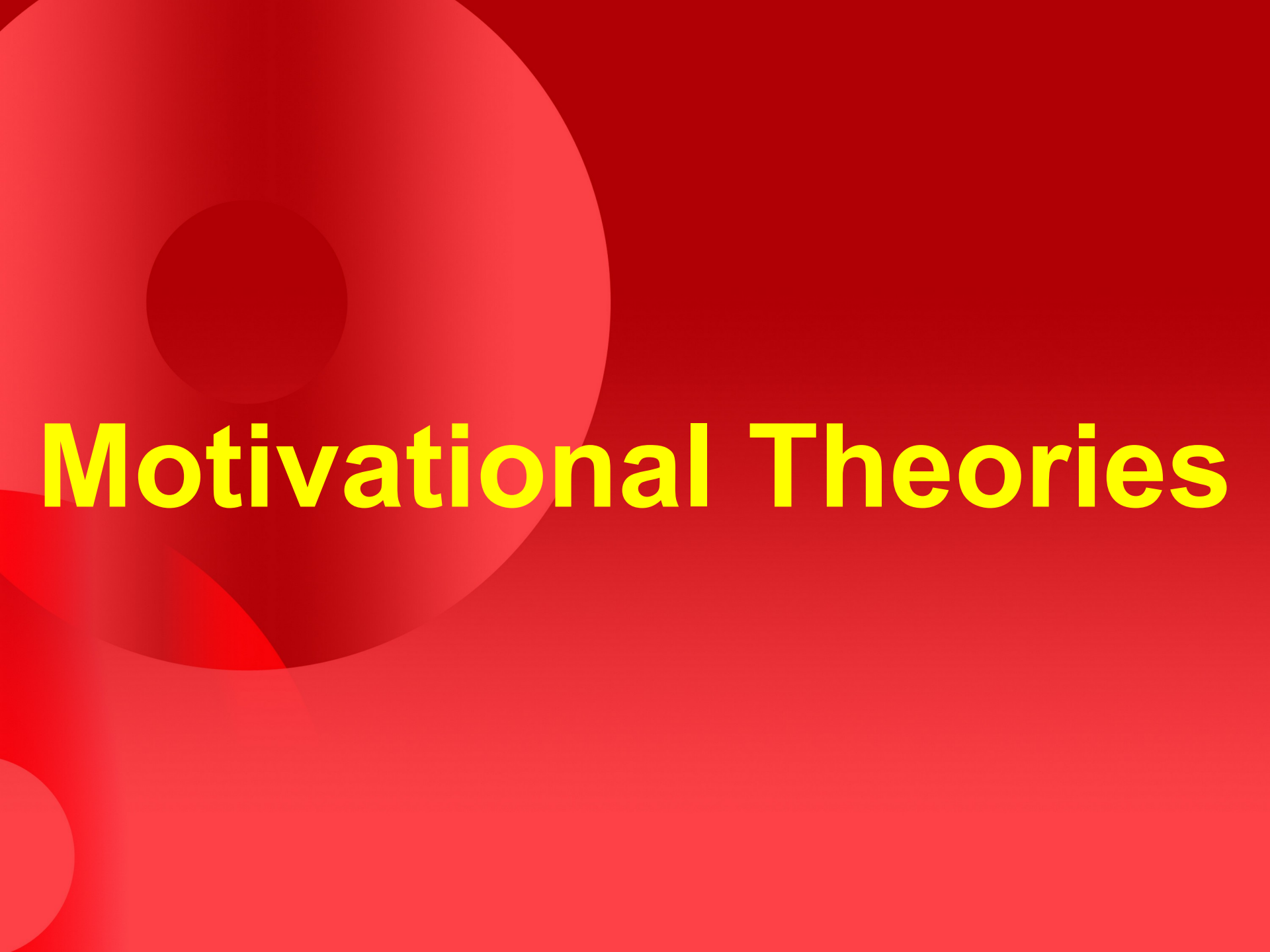
(MGT-502)

Lecture-15

Summary of Lecture-14

Motivation

A state of mind, desire, energy or interest that translates into action.

The background features a solid red field with several overlapping circles in various shades of pink and red. A large, semi-transparent pink circle is prominent on the left side, with a smaller, darker red circle nested within it. Other smaller circles are visible in the bottom left and top left corners. The text 'Motivational Theories' is centered horizontally and overlaid on the pink circle.

Motivational Theories

Maslow's Hierarchy of Needs

Alderfer's ERG Theory

A three-level hierarchical need theory of motivation that allows for movement up and down the hierarchy.

- **E**xistence Needs
- **R**elatedness Needs
- **G**rowth Needs

Theory X

Management view that assumes workers generally dislike work and must be forced to do their jobs.



Theory Y

Management view that assumes workers like to work and under proper conditions, employees will seek responsibility to satisfy social, esteem, and self-actualization needs.



David McClelland's Theory of Needs

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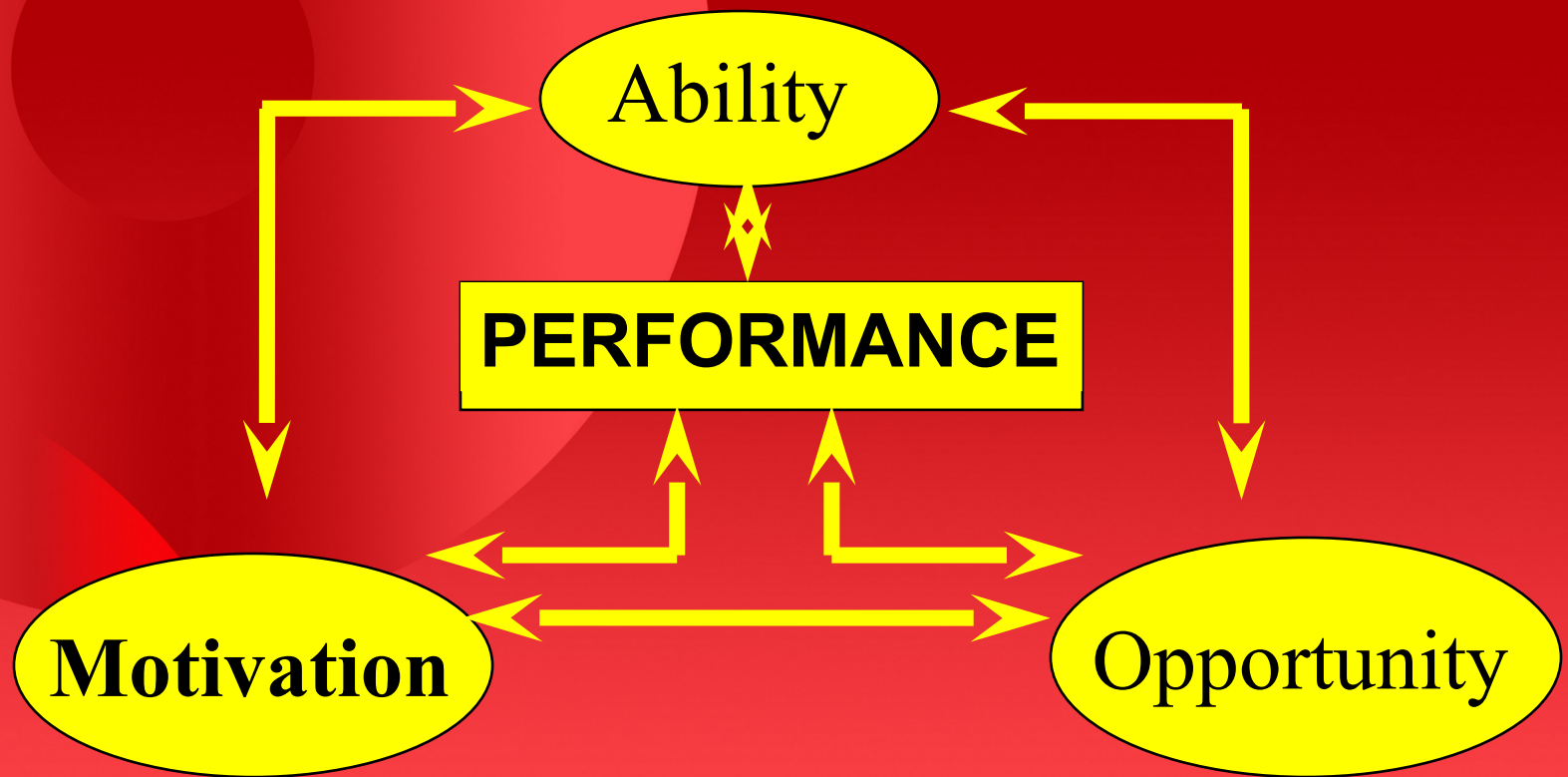
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Today's Topics

Why Do We Care?



Performance =
 $f(\text{Ability}, \text{Motivation}, \text{Opportunity})$

Work Motivation: The psychological forces that determine the direction of a person's behavior in an organization, a person's level of effort, and a person's level of persistence.

Work Motivation

- **Direction of Behavior** - Which behaviors does a person choose to perform in an organization?
- **Level of Effort** - How hard does a person work to perform a chosen behavior?

- **Level of Persistence** - When faced with obstacles, roadblocks, and stone walls, how hard does a person keep trying to perform a chosen behavior successfully?

Why is motivation important?

- Important in getting and retaining people
- The glue that links individuals to organizational goals
- Make individuals go beyond the job and be creative

How can satisfaction and its linkage with performance help tie together insights of the motivation theories into an integrated motivational model?

➤ **Job satisfaction.**

- The degree to which individuals feel positively or negatively about their jobs.
- Job satisfaction can be assessed:
 - By managerial observation and interpretation.
 - Through use of job satisfaction questionnaires.

➤ **Key decisions that people make about their work.**

- Joining and remaining a member of an organization.
- Working hard in pursuit of high levels of task performance.

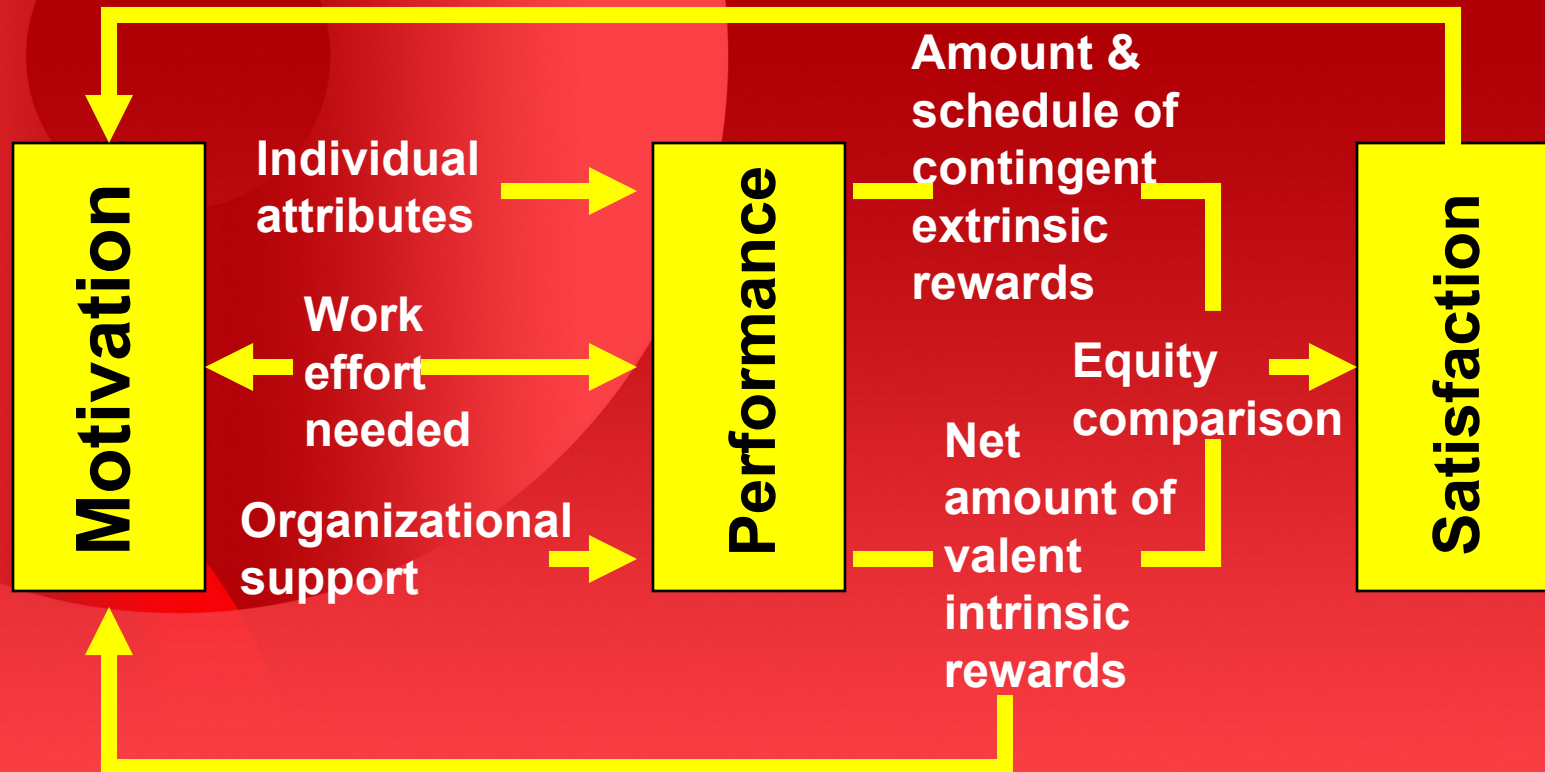
➤ **Joining and remaining a member of an organization.**

- Concerns attendance and longevity at work.
- Dissatisfied workers are more likely than satisfied workers to be absent and to quit their jobs.

➤ **Working hard in pursuit of high levels of task performance.**

- Concerns the relationship between job satisfaction and performance.
- Alternative points of view.
 - Satisfaction causes performance.
 - Performance causes satisfaction.
 - Rewards cause both performance and satisfaction.

An Integrated Model of Individual Motivation to Work



Strategies for Motivating Employees

- Behavior Modification
- Job Design



Job Design Strategies

Job Rotation Exposes employees to a variety of tasks as they move from one job to another.

Job Enlargement Teaches employees new tasks in their present job.

Job Enrichment Gives employees more control and authority in their present job, along with additional tasks.

Flexible Scheduling Strategies

- Flextime
- Compressed Work Week
- Job Sharing
- Telecommuting



The Importance of Motivational Strategies

- Fosters employee loyalty
- Boosts productivity
- Affects all relationships within the organization
- Influences promotion, pay, job design, training, and reporting relationships

Performance Formula

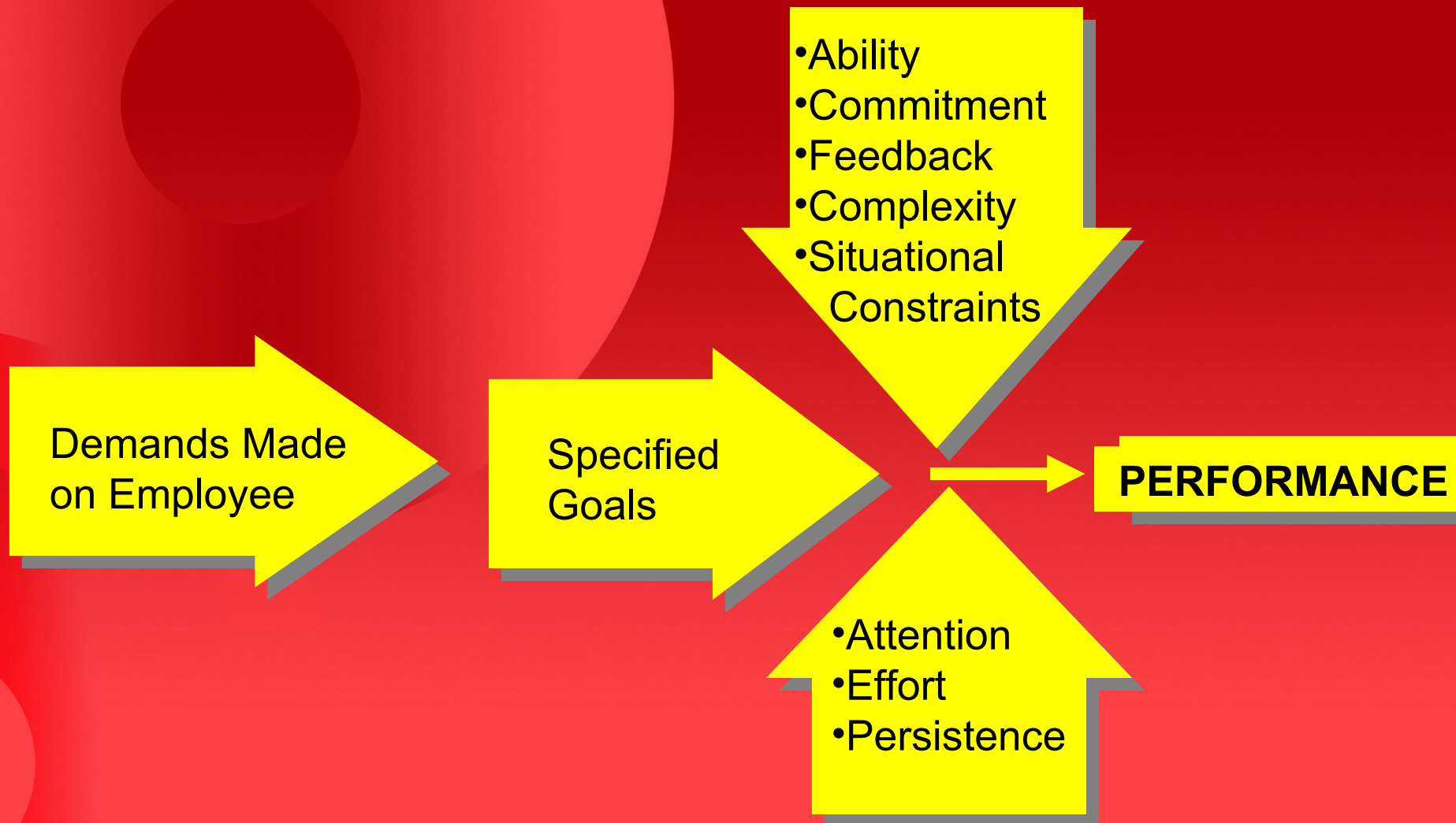
Performance = f (ability X motivation X opportunity)

Ability = individual's knowledge, skills, and ability to accomplish task

Motivation = level of individual energy for the task

Opportunity = right performance opportunity

Individual and Situation Factors Affect Motivation and, Therefore, Performance



Management by Objectives (MBO)

An elaborate, systematic, ongoing program designed to facilitate goal establishment, goal accomplishment and employee development.

The Procedures of MBO

- 1. The superior meets with the subordinate to develop and agree on subordinate objectives.**
- 2. Periodic meetings monitor the subordinate's progress in achieving the objectives.**
- 3. An appraisal meeting evaluates objectives and diagnoses reasons for success and failure.**
- 4. The MBO cycle is repeated.**

Money as A Motivator

- According to Maslow and Alderfer, pay should prove especially motivational to people who have strong lower-level needs.
- If pay has this capacity to fulfill a variety of needs, then it should have good potential as a motivator.



The Role of Money

- They value their services and place high value on them
 - Perceive money as symbol of their achievement
 - Will not remain in low paying organization
 - Very self – confident
 - Know their abilities and limitations

Basic Motivation Concepts

When someone
says, “It’s not the
money, it’s the principle,
it’s the money!”

-- Anonymous

Monetary Incentives

A number of firms make a wide range of money-based compensation programs available to their employees as a form of motivation.

**Lump-sum
bonuses**

**One-time cash
payments**

Gain-sharing

Non-Monetary Incentives

A firm can also keep its employees committed and motivated by non-monetary means.

Promotion

Quality

**Appreciation
Certificates**

Using Pay to Motivate Teamwork

Profit sharing

- The return of some company profit to employees in the form of a cash bonus or retirement supplement.

–Employee stock ownership plans are incentive plans that allow employees to own a set amount of a company's shares and provide employees with a stake in the company's future earnings and success.

Gainsharing

- A group pay incentive plan based on productivity or performance improvements over which the work force has some control.**

The person-as-economist expects

- ROI - time, effort, commitment
- "What's in it for me?" calculation
 - Conscious ↔ subconscious (self image and comparisons)
- Fairness (equitable social (economic) exchange)
 - interpret rewards/pay-offs of others
 - judge what is fair/unfair
 - satisfaction if each party achieves a balance (relative equality)
- Psychological extension to neutral, economic model
 - Construing the value & importance of input-output
 - Social, psychological - individual & group

Total Quality Management (TQM)

A systematic attempt to achieve continuous improvement in the quality of an organization's products and/or services.

TQM and Motivation

- **An obsession with customer satisfaction.**
- **A concern for good relations with suppliers.**
- **A search for continuous improvement of processes.**

- **The prevention (not just detection) of quality errors.**
- **Frequent measurement and assessment.**
- **Extensive training.**
- **High employee involvement and teamwork.**

Challenges of motivating employees

- **Changing workforce**

- younger generation employees have different needs and expectations to baby boomers
- people have more diverse values – results in more variety in what motivates employees

- **Cultural values**

- globalisation has added to diversity

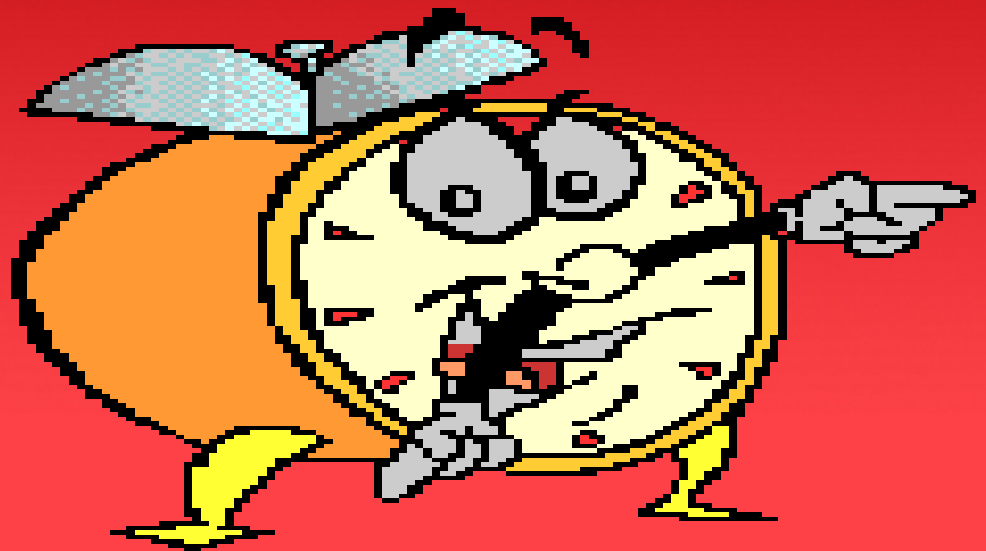
Special Issues in Motivation

- Motivating Professionals
- Motivating Contingent Workers
- Motivating the Diversified Workers
- Motivating Low-Skilled Service Workers
- Motivating People Doing Highly Repetitive Tasks

Implications for Managers

- Recognize Individual Differences
- Use Goals and Feedback
- Allow Employees to Participate in Decisions that Affect Them
- Link Rewards to Performance
- Check the System for Equity

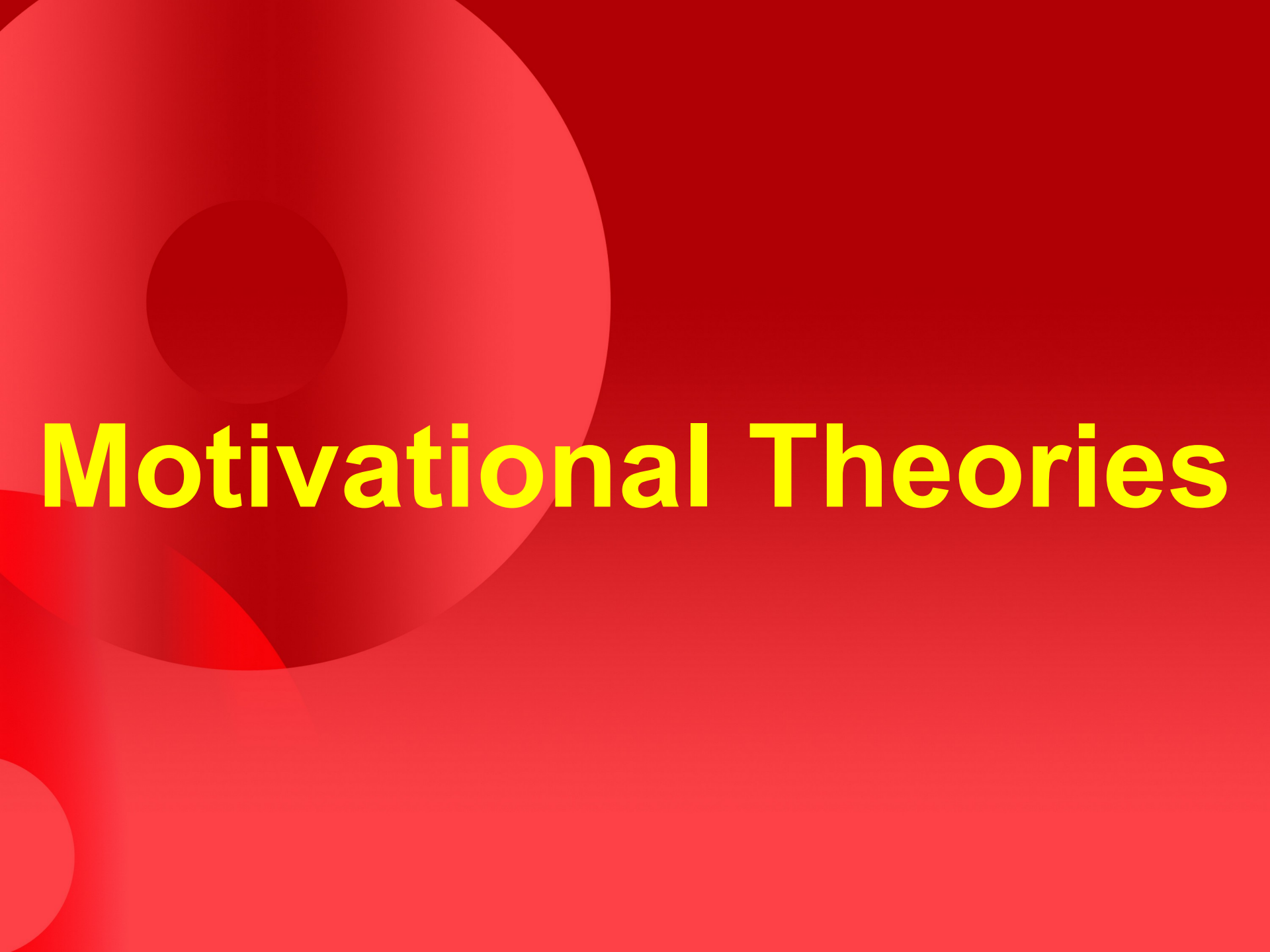
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Summary

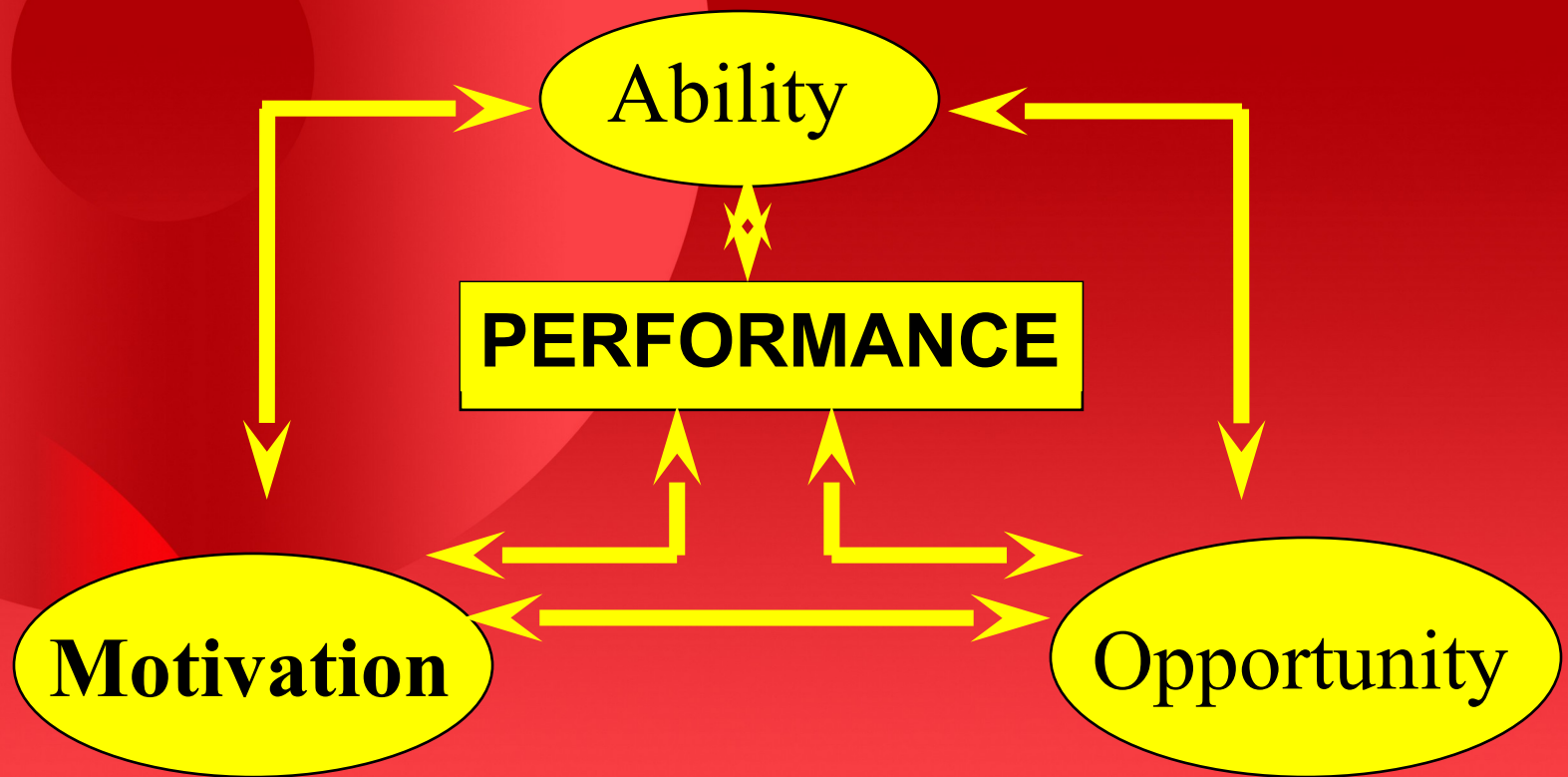
Motivation

The set of processes that **arouse, direct** and **maintain** human behavior toward attaining some goal.

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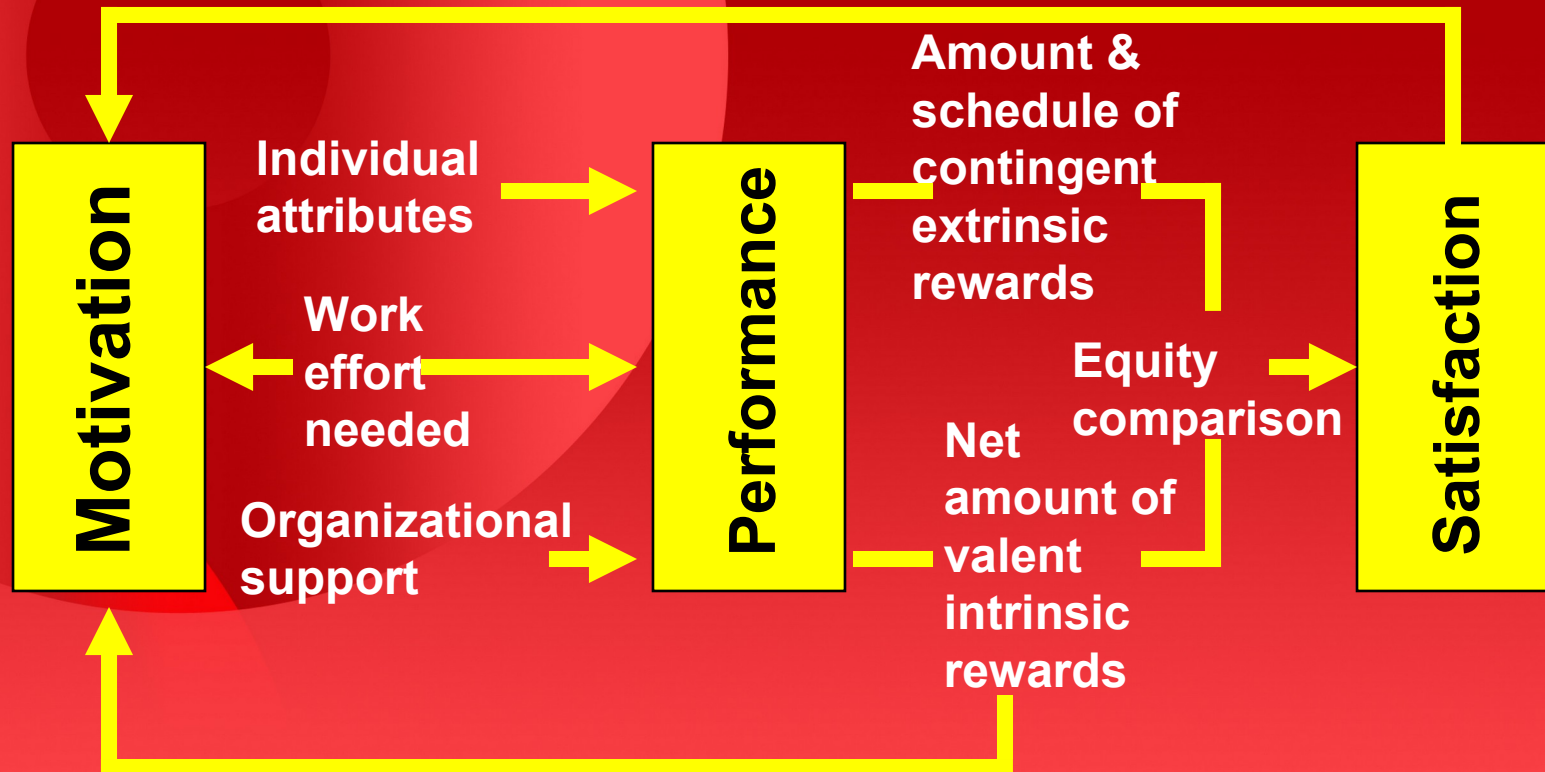
Motivational Theories

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Next....

Review Part-I

Organizational Behavior

(MGT-502)

Lecture-15

Organizational Behavior

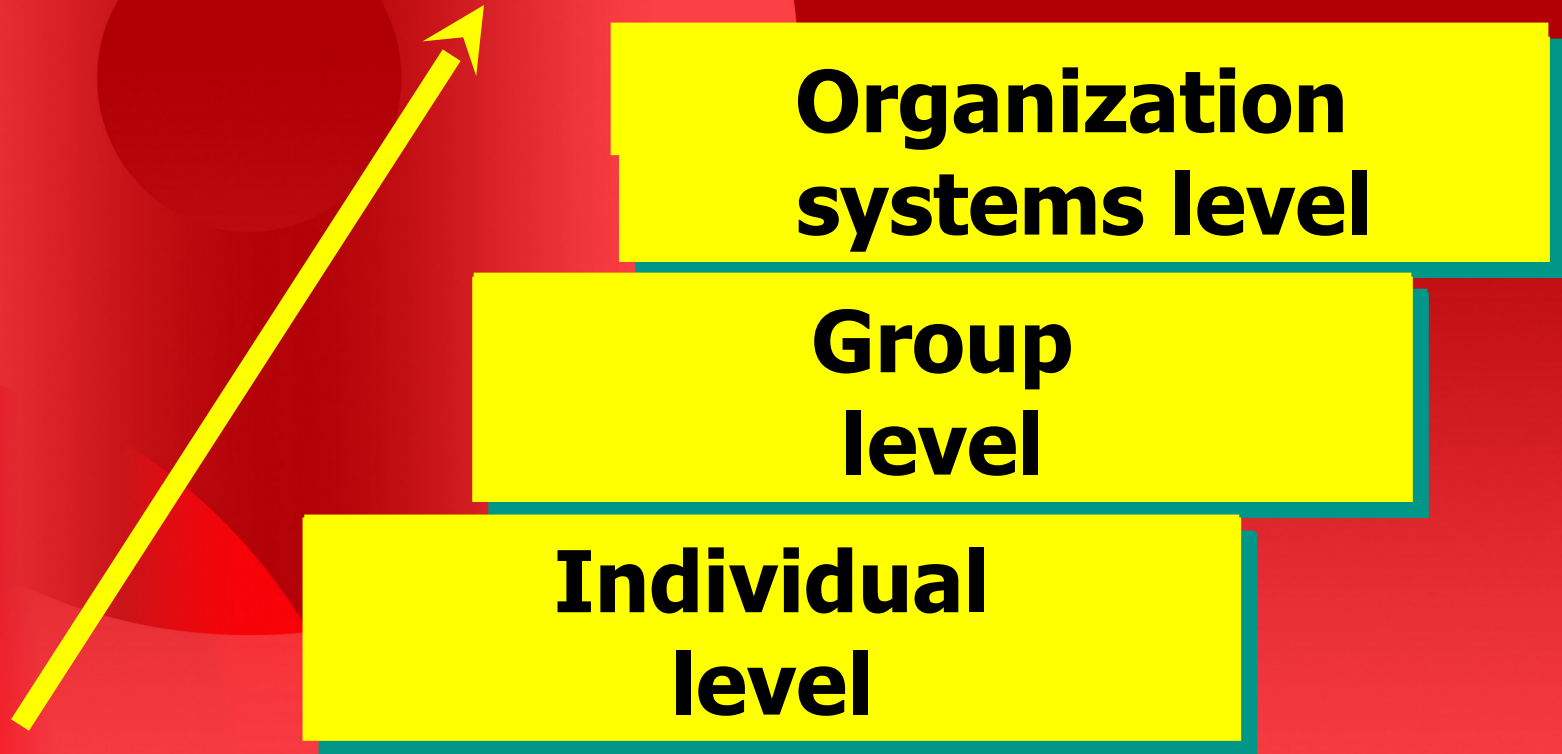
(MGT-502)

Lecture-16

Today's Topics

Review Part-I

Basic OB Model



Part-I The Individual

- Ability & Learning
- Values, Attitudes and Job Satisfaction
- Personality & Emotions
- Perception & Individual Decision Making
- Basic Motivation Concepts
- Motivation and its Applications

Part-II The Group

- Foundation of Group Behavior
- Group and Team Work
- Functions of Communication
- Basic Approaches to Leadership
- Contemporary Issues in Leadership
- Power and Politics
- Conflict and Negotiation

Part-III The Organization System

- Organizational Structure
- Work design and Technology
- HR Policies and Practices
- Organizational Culture
- Organizational Change
- Stress Management

Organizational Behavior

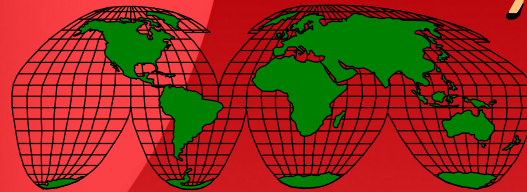
**The study of individual
behavior and group
dynamics in
organizational
settings**

Forces reshaping the process of management

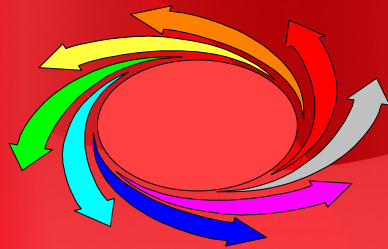
Power of Human Resources



Cultural Diversity



Globalization



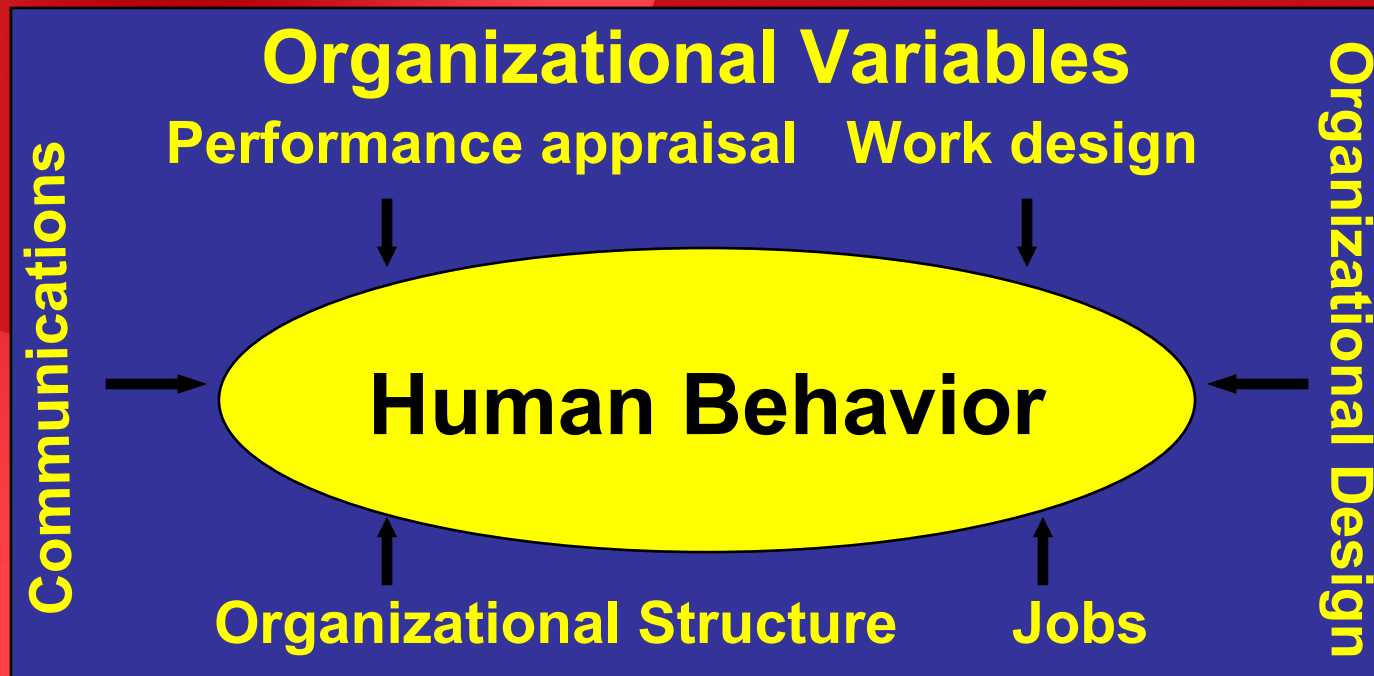
Rapid Change



New Psychological Contract

Organizational Behavior

The study of individual behavior and group dynamics in organizational settings



Behavior is a function of
both the **Person** and the
Environment.

$$B = f(P/E)$$

Why Do We Study OB?

- To learn about yourself and how to deal with others
- You are part of an organization now, and will continue to be a part of various organizations
- Organizations are increasingly expecting individuals to be able to work in teams, at least some of the time
- Some of you may want to be managers or entrepreneurs

**Understand
organizational
events**

**Organizational
Behavior
Research**

**Influence
organizational
events**

**Predict
organizational
events**

OB

Systematic study of how
people behave in
organizations



What Managers Do?

- Gets things done through other people
- Make decisions, allocate resources, and direct the activities of others to attain goals
- Do their work in an organization



**What is an
Organization?**

What are organizations?

- Social entities
- Goal oriented
- Deliberately structured
- Linked to the external environment

Challenges for Today's Organizations

**Globalization
and Culture**

**High Quality
and Low Cost**

**Multiple
Stakeholders**

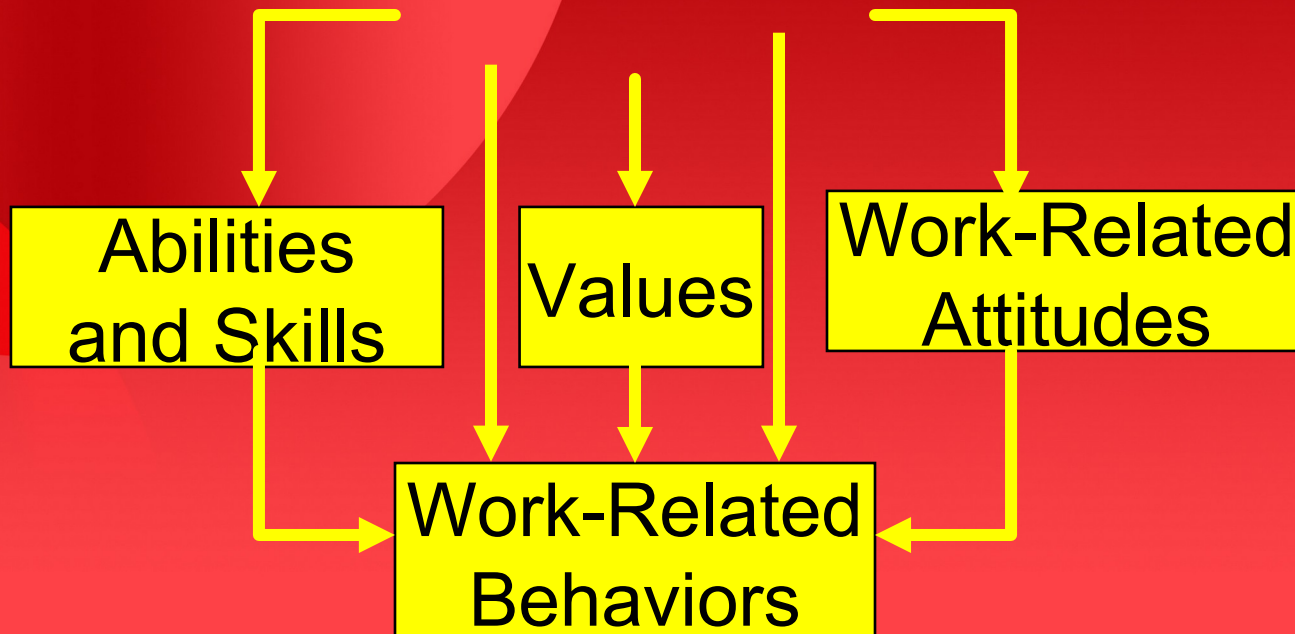
**Rapid Pace
of Change**

Understanding the Basics of Human Behavior

Heredity

Individual
Differences
Framework

Environment





Variables Influencing Individual Behavior

The Person

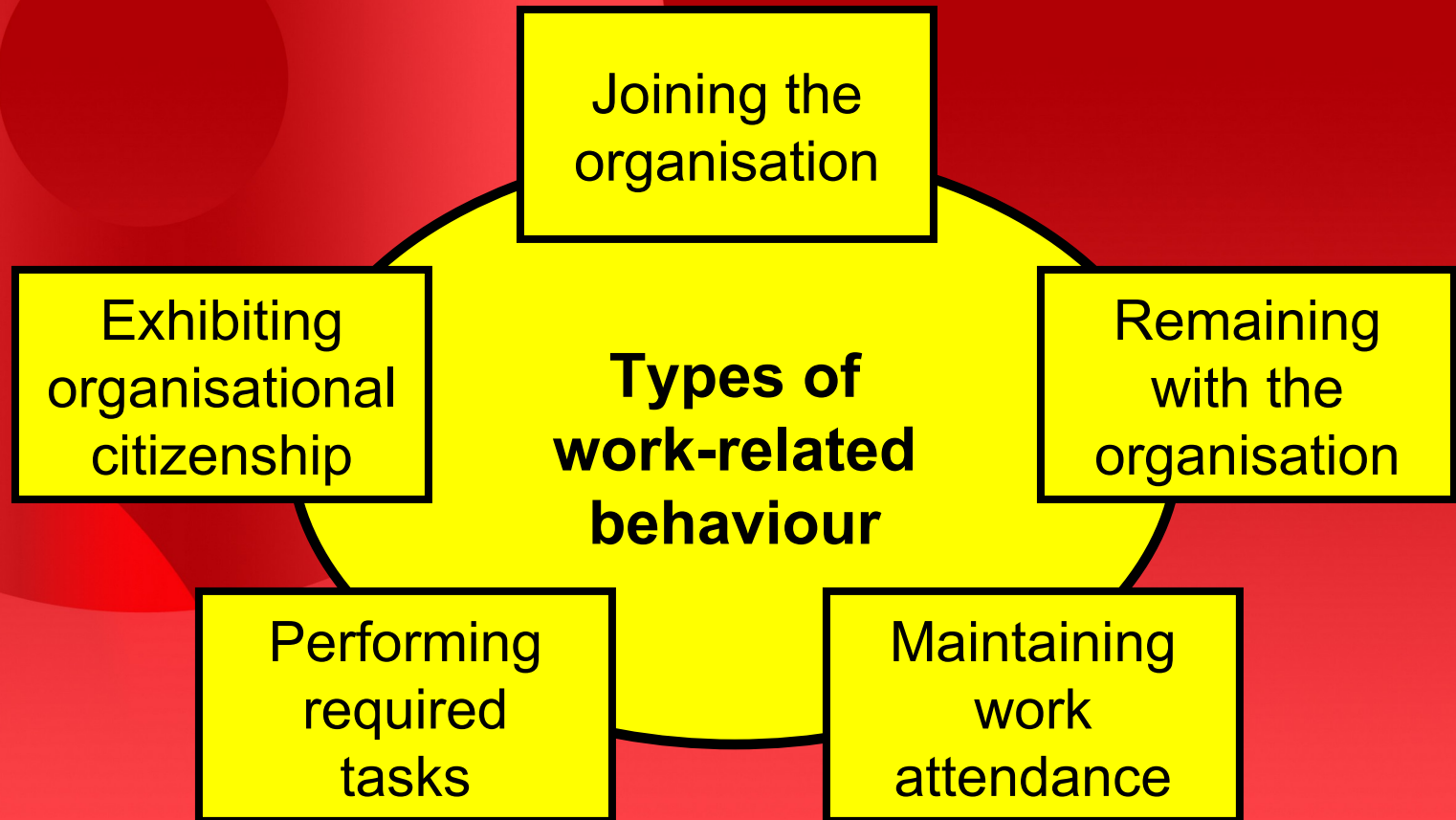
- Skills & abilities
 - Personality
 - Perceptions
 - Attitudes
 - Values
 - Ethics

The Environment

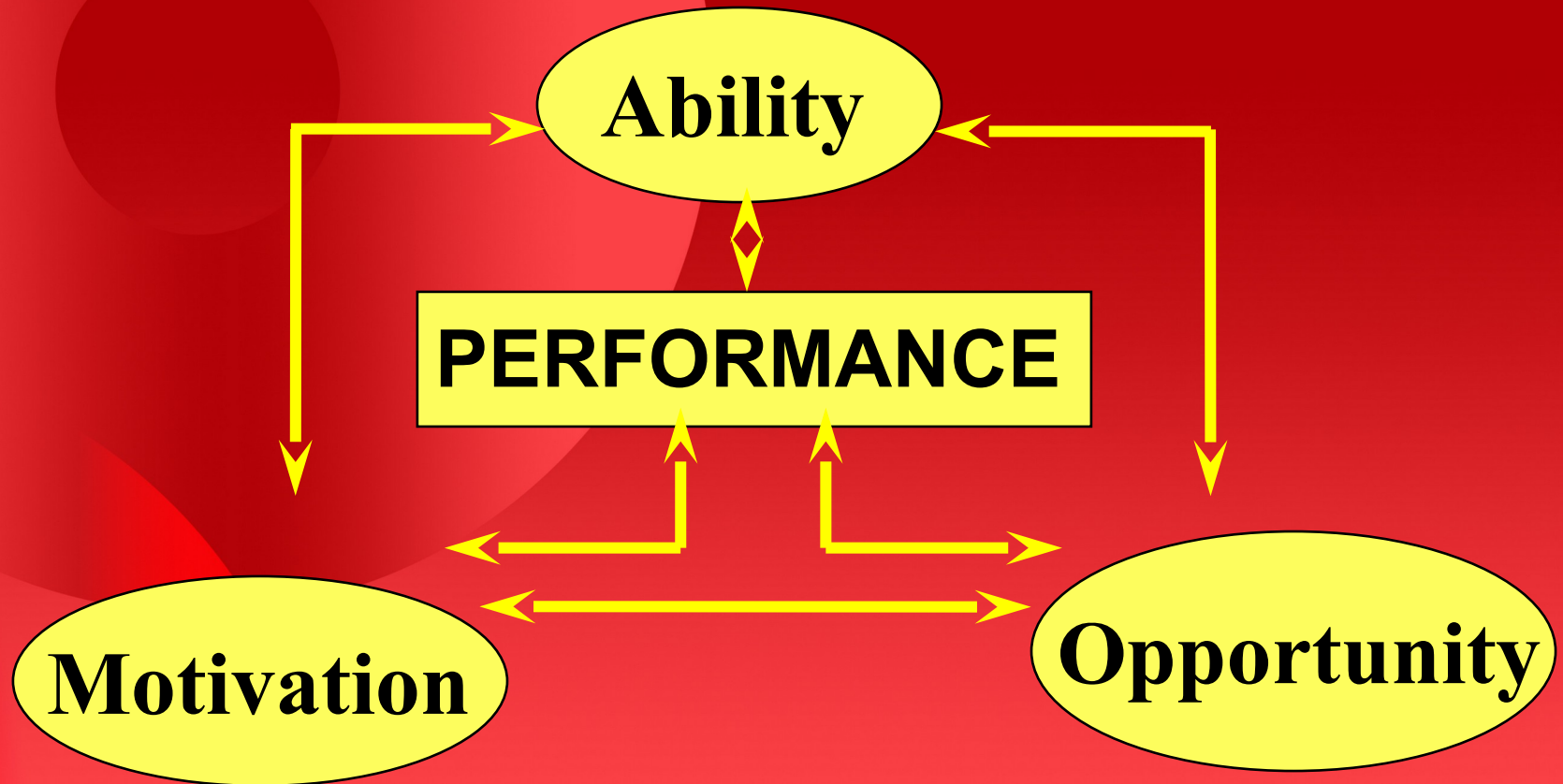
- Organization
 - Work group
 - Job
- Personal life

Behavior
 $B = f(P, E)$

Types of work-related behaviour



Why Do We Care?



Performance =
 $f(\text{Ability, Motivation, Opportunity})$

The Person-Job Fit

- Person-Job Fit
 - The extent to which the contributions made by the individual match the inducements offered by the organization.



Ability

Mental and physical capabilities to perform various tasks.

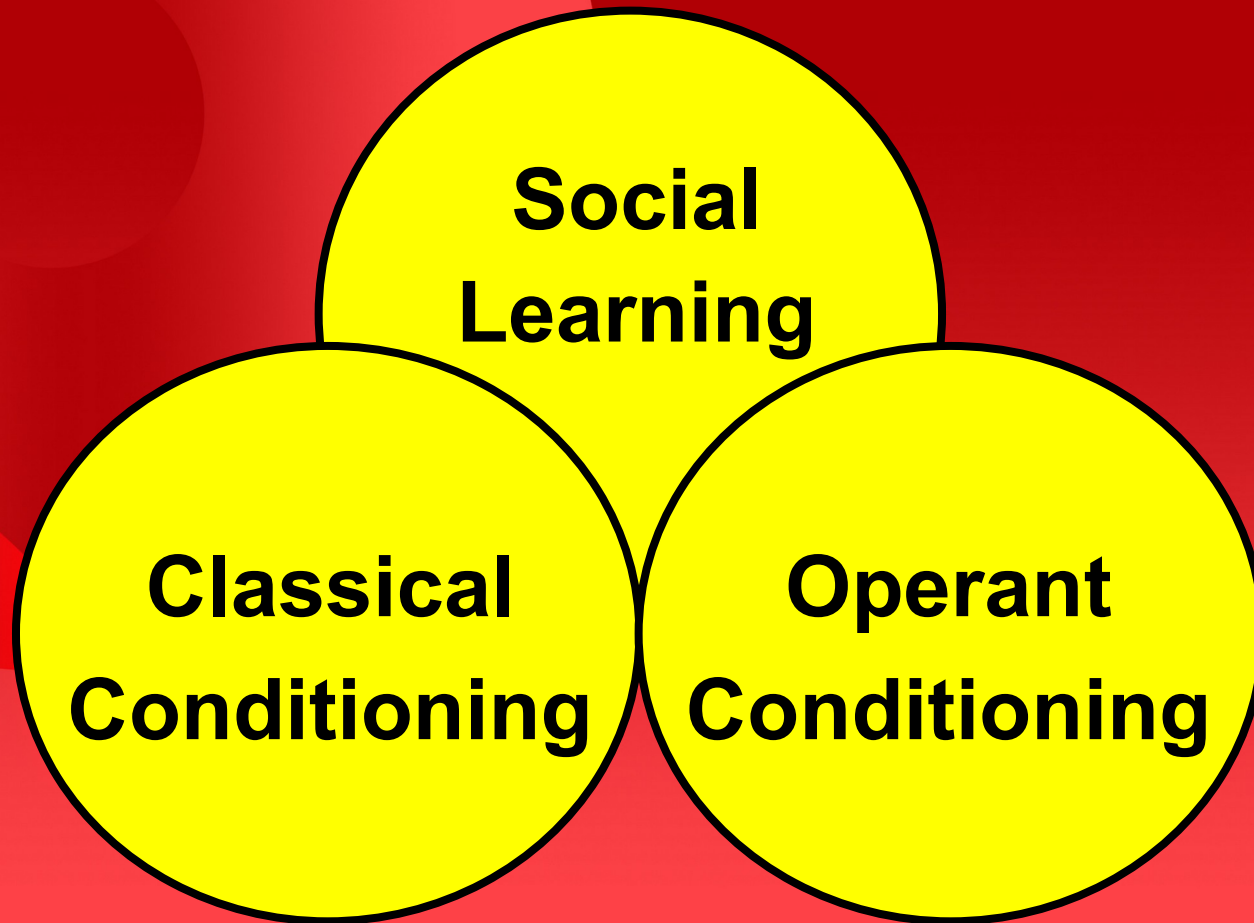
Intellectual Abilities

The capacity to do
mental activities

Learning

A relatively permanent change in the behavior occurring as a result of experience.

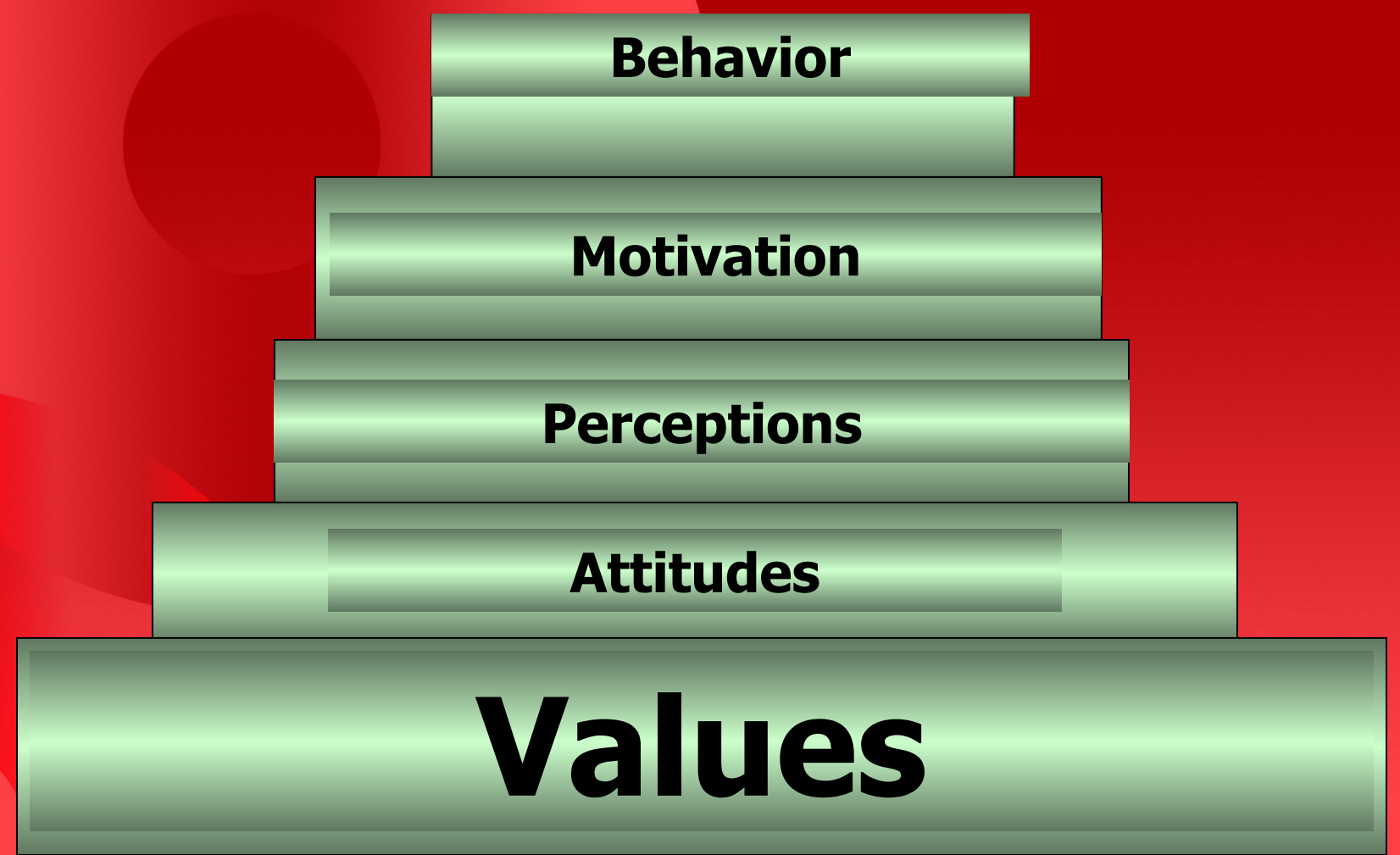
Learning Theories



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Values

The Importance of Values



Behavior

Motivation

Perceptions

Attitudes

Values

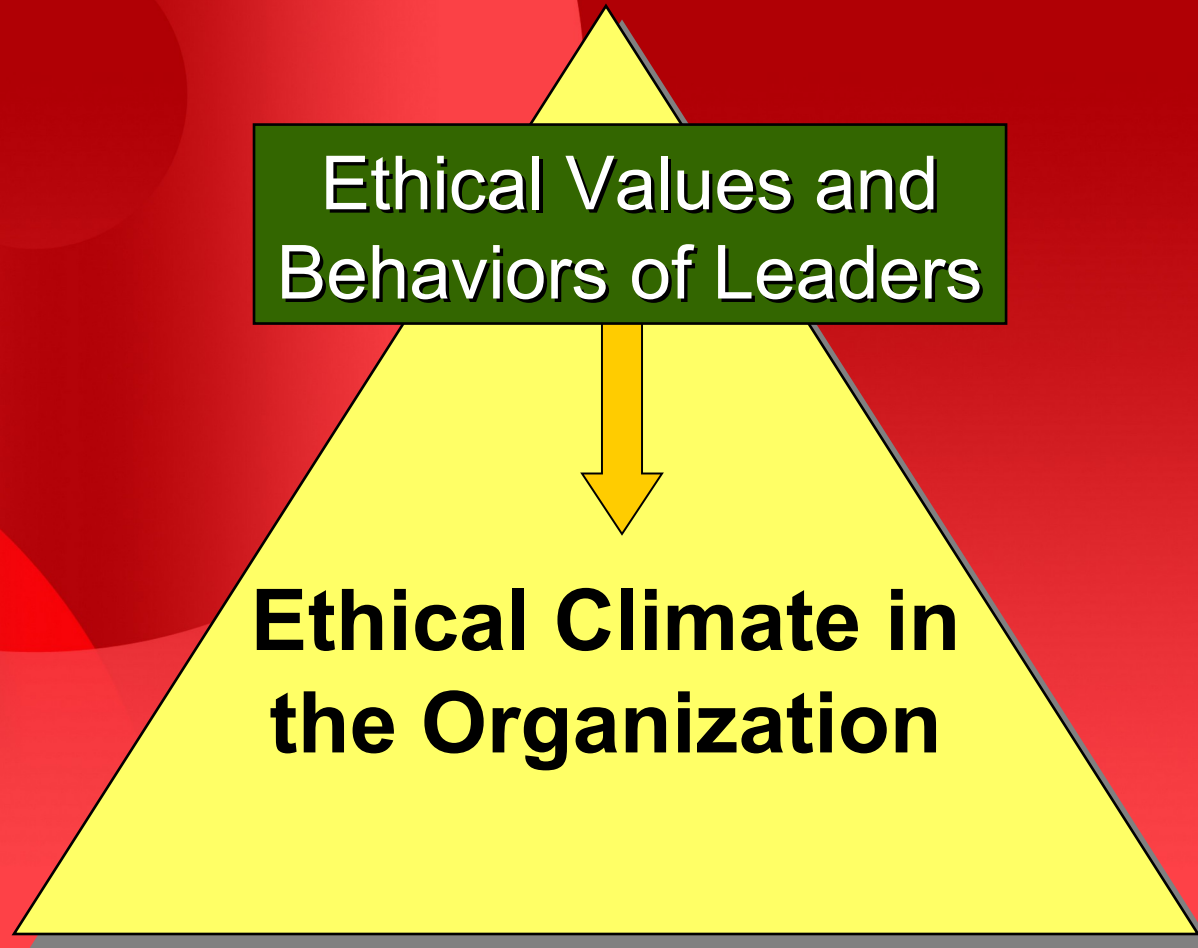
Values, Ethics & Ethical Behavior

Value Systems - systems of beliefs that affect what the individual defines as right, good, and fair

Ethics - reflects the way values are acted out

Ethical behavior - actions consistent with one's values

Values, Loyalty, and Ethical Behavior



Work Values

- Achievement (career advancement)
- Concern for others (compassionate behavior)
- Honesty (provision of accurate information)
- Fairness (impartiality)

Values Across Cultures

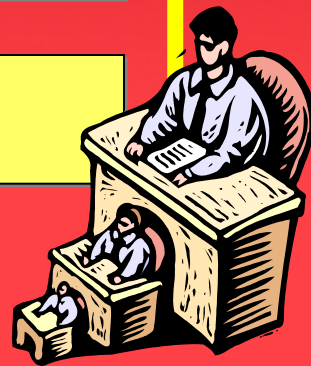
Power Distance

Individualism or Collectivism

Quantity or Quality of Life

Uncertainty Avoidance

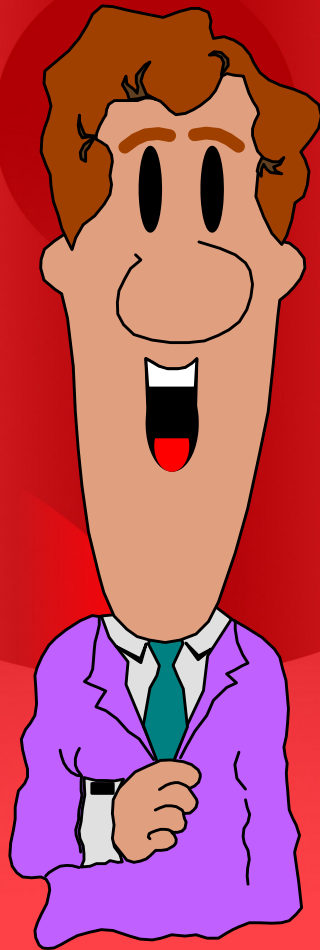
Long-Term or Short-Term



Components of Attitudes

- Cognitive -- thinking
- Affective -- feeling
- Behavioral -- doing

Types of Attitudes



- Job satisfaction
- Job involvement
- Organizational commitment

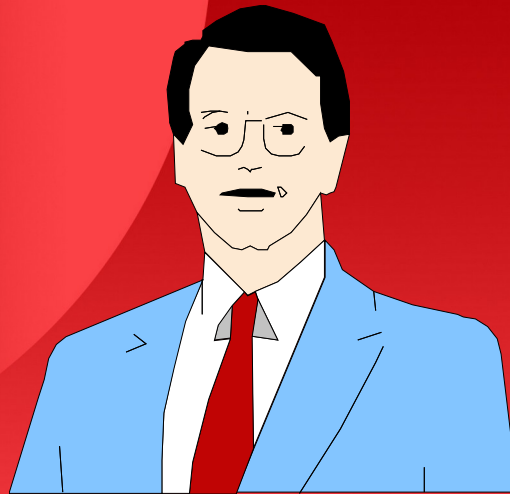
Attitudes Associated with Job Satisfaction

**Work
Itself**

**Job
Security**

**Co-
workers**

Supervision



**Promotion
Opportunities**

Pay

**Working
Conditions**

Barriers to Change Attitudes

- Prior Commitments
- Insufficient Information

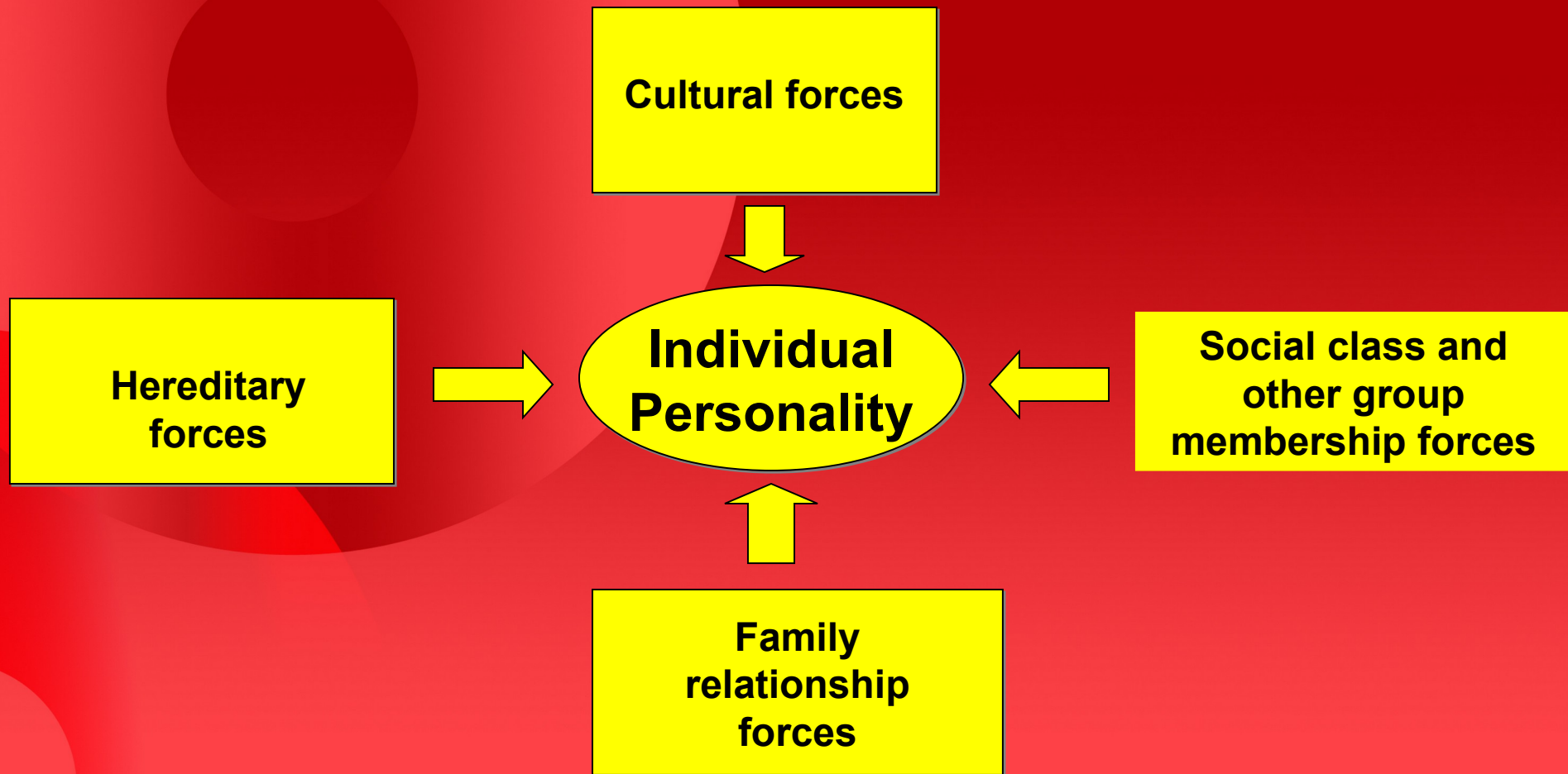
Personality

Mean how people affect others and how they understand and view themselves, as well as their pattern of inner and outer measurable traits and

Person-situation interaction

Both personality and attitudes are complex cognitive processes. The difference is that personality usually is thought of as the whole person, while attitudes may make up the personality.

Some Major Forces Influencing Personality



Locus of Control

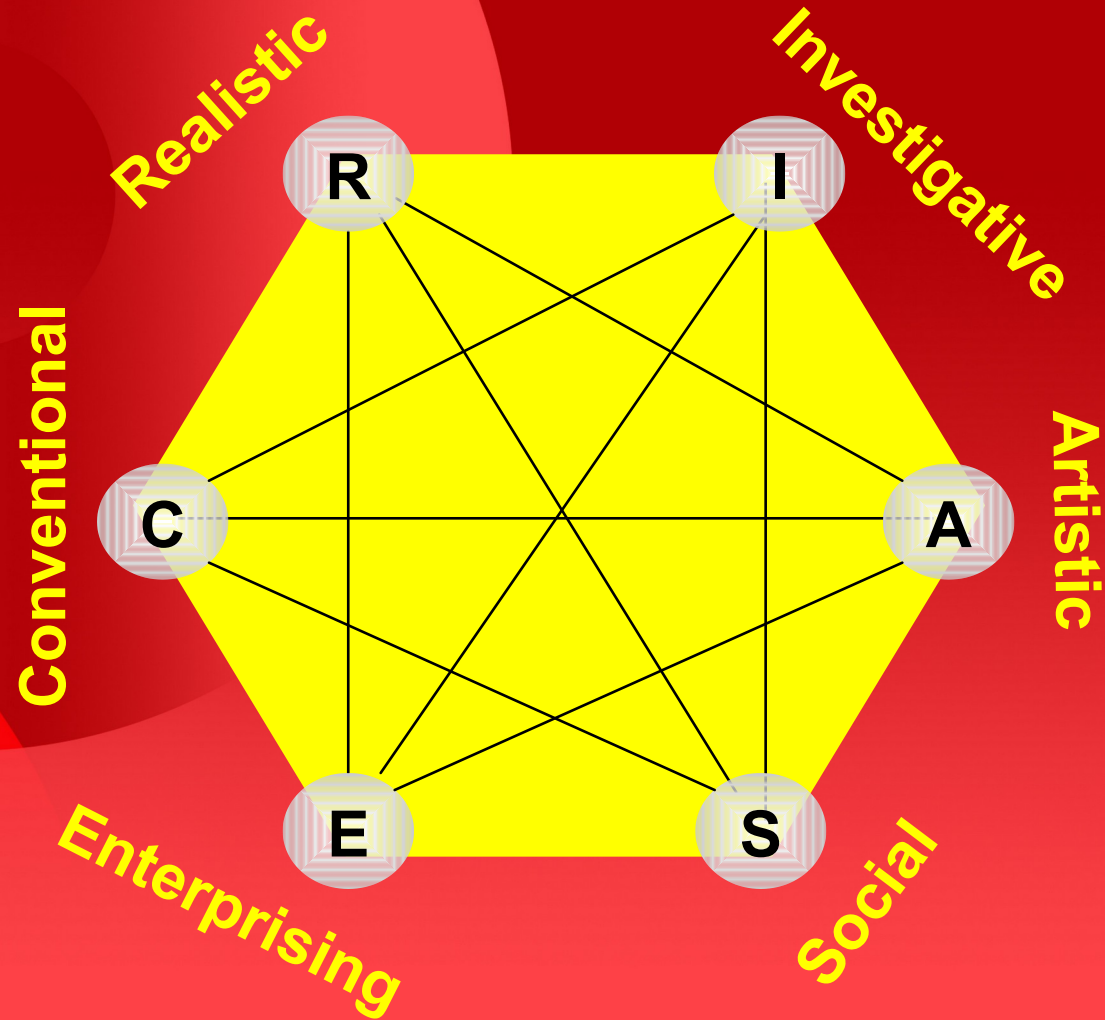
Locus of Control - personality variable that affects individual behavior

Internal - belief in personal control and personal responsibility

External - belief in control by outside forces (fate, chance, other people)

Because personality characteristics create the parameters for people's behavior, they give us a framework for predicting behavior.

Occupational Personality Types



Emotions and Mood

Facial Expressions Convey Emotions

Each picture portrays a different emotion. Try to identify them before looking at the answers. (Top, left to right: neutral, surprise, happiness. Bottom: fear, sadness, anger.)



Emotions and Organizational Behavior

```
graph TD; A([Emotions and Organizational Behavior]) --- B([Felt Emotions]); A --- C([Emotional Labor]); A --- D([Displayed Emotions]); B --- C; C --- D; B --- D;
```

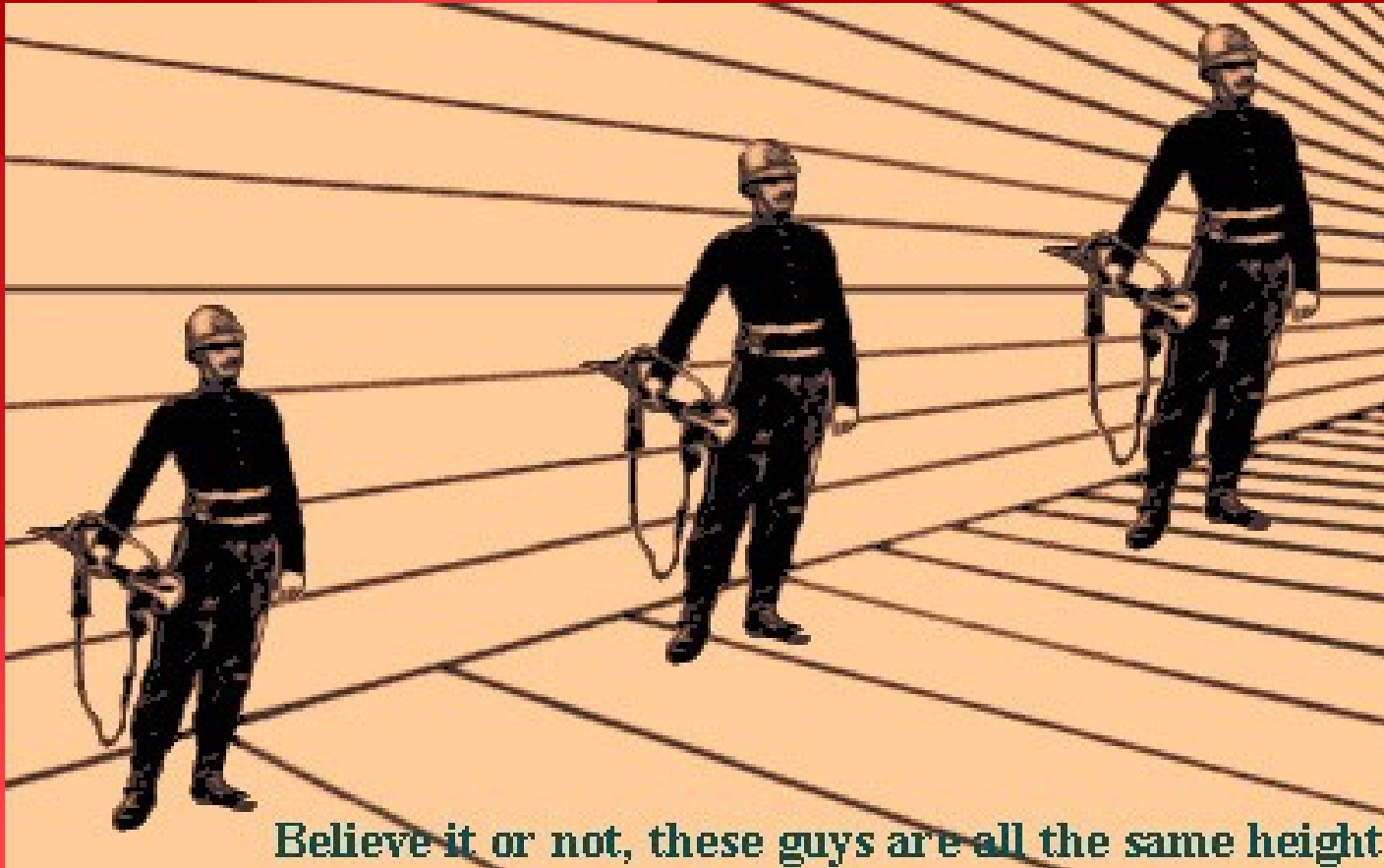
The diagram consists of four yellow shapes on a red background. At the top is a large yellow oval containing the text 'Emotions and Organizational Behavior'. Below it are three yellow circles: 'Felt Emotions' on the left, 'Emotional Labor' in the center, and 'Displayed Emotions' on the right. Lines connect the top oval to each of the three circles, and the three circles are also connected to each other, forming a triangular network.

**Felt
Emotions**

**Emotional
Labor**

**Displayed
Emotions**

Individual Behavior- Perception



Believe it or not, these guys are all the same height

- **What is Perception?**

- A process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.

- **Why Is it Important?**

- Because people's behavior is based on their perception of what reality is, not on reality itself.
- *The world that is perceived is the world that is behaviorally important.*

Factors that Influence Perception

Factors in the situation

- Time
- Work setting
- Social setting

Factors in the Perceiver

- Attitudes
- Motives
- Interests
- Experience
- Expectations

Perception

Factors in the target

- Novelty
- Motion
- Sounds
- Size
- Background
- Proximity

Social Perception

The process through which individuals attempt to combine, integrate, and interpret information about others.

Person Perception: Making Judgments about others



Attribution

The Process through which
individuals attempt to
determine the causes of others
behavior

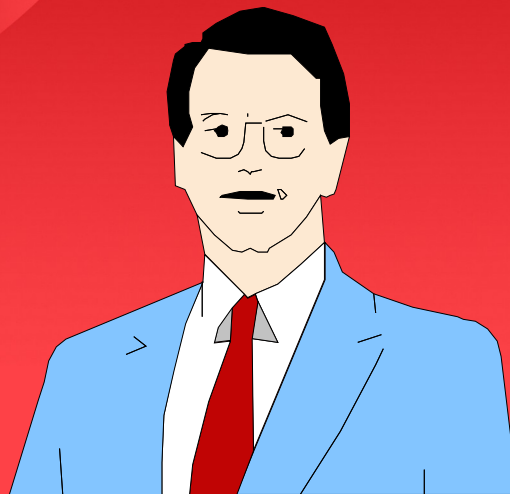
Fundamental Attribution Error

The tendency to attribute others' actions to internal causes (e.g. their traits) while largely ignoring external factors that also may have influenced their behavior.

Impression Management

Self-presentation

Is the process by which people attempt to manage or control the perceptions other form of them.



WHAT MATTERS MOST
IS HOW YOU SEE YOURSELF.



Employee Impression Management Strategies

- Demotion-preventative strategies
 - Accounts
 - Apologies
 - Disassociation
- Promotion-enhancing strategies
 - Entitlement
 - Enhancement
 - Obstacles disclosures
 - Association

Perception & Decision Making

Two Important Decision-Making Phases



```
graph TD; A[Two Important Decision-Making Phases] --> B[Problem Identification]; A --> C[Alternative Development]
```

**Problem
Identification**

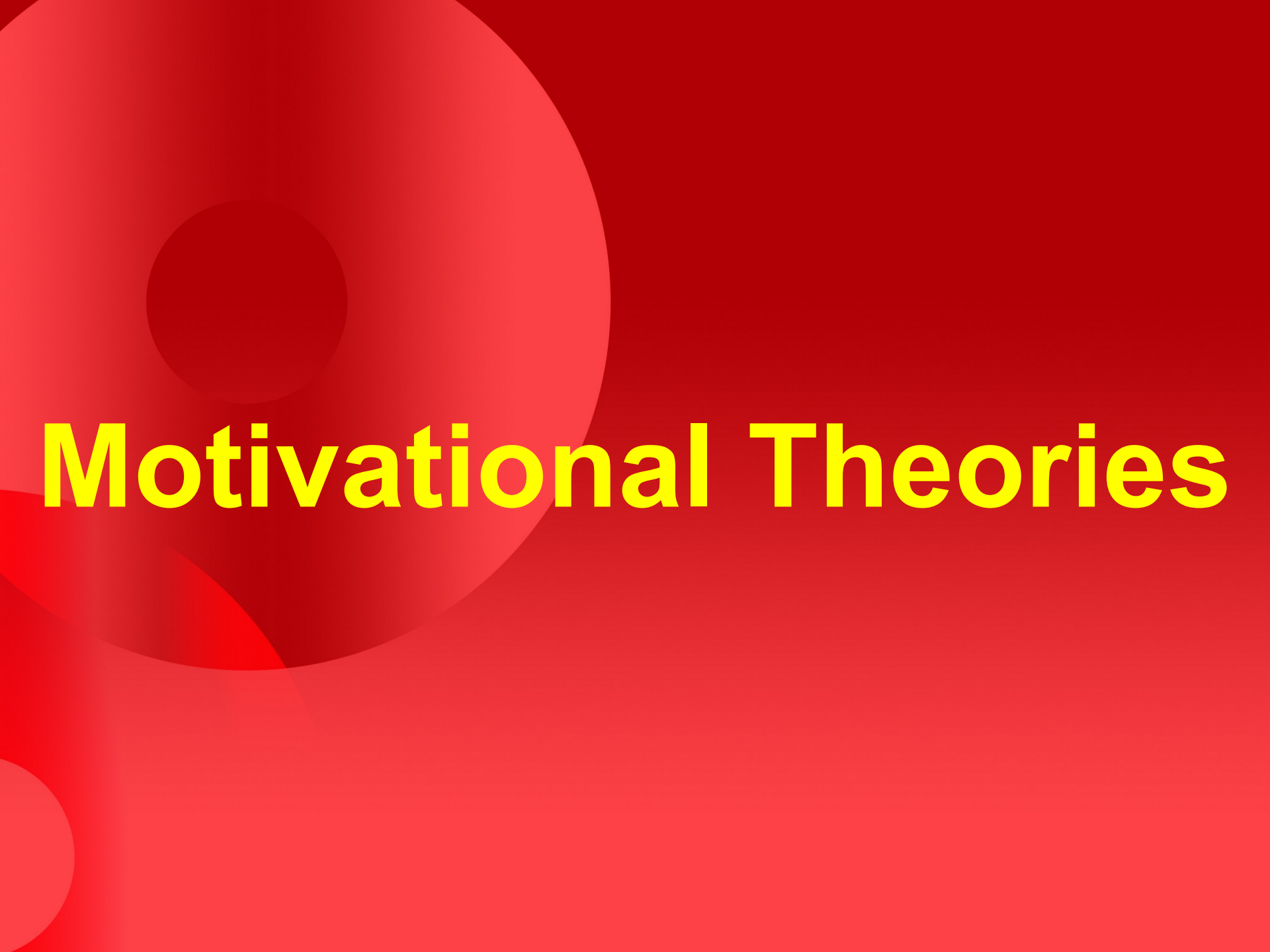
**Alternative
Development**

Methods of Improving Decision Making in Organizations

- Human-based Methods
- Computer-based Methods
- Brainstorming
- Nominal Group Technique
- Delphi Method

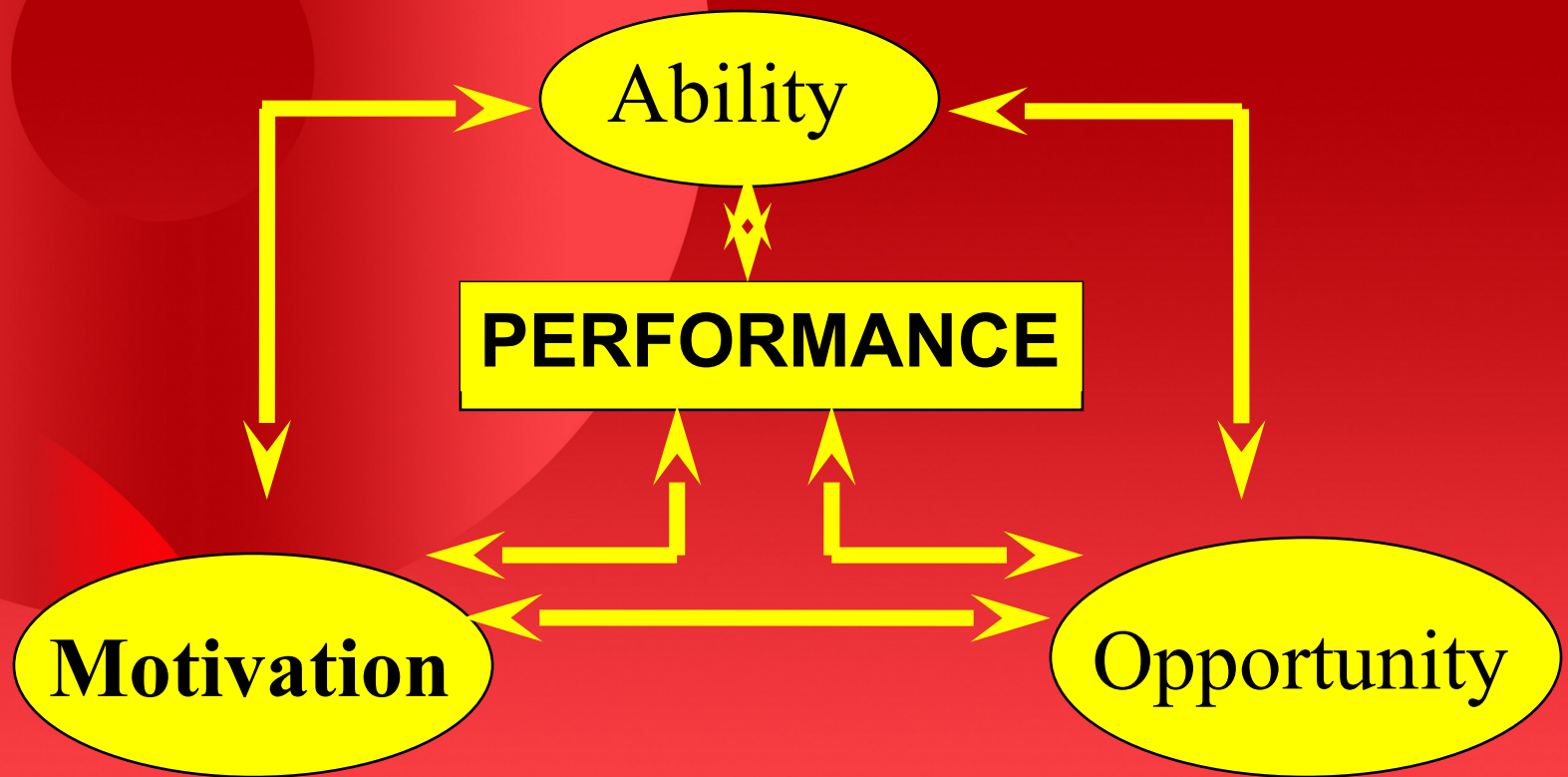
Motivation

The set of processes that **arouse, direct** and **maintain** human behavior toward attaining some goal.

The background features a solid red field with several overlapping circles in various shades of red and pink. A large, semi-transparent pink circle is prominent on the left side, with a smaller, darker red circle nested within it. Other smaller circles in lighter pink and red are scattered in the lower-left and bottom-left areas. The text 'Motivational Theories' is centered horizontally and partially overlaps the large pink circle.

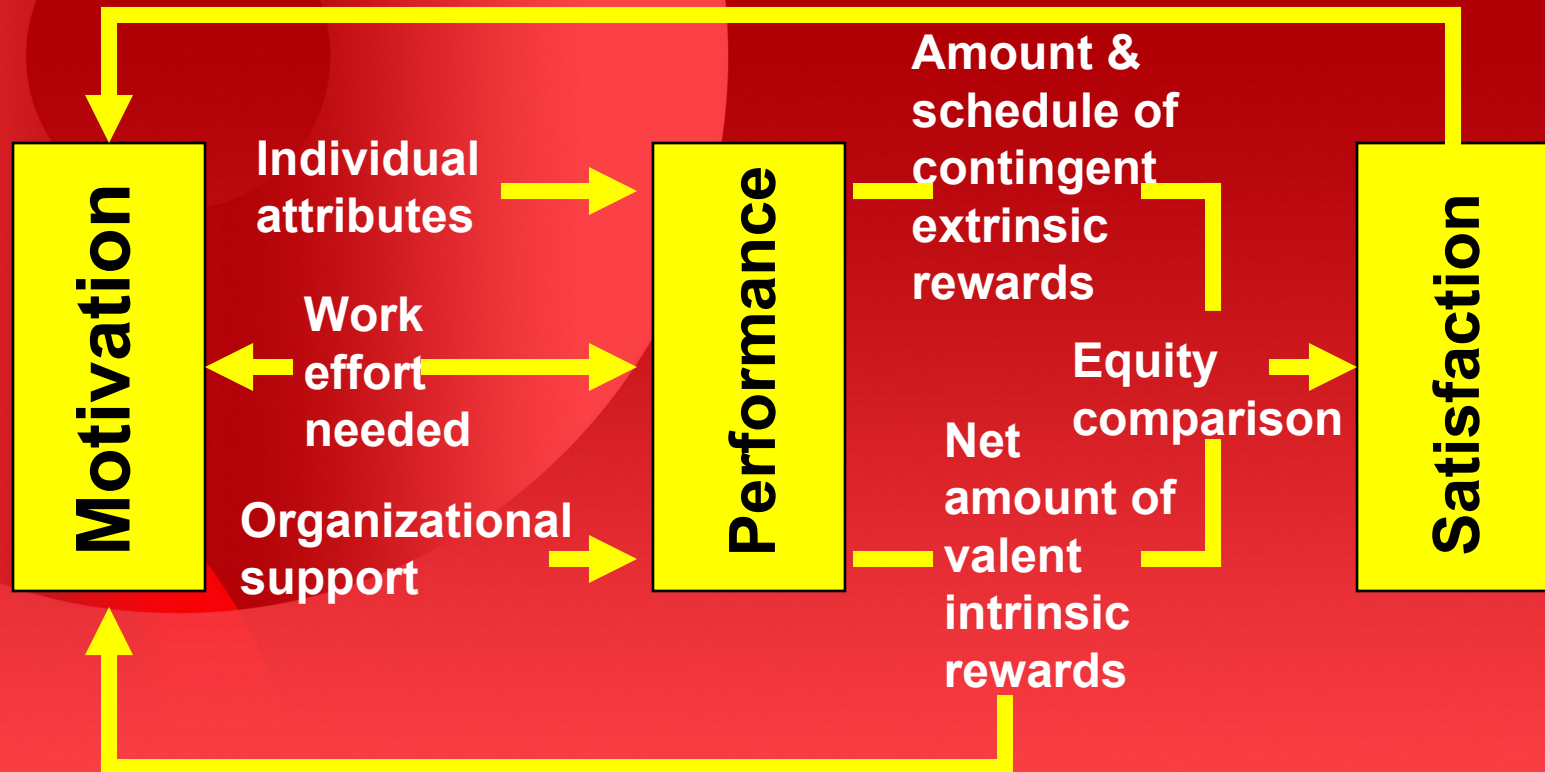
Motivational Theories

Why Do We Care?



Performance =
 $f(\text{Ability}, \text{Motivation}, \text{Opportunity})$

An Integrated Model of Individual Motivation to Work



Strategies for Motivating Employees

- Behavior Modification
- Job Design



Challenges of motivating employees

- **Changing workforce**

- younger generation employees have different needs and expectations to baby boomers
- people have more diverse values – results in more variety in what motivates employees

- **Cultural values**

- globalisation has added to diversity

Special Issues in Motivation

- Motivating Professionals
- Motivating Contingent Workers
- Motivating the Diversified Workers
- Motivating Low-Skilled Service Workers
- Motivating People Doing Highly Repetitive Tasks

Implications for Managers

- Recognize Individual Differences
- Use Goals and Feedback
- Allow Employees to Participate in Decisions that Affect Them
- Link Rewards to Performance
- Check the System for Equity

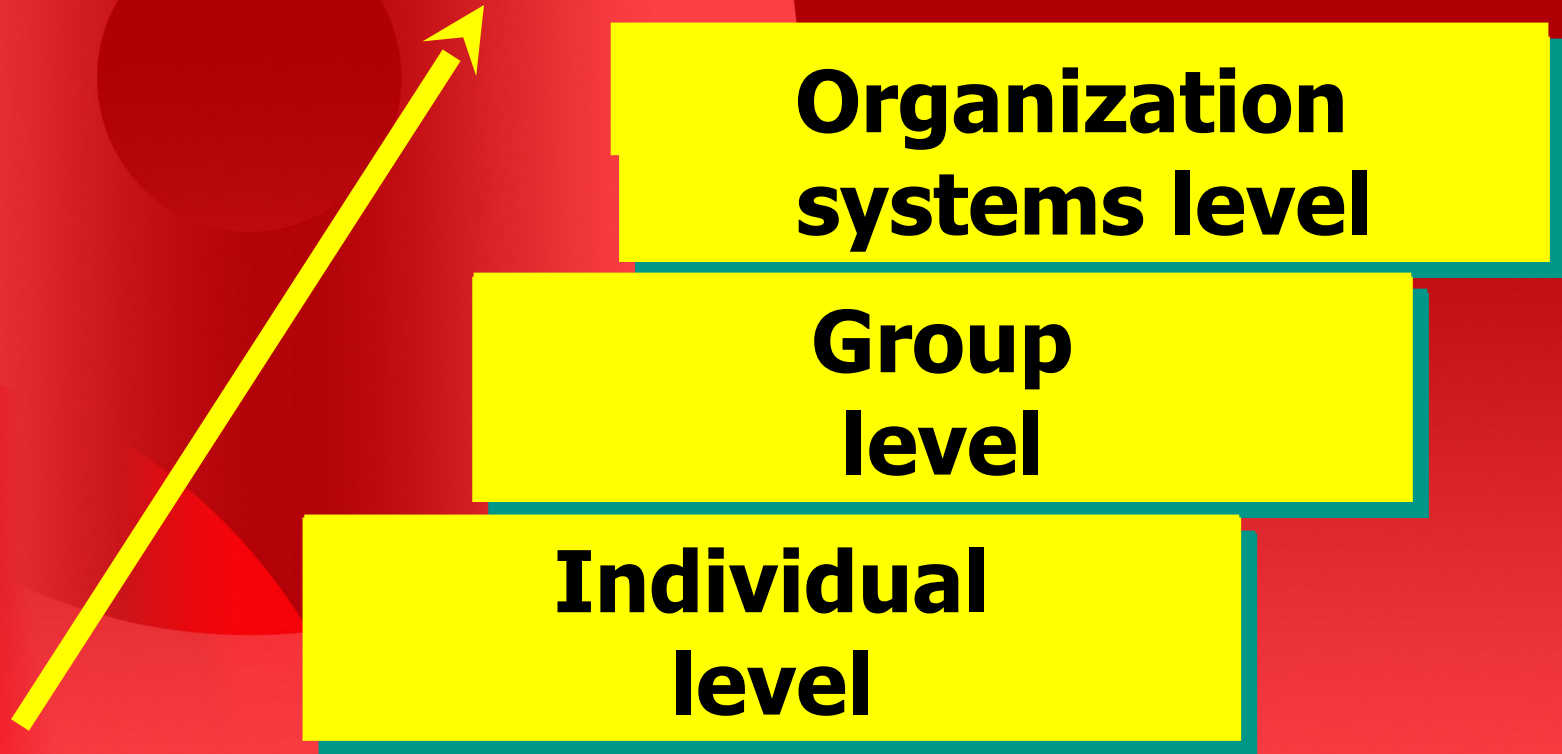
**Understand
organizational
events**

**Organizational
Behavior
Research**

**Influence
organizational
events**

**Predict
organizational
events**

Basic OB Model





**Enough for
today...**

The background is a solid red color. On the left side, there are several overlapping circles in various shades of red and pink. A large, semi-transparent pink circle is the most prominent, with a smaller, darker red circle inside it. Other circles of different sizes and shades are visible in the lower-left and upper-left areas. The text 'Next....' is written in a bold, yellow, sans-serif font, positioned in the center-right of the image.

Next....

Organizational Behavior

(MGT-502)

Lecture-16

Organizational Behavior

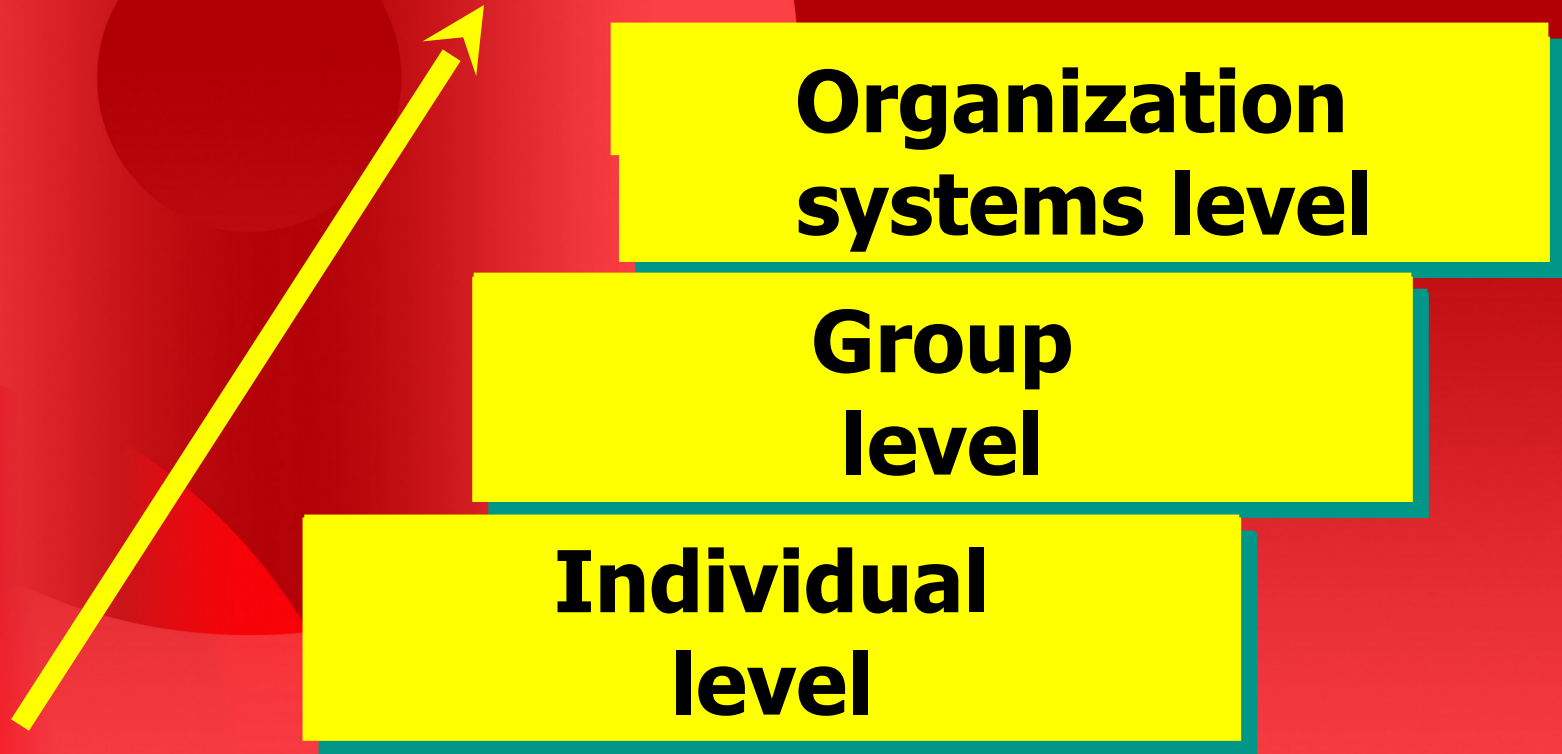
(MGT-502)

Lecture-17

Summary of Lecture-16

Review Part-I

Basic OB Model



The background features a solid red field with several overlapping circles in various shades of pink and red. A large, bright yellow circle is partially visible on the left side, containing the text.

Today's Topics

Groups Dynamics



Groups

- A **group** is two or more individuals, interacting and interdependent, who perceive themselves as being a group and have come together to achieve particular objectives.
- A group is **effective** when it satisfies three criteria:
 - **Production output:** the product of the group's work must meet or exceed standards of quality and quantity
 - **Member satisfaction:** membership in the group must provide people with short-term satisfaction and facilitate their long-term growth and development
 - **Capacity for continued cooperation:** how the group completes a task should maintain or enhance the group's ability to work together; groups that don't cooperate cannot survive

One of the truly remarkable things about work groups/teams is that they can make $2+2=5$. Of course, they also have the capability of making $2+2=3$.

Groups Defined

Two or more individuals interacting with each other in order to accomplish a common goal.



Groups & Teams

Group - two or more people with common interests or objectives

Team - a small number of people with complementary skills who are committed to a common mission, performance goals, and approach for which they hold themselves mutually accountable

Groups versus Teams

- All teams are groups
- Some groups are just people assembled together
- Teams have task interdependence whereas some groups do not (e.g., group of employees enjoying lunch together)

Types of Groups

Formal Groups

- Result from the demands and processes of an organization
- Designated by the organization as a means to an end
 - **Command group**
 - Comprises subordinates reporting directly to a give supervisor
 - **Task group**
 - Comprises employees who work together to complete a particular task or project

Informal Groups

- Result from natural groupings of people in work environments in response to social needs
- Are important for their own sake
 - **Interest groups**
 - Comprises workers coming together to achieve a mutual objective
 - **Friendship groups**
 - Comprises workers who share something in common

Formal

```
graph LR; Formal --> Command[Command Groups]; Formal --> Task[Task Groups]; Informal --> Interest[Interest Groups]; Informal --> Friendship[Friendship Groups];
```

Command Groups

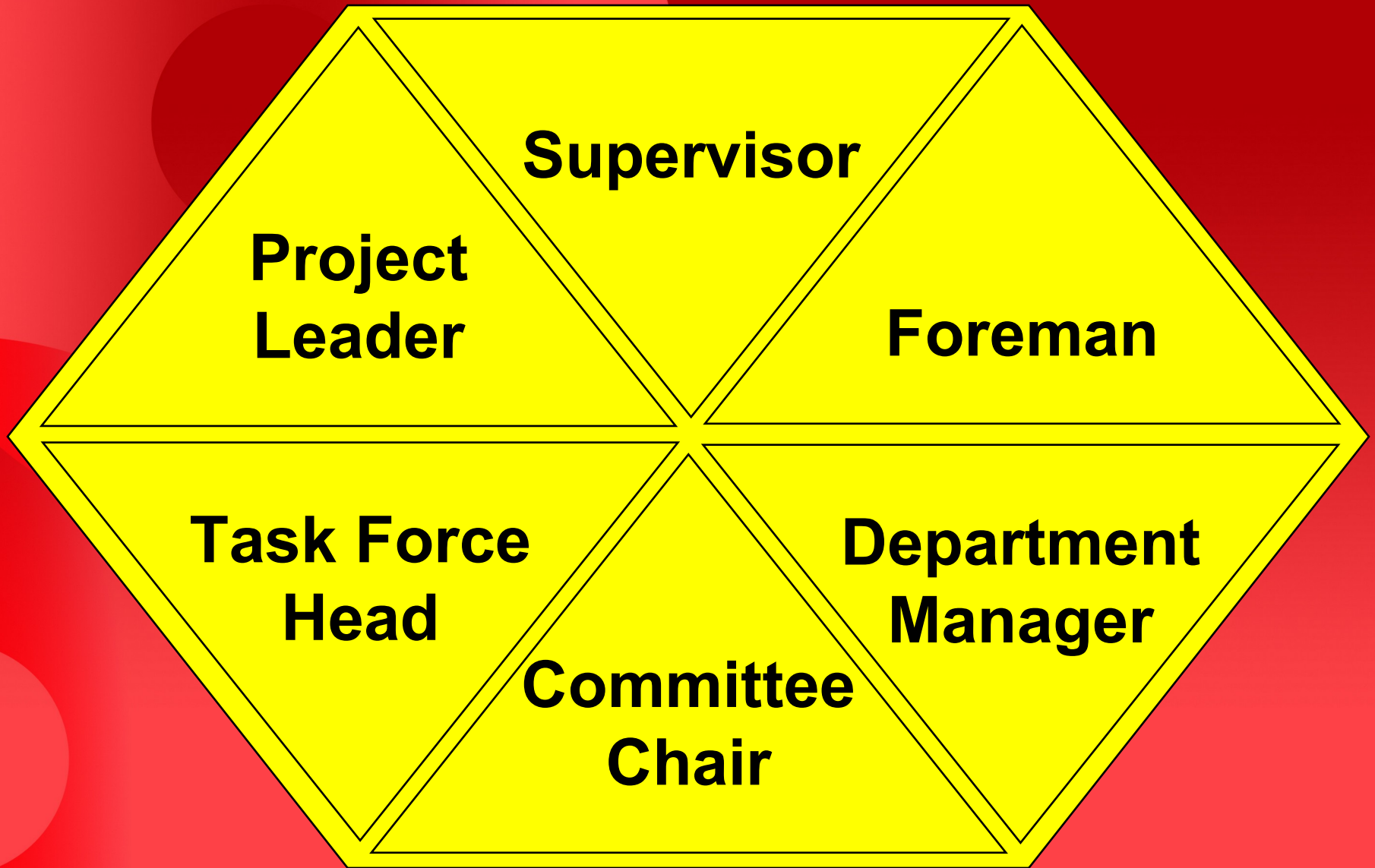
Task Groups

Informal

Interest Groups

Friendship Groups

Formal Group Leadership



Remember...

- when individuals are in groups they act differently than when they are alone

Why Do People Join Groups?

- Security
- Status
- Social needs
- Power
- Goal Achievement

Stages of Group Development

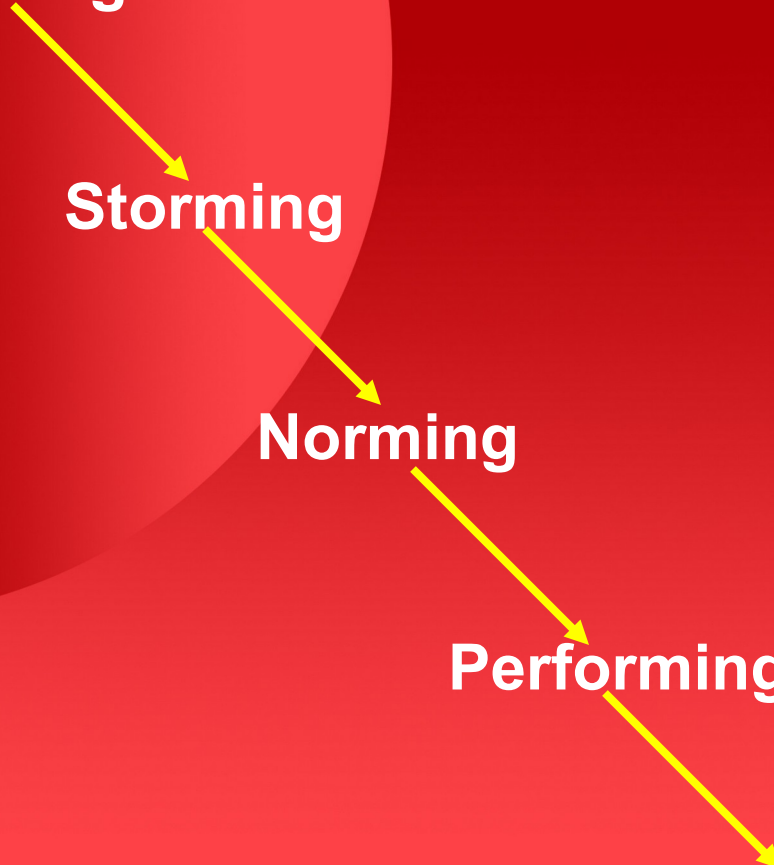
Forming

Storming

Norming

Performing

Adjourning



➤ **Forming stage.**

- Initial entry of members to a group.
- Members concern's include:
 - Getting to know each other.
 - Discovering what is considered acceptable behavior.
 - Determining the group's real task.
 - Defining group rules.

➤ **Storming stage.**

- A period of high emotionality and tension among group members.
- Members concern's include:
 - Formation of coalitions and cliques.
 - Dealing with outside demands.
 - Clarifying membership expectations.
 - Dealing with obstacles to group goals.
 - Understanding members' interpersonal styles.

➤ Norming stage.

- The point at which the group really begins to come together as a coordinated unit.
- Members concern's include:
 - Holding the group together.
 - Dealing with divergent views and criticisms.
 - Dealing with a premature sense of accomplishment.

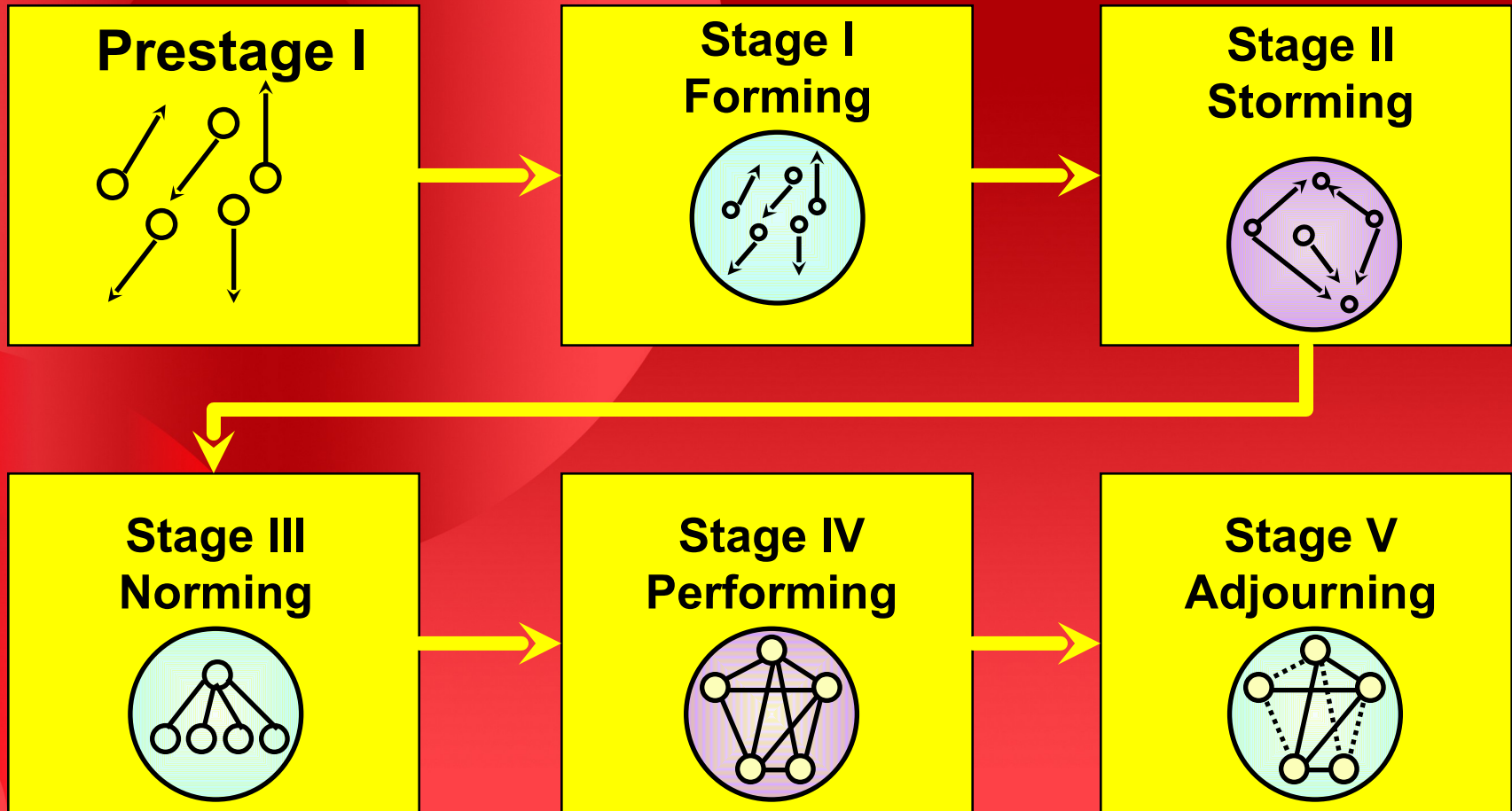
➤ Performing stage.

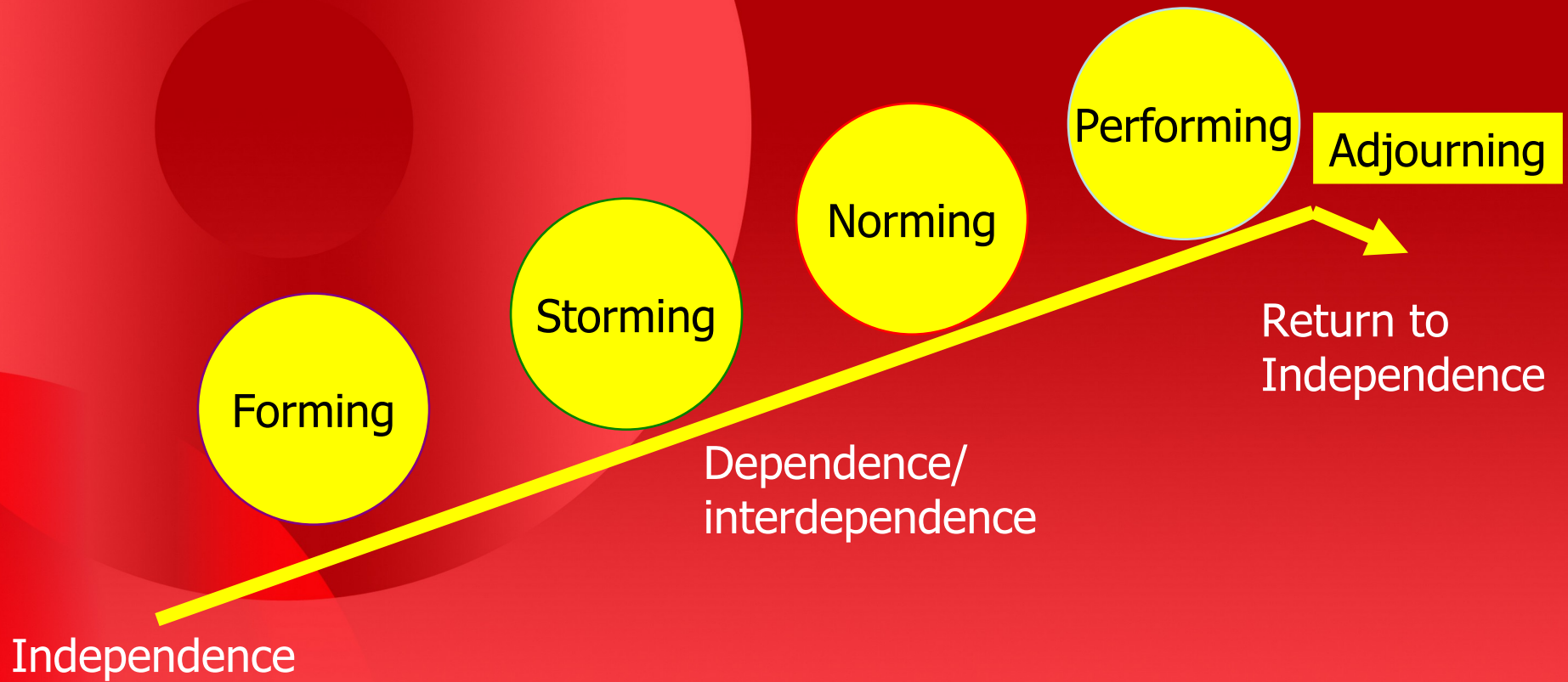
- Marks the emergence of a mature, organized, and well-functioning group.
- Members deal with complex tasks and handle internal disagreements in creative ways.
- Primary challenge is to continue to improve relationships and performance.

➤ **Adjourning stage.**

- Particularly important for temporary groups.
- A well-integrated group is:
 - Able to disband when its work is finished.
 - Willing to work together in the future.

Stages of Group/Team Development





	Forming	Storming	Norming	Performing
Individual Issues	"How do I fit in?"	"What's my role here?"	"What do the others expect me to do?"	"How can I best perform my role?"
Group Issues	"Why are we here?"	"Why are we fighting over who's in charge and who does what?"	"Can we agree on roles and work as a team?"	"Can we do the job properly?"

Group Task

The more complex the task, the more it is non-routine and requires a range of skills, the more important group process becomes!

Group Productivity

- People can be more productive when working in groups than when working alone, if the obstacles to group productivity are avoided.
- **Synergy** is a biological term referring to an action of two or more substances that results in an effect that is more than the mere summation of the individual substances; the whole is more than the sum of its parts ($2 + 2 = 5$).
- **Process loss** is the difference between what is actually produced by a group and what could have been produced by the group when you consider its inputs ($2 + 2 = 3$).

Example of Synergy

- The **social facilitation effect** can either enhance group productivity (synergy) or restrict it (process loss):
 - The performance of simple, routine tasks tends to be speeded up and improved by the presence of other people (*synergy*)
 - When tasks are complex and require closer attention, the presence of other people will hurt performance (*process loss*)

Process Losses

- **Production blocking** occurs when people get in each other's way as they try to perform a task
- **Group-maintenance roles** must be filled in order to smooth group relations, but these roles divert time and effort from producing and thus cause process loss
- **Social loafing or free riding** occurs when a group member decides to loaf, hoping that someone else will pick up the slack (usually occurs when group rewards are shared equally, without regard to individual performance)

Social Loafing

The tendency to withhold physical or intellectual effort when performing a group task.



To Reduce Social Loafing

- Make individual contributions identifiable
- Make individuals feel that they are making valuable contributions to a group
- Keep group as small as possible

Effects of Group Processes

Potential group effectiveness

+

Synergy

-

Process losses

=

Actual group effectiveness

Group Roles

Task-Oriented Roles:

- Initiators
- Information Seekers
- Opinion Givers
- Energizers

+



**Task
Performance**

+



Relations-Oriented Roles:

- Harmonizers
- Compromisers
- Encouragers
- Expeditors



-

Self-Oriented Roles:

- Blockers
- Recognition Seekers
- Dominators
- Avoiders

Work Group Behavior

Affected by:

- External conditions
- Group member resources
- Group structure
- Group processes
- Group task

External Conditions Imposed on the Group

- **Overall strategy**
- **Authority structures**
- **Formal regulations**
- **Resources**

- **Employee selection**
- **Evaluation-rewards**
- **Culture**
- **Work setting**

Group Members Resources

- Knowledge and Skill
- Abilities
- Personality
- REQUISITE VARIETY--diversity slows decision-making but it can create more creative and higher quality outcomes!

Group Structure

Groups are not unorganized mobs.

They have structure that shapes the member behavior

Group Structure

- Formal Leadership
- Roles
- Norms
- Status
- Size
- Composition
- Cohesiveness
- Rules

Group Structure

- Size--"size of the group."
- Norms--"acceptable standards of behavior shared by members."
- Cohesiveness--"degree to which members are attracted to each other and desire to maintain in group."

Group Tasks

```
graph LR; A[Group Tasks] --> B[Requirements]; A --> C[Complexity]; A --> D[Interdependence];
```

The diagram features a large yellow arrow pointing from the left towards the right. Inside the arrow's shaft, the text 'Group Tasks' is written in bold black font. To the right of the arrow's tip, three yellow rectangular boxes are stacked vertically. Each box contains a bold black label: 'Requirements' at the top, 'Complexity' in the middle, and 'Interdependence' at the bottom. The entire graphic is set against a dark red background with lighter red curved shapes in the corners.

Requirements

Complexity

Interdependence

Factors That Contribute to Group Cohesiveness

- Group Size
- Similarity/Diversity of Group Members
- Competition with Other Groups
- Success
- Exclusiveness

Relationship Between Cohesiveness, Norms, & Productivity

Performance Norms

Cohesiveness

High

Low

High

High productivity

Moderate productivity

Low

Low productivity

Moderate to low productivity

Group Size

Smaller Groups better at task completion

Larger Groups better at collecting information and complex problem solving

Accuracy

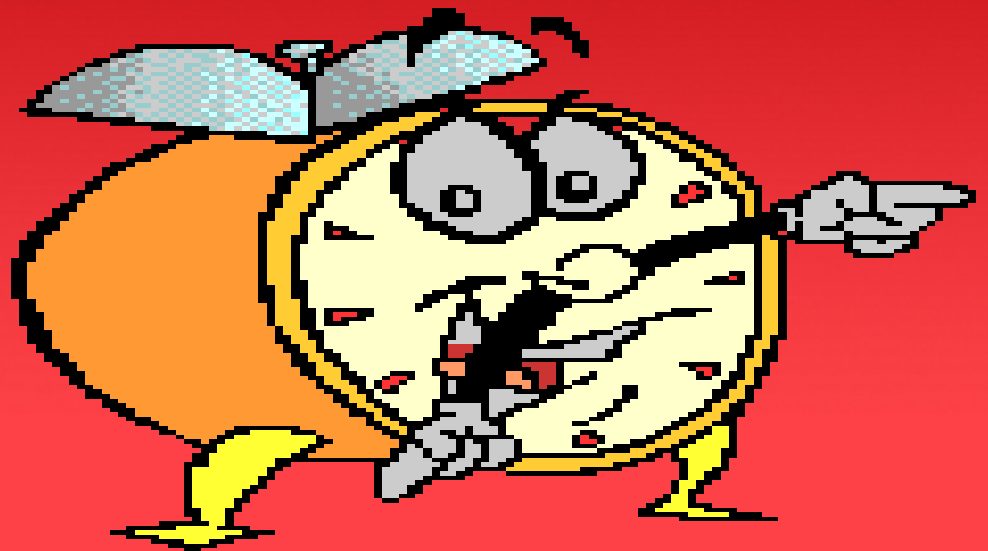
Creativity

**Group Effectiveness
and Efficiency**

Speed

Acceptance

Let's stop
it here



Summary

Groups Defined

Two or more individuals interacting with each other in order to accomplish a common goal.



Stages of Group Development

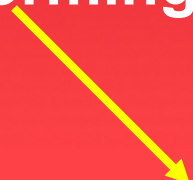
Forming

Storming

Norming

Performing

Adjourning



Group Roles

Task-Oriented Roles:

- Initiators
- Information Seekers
- Opinion Givers
- Energizers

+



**Task
Performance**

+



Relations-Oriented Roles:

- Harmonizers
- Compromisers
- Encouragers
- Expeditors



-

Self-Oriented Roles:

- Blockers
- Recognition Seekers
- Dominators
- Avoiders

Relationship Between Cohesiveness, Norms, & Productivity

		Cohesiveness	
		High	Low
Performance Norms	High	High productivity	Moderate productivity
	Low	Low productivity	Moderate to low productivity



Next....

Teams



Organizational Behavior

(MGT-502)

Lecture-17

Organizational Behavior

(MGT-502)

Lecture-18

Summary of Lecture-17

Groups Defined

Two or more individuals interacting with each other in order to accomplish a common goal.



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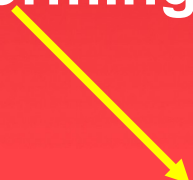
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+



Task Performance

+



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Relationship Between Cohesiveness, Norms, & Productivity

		Cohesiveness	
		High	Low
Performance Norms	High	High productivity	Moderate productivity
	Low	Low productivity	Moderate to low productivity

Today's Topics

Increasing Group Productivity

- Reduce the size of the group
- Increase group member motivation
- Increase group cohesiveness and productivity norms
- Match the group's communication structure to the task complexity

Characteristics of a Well-Functioning, Effective Group

Relaxed, comfortable, informal atmosphere

Task well understood & accepted

Members listen well & participate

People express feelings & ideas

**Conflict & disagreement center
around ideas or methods**

Group aware of its operation & function

Consensus decision making

Clear assignments made & accepted

Conducting a Group Meeting

- Follow these 12 steps to more efficient and effective meetings:
- Prepare a meeting agenda.
- Distribute the agenda in advance.
- Consult with participants before the meeting.
- Get participants to go over the agenda.
- Establish specific time parameters.
- Maintain focused discussion.
- Encourage and support participation of all members.
- Maintain a balanced style.
- Encourage the clash of ideas.
- Discourage the clash of personalities.
- Be an effective listener.
- Bring proper closure.

Teams



Teams

- Teams are groups with greater interdependence--shared purpose and destiny. Can be higher performing than groups, but may not be.



Why Have Teams Become So Popular

- Teams typically outperform individuals.
- Teams use employee talents better.
- Teams are more flexible and responsive to changes in the environment.
- Teams facilitate employee involvement.
- Teams are an effective way to increase motivation.

Formal groups
made up
of interdependent
individuals,
responsible for
attaining a goal



“It’s easy to get
players. Gettin’
‘em to play
together, that’s the hard part.”

Casey Stengel



Clearly Stated
Objectives

Real &
Symbolic
Needs

Successes
Reinforce
Commitment

Strength
Though
Adversity

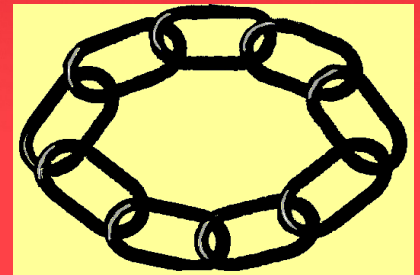
Effective Teams

Diverse Objectives
Linked by A
Common Purpose

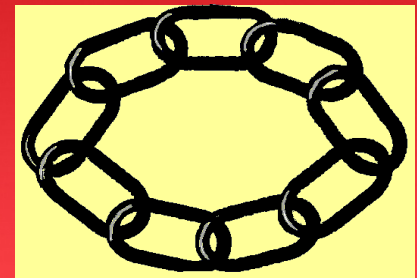
Mutually
Supportive

Characteristics of Effective Teams

- Atmosphere and relationships
- Member participation
- Goal understanding & acceptance
- Listening and sharing information
- Handling conflicts and disagreements
- Decision making



- Evaluation and member performance
- Expressing feelings
- Division of labor
- Leadership
- Attention to process



High Performance Teams

Char's

- Strong core values
- Specific performance objectives
- Right mix of skills
- Creativity



Factors Affecting Teams

- Work Design
- Team Composition
- Context
- Process

Work Design

- Autonomy
- Task
- Feedback

Composition

- Ability
- Personality
- Roles
- Size
- Flexibility
- Preference for Teams

Typical Effects of Size on Teams

TEAM SIZE

Dimension	2-7 Members	8-12 Members	13-16 Members
1. Demands on leader	Low	Moderate	High
2. Direction by leader	Low	Moderate	Moderate to high
3. Member tolerance of direction by leader	Low to moderate	Moderate	High
4. Member inhibition	Low	Moderate	High
5. Use of rules and procedures	Low	Moderate	Moderate to high
6. Time taken to reach a decision	Low	Moderate	High

Context

- Resources
- Leadership
- Performance evaluation and rewards

Process

- Common purpose
- Specific goals
- Team efficacy
- Conflict management
- Avoid social loafing

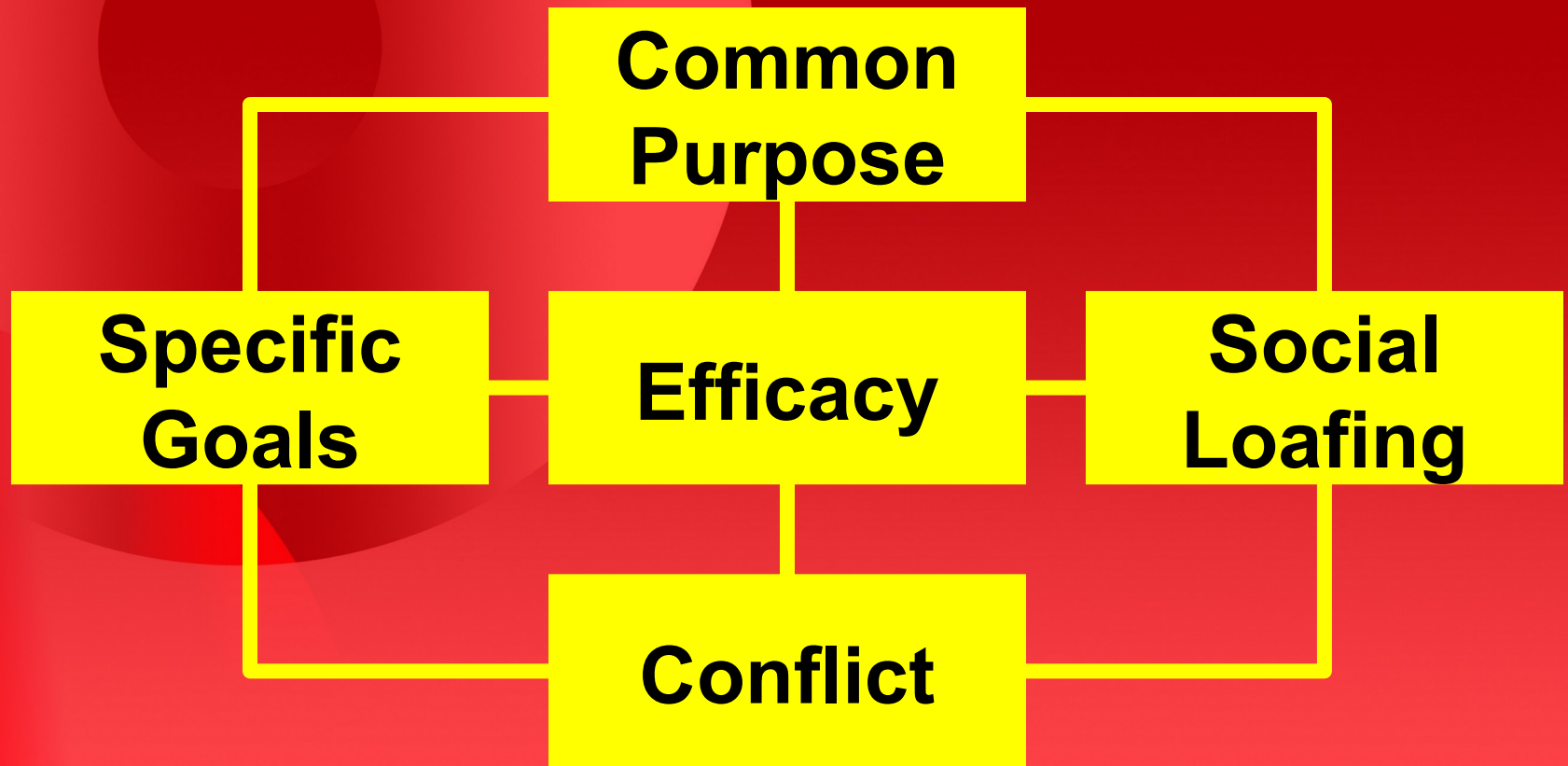
Why Teams?

- Teams better utilize employee talents
- Teams are more flexible and responsive
- Teams are easy to assemble, deploy, refocus, and disband
- Teams facilitate employee participation
- Teams increase employee motivation

Why Teams?

- Good when performing complicated, complex, inter-related and/or more voluminous work than one person can handle
- Good when knowledge, talent, skills, & abilities are dispersed across organizational members
- Empowerment & collaboration; not power & competition

Teamwork Processes



**Problem-
Solving**

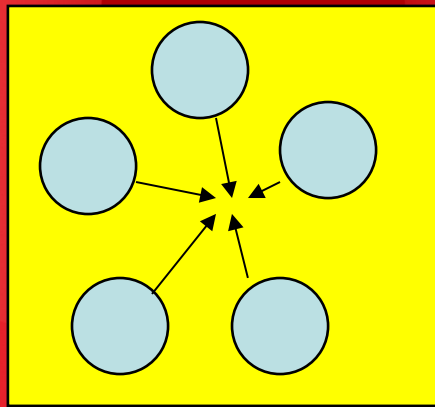
**Self-
Managed**

**Types of
Teams**

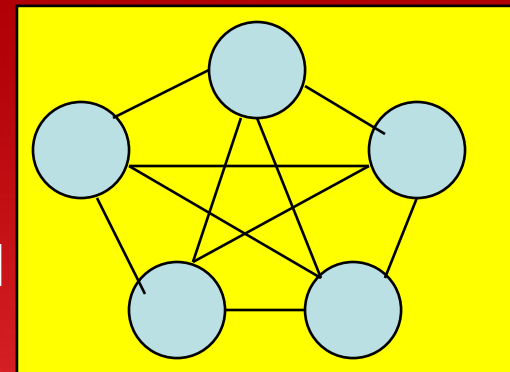
Virtual

**Cross-
Functional**

Three types of Teams

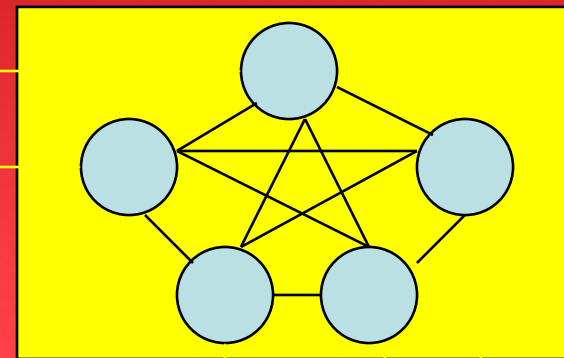
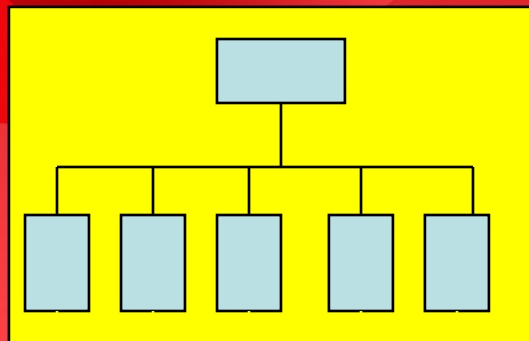


Problem Solving

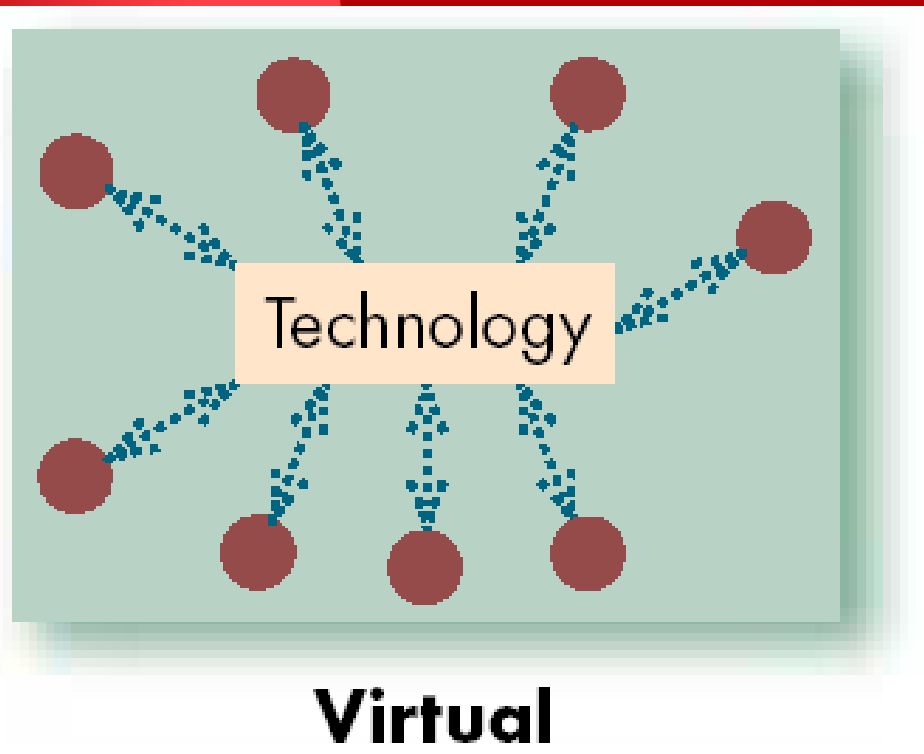


Self-Managed

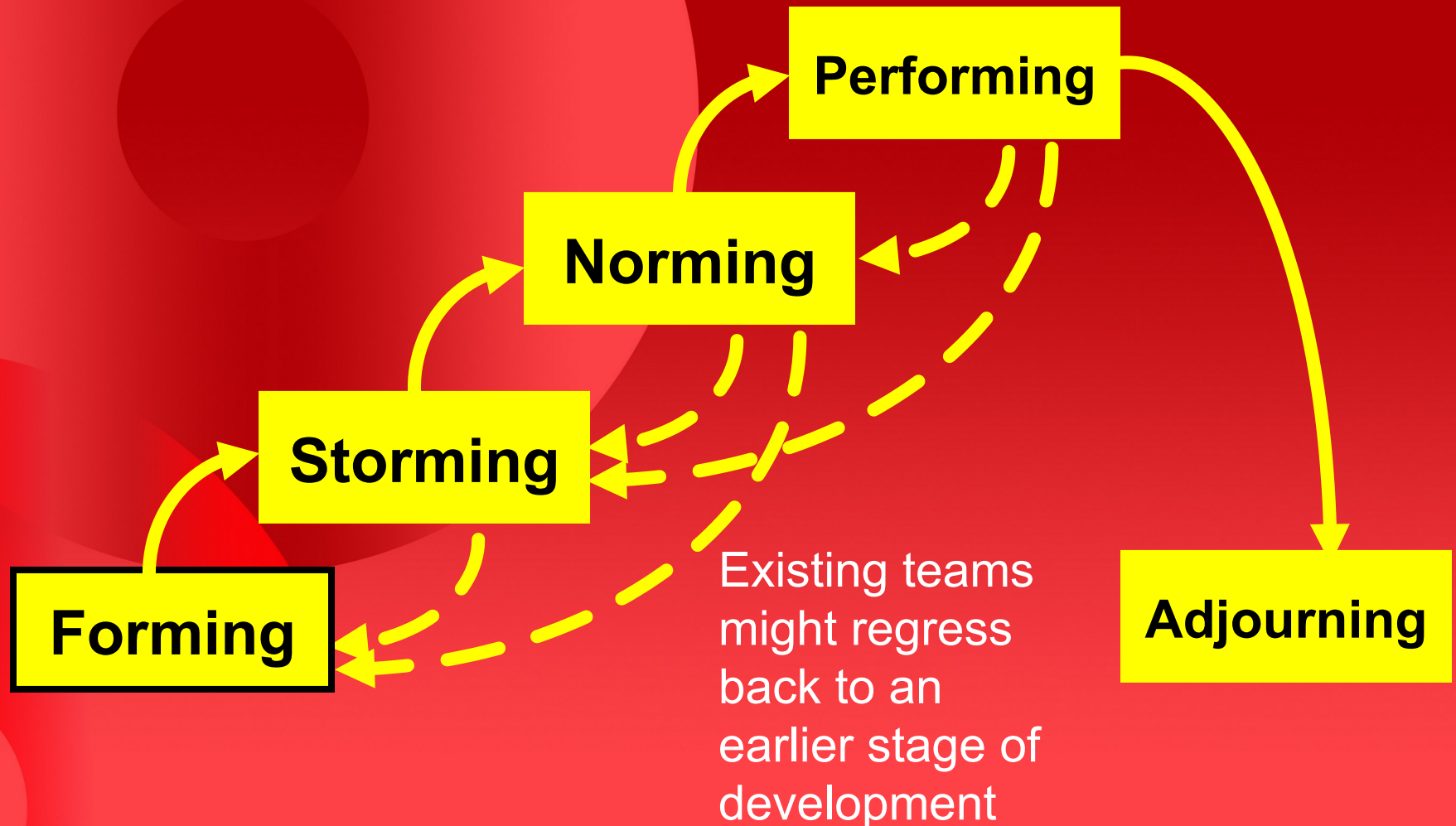
Cross Functional



Types of Teams



Stages of Team Development



Team Roles

Task-Oriented Roles:

- Initiators
- Information Seekers
- Opinion Givers
- Energizers

+



**Task
Performance**

+



Relations-Oriented Roles:

- Harmonizers
- Compromisers
- Encouragers
- Expeditors



-

Self-Oriented Roles:

- Blockers
- Recognition Seekers
- Dominators
- Avoiders

Turning Individuals Into Team Players

- **The Challenges**

- Overcoming individual resistance to team membership.
- Countering the influence of individualistic cultures.
- Introducing teams in an organization that has historically valued individual achievement.

- **Shaping Team Players**

- Selecting employees who can fulfill their team roles.
- Training employees to become team players.
- Reworking the reward system to encourage cooperative efforts while continuing to recognize individual contributions.

Turning Individuals Into Team Players



Selection

Training

Rewards

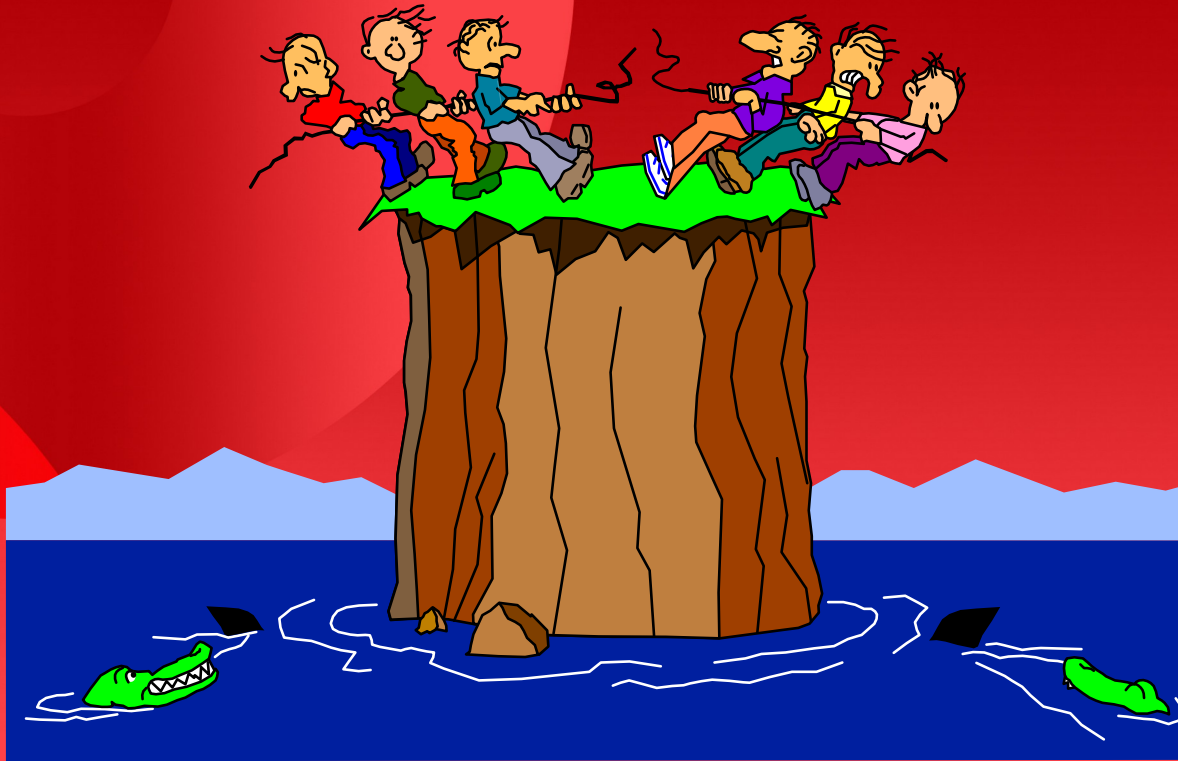
Building Effective Teams



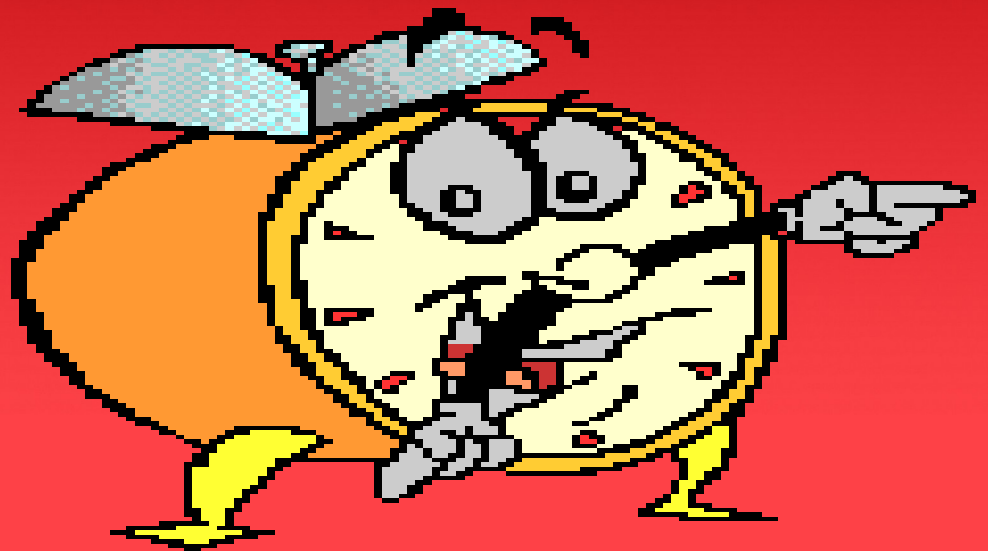


Together
Everyone
Achieves
More

Conflicts Among Teams



Let's stop
it here



Summary

Teams





Clearly Stated
Objectives

Real &
Symbolic
Needs

Successes
Reinforce
Commitment

Strength
Though
Adversity

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**Problem-
Solving**

**Self-
Managed**

**Types of
Teams**

Virtual

**Cross-
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Turning Individuals Into Team Players



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Training

Rewards

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Next....

Organizational Behavior

(MGT-502)

Lecture-18

Organizational Behavior

(MGT-502)

Lecture-19

Summary of Lecture-18

Teams





Clearly Stated
Objectives

Real &
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Supportive

High Performance Teams

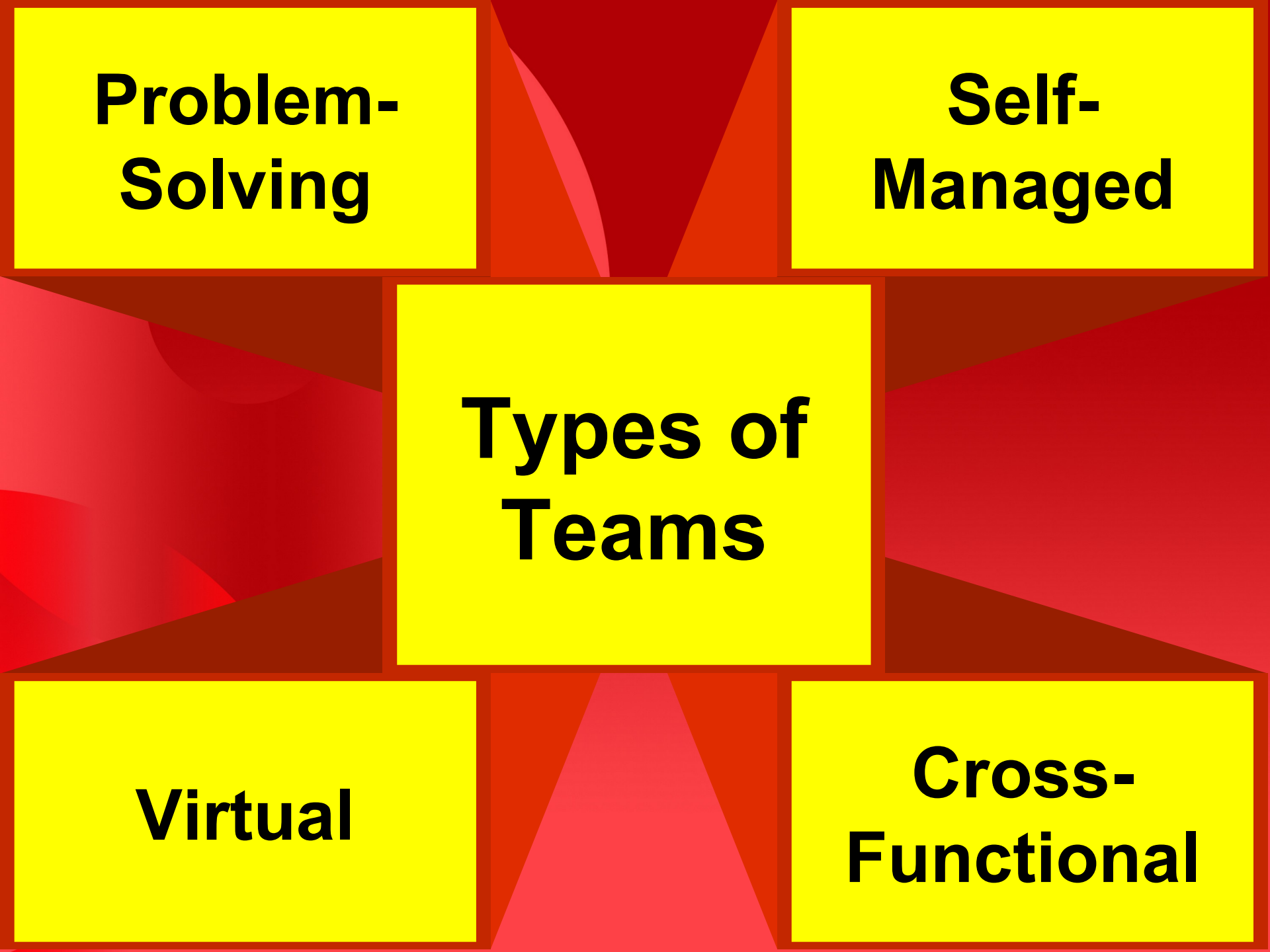
Char's

- Strong core values
- Specific performance objectives
- Right mix of skills
- Creativity



Factors Affecting Teams

- Work Design
- Team Composition
- Context
- Process



The diagram features a central yellow square with the text "Types of Teams". Surrounding this central square are four other yellow squares, each containing a team type. These four squares are positioned at the top-left, top-right, bottom-left, and bottom-right. The background is a complex pattern of overlapping triangles and polygons in various shades of red and pink, creating a dynamic, abstract look.

Problem-Solving

Self-Managed

Types of Teams

Virtual

Cross-Functional

Turning Individuals Into Team Players



Selection

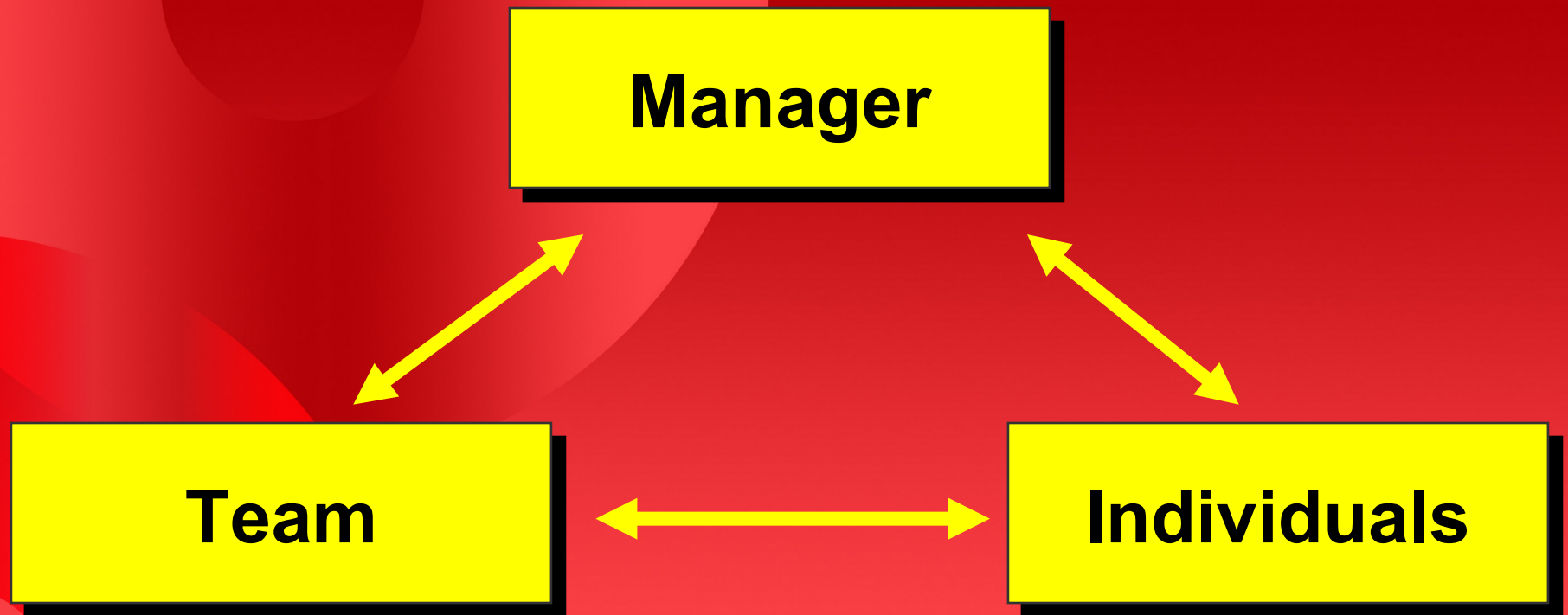
Training

Rewards

The background features a solid red field with several overlapping circles in various shades of pink and red. A large, bright yellow circle is partially visible on the left side, containing the text.

Today's Topics

Triangle for Managing in the New Team Environment



Deciding When to Use a Team

- Use a Team When:
 - Many perspectives are needed
 - Acceptance of the decision is critical
 - The problem is complex or unstructured
 - Individuals judgments are unreliable
 - Individuals are unwilling to take necessary risks
 - You want to develop team members' team-related skills

Deciding When to Use a Team

- Be Cautious About Using a Team When:
 - The issue is unimportant
 - Individuals don't want to participate
 - Individual risk preferences are too high
 - Time is of the essence
 - Group norms are unacceptable

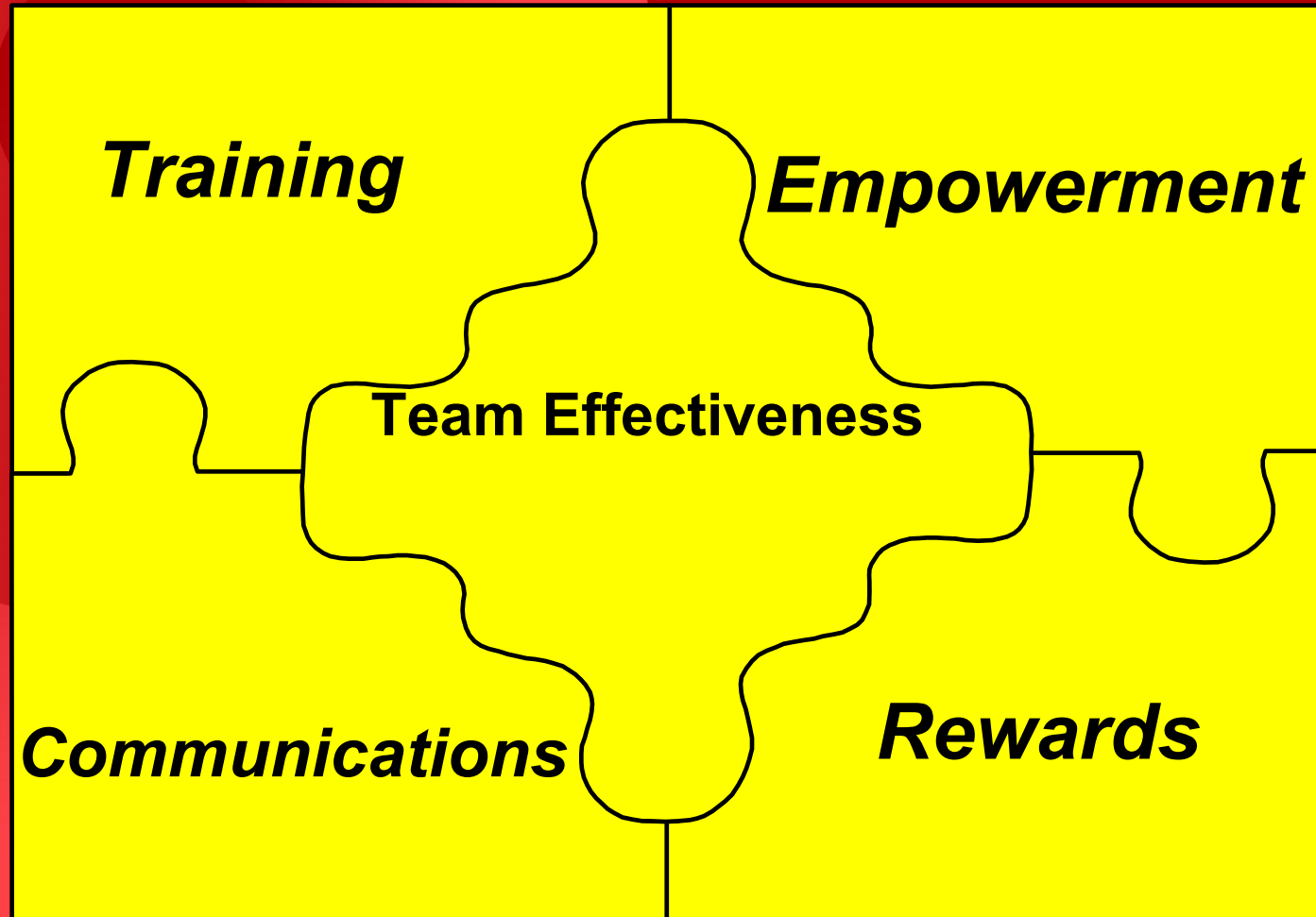
Guidelines for Dealing with Problem Behaviors

- Choose team members carefully.
- Offer training.
- Provide clear goals.
- Clearly define member responsibilities.
- Use peer evaluations.
- Reward superior performance.
- Don't let social considerations overwhelm concern with the task.
- Remove problem team members as a last resort.

Is it true that
everyone's
responsibility is, in
reality, nobody's
responsibility?

-- Anonymous

Developing Effective Teams



Building Trust

- Work for others' interests as well as own
- Be a team player.
- Practice openness.
- Be fair.
- Speak your feelings.
- Show consistency in basic values.
- Maintain confidence.
- Demonstrate competence.

Group Problem Solving Techniques

- **Consensus** presenting opinions and gaining agreement to support a decision
- **Brainstorming** process to generate a quantity of ideas
- **Nominal Group Technique** process to generate ideas and evaluate solutions
- **Delphi Technique** process to generate ideas from physically dispersed experts
- **Computer-Aided Decision Making**



Group Decision Making

Advantages

- 1) more knowledge through pooling of group resources
- 2) Increased acceptance & commitment due to voice in decisions
- 3) greater understanding due to involvement in decision stages

Disadvantages

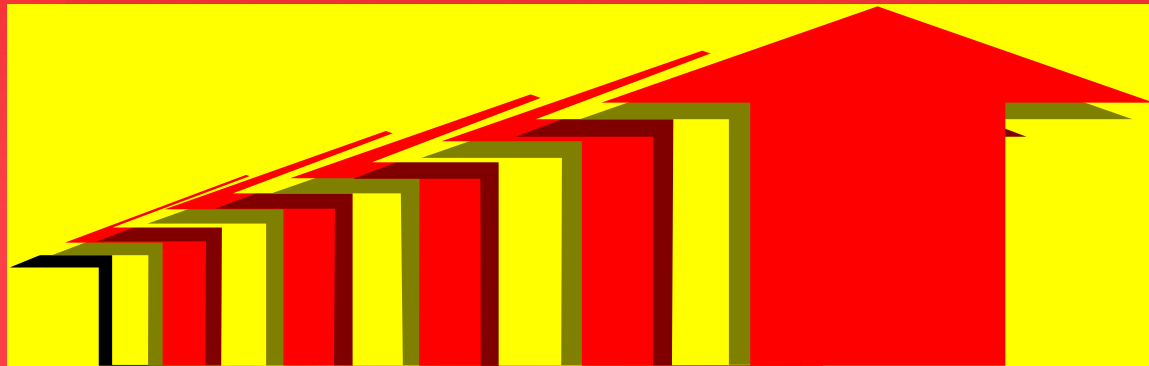
- 1) pressure in groups to conform
- 2) domination by one forceful member or dominant clique
- 3) amount of time required, because group is slower than individual to make a decision

Consensus Decision

A proposal that is acceptable enough that all members are willing to support it.

CONSENSUS IS:

A proposal acceptable
enough that all members
can support.



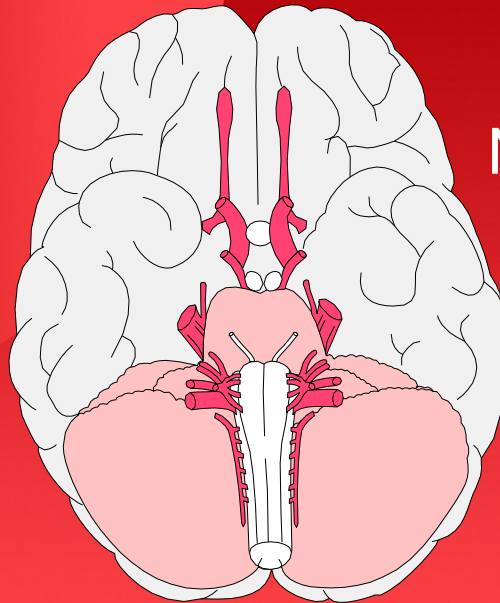
Consensus Decision-Making

- Requires time
- Active participation of all group members
- Communication skills
- Creative-thinking and open-mindedness

Two Brains, Two Cognitive Styles

Left Hemisphere

Verbal
Sequential, temporal,
digital
Logical, analytic
Rational
Western thought



Right Hemisphere

Nonverbal, visuospatial
Simultaneous, spatial,
analogical
Gestalt, synthetic
Intuitive
Eastern thought

The Decision- Making Process

**Recognize the problem and
the need for a decision**

**Identify the objective of
the decision**

**Gather and evaluate data
and diagnose the situation**

**List and evaluate
alternatives**

The Decision- Making Process

**Select the best
course of action**



**Implement
the decision**



**Gather
feedback**



Follow up

How do groups make decisions?

- How groups make decisions.
 - Decision by lack of response.
 - Decision by authority rule.
 - Decision by minority rule.
 - Decision by majority rule.
 - Decision by consensus.

How do groups make decisions?

- Potential advantages of group decision making.
 - More knowledge and expertise is applied to solve the problem.
 - A greater number of alternatives are examined.
 - The final decision is better understood and accepted by all group members.
 - More commitment among all group members to make the final decision work.

How do groups make decisions?

- Potential disadvantages of group decision making.
 - Individuals may feel compelled to conform to the apparent wishes of the group.
 - The group's decision may be dominated by one individual or a small coalition.
 - Group decisions usually take longer to make.

How do groups make decisions?

- How to improve group decision making.
 - Brainstorming.
 - Nominal group technique.
 - Delphi technique.
 - Computer-mediated decision making.

How do groups make decisions?

➤ Brainstorming.

- Group members actively generate as many ideas and alternatives as possible, and they do so relatively quickly and without inhibitions.
- Brainstorming rules.
 - All criticism is ruled out.
 - Free-wheeling is welcomed.
 - Quantity is wanted.

Brainstorming

- Goal is to maximize the quantity and quality of ideas.
- Rules
 - Expressiveness of any idea
 - Non-evaluation during generation phase
 - Quantity, generate as many ideas as possible
 - Build on ideas expressed by others

How do groups make decisions?

- Nominal group technique.
 - A form of structured group decision making that enables everyone to participate and have his/her ideas heard without hostile criticism or distortions.
 - A structured voting procedure is used to prioritize responses to the nominal question.

Nominal Group Technique

- Problem is presented
- Each members writes silently for 10 min
- Members state their ideas
- Team discusses each idea getting clarification
- Members privately rank the five best ideas they prefer

Stepladder Technique

- A decision making approach in which members are added one by one to a team.
- Two people starts a discussion of the task.
- Another member is added and then presents their ideas to the group.
- Then another and so on until decision is made.

How do groups make decisions?

➤ Delphi technique.

- Used in situations where group members are unable to meet face to face.
- The process.
 - A series of questions is distributed to a panel.
 - Panel members submit their responses to a decision coordinator.
 - The decision coordinator summarizes the responses, and sends the summary along with a follow-up questionnaire to the panel.
 - Panel members send in their responses.
 - The process is repeated until a consensus is reached.

Delphi Technique

- For groups who do not meet face to face.
- Leader distributes topic or task
- Each member responds
- Leader collect responses and send back to team and solicits feedback.
- Process is repeated until there is resolution on the issue in question.

Quality Circles & Teams

- Quality circles (QC) - a small group of employees who work voluntarily on company time, typically one hour per week, to address work-related problems
- Quality team - a team that is part of an organization's structure & is empowered to act on its decisions regarding product & quality service

Concept of QC

- The philosophy behind the concept of QC is that responsibility of generating quality is vested in the minds of all job related people instead of a few supervisor or inspectors.
- They
 - Identify problems
 - Collect and analyze data
 - Make cause-effect relationships,
 - Generate best solutions

How do groups make decisions?

- Computer-mediated decision making.
 - Electronic brainstorming through the use of special software and personal computers..
 - The nominal group and Delphi techniques lend themselves to computer mediation.

Technological Aids to Decision-Making

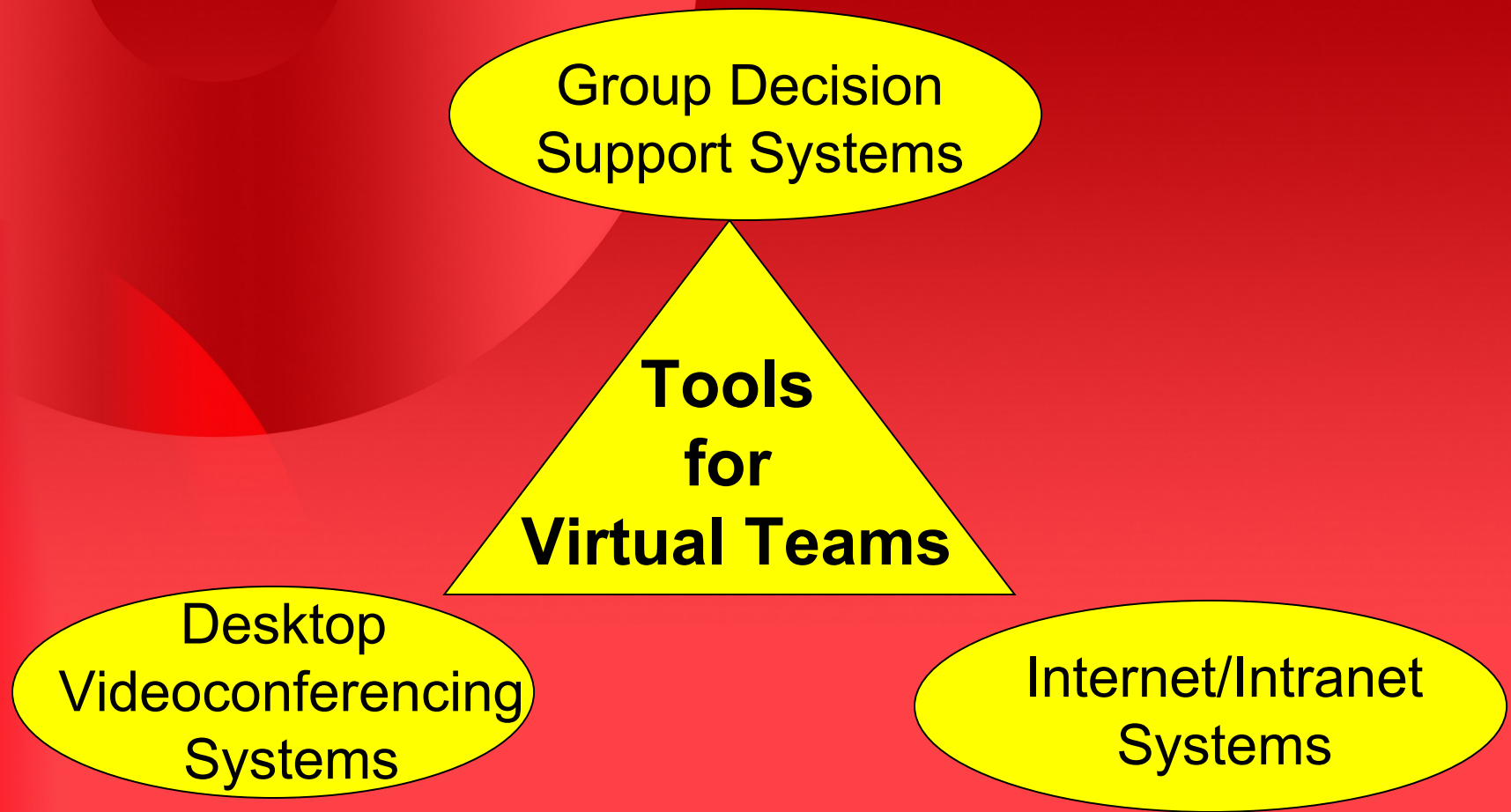
Expert Systems - a programmed decision tool set up using decision rules

Decision Support Systems - computer and communication systems that process incoming data and synthesize pertinent information for managers to use

Group Decision Support Systems - systems that use computer software and communication facilities to support group decision-making processes in either face-to-face meetings or dispersed meetings



Virtual Teams – groups of geographically dispersed coworkers who work together using a combination of telecommunications and information technologies to accomplish a task



Ethics Check

- Is it legal?
 - Does it violate law
 - Does it violate company policy
- Is it balanced?
 - Is it fair to all
 - Does it promote win-win relationships
- How will it make me feel about myself



Advantages and Disadvantages of Group-Aided Decision Making

Advantages

1. Greater pool of knowledge
2. Different perspectives domination
3. Greater comprehension
4. Increased acceptance
5. Training ground

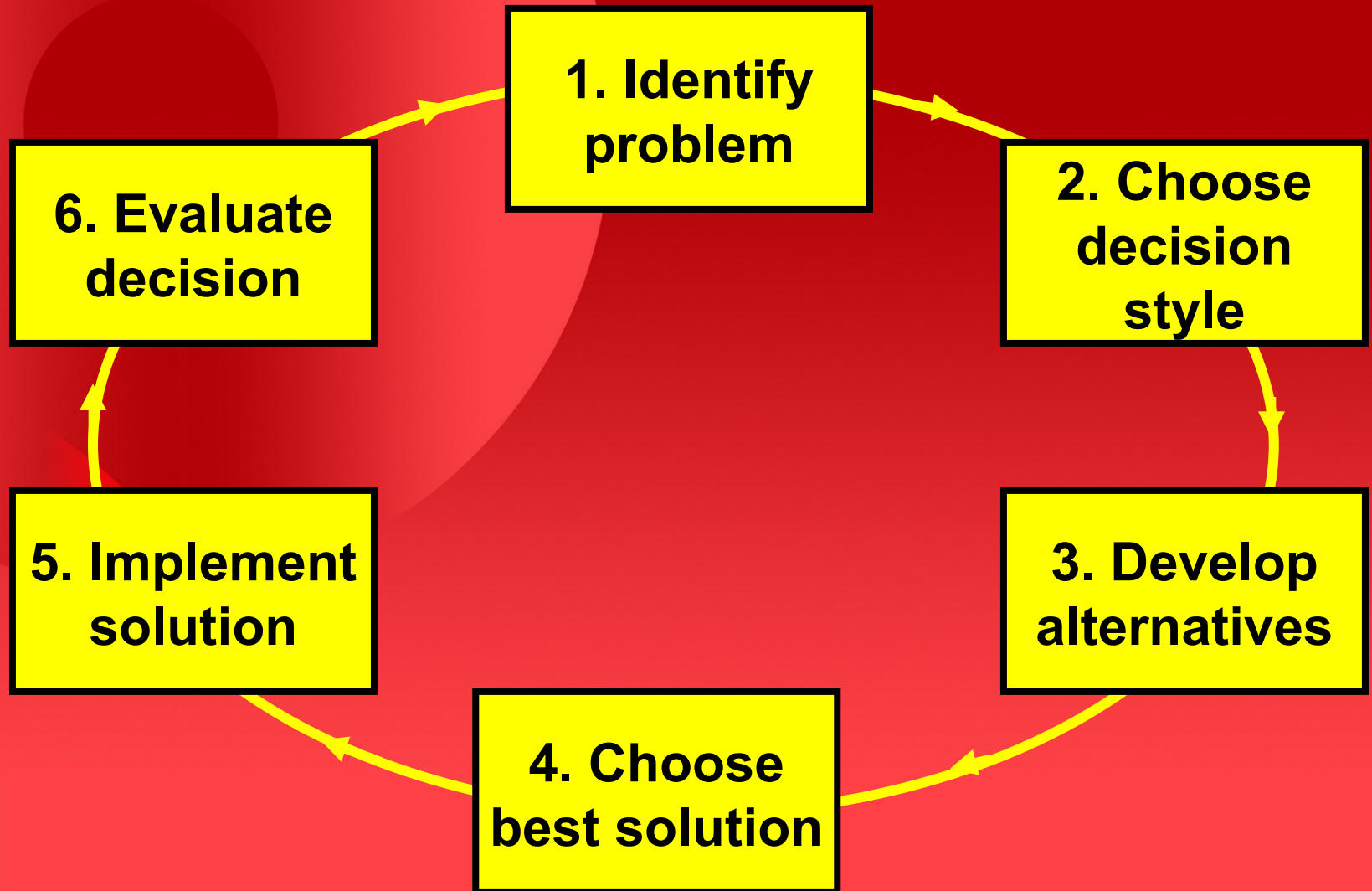


Disadvantages

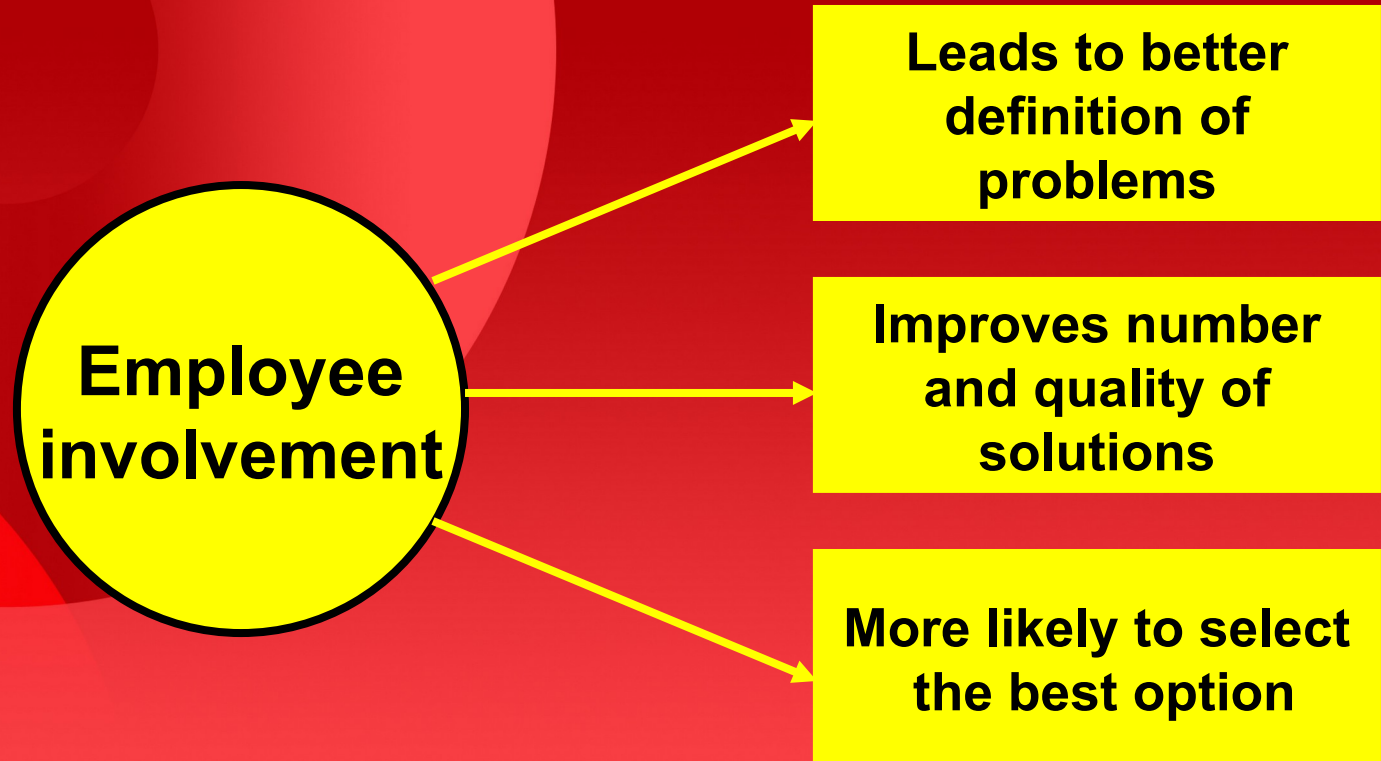
1. Social pressure
2. Minority
3. Goal displacement
4. “Groupthink”



Decision making model



How involvement improves decisions



Potential Problems in Groups

- Social Loafing
- Social Facilitation
- Groupthink
- Groupshift

Social Facilitation

Behavior of an individual can be affected by the presence of others.

- can decrease or increase
- decreases when task is not well known (beginner)
- increases when task is well known (expert)

Process:

- presence of others increases anxiety
- if a beginner, anxiety hinders behavior
- if an expert, anxiety enhances behavior

Group Phenomenon

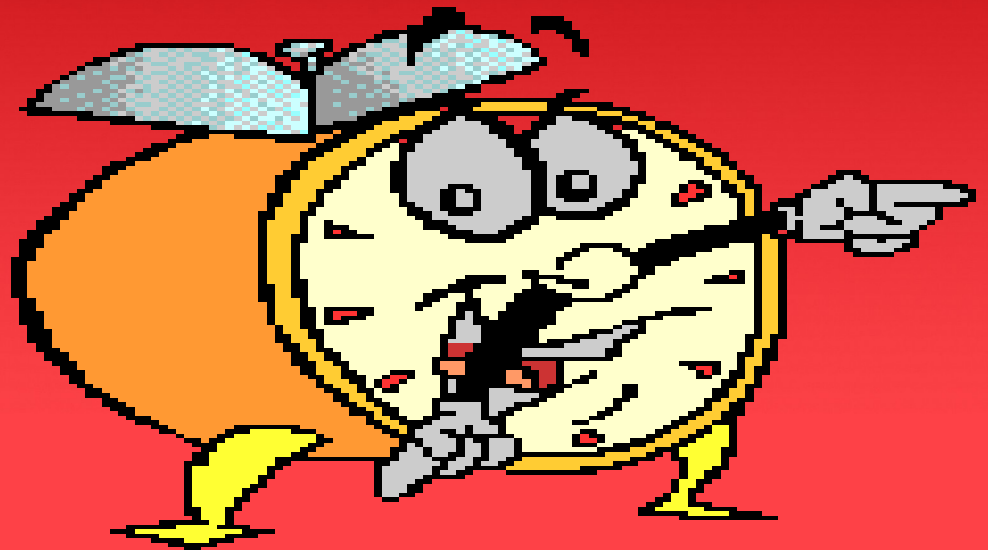
Groupthink - a deterioration of mental efficiency, reality testing, and moral judgment resulting from in-group pressures

Group Polarization - the tendency for group discussion to produce shifts toward more extreme attitudes among members

Preventing Groupthink

- Ask each group member to act as critical evaluator
- Have the leader avoid stating his opinion prior to the group decision
- Create several groups to work simultaneously
- Appoint a devil's advocate
- Evaluate the competition carefully
- After consensus, encourage rethinking the position

Let's stop
it here



Summary

Group Problem Solving Techniques

- **Consensus** presenting opinions and gaining agreement to support a decision
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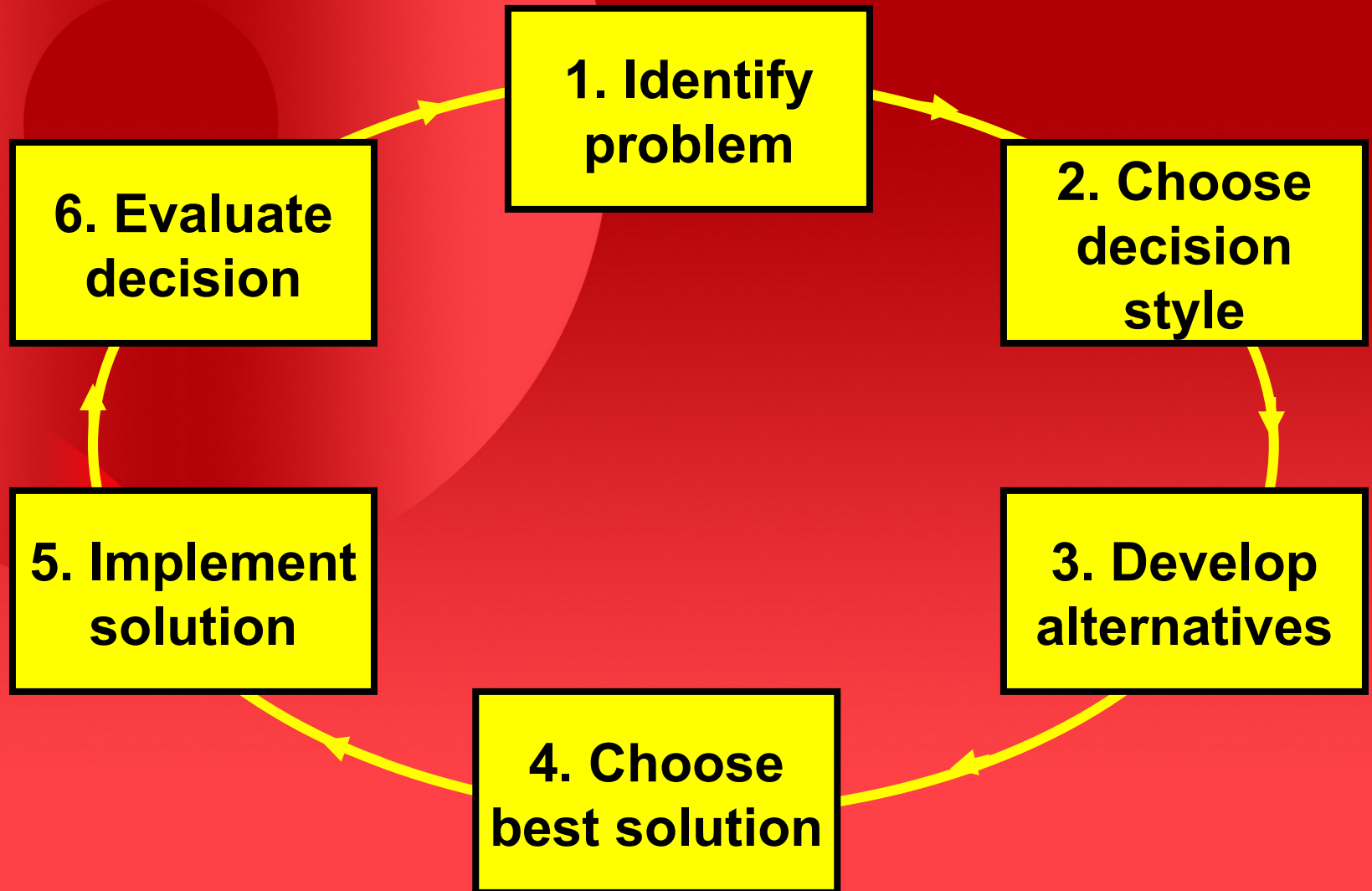


Ethics Check

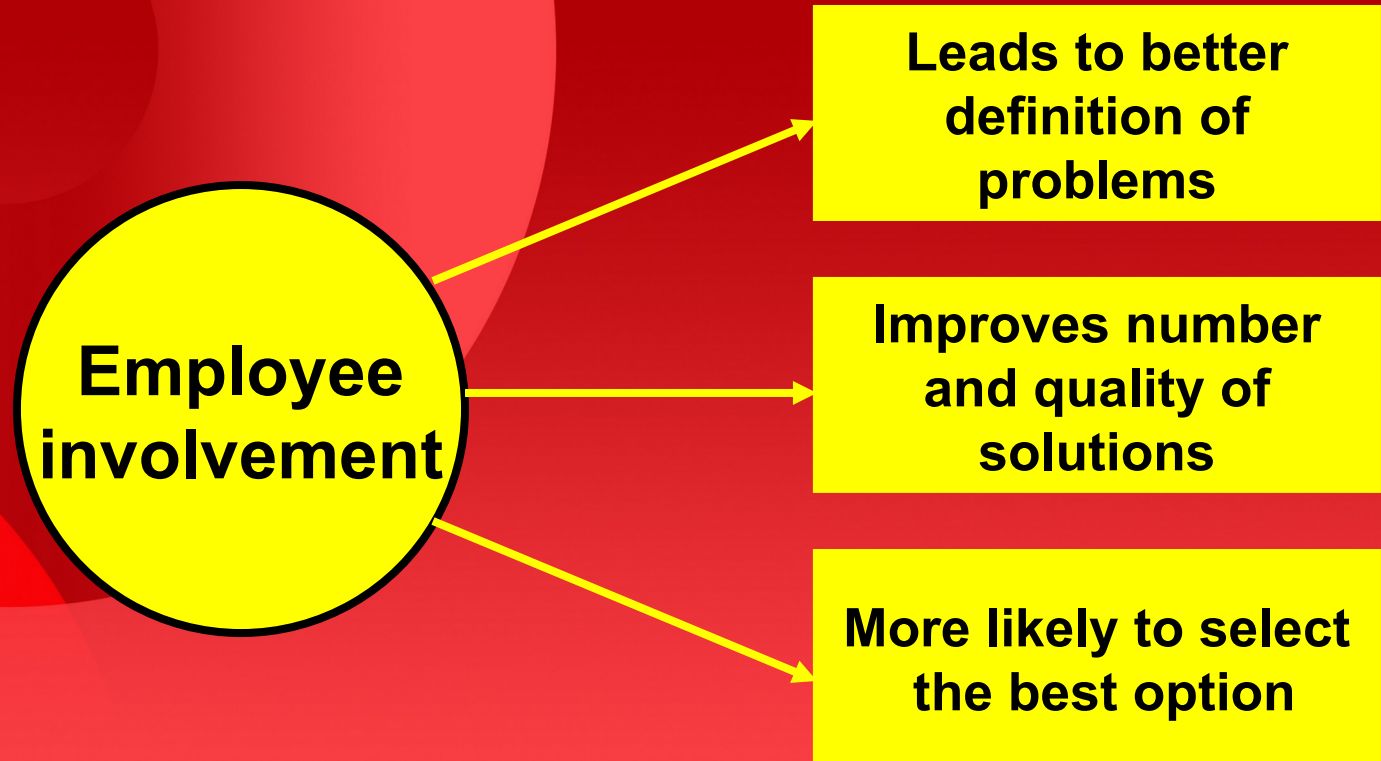
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- How will it make me feel about myself



Decision making model



How involvement improves decisions



The background is a solid red color. On the left side, there are several overlapping circles in various shades of red and pink. A large, semi-transparent pink circle is the most prominent, with a smaller, darker red circle inside it. Other circles of different sizes and shades are visible in the lower-left and upper-left areas. The text 'Next....' is written in a bold, yellow, sans-serif font, positioned in the center-right of the image.

Next....

Organizational Behavior

(MGT-502)

Lecture-19

Organizational Behavior

(MGT-502)

Lecture-20

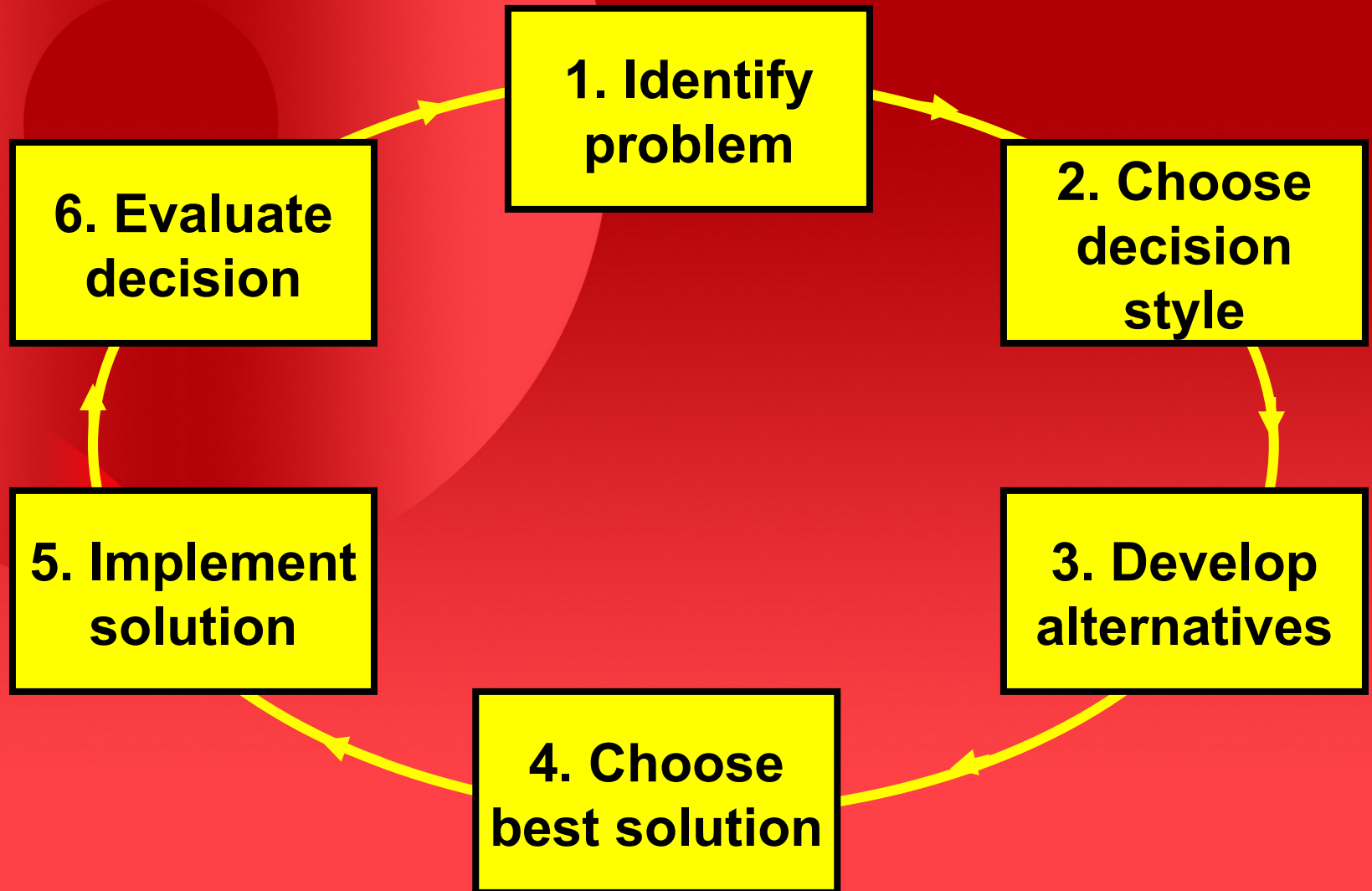
Summary of Lecture-19

Group Problem Solving Techniques

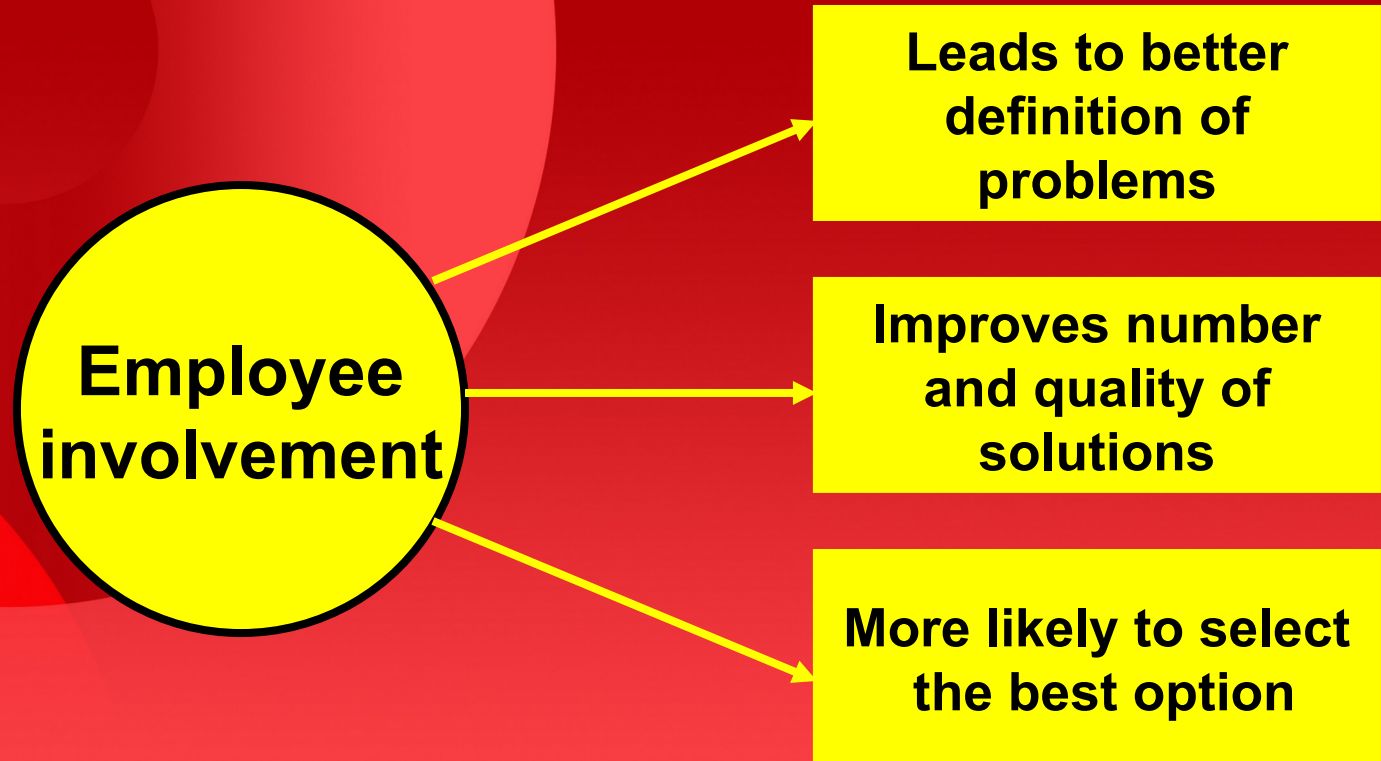
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Decision making model



How involvement improves decisions



Other Consequences of Group Decision Making

- Diffusion of Responsibility
- Group Polarization
- Potential for Conflict

Organizations Can Facilitate Creative Decision Making

- Reward creativity
- Allow employees to fail
- Make work more fun
- Provide creativity training
- Vary work groups (internal/external)
- Encourage creative stimuli (music, art, etc.)



Ethics Check

- Is it legal?
 - Does it violate law
 - Does it violate company policy
- Is it balanced?
 - Is it fair to all
 - Does it promote win-win relationships
- How will it make me feel about myself

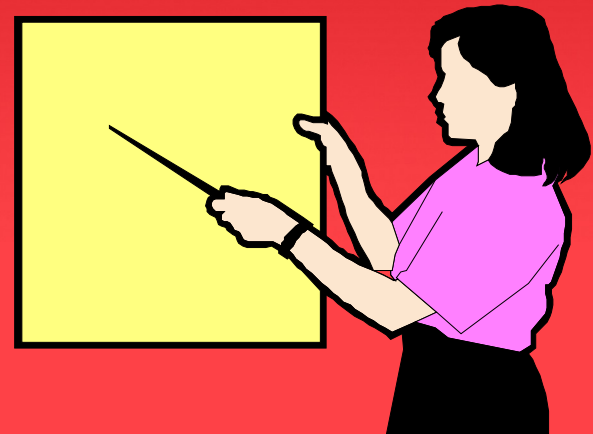


The background features a solid red field with several overlapping circles in various shades of pink and red. A large, bright yellow circle is partially visible on the left side, containing the text.

Today's Topics

Communication Defined

The transmission of
information and
understanding through
the use of common
symbols.



The Importance of Communication Skills

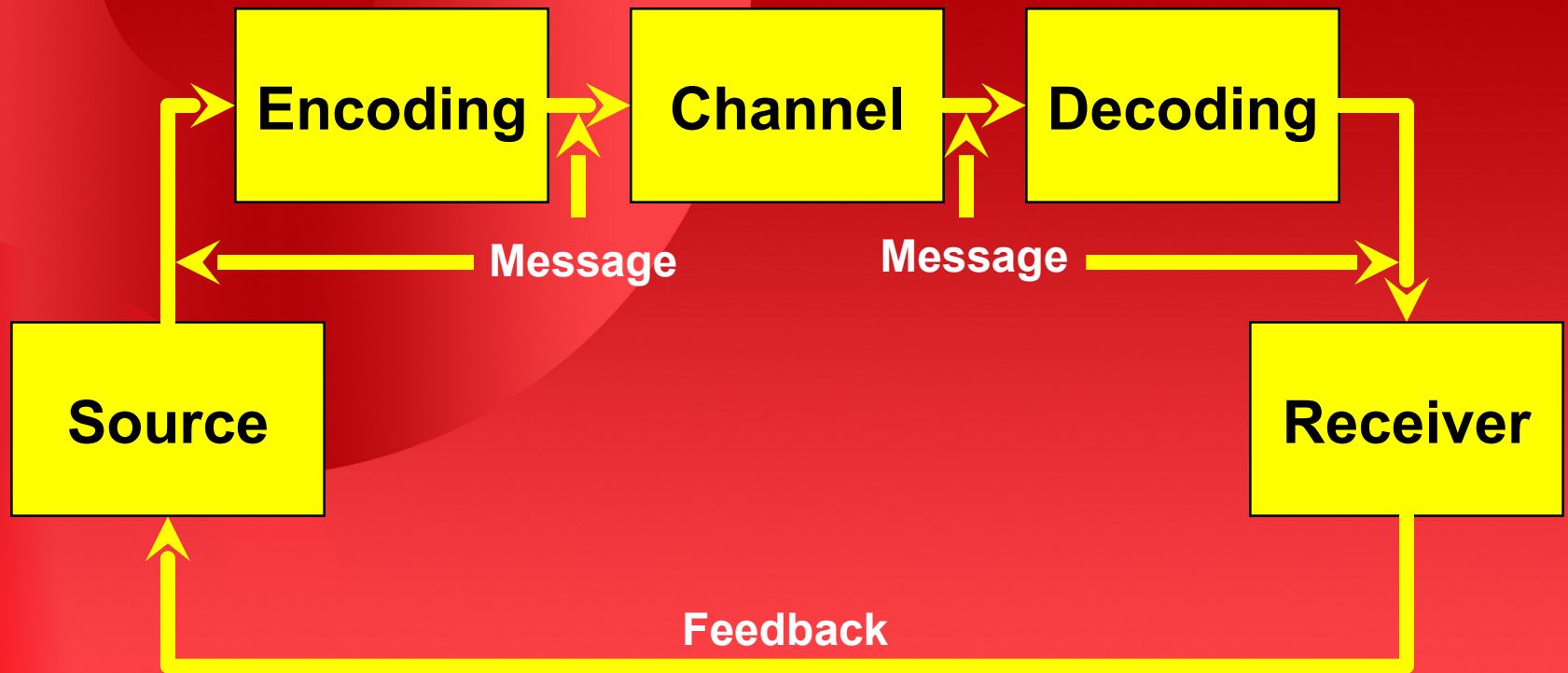
“Top executives from Fortune 500 companies rate communications skills as the most important quality for business leaders.”

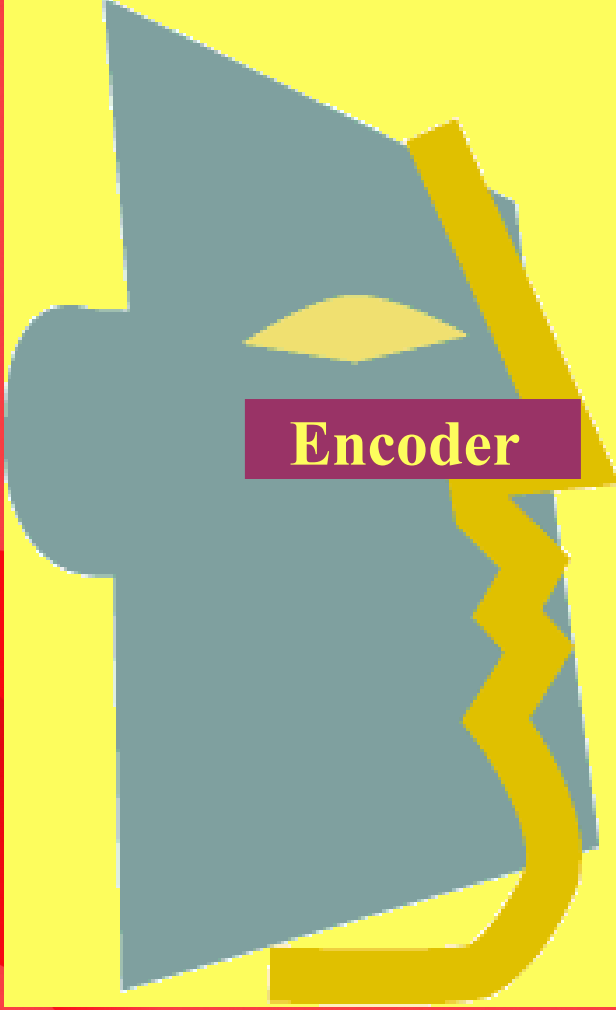
New York Times
Business Section

“There may be no single thing more important in our efforts to achieve meaningful work and fulfilling relationships than to learn and practice the art of communication.”

The Art of Leadership
Max De Pree, Author

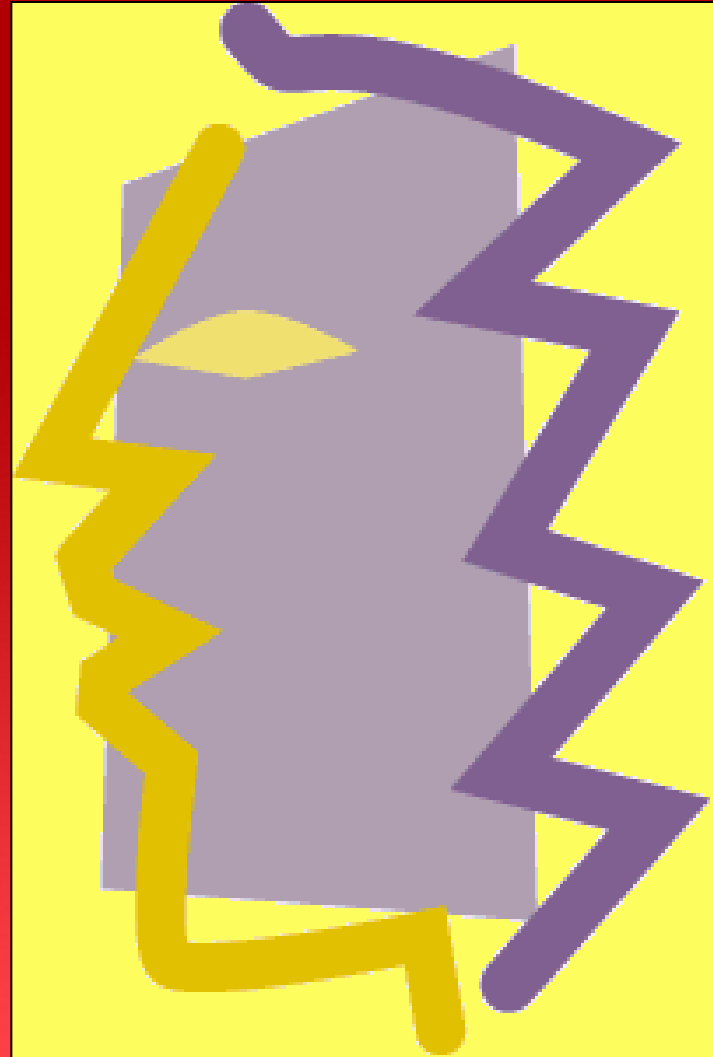
The Communication Process

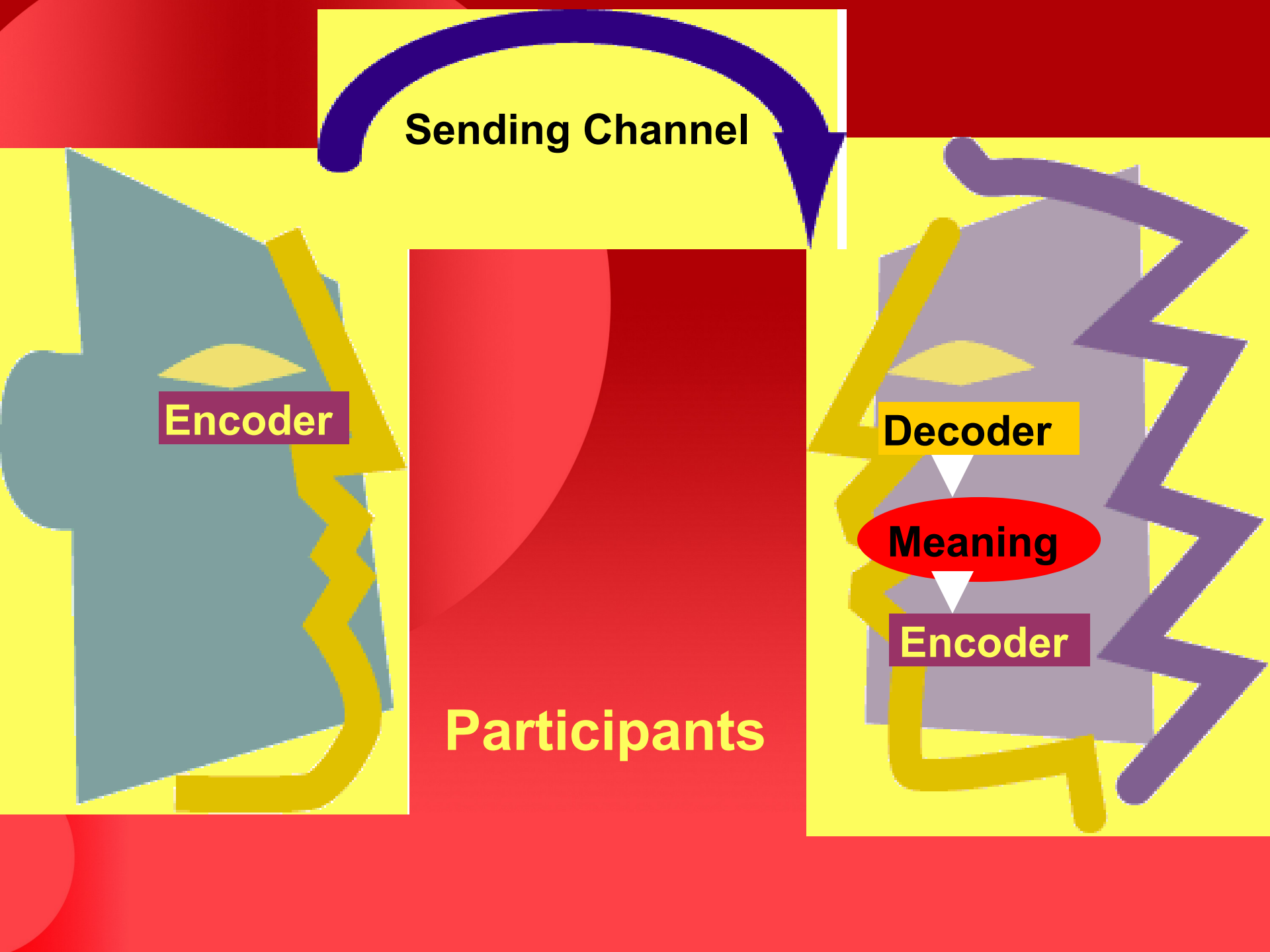


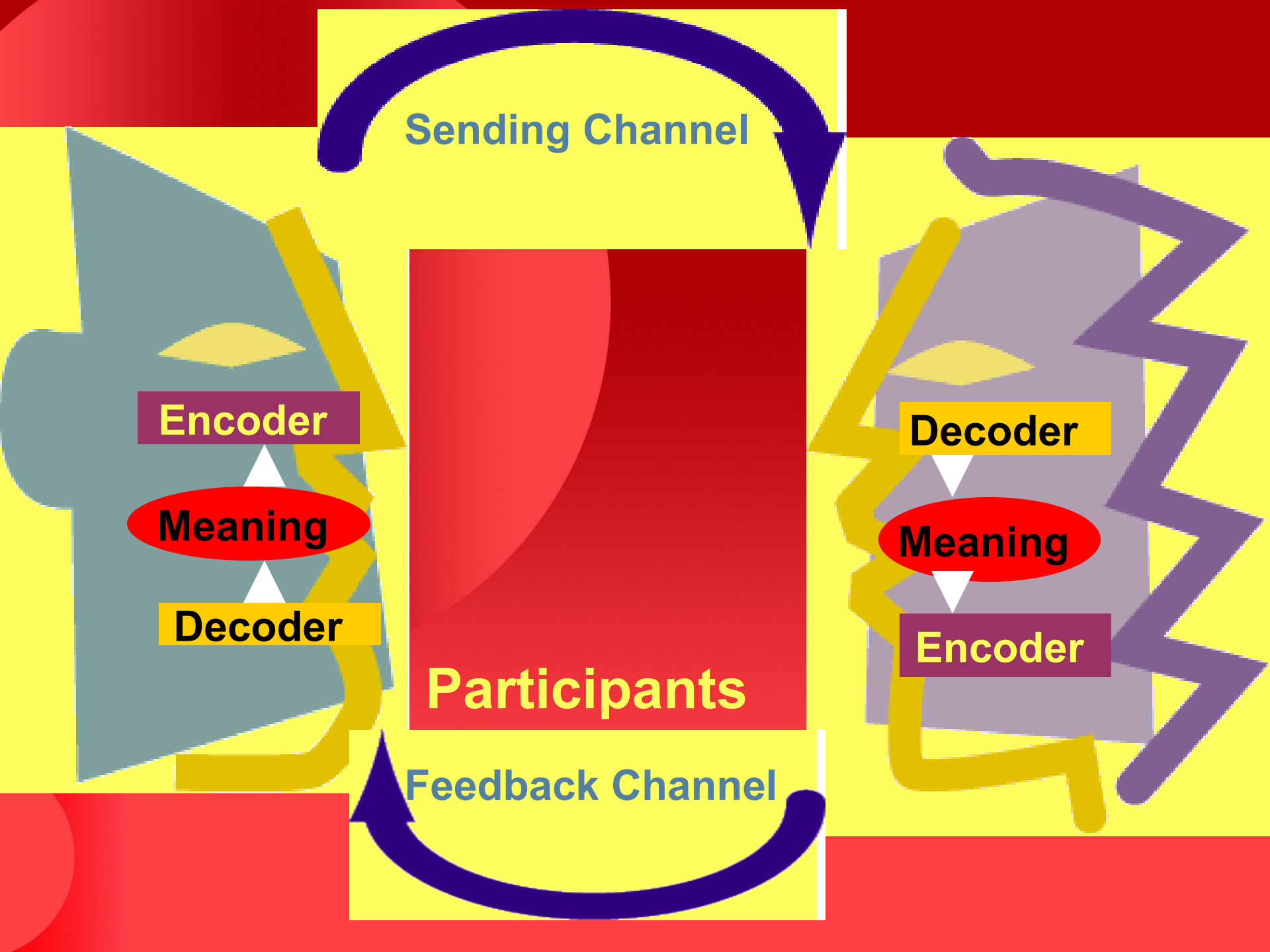
A stylized blue face with a yellow zigzag line running vertically down the right side. The face has a yellow eye and a yellow mouth. The word "Encoder" is written in yellow on a blue rectangular background.

Encoder

Participants







Context

Sending Channel

Noise

Noise

Participants

Feedback Channel

Encoder

Meaning

Decoder

Context

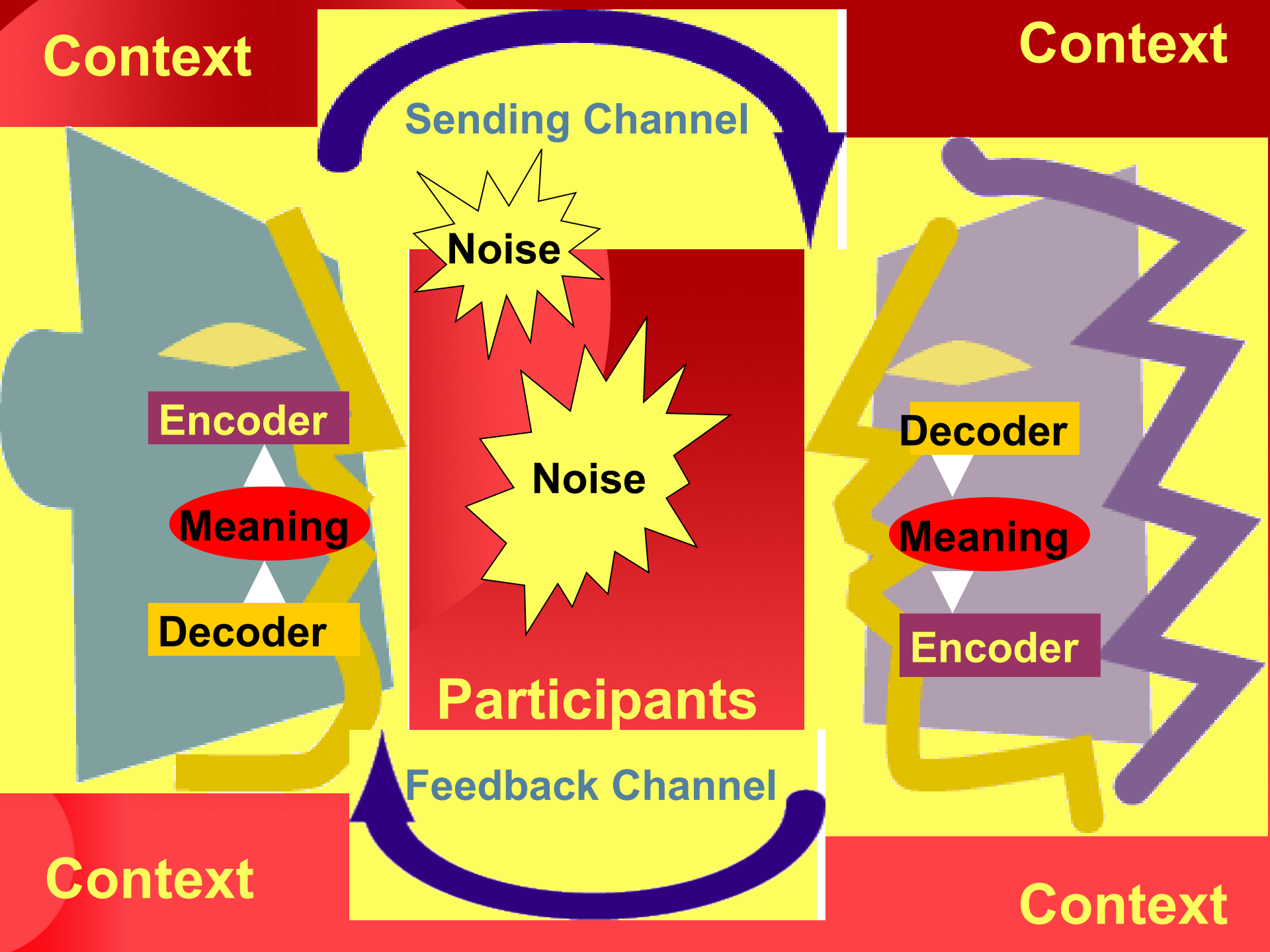
Decoder

Meaning

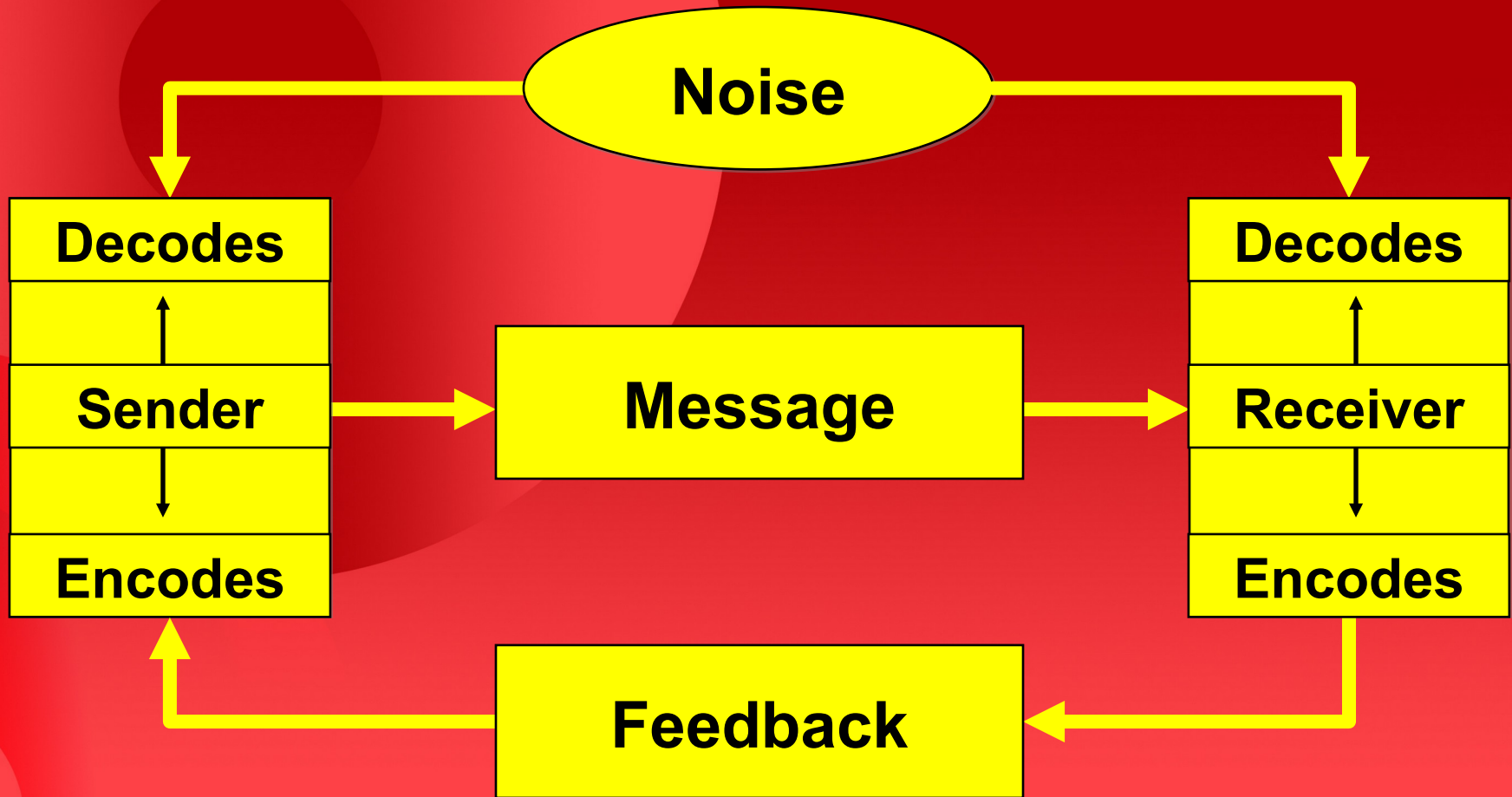
Encoder

Context

Context



The Communication Process



●Noise

- Interference in the flow of a message from a sender to a receiver.

●Nonverbal Communication

- Messages sent with body posture, facial expressions, and head and eye movements.



Nonverbal Communication

Body Language

Body Motions

Facial Expressions

Paralinguistics

Tone of Voice

Pacing and Pitch

Territorial Space

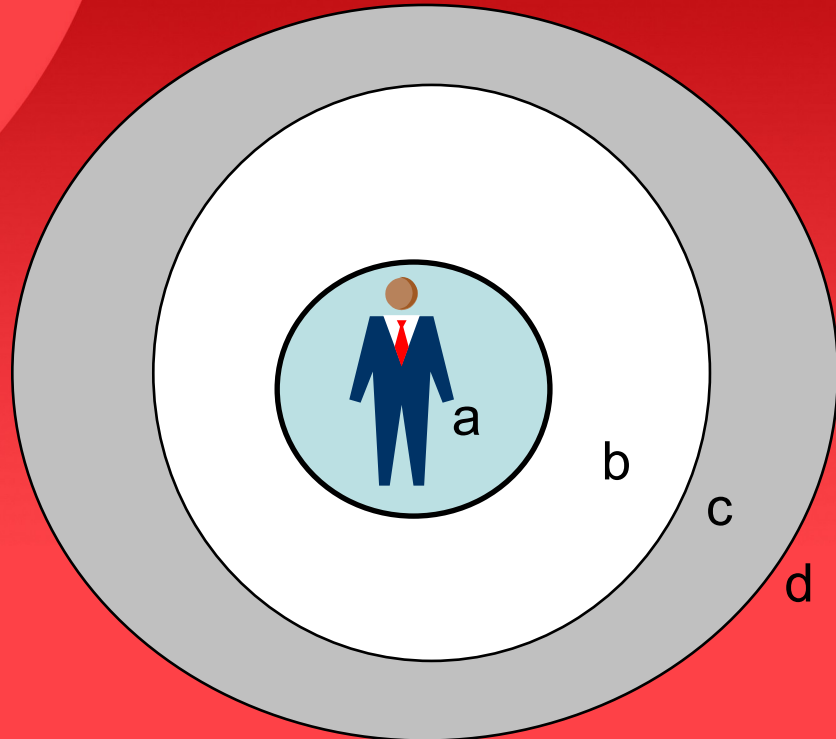
Territorial Space - bands of space extending outward from the body; territorial space differs from culture to culture

a = intimate <1.5'

b = personal 1.5-4'

c = social 4-12'

d = public >12'



Seating Dynamics

Seating Dynamics - seating people in certain positions according to the person's purpose in communication



How Communication Works

Communications experts tell us that effective communication is the result of a common understanding between the communicator and the receiver. In fact the word communication is derived from the Latin *communis*, meaning “common.”



Barriers to Effective Communication

Barriers to Effective Communication

- **Filtering**

- refers to a sender manipulating information so that it will be seen more favorably by the receiver.

- **Selective Perception**

- Receivers in the communication process selectively see and hear based on their needs, motivations, experience, background, and other personal characteristics.

- **Defensiveness**

- When individuals interpret another's message as threatening, they often respond in ways that retard effective communication.

- **Language**

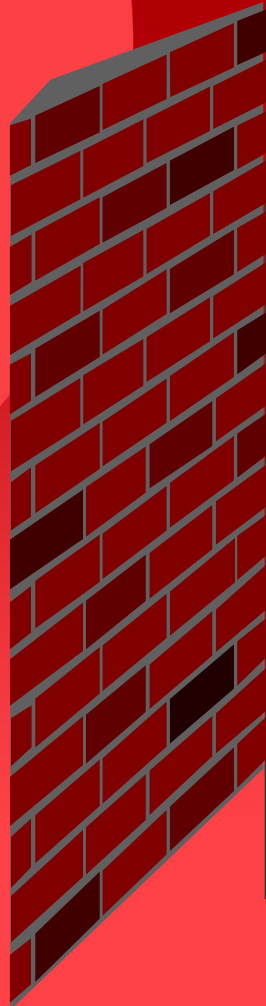
- Words mean different things to different people.

Cross Cultural Barriers To Communications Include

- Time
- Location
- Space, other body language
- Touch
- Eye contact

Barriers to Communication

Communication Barriers - factors that block or significantly distort successful communication



- Physical separation
- Status differences
- Gender differences
- Cultural diversity
- Language

**Frame of
Reference**

**Selective
Listening**



**Value
Judgments**

Filtering

**Source
Credibility**

**In-Group
Language**

**Status
Differences**



**Time
Pressures**

**Communication
Overload**

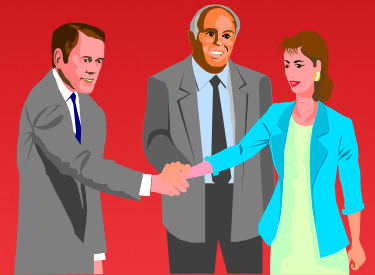
Message Influences

Factors that
influence
sent & received
messages

Age



Gender



Culture

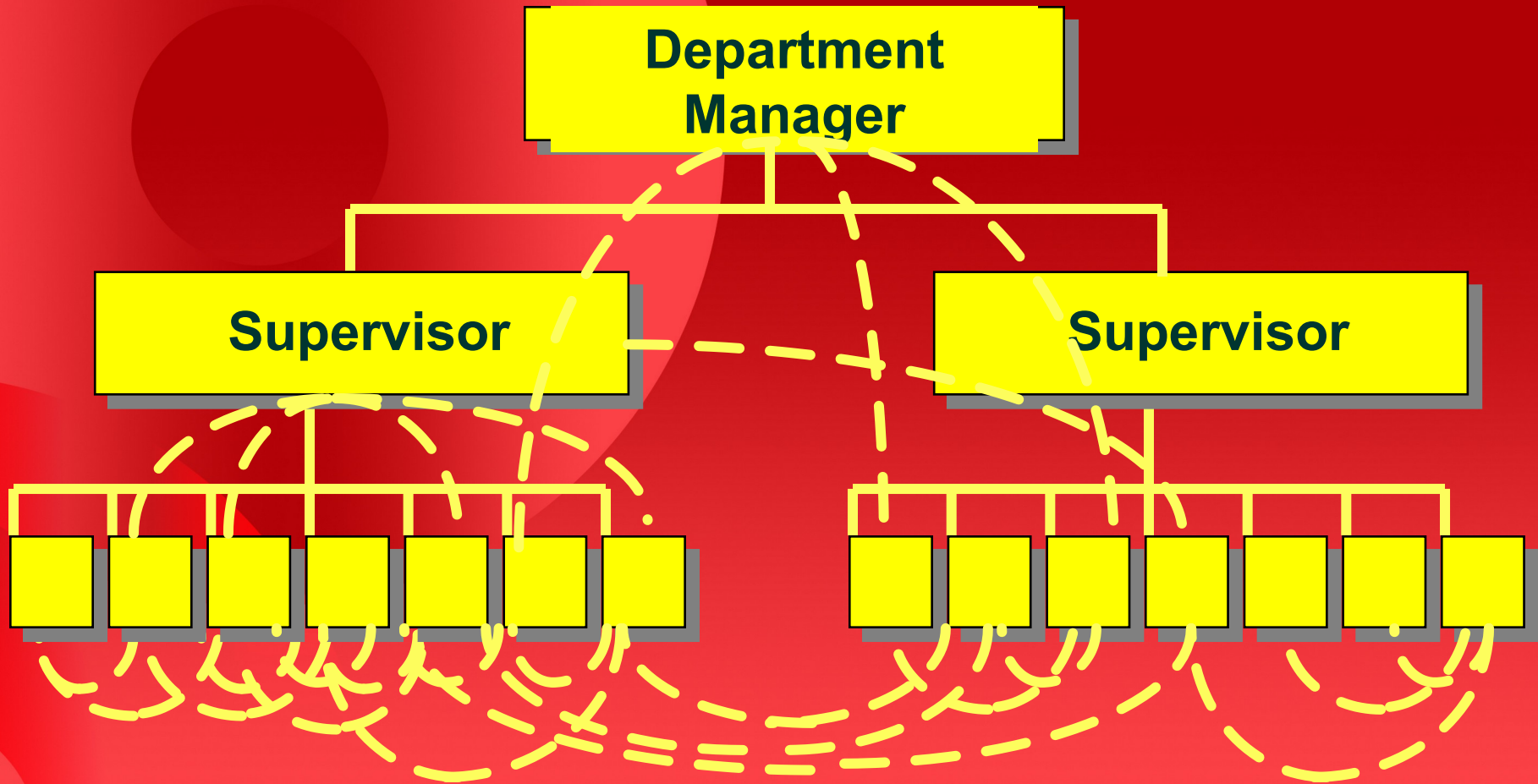


Overcoming Communication Barriers

- Repetition of messages
- Use of multiple channels
- Simplified language
- Feedback

Formal vs. Informal Communication

- **Formal communication** refers to messages that use formally established channels. Follows the chain of authority and command.
- **Informal communication** is more spontaneous communication occurring without regard for the formal channels of communication. (The 'grapevine')





Directions of Communications

Downward Communication

Communication that flows from individuals in higher levels of the organization's hierarchy to those in lower levels.

Upward Communication

Communication that flows from individuals at lower levels of the organizational structure to those at higher levels.

Horizontal Communication

Communication
that flows across
functions in an
organization.

Diagonal Communication

Communication
that cuts across
functions and
levels in an
organization.

The Communication Process

- Context
- Participants
- Messages
- Channels
- Noise
- Feedback

Context – the Setting

- **Physical** – where communication takes place, the environment, the distance between participants, seating, time of day
- **Social** – the nature of the relationship
- **Historical** – the background of previous communication
- **Psychological** – the moods and feelings
- **Cultural** – the set of beliefs, values, and norms that are shared by a large group of people

Participants

- **Sender**

- Form messages and attempt to communicate them to others through verbal symbols and nonverbal behavior

- **Receiver**

- They process these messages and behaviors and react to them

Messages

- Encoding
- Decoding
- Forms of organization
- Meanings are in symbols

Channels

- Verbal
- Nonverbal

Noise

- **External noise** – the sights, sounds, and other stimuli that draw people's attention away from intended message
- **Internal noise** – the thoughts and feelings that interfere with meaning
- **Semantic noise** – alternate meanings aroused by a speaker's symbols

Feedback

- Intended message
- Perceived message

Effective Feedback

- Intention
- Specificity
- Description
- Usefulness
- Timeliness

Steps In Communication Process

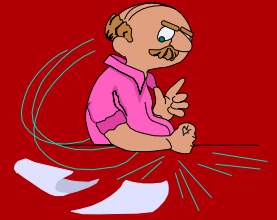
- **Encoding**

- Symbolizing--words, gestures, pictures, signs, etc
- Transmitting--oral, writing, print media, nonverbal cues, electronic media, telephone

- **Barriers**

- language, culture, skills, lack of adaptation to receiver, etc.
- inappropriate media, skills, technical difficulties

Decoding (Receiver)



- **Decoding**

- Receiving--listening, reading, observing, smelling, sensing, etc.
- Interpreting--attaching meaning
- Responding--internal reaction
- Feedback--what receiver chooses to send back to encoder, completes the loop.

- **Barriers**

- reading comprehension, listening skills, distractions, filtering, sensitivity, openness,
- critical thinking skills, perception, vocabulary, emotional intelligence, attitudes

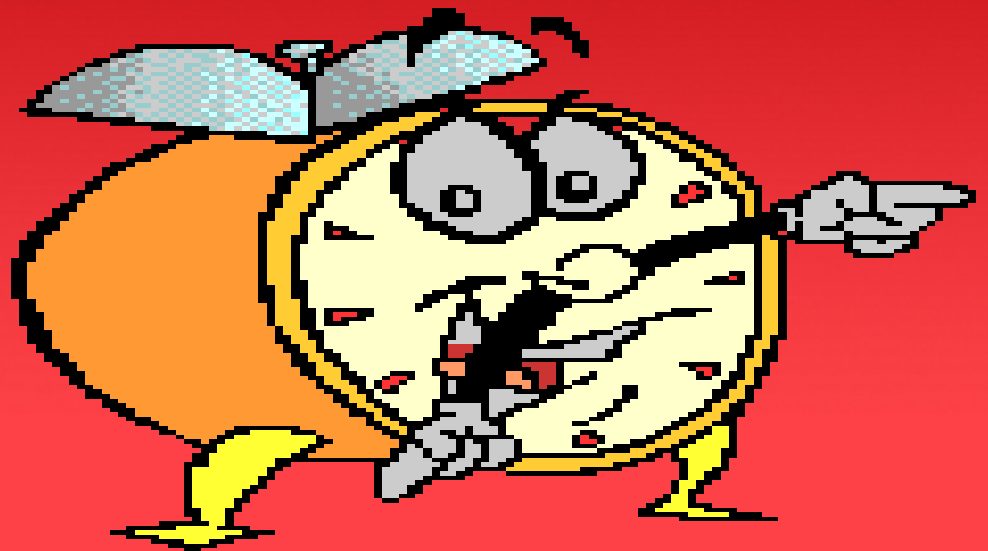
Improve Sending Messages

- Clarify ideas before communicating
- Motivate the receiver
- Communicate feelings as well as facts
- Be aware of nonverbal behavior
- Obtain feedback

Effective Listening

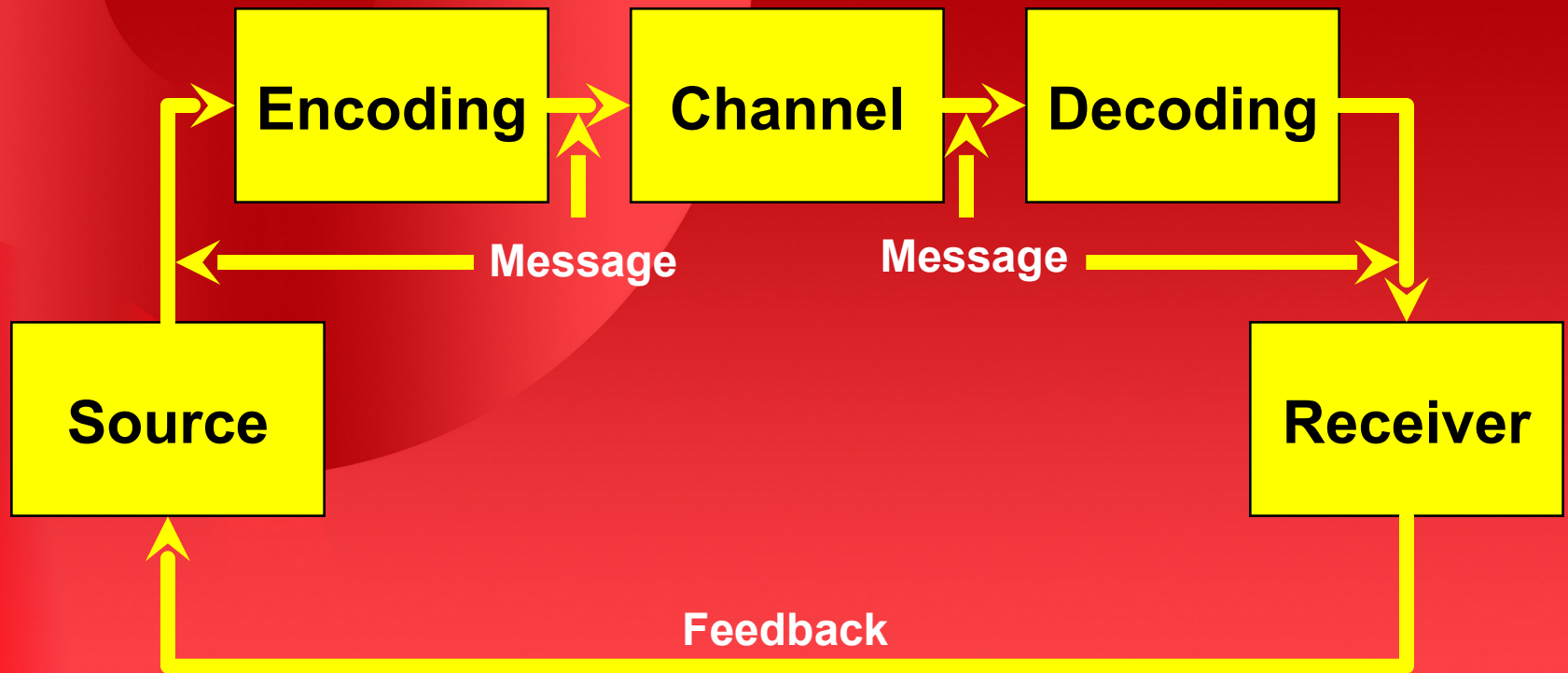
- Make eye contact
- Exhibit affirmative head nods and appropriate facial expressions.
- Avoid distracting actions or gestures.
- Ask questions.
- Avoid interrupting the speaker.
- Don't over talk.
- Make smooth transitions between the roles of speaker and listener.

Let's stop
it here

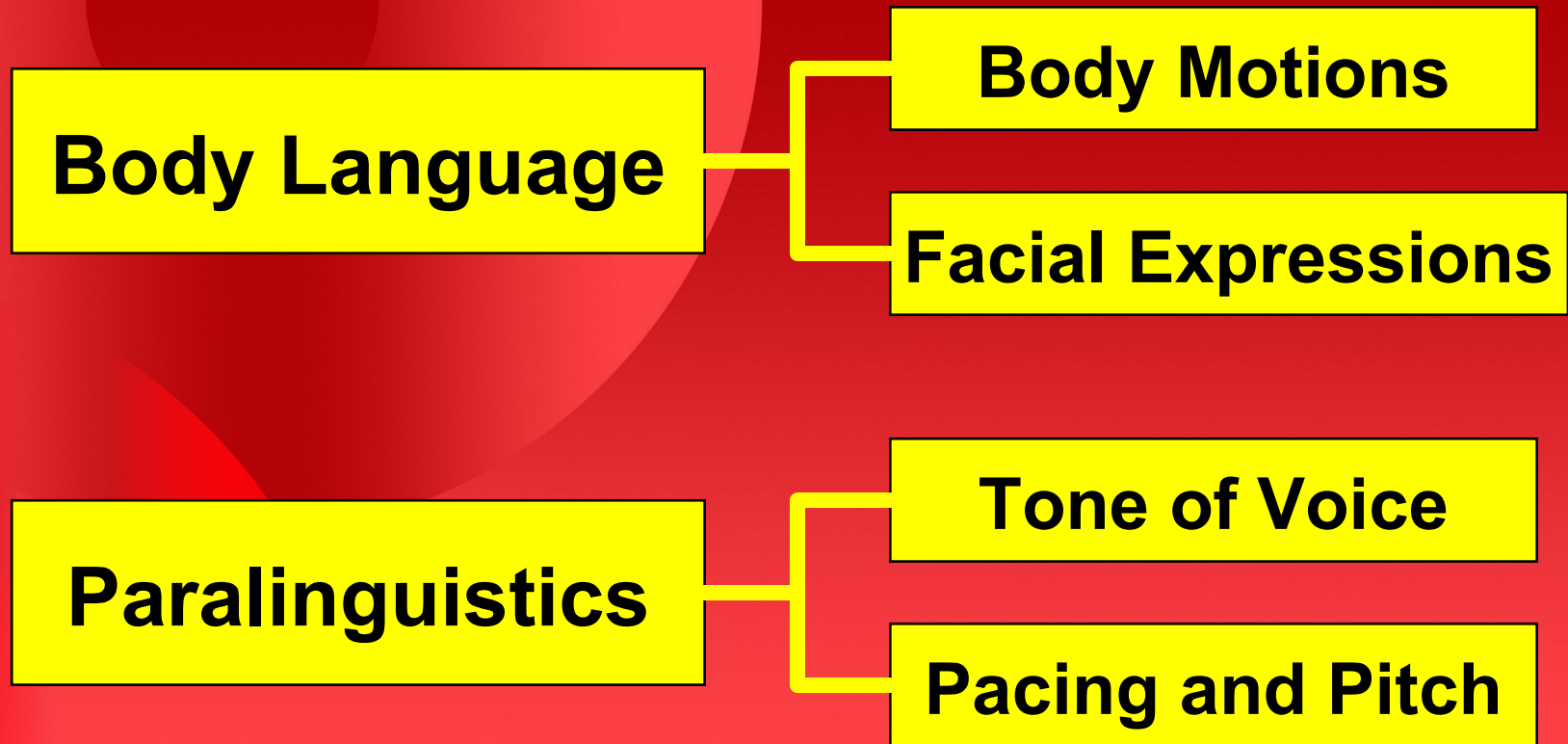


Summary

The Communication Process



Nonverbal Communication



Barriers to Effective Communication



Directions of Communications

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Next....

Organizational Behavior

(MGT-502)

Lecture-20

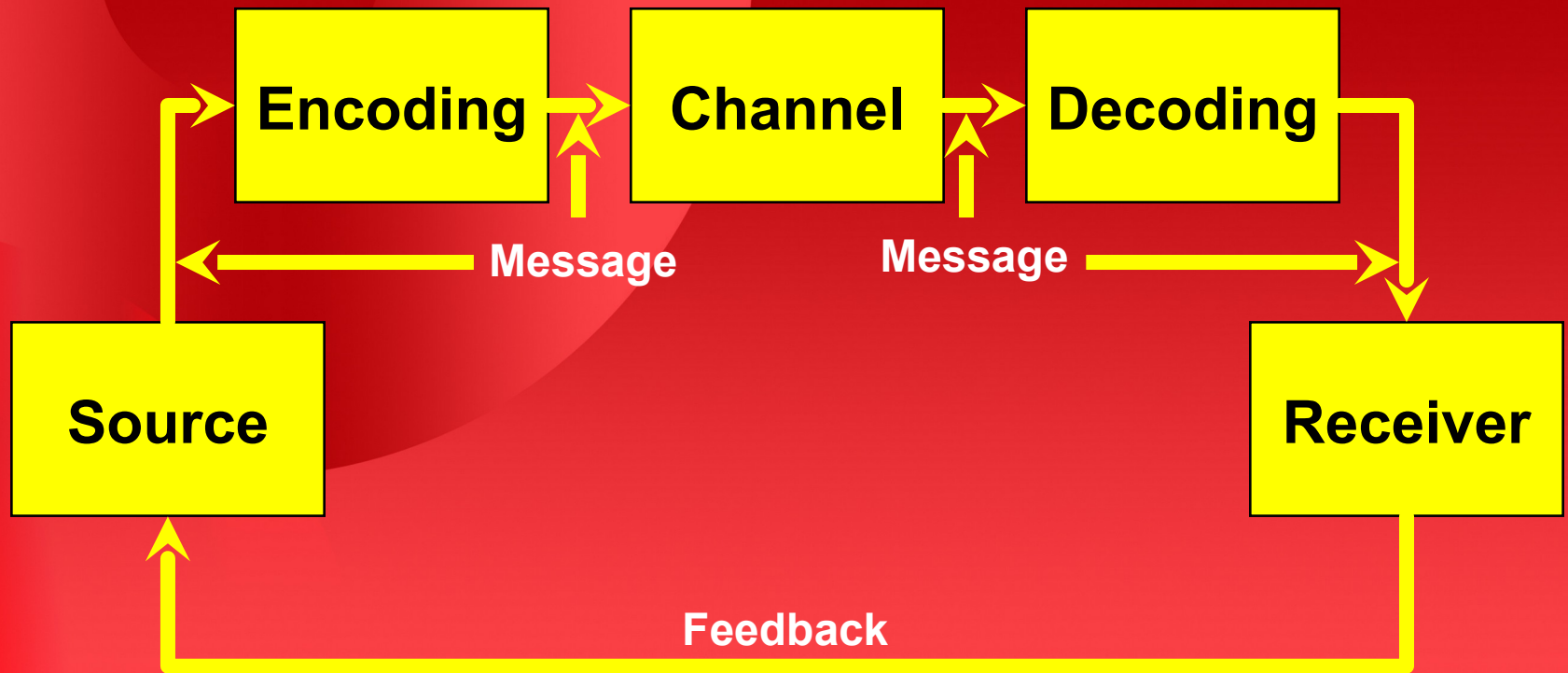
Organizational Behavior

(MGT-502)

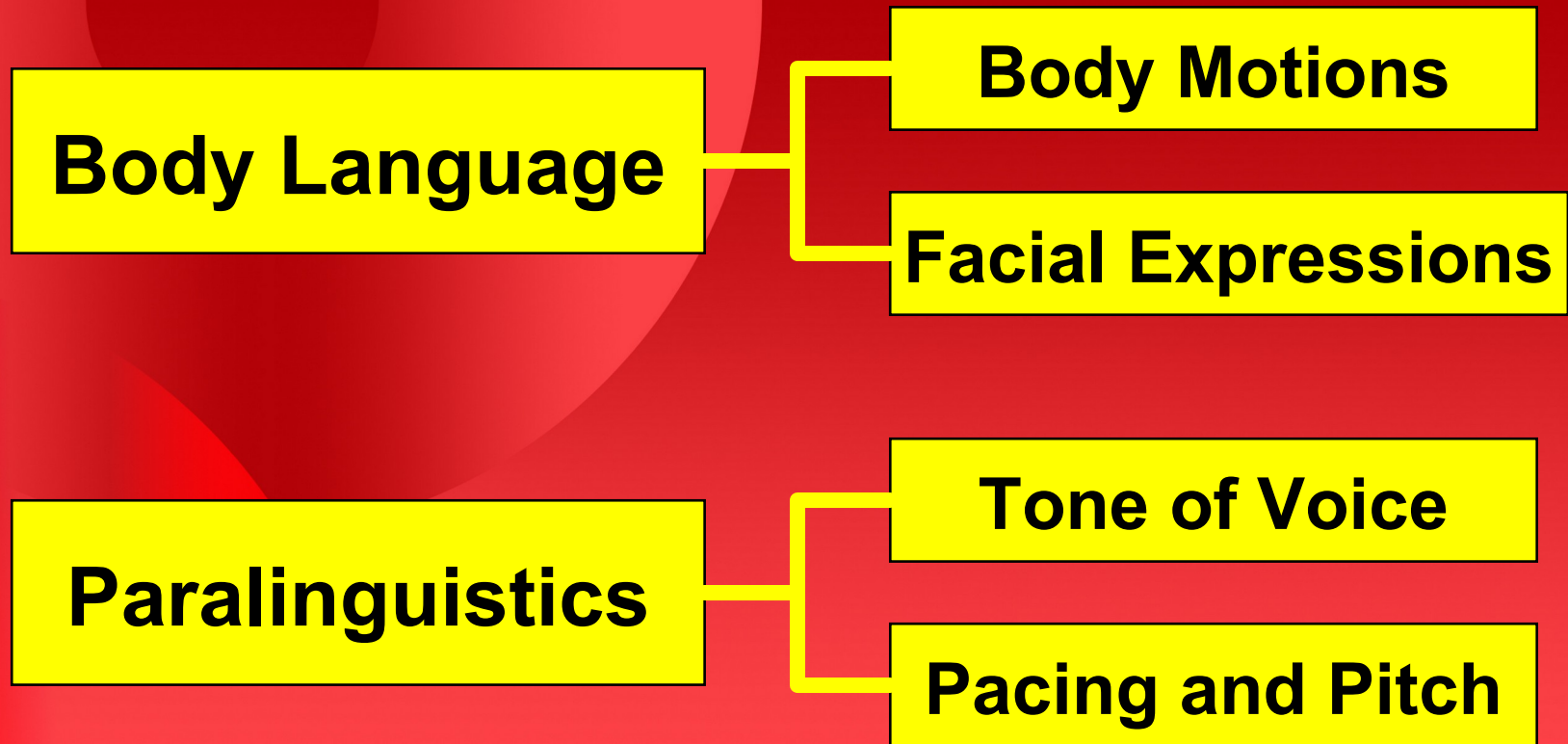
Lecture-21

Summary of Lecture-20

The Communication Process



Nonverbal Communication



Barriers to Effective Communication



Directions of Communications

Today's Topics

Communication Principles

- Communication has purpose
- Communication is continuous
- Communication messages vary in conscious encoding

Communication Principles

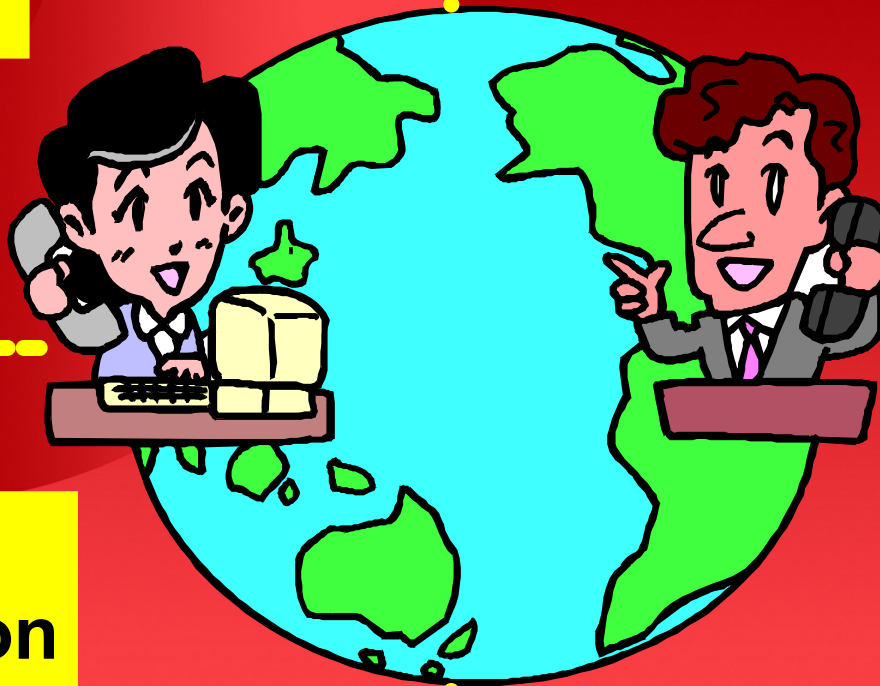
continued

- Communication is relational
- Communication is culturally bound
- Communication has ethical implications
- Communication is learned

Functions of Communication

Control

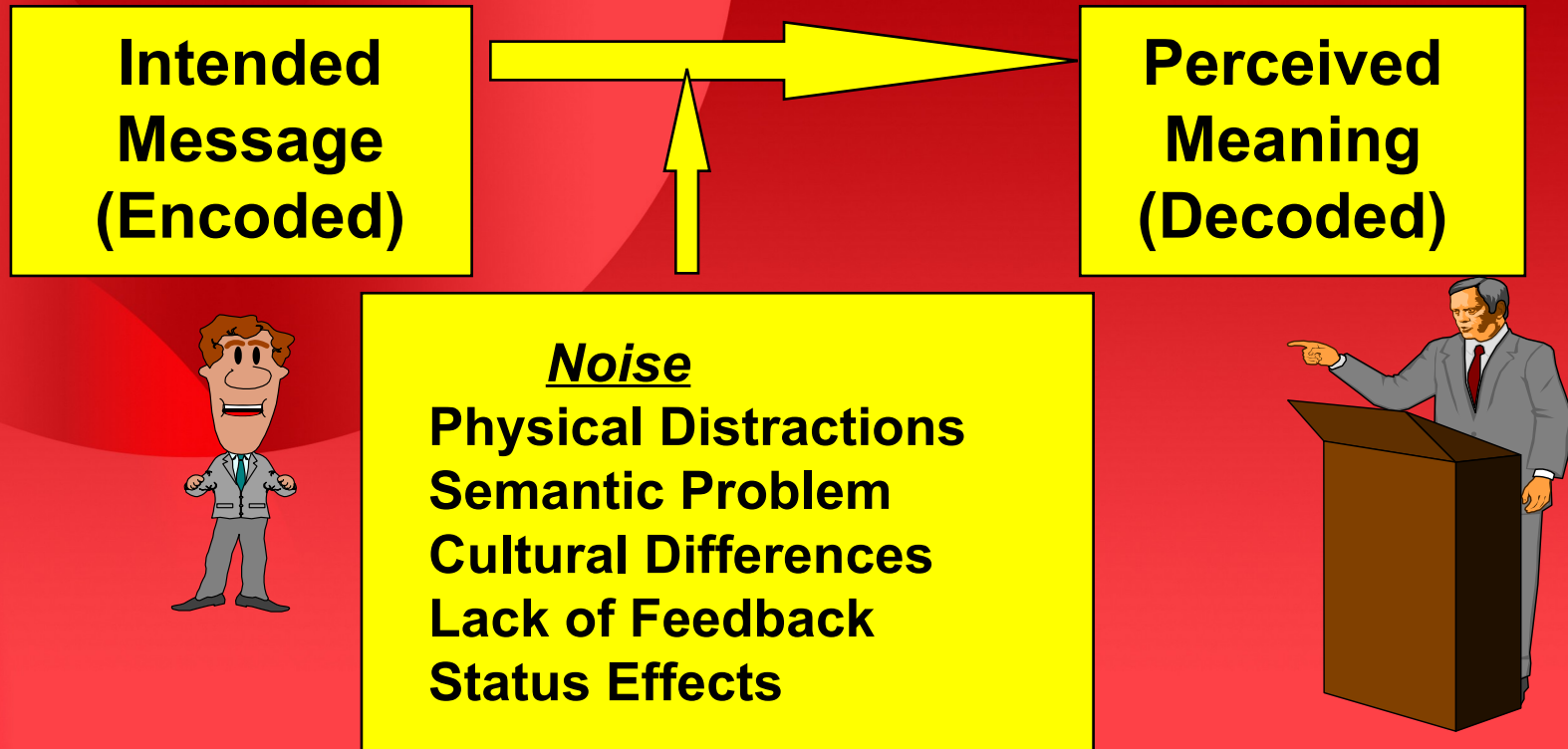
Motivation



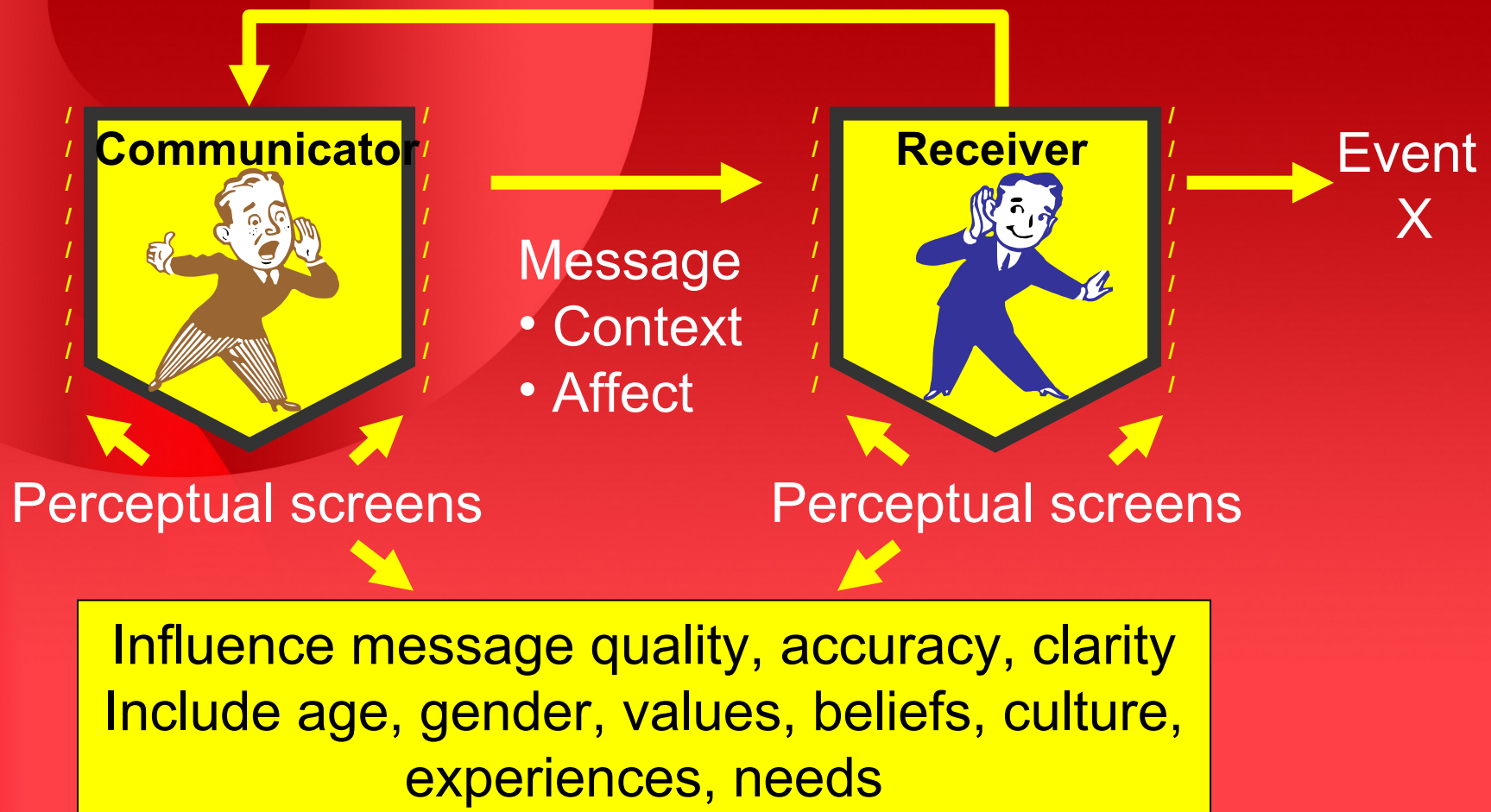
Information

**Emotional
Expression**

The Communication Process



Basic Interpersonal Communication Model



Interpersonal Communication

- **Oral Communication**

- Advantages: Speed and feedback.
- Disadvantage: Distortion of the message.

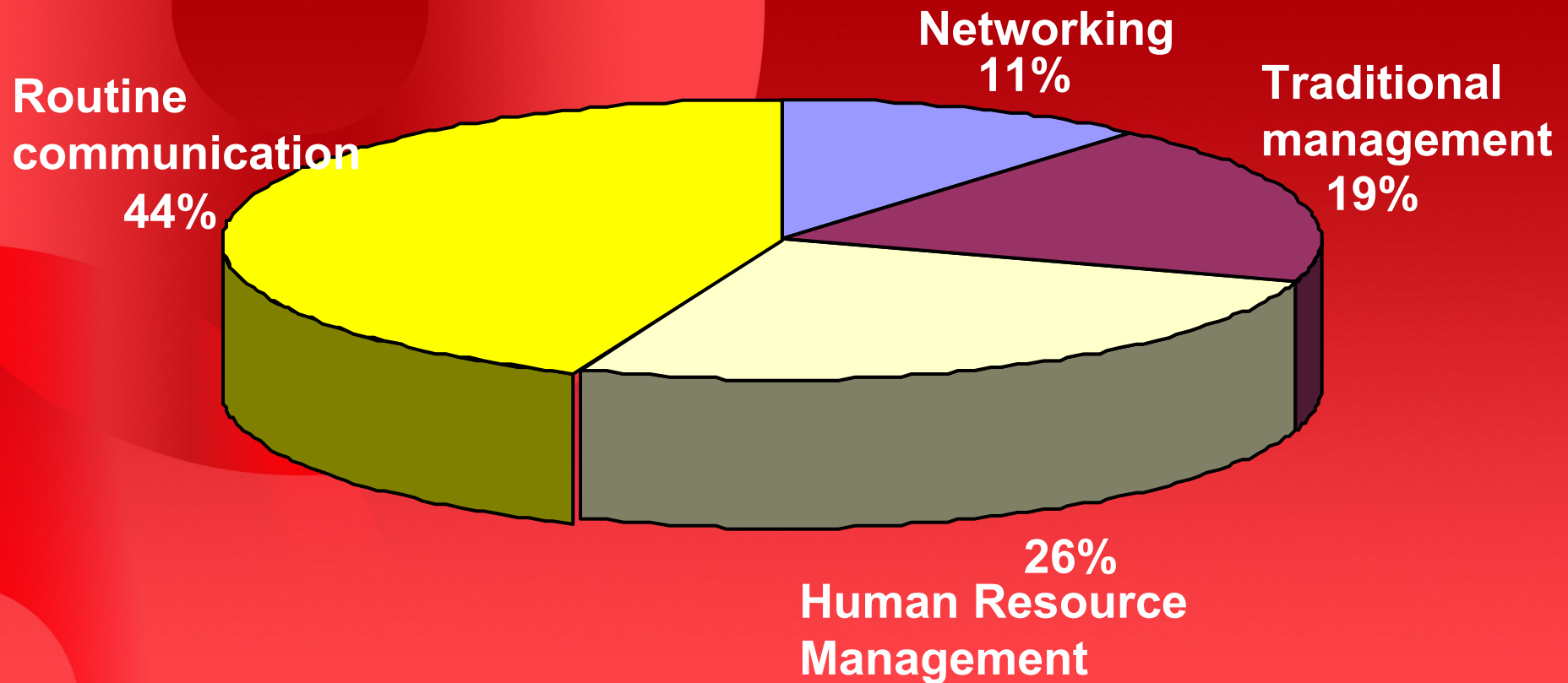
- **Written Communication**

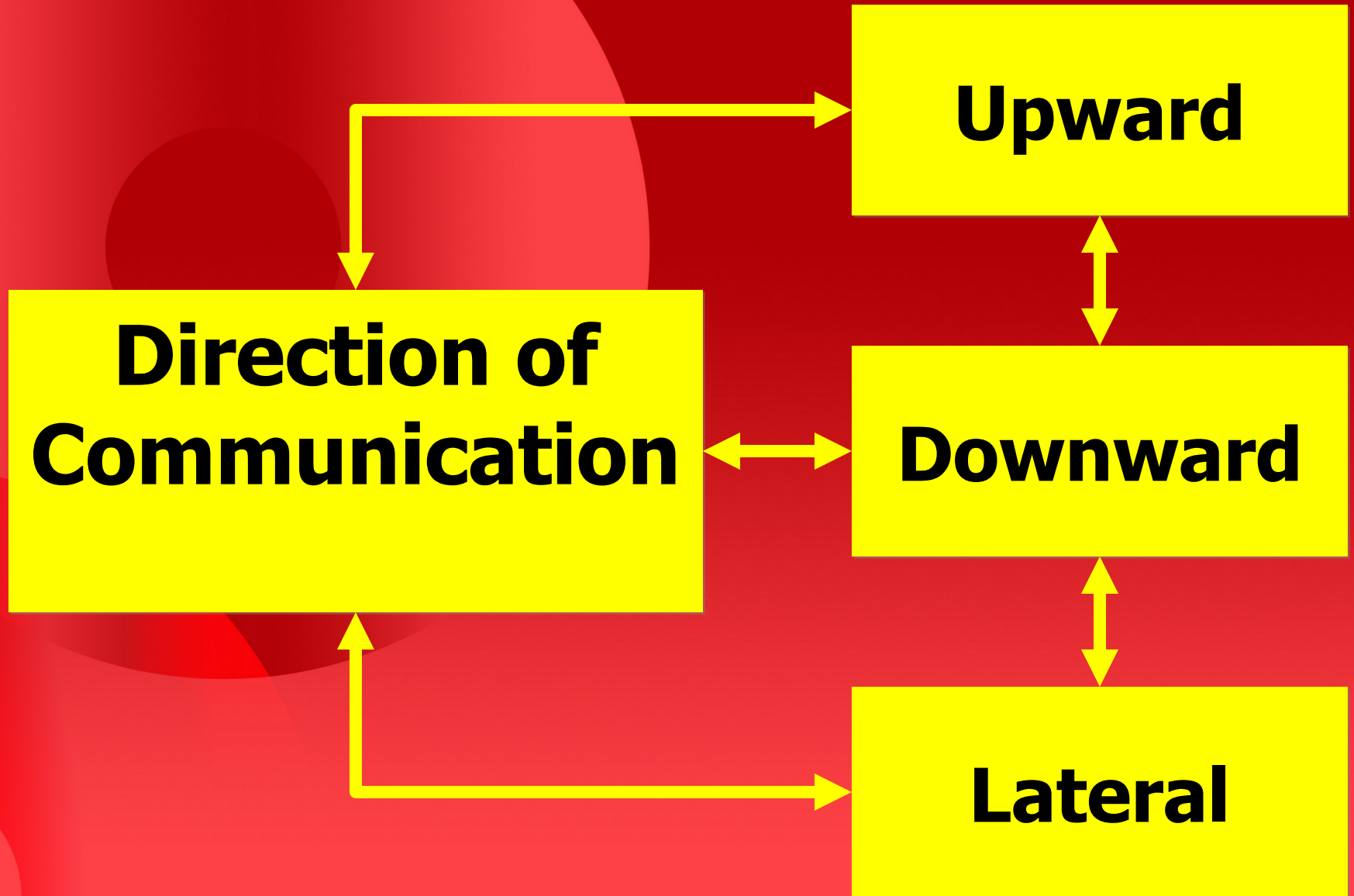
- Advantages: Tangible and verifiable.
- Disadvantages: Time consuming and lacks feedback.

- **Nonverbal Communication**

- Advantages: Supports other communications and provides observable expression of emotions and feelings.
- Disadvantage: Misperception of body language or gestures can influence receiver's interpretation of message.

The Contribution of Communication Activities to Real Managers' Effectiveness





Communication Networks

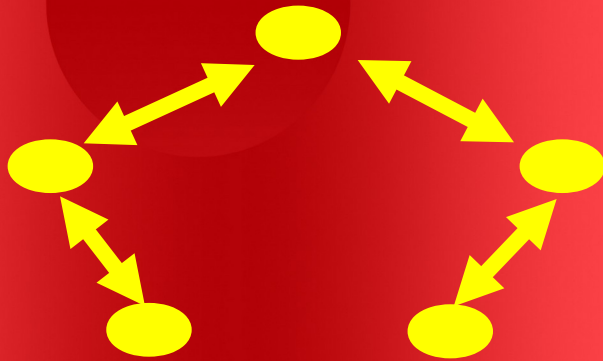
Formal

- ❖ **Vertical**
- ❖ **Follows authority**
- ❖ **Task-related**

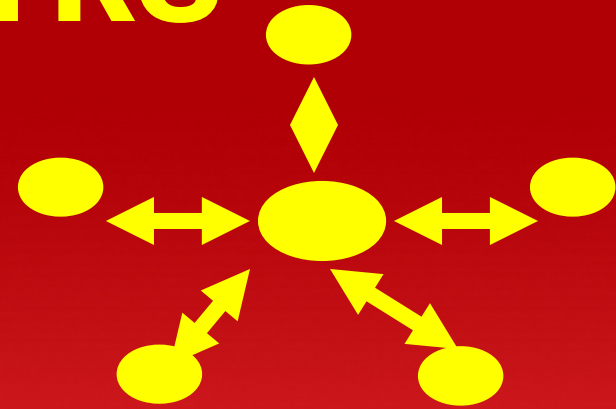
Informal

- ❖ **Multidirectional**
- ❖ **Skips authority**
- ❖ **Social-related**

Common Small-Group Networks



Chain



Wheel



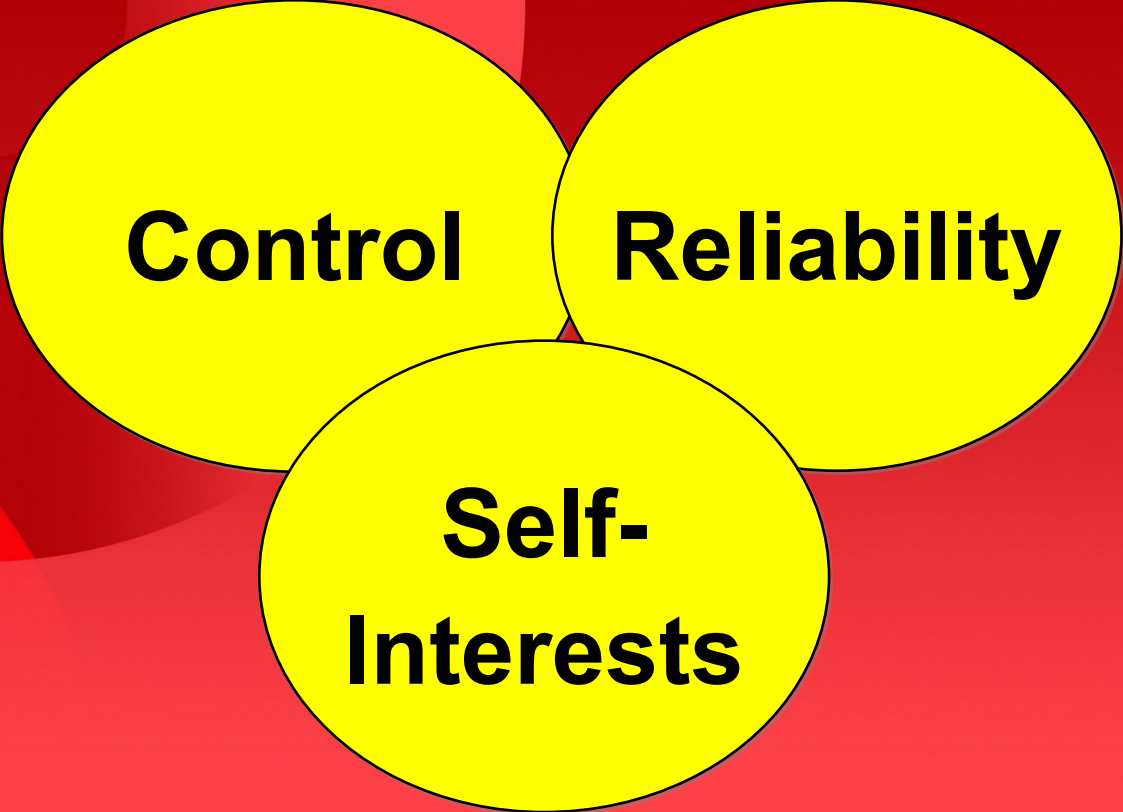
All-Channel

Small Group Network Effectiveness

Networks

<i>Criteria</i>	<i>Chain</i>	<i>Wheel</i>	<i>All-Channel</i>
Speed	Moderate	Fast	Fast
Accuracy	High	High	Moderate
Emergence of Leader	Moderate	High	None
Member Satisfaction	Moderate	Low	High

The Grapevine



Control

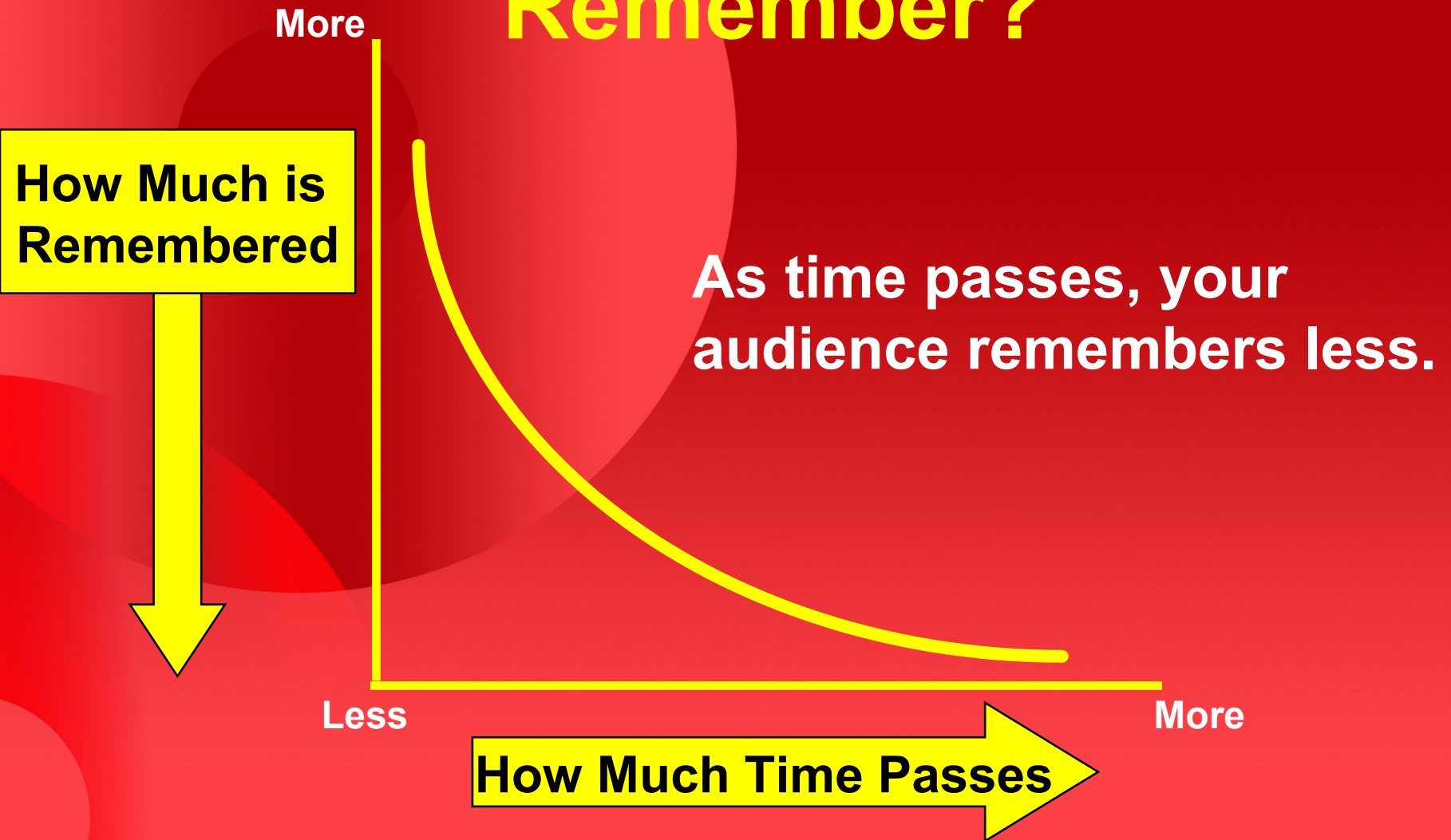
Reliability

**Self-
Interests**

Barriers to Communication

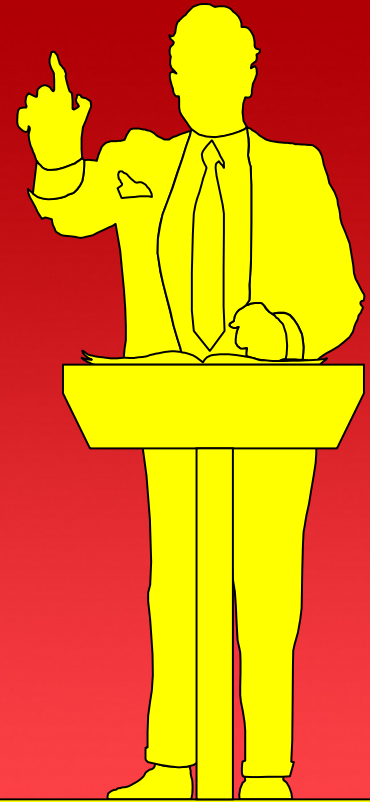
- Perceptual and Attributional Biases
- Interpersonal Relationships
- Top Management's Role
- Gender Differences in Communication
- Physical Distance
- Organizational Structure

What Will Your Audience Remember?



Electronic Communications

- **Work space**
- **Work life and personal life**
- **Organizational boundaries**
- **Time constraints**
- **Geographical constraints**
- **Interpersonal contact**



Technology and Communication



Computer-Mediated Communication



- Informational databases
- Electronic mail systems
- Voice mail systems
- Fax machine systems
- Cellular phone systems

How Does CMC Affect Communication?

- Fast, immediate access to information
- Immediate access to people in power
- Instant information exchange across distance
- Makes schedules & office hours irrelevant
- May equalize group power
- May equalize group participation

How Does CMC Affect Communication?

- Communication can become more impersonal--interaction with a machine
- Interpersonal skills may diminish--less tact, less graciousness
- Non-verbal cues lacking
- Alters social context
- Easy to become overwhelmed with information

Hierarchy of Channel Richness

Channel
richness

Type of
message

Information
medium

Richest

Nonroutine,
ambiguous

Face to face
talk



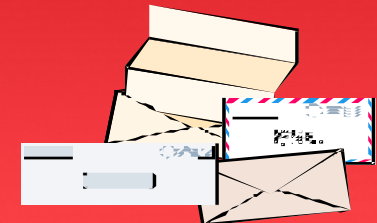
Telephone



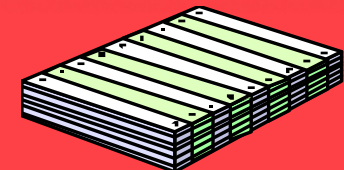
Computer



Memos,
letters



Flyers, bulletins
general reports



Leanest

Routine,
clear

Gender Communication Differences

Men

Gives advice
quickly and
directly

Avoids asking for
information

Less sensitive
to nonverbal
cues

Women

Gives advice
indirectly and
reluctantly

Frequently asks for
information

More sensitive
to nonverbal
cues

Guidelines for Effective Speaking

- Determine the purpose of your communication
- Consider issues of time and space
- Adapt to your listeners
- Use appropriate vocabulary
- Practice voice control
- Use appropriate gestures
- Organize your presentation

Guidelines for Active Listening

- Control the physical environment
- Be alert
- Be mentally prepared
- Be emotionally prepared
- Be attentive
- Read nonverbal cues
- Distinguish among facts, inferences, and value judgments
- Offer and Solicit Feedback

Improving Communication in Organizations

**Following
Up**

**Utilizing
Feedback**



Repetition

Empathy

**Regulating
Information Flow**

**Effective
Listening**

**Effective
Timing**



**Simplifying
Language**

**Using the
Grapevine**

Communications and HRM



How do you find out about what happens at work?

👍 BULLETIN BOARD

👍 NEWSLETTER

👍 GOSSIP

👍 ??????

Employee Handbook Purpose



●Employee

- Information central source
- Commitment, security
- Direction

●Employer

- Committed workforce
- Recruit
- Educate, inform, and guide employees

- Helps employees learn about company at their own pace
- Provides references regarding policies, rules, and benefits
- Ensures HRM policies will be consistently applied
- Creates sense of security and commitment for employees
- Provides information to recruits
- May be interpreted as implied contract
- Should be updated continually

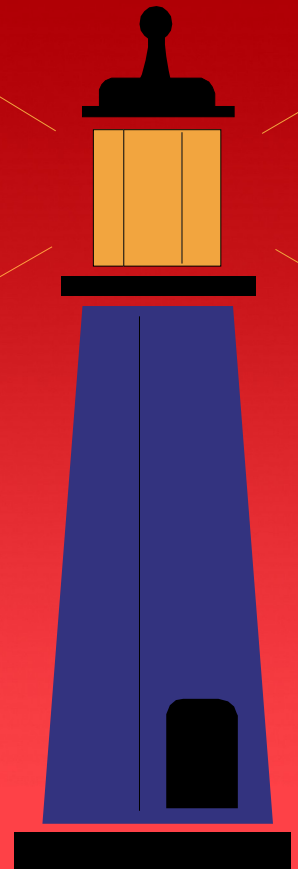
To Achieve that....

AN EMPLOYEE HANDBOOK
SHOULD BE

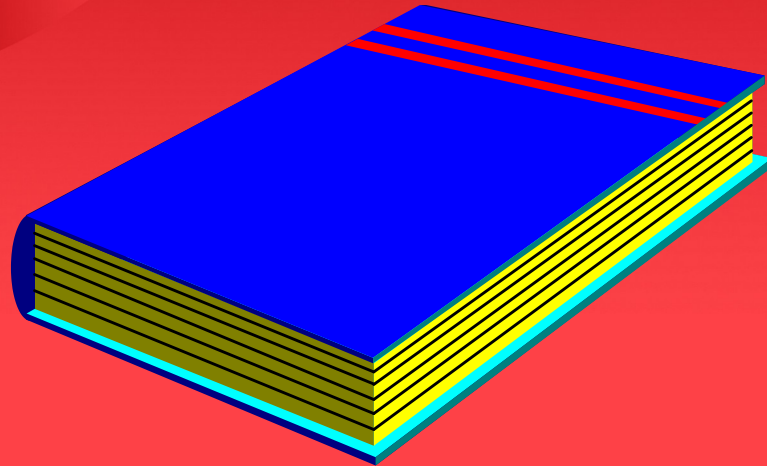
👍 Well organized

👍 Clearly written

👍 Legally limited



Employee Handbook Contents



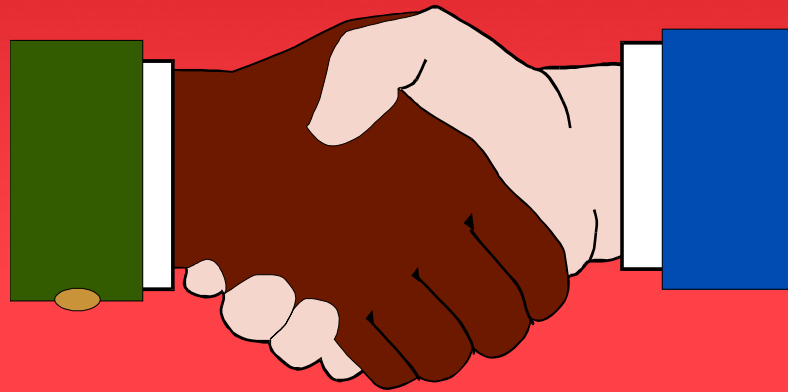
👉 Introductory comments

👉 What you should know

👉 Your benefits

👉 Your responsibilities and safety
procedures

Introductory Comments



👍 Greetings

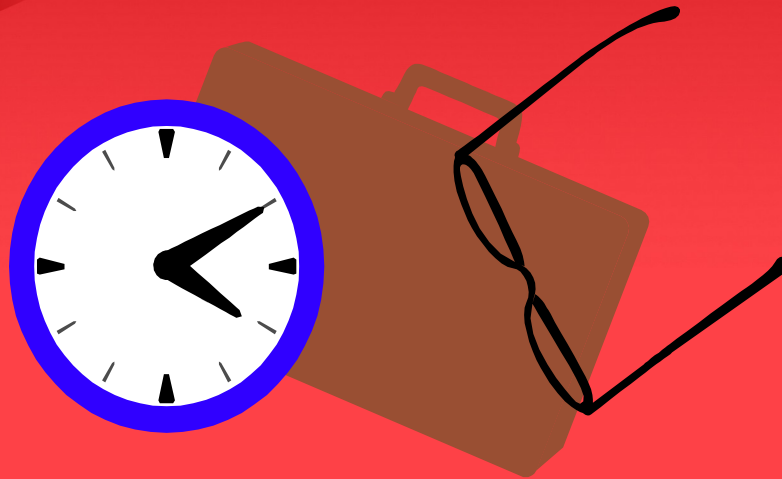
👍 Welcome

👍 Valuable to the company

👍 Tone setting, culture statement

👍 Performance, role expectations

What You Should Know



👉 Rules and policies

- Attendance, work hours
- Lunch hours
- Lay off practices
- Performance appraisal issues

Your Benefits



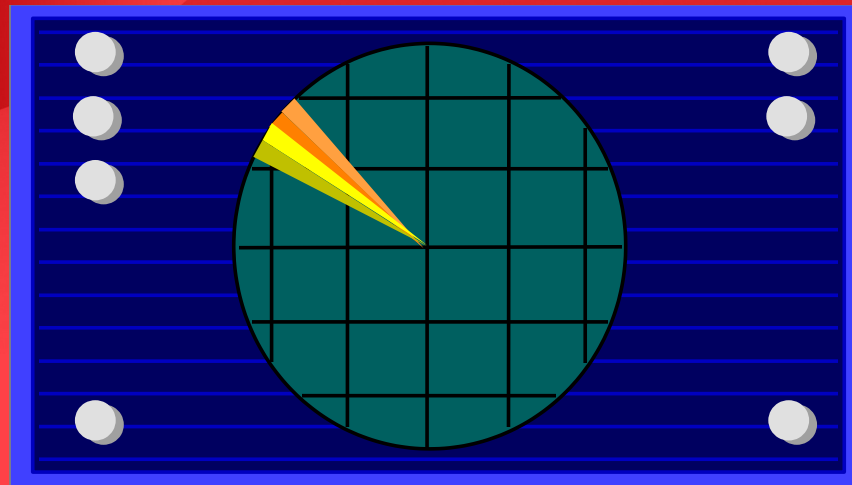
👍 Membership-based

👍 Keep morale high

👍 Costs

👍 Eligibility

Responsibilities and Procedures



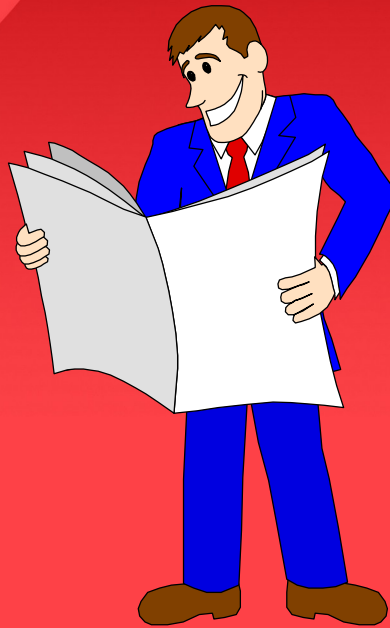
👍 Safety

👍 Personal conduct

👍 Reporting accidents

👍 Compliance requirements

Communication Methods



👉 Employee handbook

👉 Bulletin board

👉 Company newsletter

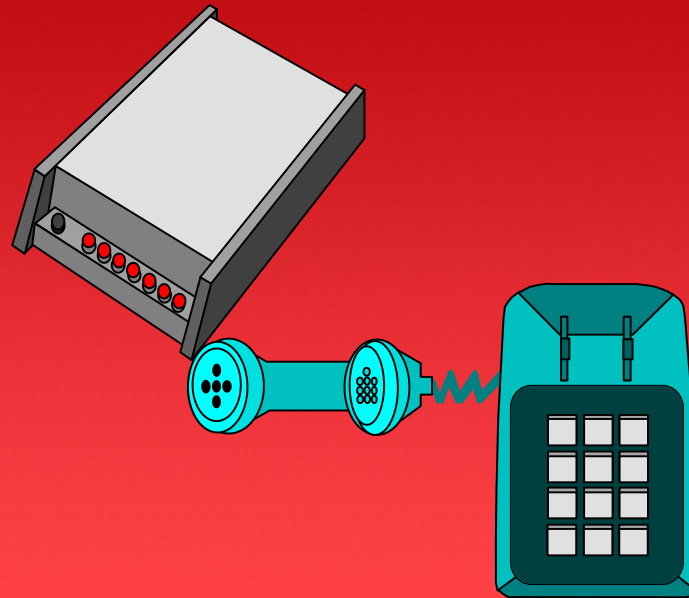
👉 Company-wide meetings

👉 Digital Media

👉 Etc.

For Offsite Employees

- Facsimile machines
- Emails
- Internet
- Phone





HRM Communications Programs

👉 Keep employees informed

👉 Convey organization's concern for employees

👉 Build trust and openness

👉 Monitor employee concerns

Purpose of HRM Communications



👍 Keep employees informed

👍 Tool to bring about positive change

👍 Influence culture

External Organizational Communication

```
graph TD; A[External Organizational Communication] --> B[Public Relations]; A --> C[Marketing and Advertising]; B --> D[Surveys]; B --> E[Lobbying]; C --> E;
```

Public Relations

Marketing and Advertising

Surveys

Lobbying

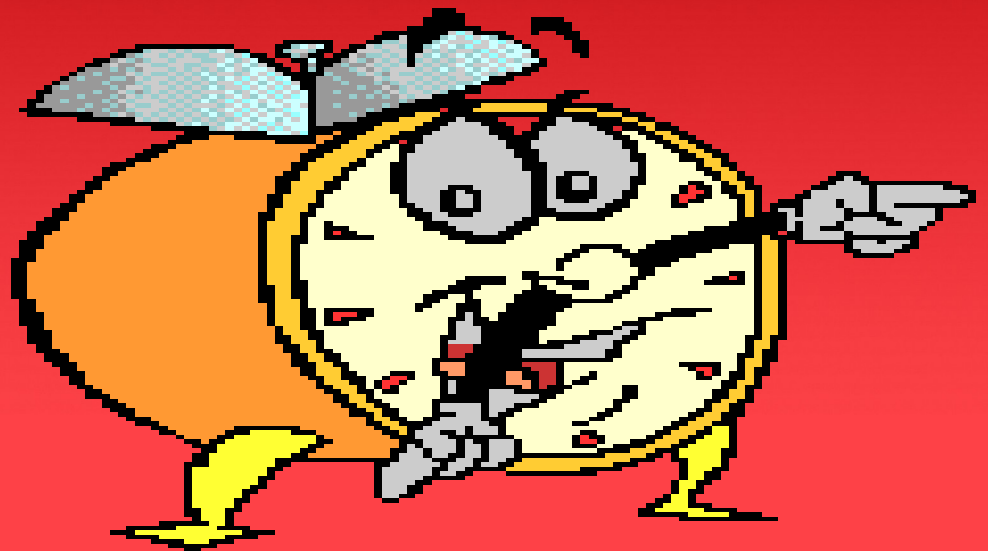
Ethics in Communication

Practicing Honesty

Refraining From Doing Harm

Being Fair and Just

Let's stop
it here

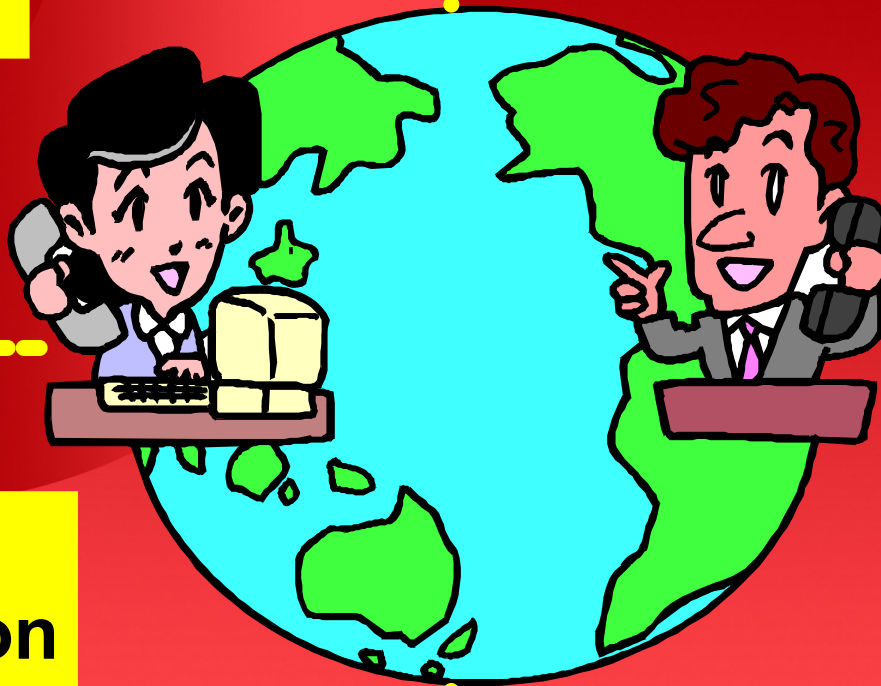


Summary

Functions of Communication

Control

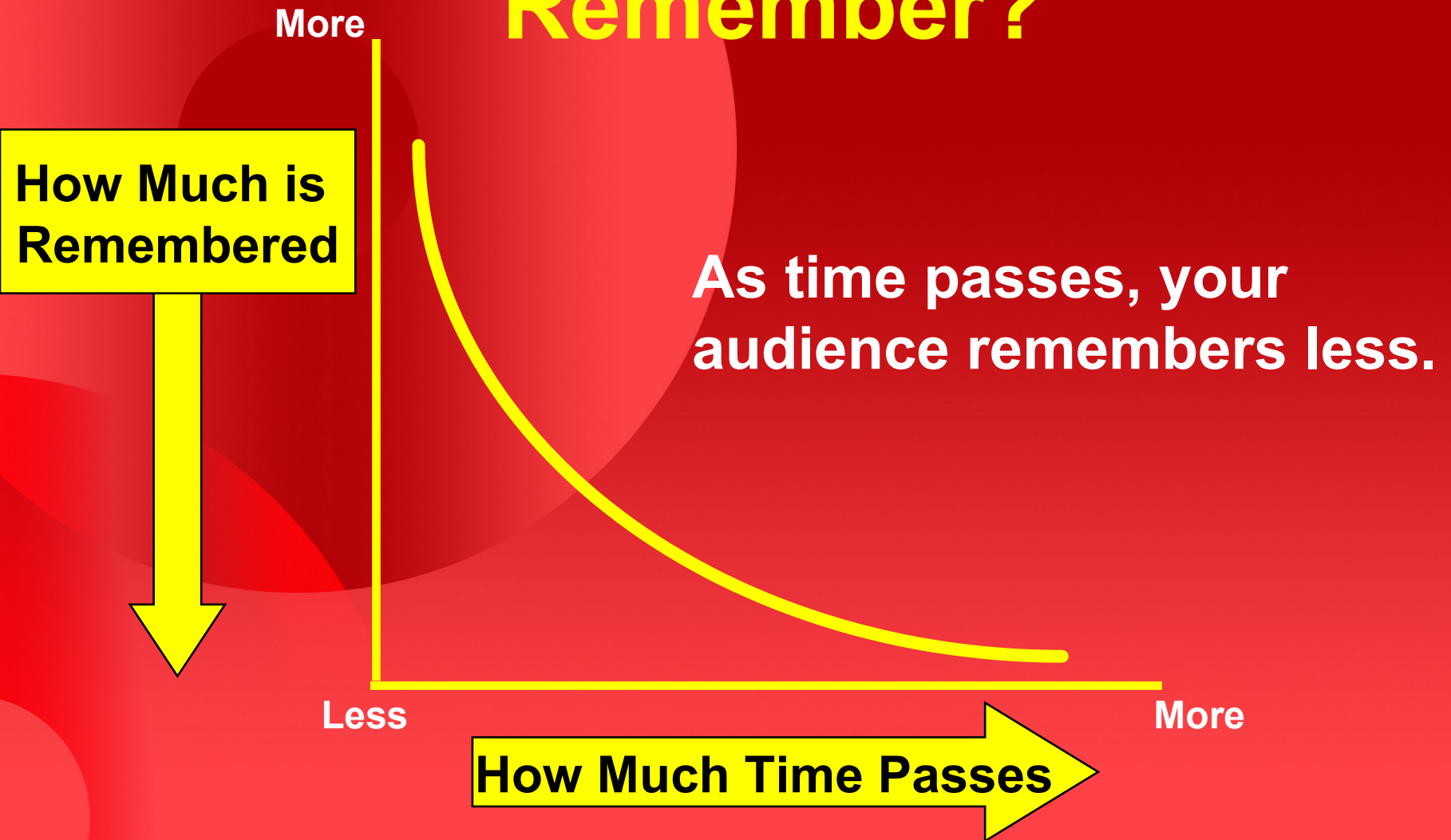
Motivation



Information

**Emotional
Expression**

What Will Your Audience Remember?



Improving Communication in Organizations

The background is a solid red color. On the left side, there are several overlapping circles in various shades of red and pink. A large, semi-transparent pink circle is the most prominent, with a smaller, darker red circle inside it. Other circles of different sizes and shades are visible in the lower-left and upper-left areas. The text 'Next....' is written in a bold, yellow, sans-serif font, positioned in the center-right of the image.

Next....

Organizational Behavior

(MGT-502)

Lecture-21

Organizational Behavior

(MGT-502)

Lecture-22

Summary of Lecture-21

External Organizational Communication

```
graph TD; A[External Organizational Communication] --> B[Public Relations]; A --> C[Marketing and Advertising]; B --> D[Surveys]; B --> E[Lobbying]; C --> D; C --> E;
```

Public Relations

Marketing and Advertising

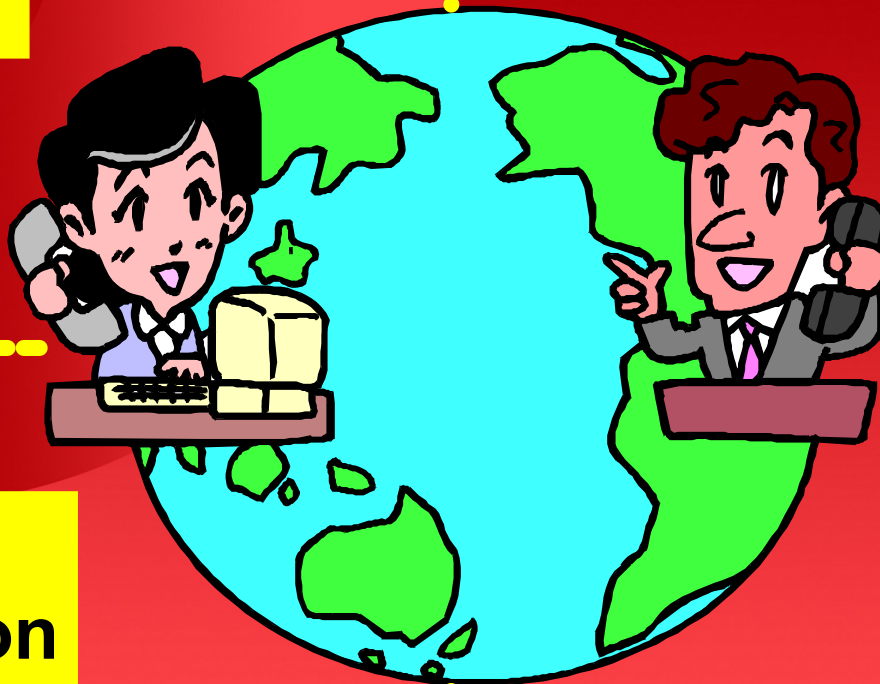
Surveys

Lobbying

Functions of Communication

Control

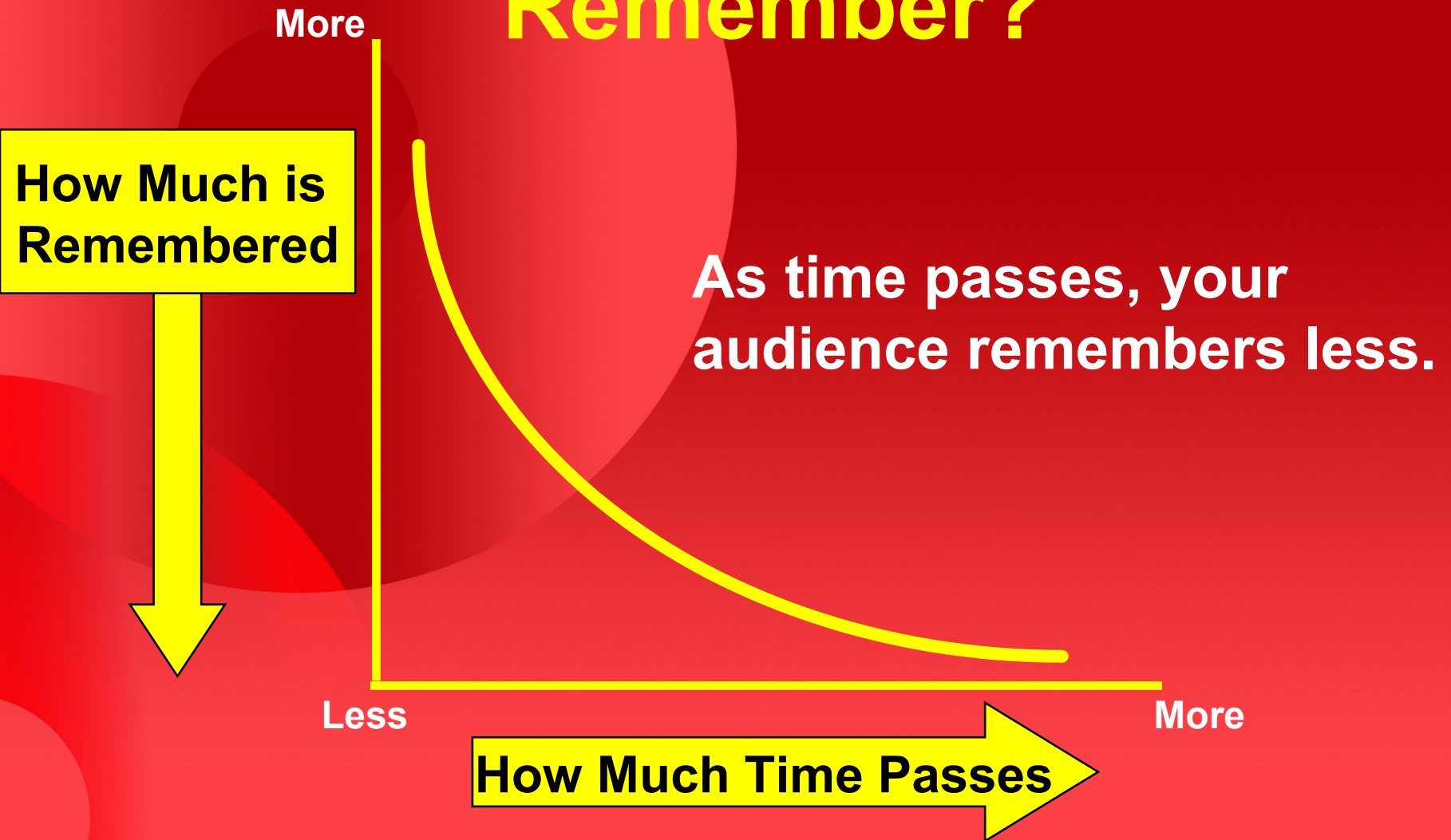
Motivation



Information

**Emotional
Expression**

What Will Your Audience Remember?



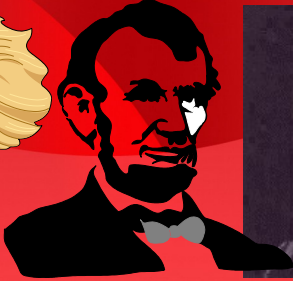
Communication

I didn't say that I
didn't say it. I said
that I didn't say that
I said it. I want to
make that very clear.

-- G. Romney

Today's Topics

Leadership



“All Leaders
are Managers....

But not all Managers
are Leaders”

True or False?

What Is Leadership?

- No universally agreed-upon definition.
- Involves influencing the attitudes, beliefs, behaviors, and feelings of other people.
- Most people agree that it is an important topic!

Leadership

An interpersonal process in which influence is exercised in a social system for the achievement of organizational goals by others



**Group
Phenomenon**

**Influence
and Persuasion**

**The Basics
of Leadership**

```
graph TD; A[Group Phenomenon] <--> B[Influence and Persuasion]; B <--> C[Goal Directed Behavior]; C <--> D[Some Form of Hierarchy]; D <--> A; E[The Basics of Leadership] <--> A; E <--> B; E <--> C; E <--> D;
```

The diagram illustrates the four fundamental components of leadership. A central yellow box labeled 'The Basics of Leadership' is connected by double-headed arrows to four surrounding yellow boxes: 'Group Phenomenon' (top-left), 'Influence and Persuasion' (top-right), 'Goal Directed Behavior' (bottom-right), and 'Some Form of Hierarchy' (bottom-left). The background is a solid red color with faint, overlapping circular patterns in shades of red and pink.

**Some Form
of Hierarchy**

**Goal Directed
Behavior**

Leadership

- **Leader**

- someone who can influence others and who has managerial authority

- **Leadership**

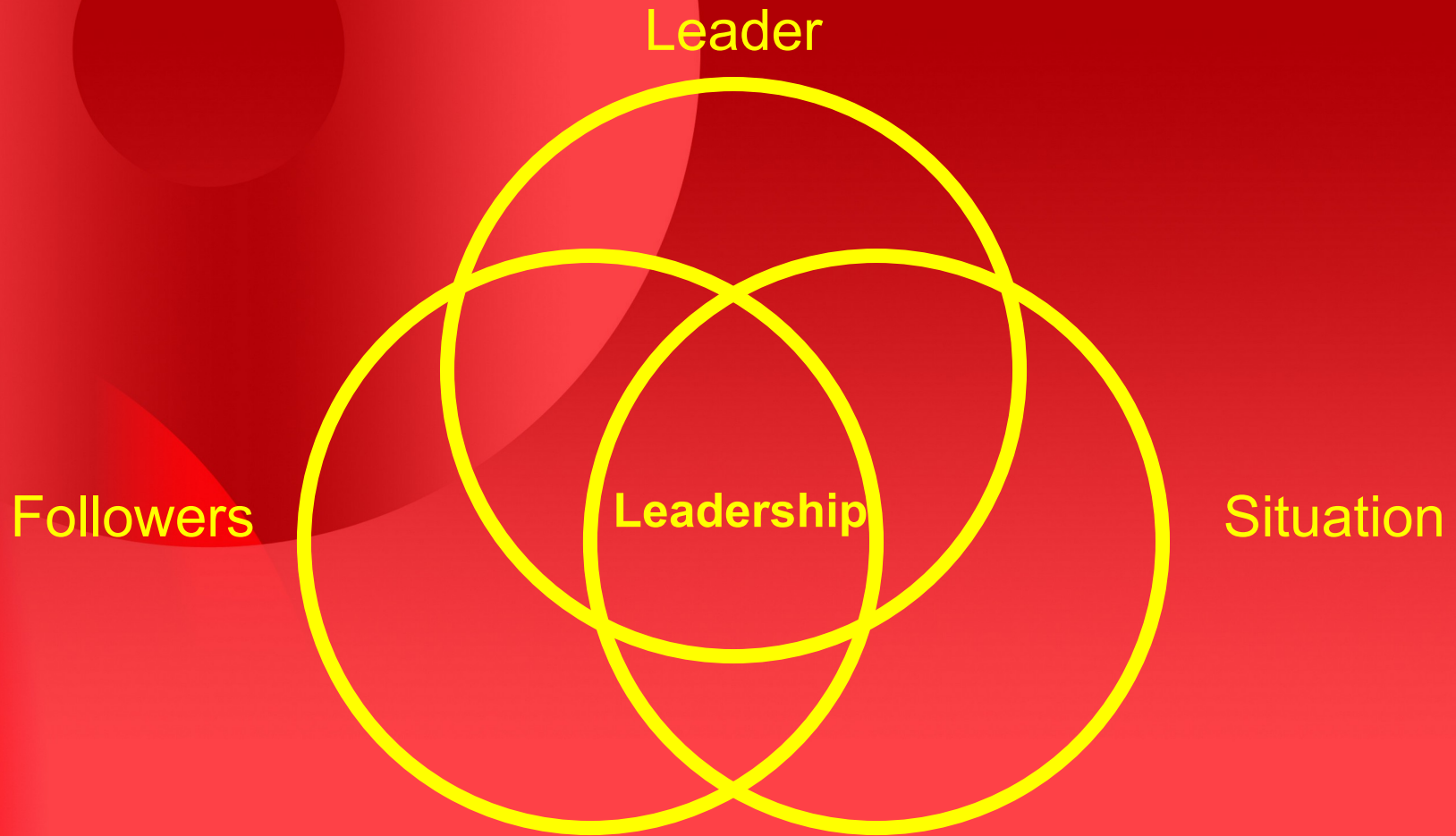
- process of influencing a group toward the achievement of goals

Leadership

The process of influencing
an organized group toward
accomplishing its goals



Leadership Is a Process, Not a Position



Leadership

- The ability to get things done through people.



Myths That Hinder Leadership Development

- Good leadership is all common sense.
- Leaders are born, not made.
- The only school you learn leadership from is the school of hard knocks.

Conventional Wisdom About Leadership

- People who are tall and athletic make better leaders.
- Smarter people make better leaders.
- Leaders who are stable and predictable are more effective.

Research Findings About Leadership

- People who are tall and athletic do not necessarily make better leaders.
- In some situations, smarter leaders consistently performed less well than those who were less smart.
- The most effective leaders use different bases of power to meet situational demands.

Why Study Leadership?

- Understanding leadership helps organizations:
 - select the right people for leadership positions
 - train people in leadership positions to improve
- **Who benefits?**
 - leaders
 - followers
 - organizations



Leaders & Managers



Distinctions Between Managers and Leaders

Leaders

- Innovate
- Develop
- Inspire
- Take the long-term view
- Ask what and why
- Originate
- Challenge the status quo.

Managers

- ➔ Administer
- ➔ Maintain
- ➔ Control
- ➔ Have a short-term view
- ➔ Ask how and when
- ➔ Accept the status quo

Management Process

- Reduces uncertainty
- Provides stability
- Components
 - Planning & budgeting
 - Organizing and staffing
 - Controlling & problem solving



Manager –
an advocate for
stability and the
status quo

Leadership Process

- Creates uncertainty
- Creates change
- Components
 - Setting organizational direction
 - Aligning people with the direction via communication
 - Motivating people to action
 - Empowerment
 - Gratify needs



Leader –
an advocate for
change and new
approaches to
problems

Leadership vs Management

**Leadership & management are
distinct, yet complementary systems
of action**

Effective management
controls complexity



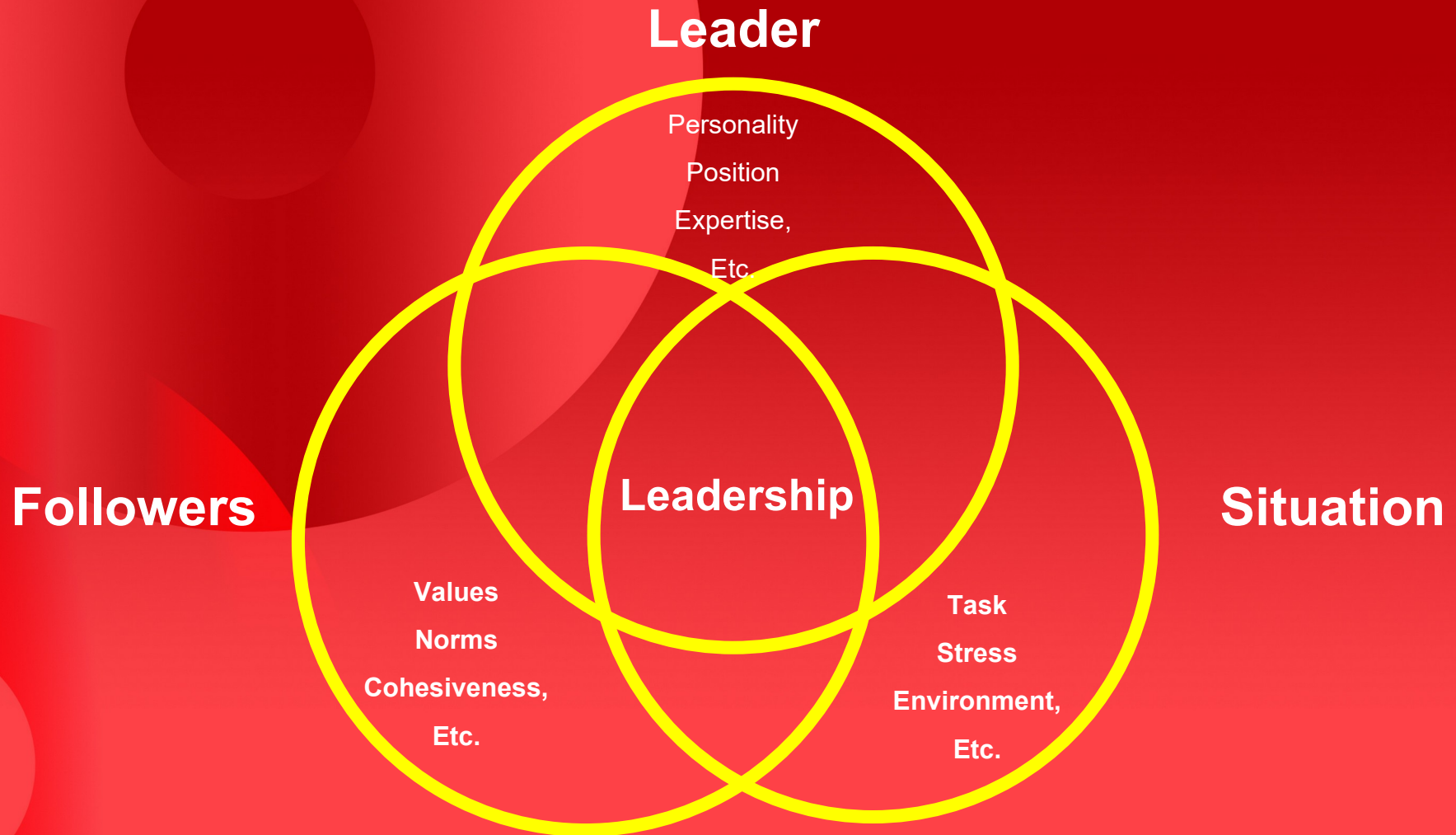
Effective leadership
produces useful change

**Effective leadership + good management
= healthy organizations**

Leadership & Followership

- **Leadership** - the process of guiding & directing the behavior of people in the work environment
- **Formal leadership** - the officially sanctioned leadership based on the authority of a formal position
- **Informal leadership** - the unofficial leadership accorded to a person by other members of the organization
- **Followership** - the process of being guided & directed by a leader in the work environment

An Interactional Framework For Analyzing Leadership



Leader Traits That Influence the Leadership Process

- Personality
- Position
- Experience

Leaders and power

- Power is the capacity of a leader to influence work actions or decisions.
- Five sources of power:
 1. Legitimate power
 2. Coercive power
 3. Reward power
 4. Expert power
 5. Referent power



Sources of Leader Power

- Furniture and office arrangements
- Prominently displayed symbols
- Appearances of title and authority
- Choice of clothing
- Presence or absence of crisis

Follower Traits That Influence the Leadership Process

- Expectations
- Personality
- Maturity
- Competency levels



Follower Traits That Influence the Leadership Process, continued

- Motivation
- Number of followers
- Trust and confidence



Followers Can Make a Bigger Contribution By:

- Being more proactive in solving organizational problems.
- Becoming better skilled at “influencing upward.”
- Staying flexible and open to opportunities.

How Leaders Interact with Followers

- Create environments where followers' innovations and creative contributions are welcome.
- Encourage growth and development in followers.
- Interested in the big picture of followers' work.

How Leaders Interact with Followers, continued

- Motivate followers through more personal and intangible factors.
- Redefine the parameters of tasks and responsibilities.
- Change situations rather than just optimize their group's adaptation to it.



What Makes a Good Leader?

Theories fall into 3 categories:

A. Trait theories

- look for the major characteristic common to all effective leaders

B. Behavioral theories

- examine the actual behavior of effective leaders to determine what kinds of behaviors lead to success

C. Contingency theories

- leader effectiveness depends (or is contingent) upon the interaction of leader behavior and the situation

Trait Theories Of Leadership

- Trait theories of leadership
 - Theories that attempt to isolate characteristics that differentiate leaders from nonleaders
 - Attempts to identify traits that always differentiate leaders from followers and effective leaders from ineffective leaders have failed.
 - Attempts to identify traits consistently associated with leadership have been more successful.

Early Leadership Theories

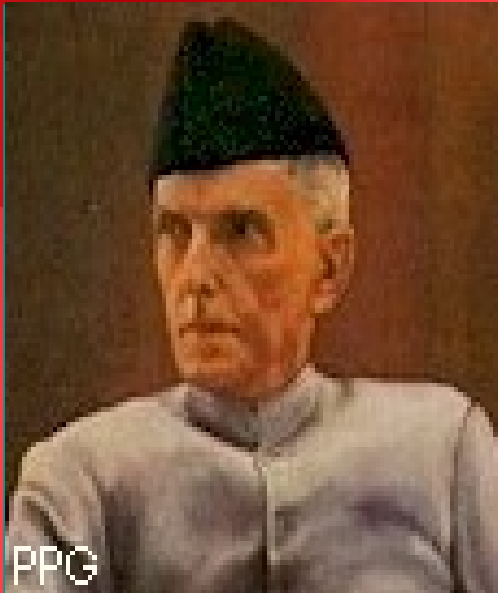
- **Trait Theories**

- *leader traits* - characteristics that might be used to differentiate leaders from non-leaders

- might be used as a basis for selecting the “right” people to assume formal leadership positions

Trait Theory

People are born with certain characteristics which make them leaders.



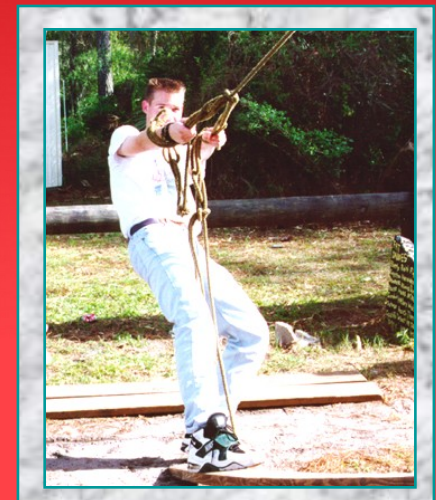
Common Traits

- Intelligence
- Dominance
- Self-confidence
- High energy level
- Task relevant knowledge



Behavioral theories

- There are behavioral determinants of leadership which can be learned.
- People can be trained to be effective leaders.



Behavioral Theories Of Leadership



- Behavioral theories of leadership
 - Theories that attempt to isolate behaviors that differentiate effective leaders from ineffective leaders
 - Behavioral studies focus on identifying critical behavioral determinants of leadership that, in turn, could be used to train people to become leaders.

• Behavioral Theories

– *University of Iowa Studies* - Kurt Lewin

- explored three leadership styles
 - ***autocratic*** - leader dictated work methods
 - ***democratic*** - involved employees in decision making
 - » used feedback to coach employees
 - ***laissez-faire*** - gave the group complete freedom
- results were mixed with respect to performance
 - satisfaction higher with democratic leader

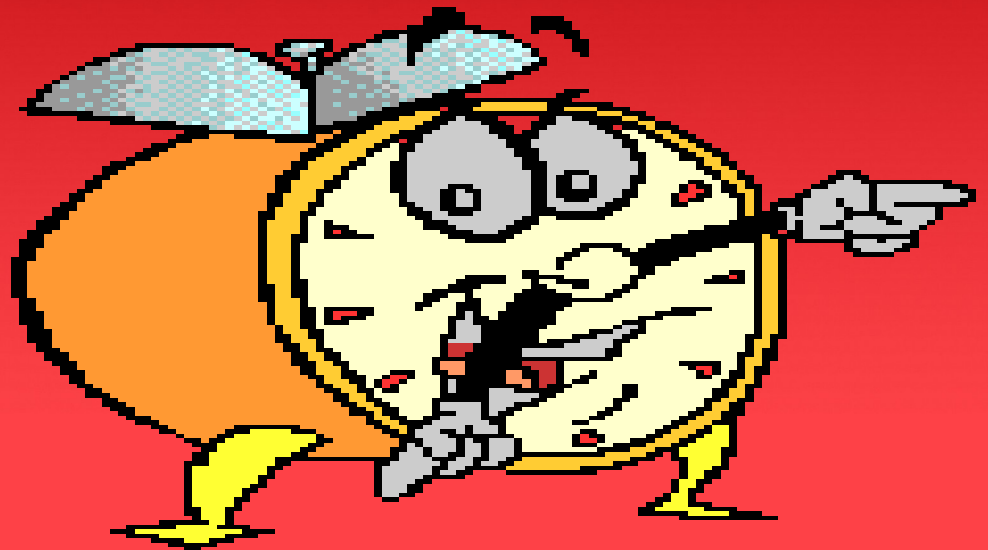
- Behavioral Theories (cont..)
 - **Ohio State Studies** - identified two dimensions of leadership
 - **initiating structure** - extent to which a leader was likely to define and structure her/his role and the roles of group members to seek goal attainment
 - **consideration** - extent to which a leader had job relationships characterized by mutual trust and respect for group members' ideas and feelings
 - findings - high-high leaders achieved high group task performance and satisfaction
 - however, high-high was not always effective

- Behavioral Theories (cont.)
 - **University of Michigan Studies** - identified two dimensions of leadership
 - **employee oriented** - emphasized interpersonal relationships
 - accepts individual differences among subordinates
 - associated with high group productivity
 - **production oriented** - emphasized the technical or task aspects of the job
 - concerned with accomplishing the group's tasks
 - associated with low group productivity and low job satisfaction

- Behavioral Theories (cont.)
 - **Managerial Grid** - two-dimensional grid that provides a framework for conceptualizing leadership style
 - dimensions are **concern for people** and **concern for production**
 - five management styles described
 - **impoverished (1,1)** - minimum effort to reach goals and sustain organization membership
 - **task (9,1)** - arrange operations to be efficient with minimum human involvement
 - **middle-of-the-road (5,5)** - adequate performance by balancing work and human concerns

- ***Managerial Grid*** (cont.)
 - five management styles described (cont.)
 - ***country club (1,9)*** - attention to human needs and creation of comfortable work environment
 - ***team (9,9)*** - committed people motivated by a common purpose, trust, and mutual respect
 - concluded that managers should use (9,9) style

Let's stop
it here





Next....

Organizational Behavior

(MGT-502)

Lecture-22